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Call: May 2023

ADITYA BIRLA
CENTURY
SH/XII/2023

Corporate Relationship Department

BSE Limited 03rd May, 2023

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, 5th floor, 1st Floor, Phiroze Jeejeebhoy Towers

Dalal Street, Fort, Bandra-Kurla Complex

Mumbai-400 001 Bandra (East), Mumbai-400 051.

Scrip Code: CENTURYTEX Scrtp Code: 500040

Dear Sir/ Madam,

SUB: Transcript of Q4FY23 Earnings Conference call of Century

Textiles and Industries Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements)

Regulations, 2015 ('Listing Regulations')

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the Q4FY23 Earnings Conference Call conducted on 25th April, 2023 after the meeting of the Board of Directors of the Company held on 24th April, 2023, for your information and record.

The above information is also available on the website of the Company:

www.centurytextind.com.

Thanking you,

Yours truly

For CENTURY TEXTILES AND INDUSTRIES LIMITED

ATUL K. KEDIA

Sr. Vice President (Legal) & Company Secretary

Encl: as above

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Corporate ID No.: L17120MH1897PLC000163

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"Century Textiles and Industries Limited

Q4 FY 2023 Earnings Conference Call"

April 25, 2023

MANAGEMENT : M R. R.K DALMIA – MANAGING DIRECTOR – CHIEF

EXECUTIVE OFFICER - REAL ESTATES - CENTURY

TEXTILES AND INDUSTRIES LIMITED

MR. VIJAY KAUL – CHIEF EXECUTIVE OFFICER –

PULP AND PAPER DIVISION – CENTURY TEXTILES AND

INDUSTRIES LIMITED

MR. K.T. JITHENDRAN – CHIEF EXECUTIVE OFFICER

– REAL ESTATES – CENTURY TEXTILES AND

INDUSTRIES LIMITED

MR. SNEHAL SHAH - CHIEF FINANCIAL OFFICER –

CENTURY TEXTILES AND INDUSTRIES LIMITED

MODERATOR : M R. PARVEZ QAZI – NUVAMA WEALTH

MANAGEMENT

CENTURY

ADITYA BIRLA

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Century Textile s and Industries Limited

April 25, 2023

Moderator: Ladies and gentlemen, good day. And welcome to the Century Textiles and Industries Limited Q4 FY23 Earnings Conference Call hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Parvez Qazi from Nuvama Wealth Management. Thank you and over to you, sir.

Parvez Qazi: Good afternoon, everyone. Welcome to the Q4 FY23 Results Conference Call of Century Textiles and Industries. Today we have with us from the management side Mr. R.K. Dalmia, the Managing Director of the company. Mr. K.T. Jithendran, the CEO of the Real Estate Division. Mr. Vijay Kaul, the CEO of the Pulp & Paper Division. And Mr. Snehal Shah, the Chief Financial Officer of the company. Without much ado, I will hand over the call to the management for their opening remarks. Over to you, sir.

R.K. Dalmia: Thank you. A very good evening to everyone joining us today. It is my pleasure to welcome you all to the earnings conference call for the fourth quarter and financial year -ended 2023. Let me first take you all through the quarterly industry and financial highlights. A plethora of challenges, geopolitical tensions with the onset of Russia-Ukraine conflict, weak global macros and higher inflation impacted financial year -23. This fiscal year turned out to be highly volatile and ended with higher interest rates, reallocation of FII flows from India to other emerging markets, domestic consumption slowdown as well as the

US and European banking crisis. Despite the macroeconomic headwinds, we have delivered excellent overall performance. Coming to the financial performance for the fourth quarter of financial year -23, the consolidated turnover stood INR 1,187 crores. The EBITDA increased by 99% year-on-year to INR 265 crores with consolidated EBITDA margin of 22.3%. The net profit after tax grew by 69% year-on-year to INR 142 crores. This was due to one-time, exceptional item of INR 134 crores profit made on lease reassignment of land at GIDC Dahej, Gujarat belonging to our Pulp & Paper Division.

For the financial year ended '23, the consolidated turnover grew by 16% year-on-year to INR 4,719 crores mainly due to significant revival in paper business. The EBITDA for FY 23 grew by 38% year-on-year to INR 687 crores with consolidated EBITDA margin of 14.6% and the net profit after tax grew by 64% year-on-year to INR 265 crores.

Now let me take you through some of the key highlights across our three business verticals. Starting from real estate business, the residential sales across all key markets in the country were at an all-time high in the past quarter, resulting in doubling of the residential real estate industry in size in the last three years. The sector exhibited robust demand during Q4 financial year '23, driven by strong absorption across all categories, including high-value units. The commercial real estate sector experienced stable and healthy demand across cities. JD

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Birla Estate s achieved sales worth INR 806 crores in Q4 financial year '23, which was the highest quarterly sales ever for the company with a strong collection s of INR 215 crores. In the entire financial year of 2023, we achieved sales of approximately 1.2 million square feet worth INR 2,183 crores, registering a growth of 14% year-on-year and collection s were INR 861 crores with collection efficiencies of 98.9%.

On the project s front, Birla Nav ya, Gurugram, continues to sell at an exceptional pace, with the third phase achieving a booking value of more than INR 200 crores in just two weeks of launch. At our already launched projects, project execution is in full swing across all projects. Birla Alokya, Birla Vanya, Birla Navya Phase 1 are due for delivery in coming year.

Furthermore, the two new projects announced in Bengaluru are progressing well and we expect to launch both of these projects in the financial year '24. As announced in April -23, the company expanded its footprint in Pune by acquiring 5.76 acres plot which has a revenue potential of more than INR 2,400 crores. Growing its spread in Bengaluru, the company acquired another 10.35 acres plot with a revenue potential of more than INR 850 crores.

Our two commercial assets, Birla Aurora and Birla Centurion, continue to generate stable rental as well. The demand fundamentals remain robust and are expected to continue in the next financial year. The global economic slowdown and its impact on the Indian macroeconomics situation is yet to be ascertained, though the domestic consumption story remain strong. The mortgage rates are expected to remain stable at current levels, hence the industry outlook remains positive. Moving on to the Pulp Paper segment, in the quarter four we improved sales from that of last

quarter. Board market is improving due to pick-up in pharma, F&B (mainly cup stock) and FMCG (rural) segment. Export demand has also slightly improved from Europe post -Christmas holiday opening. Copier demand increased due to exams in Q4, whereas the writing and printing demand was supported by government tender orders.

For the fourth quarter, the overall capacity utilisation was at 93%, with sales volume witnessing a decline of 12% year on year at INR1,06,668 metric ton. In Q4- FY23, the net sales grew by 10% year

on-year to INR 910 crores , primarily driven by better realisation, while EBITDA stood at INR 298 crores with margin of 32.7%. It is important to note that EBITDA includes a one -time exceptional item of INR 134 crores profit made on sale of land at GIDC, Dahej, Gujarat. During Q4, there was increase in NSR by 8.4% in tissue, but significant reduction in board NSR by 14.8%. However, there was no major change in paper NSR, so average realisation price as compared to Q3 reduced by 4.4%. For financial year '23, our net sales grew by 27% year -on-year to INR 3,572 crores , while EBITDA grew by 71% year -on-year to INR 725 crores and EBITDA margins were 20.3%.

Writing and printing paper demand is expected to remain low in coming quarter due to seasonal impact of closure of educational hub for summer holidays while tissue and board segment is expected to have stable demand. Cost pressure are expected to persist in domestic market due to JD M3Uii'HN

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low priced imports and excess supply from domestic mills. Export demand from Europe /USA are expected to remain low due to recessionary impact.

Lastly, talking about textile di vision, for the fourth quarter under review, net sales declined by 28% year -on-year to INR 222 crores with an EBITDA loss of INR 25 crores while financial year '23 sales stood at INR 951 crores with EBITDA loss of INR 38 crores . Q4-FY23 demand in the domestic market continued to be under pressure with low to medium price footfall across the segments in the retail sector.

Exports enquiries /order had not shown much improvement and orders from US and Europe were considerably down. In addition to the above , falling raw cotton prices resulted in a sharp decrease in cotton yarn realisations too. Apparel fabric sales were good in H1 of the year. However, pressure increased in H2 because of low demand and sudden drop in cotton prices. Production capacity was utilised almost fully throughout the year but margins were under pressure in H2 due to heavy competition in the market.

For bed linen, the importers in USA were reluctant to issue new orders and were liquidating their inventories at throwaway prices. Cotton-made bed-sheets had to compete with products made of man-made fibres which were substantially cheaper. Until the market sees stable raw material prices scenario and stabilisation in yarn and fabric demand, it seems that demand will continue to be under pressure. With that we can now open the floor for question and answer session. Thank you very much, sir.

Moderator: The first question is from the line of Sourav Dutta from Minerva Asset Advisors. Please go ahead.

Sourav Datta: Thank you for the opportunity. I just had three questions on the board side. So, you saw mid-teens price decline sequentially. I just wanted to know is this a national trend or was it more pronounced in certain industries? Secondly, was this trend more.

Moderator: Sorry to interrupt you Mr. Dutta, the audio is unclear from your line. Please use the handset mode, sir.

Sourav Datta: I am on the handset mode. Is this better now?

Moderator: Yes, sir. Thank you.

Sourav Datta: So, I have three questions on the board side. You saw mid-teens price decline sequentially. So, would you characterise this as a trend nationally or was it more of a regional trend? Secondly, was it more pronounced in certain industries versus others? And finally, you mentioned about imports impacting pricing negatively. So just curious as to what kind of board buyers are moving into imported boards because usually the pharma and FMCG guys prefer domestic boards because their requirements are met fortnightly. So, these are three questions on the board side.

Vijay Kaul : Thank you. Now the questions on the board. Number one, well, the prices were low. In fact, I would say in all the sections, whether it was ph

arma, FMCG or any other, even the food segment JD

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also to that an extent. And it was throughout the country, it was not only limited to a particular region because our factories which are making board are distributed throughout the country and

all were facing the same kind of issues and problems.

And as regards the imports of the board because the board prices were quite high because of the raw material prices being very high. But as, you know, when the demand was in trouble, so the high prices didn't mind so the imports came at a lower price. That's why for some time, that's why the prices were, low and the decline of the prices started. So, it is a, it is a worldwide phenomenon. It is not a phenomenon only in India also. That's what it is. So, if you've got any further thing on that, I can answer.

Sourav Datta a: Right. So just wanted to understand, was there any specific subset in the industry that was buying imported board or it was across the board?

Vijay Kaul : No, not really. It was, it was throughout the, because the, particular type of board, the board which we are making is an original board and a hard board. So, that, whatever people are importing that goes to the same industry. So, it's not in a particular industry. It can go to different industries.

Sourav Datta: Understood. Secondly, we had a question on the caustic soda prices. Caustic soda prices were down 20% -25% sequentially. So, did the benefit flow into this quarter, in the past quarter or would we see this in the June quarter? And could you quantify the gross margin impact in the fourth quarter of March if you saw some impact over there?

Vijay Kaul : You see, let me, because there's a dichotomy in this whole thing. The caustic soda we are using mostly in making the pulp and not in making the paper. So, when we make the pulp production, the caustic soda prices will come into the picture. And the cost of the pulp is accordingly denoted and all that. But if you see the pulp prices, the imported pulp prices and our internal pulp prices has gone up considerably because the wood process prices had gone up.

So, the difference in the caustic price was not that big that it would make a difference in the costing to that an extent. Yes, definitely the drop in the caustic prices reduced the prices to some extent. But overall, the pulp prices were so high that it did not make any difference to that an extent.

Sourav Datta: I understood, sir. Thanks a lot. That's it from my side.

Moderator: Thank you. The next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan: Hi, this is Vivek Ramakrishnan. Given the volatility in your various businesses, would you be looking at any major capex apart from the construction in the real estate business is question number one. And question number two is you've also been very prudent about debt levels and

the outstanding loans have come down from about INR 1,300 crores last year to about INR 1,000 crores this year. So, I just wanted to know how it is going to track going forward. Thank you. JD M3Uii'HN

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Snehal Shah: So, Vivek, good question. Thank you. Thank you very much for the appreciation on the debt management. Yes, most of our free cash flows from particularly our pulp & paper business will go into supporting the real estate business growth. The free cash flow which comes from the paper business are after providing for whatever capex that is required by them. So, we always plug in some number over a three-year period, say about INR 500 crores for the capex plans of the paper business.

Most of the capex is directed towards marginally improving the efficiency, the productivity of the business as well as some cost saving measures. So that would pro

bably going forward help

us in increasing the capacity, reducing cost, etcetera. But no major at the moment plans for the pulp and paper business in terms of a huge capex expenditure where we might require borrowing.

So, most of it is through the cash flows of the business itself and whatever excess comes up we actually use it for the purpose of our real estate business.

So, the real estate business is now going forward as we say is the real estate arm of the Aditya Birla Group and the growth engine of Century Textiles and Industries Limited. I hope that answers your question.

Vivek Ramakrishnan: Yes, sir. Thank you very much and wish you good luck.

Moderator: Thank you. The next question is from the line of Karan Mehta from Nirzar Securities. Please go ahead.

Karan Mehta: Thank you, sir, for the opportunity. So, I just have a couple of questions. Firstly, if you can please provide the volume for paper business for this quarter and the previous quarter.

Vijay Kaul : Sorry?

Karan Mehta: If you can please provide the volume for the paper business for this and the previous quarter.

Vijay Kaul : This quarter it was 111,000 tons in the quarter. And the last quarter was about 100,000 tons.

Karan Mehta: Okay. Fine. And secondly, we have incurred a loss in the textile business in this quarter. So, is this an inventory loss and or what is the nature of the loss and is it of recurring nature and if it is not, then will it reverse in the future?

R.K. Dalmia: So yes, I think some of the losses are business losses, almost like 50% is business losses and 50% is one-time losses, provisions for inventory or some doubtful debt, which will be, I think

doubtful debt may be recoverable as per audited standards we have provided, but it is recoverable in future. In inventory at the cost price or whatever NR V, whatever as per audit standards we have done. So, on those 50% losses are there and that is the one-time expenditure only.

Karan Mehta: Okay. And sir, if I can squeeze in one more question. So, we have recently acquired land at South Bombay and Pune and so how do we intend to develop this land? And when can we expect revenue from these projects?

K.T Jithendran: Yes. So, Karan, the Walkeshwar land in South Bombay, we expect, since it's a smaller size, we expect that to launch in this financial year itself, while the Pune one, which is a larger thing, it JD

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has got a, it has a plot size is larger. So, it has a more gestation period for launch. So, we expect that to launch in the next financial year.

Karan Mehta: Okay. And what about the Bangalore land?

R.K. Dalmia: We are planning to launch it this financial year.

Moderator: The next question is from the line of Amit Srivastava from B& K Securities. Please go ahead.

Amit Srivastava: Sir, congratulations on the Birla Niyaara successful 80% sales in the last one year. I just wanted to understand that the remaining 20%, how is the inventory, is it going to be a higher ticket size and it will take some time to get monetized? And second, given the 80% is already sold, can we pre-pone the second phase launch? How is the planning for the second phase? And if you can give the roadmap for the FY'24, which are the projects that are coming for the FY'24 launch?

K.T Jithendran: So Yes, as you know about Birla Niyaara, Tower A is 80% sold. Time lapse about 16 months .

So definitely, this calls for a price increase, which we have done it. We currently sell, price product at an average of INR75,000 per square foot. So, we expect the balance inventory to be

sold at an easier pace than what had happened till now. Also, we are, in the process of launching

Tower B. Hopefully by December of this financial year we should be ready with all approvals and RERA clearance for launching that.

So, either it will be late Q3 or early Q4. The other launches

are the Bangalore projects, which

we have planned. One is the two projects that we acquired, one on a JV near Devanahalli. And the other one in RR Nagar. Both we are expecting to launch this financial year. Also, in Q4, we are hoping that we will be able to launch the Walkeshwar project also. And the last phase of Birla Navya in NCR. So, all these projects are slated for launch in this financial year.

Amit Srivastava: And second, sir, in terms of the Birla Vanya, Kalyan our first phase we have sold in a very remarkable time. However, the sales momentum in the next phase is very slow and quarter-on-quarter on a slower pace. If you can give on a broader light on what is happening over there?

K.T Jithendran: So, the sales is at a slower pace than expected. We have sold about 832 of the 1200 apartments. So, the balance we are hoping that we will be able to cover up in the rest of this year. The prices are now quite high because initially we sold at very attractive prices. But now the prices are

really playing for margins. So, we expect this to go on a slower trail. And we are also

approaching the finishing line this year. We expect to give possession of the property also.

So, I think with that completion, I think the pace should pick up. So, we are quite confident that

we will be able to sell the balance at very premium prices.

Amit Srivastava: And sir in terms of the project like in South Mumbai, we have already the large land parcel and

then we have taken one more project. So, if you can tell us that what is the strategy over the

South Mumbai that we will take more projects in that area or we'll try to diversify towards Western Mumbai and Thane side area. JD

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K.T Jithendran: So, we are very bullish on Mumbai as a market. And I think any attractive locations, we are always excited by that, whether be it in Thane or South Mumbai. So, this was a very boutique project right in the Walkeshwar Road, extremely premium. So, I thought this could give us a huge amount of visibility and brand pull. So, that was a clear reason why we thought, it was a very attractive deal also. So, all that culminated into us getting into this deal.

So, that is very well within our strategy of getting into very premium, high-end projects. So, there is nothing like how many projects, wherever we get a good opportunity, at a good price, attractive valuation, we are always game for that.

Amit Srivastava: So, last one clarification from Snehal sir. Sir, in our cash flow, we have given a project development cost, which is around INR 900 crores in FY'23. So, if you can give this break up, what are the things which it includes?

Snehal Shah: So, this project development cost of INR 900 crores roughly includes the various costs on

account of construction and development and then purchase for all the current projects which are currently going on. This includes our... This is all on the payment basis. That's right.

Moderator: Thank you. The next question is from the line of Dixit Doshi from Whitestone Financial Advisors. Please go ahead.

Dixit Doshi: My first question is regarding this Pune land of 5.76 acres and Bangalore land of 10.35 acres. How much square feet will be doing there?

R.K. Dalmia: Yes. So broadly, of course, these are still under planning. So, we are expecting about 1.5 million in the Pune, 1.5 million square feet and about a million square feet in the Bangalore RR Nagar project.

Dixit Doshi: Okay. And how much would be this Walkeshwar project square feet?

Management : Walkeshwar about 60,000 square feet.

Dixit Doshi: And just one last question. So now since the MD sir also mentioned that most of the free cash flow from the paper division are used for real estate division. So, it is very clear that our major focus area is the real estate in Century Textiles. So, any thoughts on transferring the

textile business to say Aditya Birla Fashion or any separate demerger, anything we are thinking on that line?

Snehal Shah: Dixit at the moment, we are not planning anything of that sort. We will keep our watch on the textile business. Textile business keeps on having cycles, etcetera. It might suddenly become more profitable going forward. So, at the moment there are no plans. We will continue as we are. Except that we will not be allocating a lot of capex on the textile business.

Dixit Doshi: And just one last question. So, if you can just help me with the location of this Walkeshwar plot?

K.T Jithendran: This is very close to the Governor's bungalow, about 150 meters from there. JD

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Moderator: The next question is from the line of Sourabh Gilda from Motilal Oswal Financial Services. Please go ahead.

Saurabh Gilda: So, just one small question. Like whatever launches that you are planning for FY'24, what will be the cumulative value of it, sir?

K.T Jithendran: Sorry, what was the question?

Saurabh Gilda: No, no. The launches that we are planning in FY'24 across various projects, what will be the launch size in terms of rupees, crores?

K.T Jithendran: So, Tower B in Niyaara will be in the range of about INR 3,000 crores. Navya will be about INR 500 crores. Similarly, about INR 500 crores in the Bangalore first project. And about another about INR 500 crores in Bangalore two. So, INR 4,500 crores of new launches. And sorry, Walkeshwar, another about INR 500 crores. So about INR 5,000 crores.

Moderator: The next question is from the line of Raaj from Arjav Partners. Please go ahead.

Raaj: I wanted to know the overall outlook for FY'24.

Snehal Shah: For which business?

Raaj: For overall, sir. All the three phases. Yes.

Snehal Shah: So, I mean, we are quite bullish on the real estate business as you have already heard. So that is one thing we don't expect any major slowdown in the real estate business, at least in FY'24. We see good business coming from the paper business, particularly on the writing and printing paper, as well as the tissue paper. We are keeping a watch on the improvement in the board business. Textile business, we expect some momentum on the upward side in the second half of this particular year.

Raaj: And looking at three to four years down the line, how do you see company unfolding overall?

Snehal Shah: So, company probably now, from a turnover perspective, 75% of our turnover roughly comes from the paper business and about 25% comes from the textile business. The accounting principles don't allow us revenue recognition from our real estate business till we get an OC and start deliveries. But going forward, we see a considerable improvement as we keep on delivering projects that we have already launched.

I think the contribution in the revenue from the real estate business is going to grow tremendously. And maybe in about five years' time, probably will be more than INR 10,000 crores company.

Raaj: 10,000 crores overall, top line company?

Snehal Shah: Top line, Yes.

Moderator: The next question is from the line of Amit Sanghvi, an individual investor. Please go ahead. JD

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Amit Sanghvi: See, my question is that in the opening remarks, we have said that Birla Vanya, Birla Navya and Birla Alokya. These three are due for delivery in coming financial year. Just I wanted to know,

it is in financial year '23 -'24 or '24 -'25?

K.T Jithendran: This financial year.

Moderator: We'll move on to the next question from the line of Dhwani from I Wealth Management.

Dhwani: So just wanted to understand more on the paper side, because when I was just seeing your commentary, it's a little bit of a mix, wherein one side you're saying that the imports are

increasing and the net realization in the board has obviously come down. Whereas on the paper side also it is slightly declined a bit. So, going ahead, even if I see as a EBITDA per ton what we did last three, four quarters, currently it is at INR 15 per kg. If you can just slightly give us more clarity over your, how are you seeing in terms of overall prices and on the margin side also?

Vijay Kaul : See, we make three products. We make paper. We make board and we make tissue. So, all the three have got their own complexities and it has got its own market potential. As far as paper is concerned, because we make distinctly two different things in the paper, one is the copier and the other is the writing and printing paper. As far as copier is concerned, there is no problem of demand that anything come import. So, there is still a large gap in the market for the copier paper.

As far as writing and printing, you know it very well that it is a seasonal kind of a thing. Presently there is no demand, but after June the demand will go on rising like anything. So, we are to prepare for that kind of a demand. As far as board is concerned, it depends upon the

pharmaceutical industry, in the eatery industry and you know FMCG and what not. So there, there is always a, sometimes the imports come in because somebody has put up a plant outside and he wants to offload some material.

So, these things will do happen. Though the government of India had put a restriction that now you have to first apply, give your quality credentials, then only you can supply in this country or import into this country. So, because of that, sometimes the imports do come. But overall, the

board demand is, I would say, quite reasonable. But yes, we have to keep our cost down and we have to ensure that we are in the market and supply the right quality at the right price and at the right time basically.

So, we are not hearing that bad, but we have to keep telling the market that these are the situations. But we are trying and managing those situations. And tissue market, we are the leader in that. We have got a 44%-45% market share. So, we are doing quite well in the tissue market.

So that's the story about all the three products what we make.

Dhwani: Okay, okay, because when we see the NSR in the writing and printing, so couple of years back it was around INR 50 odd rupees and now it is at INR 87-88.

Vijay Kaul : Yes, you are right. JD

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Dhwani: Yes, and most of the input, inputs are cost which had kind of gone up and hence the realization had also gone up and also correcting. So, the chemical prices, the freights and the power and fuel, right. So, going ahead, do you all also expect that this on the writing and printing side we may see the price corrections or this can be a new normal?

Vijay Kaul : Price corrections will keep on happening depending upon the raw material prices. These will keep on happening.

Now, the question is of what is the demand and how fast a particular person wants a particular product. So, it will depend upon that. So, price corrections will keep on happening and that is a part of the process. So, but we have to keep ourselves abreast with the, whatever best cost we can get and best productivity and efficiency we can have so that we are up front in the supply stacker. That's it.

Dhwani: And sir, post-March, have you all taken any price hikes or it's the same?

Vijay Kaul : No, as far as paper is concerned, we have increased the prices by INR 1,500. Board, we have kept the prices same. Tissue, we have increased by about, I think, maybe INR 1,000 or INR 1,500 per ton.

Dhwani: And sir, just last question was on the margin side. So, on the margin, sir, this overall INR15.5- 16 per kg on the net side what we've done. So, do you all think that this is sustainable? Obviously, if the price

remains here or there is certain or on the pulp side you are expecting the cost to go up?

Vijay Kaul : No, I think the margins will go up this year as compared to last year what you have seen. But, it's very difficult to say how much and how far and when it will happen. But definitely one thing is sure that the margins will go up this year. What margins you have seen this year, next year

will be definitely better than that. Next year means the current year, what, FY '24, I am talking.

Moderator: The next question is from the line of Nirav Savai from Abakus Asset Manager. Please go ahead.

Nirav Savai: So, my question is regarding this Carmichael Road bungalow which Aditya Birla Group has acquired. And we

understand that Birla Estate is only real estate arm. So, is there anything where Birla Estate would be working on that bungalow either through a JD model or a DM kind of a model or how to you understand this deal?

K.T Jithendran: No, Birla Estate is not going to work on this project. That is on a separate issue. Nothing to do with the real estate business.

Nirav Savai: So, it has nothing to do with Century at all? Another thing is that we had made a milestone of about INR 5,000 crores of sales in the next three to four years. And based on that, any targets that we have assigned for FY'24 in terms of new BD acquisitions and going forward, how will it pan out? Because this year, barring the month of April for the entire year, there were no big announcements. So last announcement we had seen last year in the month of April. And followed by this month in April. So, how do we see this for FY'24 and '25? Do we have any internal targets in terms of BD acquisitions? JD

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K.T Jithendran: Yes, so as I mentioned last year, we acquired two projects in Bengaluru. This year in April, we have acquired again two projects, one in Pune and one in South Mumbai. And we have several more projects in the pipeline which we are looking at. And we're pretty excited about the opportunity there. And we'll be going pretty aggressively to acquire projects in our chosen markets. Difficult to put a quantitative number to it. So, as we keep finalizing projects and announcing it, we will let you know.

Nirav Savai: And so, any guidance which you all would like to share?

K.T Jithendran: I don't want to put any particular target for it because we are very particular that whatever deals we do, they do the right deal. Because if you put a target and start chasing, then we don't want to put too much money into it. But we want to just go ahead and do the right projects. Focus is on BD. We are not privy to announcing internal targets. We can't announce that outside at this point of time. However, I would just give you the confidence that very aggressively looking at expanding into all of our chosen markets.

Nirav Savai: Any guidance in terms of sales if you could share?

K.T Jithendran: No, no guidance. We are not sharing any guidance at this point of time.

Moderator: The next question is from the line of Kashyap from Broadview Research.

Kashyap: Hi. Just had a question on the paper business. I missed the point regarding the price increase in the tissue segment. Could you just quantify what are the price increase taken in the tissue segment?

Vijay Kaul : It's about INR 1,500 per ton. In the paper and tissue, we have taken INR 1,500 per ton.

Kashyap: And what is the margin now? The tissue business will be at what margin? At EBITDA level?

Vijay Kaul : That's around, I think 14%- 15%.

Kashyap: And the writing and printing paper?

Vijay Kaul : Writing and printing paper around 20%.

Moderator: The next question is from the line of Parin Gala from Sage one.

Parin Gala: The question is for KT sir, currently, what is the active number of proposals in the real estate, in the BD that you are actively considering?

ring?

K.T Jithendran: See, roughly, we have finalized, currently in progress, about 10 projects which is under work, either in various stages of launch and construction, etcetera. Considering the last two acquisitions we did in April, we are, again, I said, I don't want to quote a number to it, but as I mentioned, in each of the target cities, we are looking at at least two or three very, very active proposals . JD

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Parin Gala: Sir, in the current scenario where real estate is now, prices are going up, even land prices are going up, are we able to spot the projects with the targeted IRR that we typically want or you are ready to make some compromises there?

K.T Jithendran: We are not willing to make any compromises. We are patient enough to wait for the right project, with the right financials, the right locations. So, we are not in a hurry to, grab whichever projects comes our way. We are looking at the valuations. We are very particular about the valuations and the location. So, with that clarity in mind, we are moving ahead with our acquisitions.

Parin Gala: And, sir, lastly, for FY'24, what is the approximate sales number that you are looking for?

K.T Jithendran: We are not giving any forward guidance at this point of time, Parin. So, if once we start doing that practice, we will let you know. At this point of time, we are not doing that.

Parin Gala: Last year you had said approximately, you wanted to cross that INR 2,000 crores.

K.T Jithendran: Yes, on a broad guideline, over a period of time, the next maybe two to three years, we are looking at crossing INR 5,000 crores or even more than that. I think there is great potential in

the market. I think this market will continue for several years, this up cycle. And we are quite excited that if we continue acquiring new projects, we will reach there sooner than later. So, I can give you a broad, two to three year horizon, we are looking at INR 5,000 to INR 6,000 crores annual booking.

Snehal Shah: I think I mentioned in my guidance earlier, somebody was asking a question about the future.

So, when I said INR 10,000 crores, I said, roughly half of it will come from paper and half will come from real estate.

Moderator: The next question is from the line of Biplob Debbarma from Antique Stock Broking.

Biplab Debbarma: My question is, first question is on the Gurugram project. There in the PPT, on the slide nine, you mentioned that Phase 1 and Phase 2 is 9.4 lakhs and total is 17.8 lakhs. And is it the last phase, 17.8 minus 9.4, more than eight lakhs would be the last phase? Or there will be multiple phases, you will be launching the remaining?

K.T Jithendran: So it could be either one or two phases. Depending on how the approval comes, etcetera.

Biplab Debbarma: And when you mentioned 500 crores in Birla Navya, so you are mentioning the entire remaining phases or?

K.T Jithendran: I am just talking about the next launch. Not the entire remaining phases, just talking about the next launch which we are planning.

Biplab Debbarma: And so, this project is a 50-50 JV right?

K.T Jithendran: Yes, you are right. 50- 50 profit sharing JV.

Biplab Debbarma: And my next question is on Birla Niyaara. Sir, Birla Niyaara, in the second phase that you are planning to launch, would there be any difference? Suppose, say, at that point of time in JD

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December 2023, when you launch Birla Niyaara Tower B, and say, Birla Niyaara Tower A is selling at 75,000, would you be launching, you would be selling Tower B at the same price or at a different price? Because I assume the product would be different in terms of per square feet?

K.T Jithendran: I think, what we are planning to launch Birla Tower B Niyaara will be in more of premium positioning. So

, we are expecting to launch at a higher premium to Tower A.

Biplab Debbarma: The same location, another tower, but per square feet basis, it will be higher. Right?

K.T Jithendran: You are absolutely right. Yes, the product will be different. Product will be differentiated with larger format products.

Biplab Debbarma: Okay. And like what, some numbers, 10%, approximately ballpark 10%-15% higher than the...

K.T Jithendran: Typically, to predict Biplob, we will take that call closer to the launch. But it will be premium.

Biplab Debbarma: And my final and last question is on the business development. I missed that part. So, now, after the closure of these projects, what are the projects, how many active deals left that you are... How many deals are there in active discussion?

K.T Jithendran: Again, difficult to put a number to it, but I can only assure you as I mentioned just now, that we have several exciting projects, we are considering at this point of time in each of the target markets.

Biplab Debbarma: And one more clarification needed. This Malabar Hills project, Walkeshwar, it is a JD ?

K.T Jithendran: It is an outright.

Biplab Debbarma: Outright, right? Yes. And for both Pune and Walkeshwar?

K.T Jithendran: Both are outright.

Biplab Debbarma: So, both Pune and Walkeshwar, you have paid the money?

K.T Jithendran: Yes, Yes.

Moderator: The next question is from the line of Jiten Parmar from Auram Capital.

Jiten Parmar: My question is on one of the previous questions. You mentioned that paper margin for FY'24 will be higher than FY'23. I wanted to know, will it be higher than the Q4 margins we achieved?

Vijay Kaul: Yes, it will be higher than the Q4 margins.

Jiten Parmar: Look, Q4 margins in the presentation is mentioned 32.7%.

Vijay Kaul: Yes, that is, you know, only 18% because the rest of the percentage is coming from the sale of land at Bharuch, GIDC. JD

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Jiten Parmar: And what is the breakup of capacity among the three sections we have in paper, the tissue, board, and the writing and printing copier?

Vijay Kaul: Sorry, I didn't get your question.

Jiten Parmar: What is the breakup of capacity?

Vijay Kaul: Breakup of capacity. The paper is the highest capacity, that is about 240,000 tons approximately,

then the board is 200,000 tons and the tissue is about 55,000 tons to 60,000 tons.

Moderator: The next question is from the line of Himanshu Zaveri from Dhruv Gems.

Himanshu Zaveri: I just wanted to ask like what is the construction cost in Niyaara project? It should be around 20,000 square feet. That includes the construction plus the premiums, everything, all inclusive, right?

K.T Jithendran Yes, you're right.

Himanshu Zaveri: So, that includes everything, nothing more?

K.T Jithendran Yes.

Himanshu Zaveri: Okay. And one more thing about the NCR region, the only project we have right now is a Navya one, right.

K.T Jithendran Right.

Himanshu Zaveri: So, we have signed a project in Pune and one in Mumbai right now and two in Bangalore. So, what have you, because what I hear, NCR has been a fast -moving market right now and the price appreciation has been also quite high from what I know. I think the prices are up by 30%, 40% in the last two years. So, are we actively looking at that particular region because there the market is very good from what I hear.

K.T Jithendran Yes. So, we are looking at quite a few number of projects in the NCR both in Delhi and Gurgaon and Noida. And we expect to close some of these projects very shortly.

Himanshu Zaveri: And I wanted a guidance on margin front because I just want to know, like there are companies in the real estate business in India, like you can compare Oberoi Realty to Godrej Properties. So, the Oberoi people are very highly on the margins because their net profit margins are ve

ry, very high. And the Godrej people go on the volume like 10%, 15% margin. So, are we going to be like a mixture type or we are going to go more on the Oberoi type of models here.

K.T Jithendran No. So we are looking more at quality of projects. So, we are careful about both the returns in terms of the IRRs and also on EBITDA margins. We are focusing on both.

Himanshu Zaveri: No, no my reason to ask is that because the pace of signing of deals in our company has been pretty like slow in the sense of, if I see, Godrej Properties, which have signed like INR 25,000 JD

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crores, INR 30,000 crores of project like revenue potential in the last six months to one year. So

just wanted to know, we are going more on the margins right, that's what you're trying to say.

K.T Jithendran: See Himan shu, we are focused on the quality of the projects in terms of location, in terms of size, in terms of financial, in terms of joint venture partners. So, we give a balanced approach that we are particular about each of these parameters because in the long -term, the success of the project, we want to make sure that we give adequate attention to each of these parameters. Whether it's the financials, it's the cash flow, it's a risk management in the project, is a JV partner, if there is a JV partner, and most importantly location, access all of those criteria.

Himanshu Zaveri: So yes, basically you want to build a good brand for the long- term.

K.T Jithendran: Absolutely.

Himanshu Zaveri: And are we confident about the Niyaara project of sustaining these prices because INR 75,000 a square feet is quite high, right. ?

K.T Jithendran: So, I don't think so. We have projects around, which are at possession , today are selling at more than a lakh per square foot. There is a huge demand. We did almost INR 225 crores just in the last one month in March. So, there been a huge amount of demand.

Himanshu Zaveri: For that it is because of the tax break also do you feel or no?

K.T Jithendran: I don't think so, no. Not because of that. There h as been a lot on the capital gain stuff but there are very few people present of that.

Himanshu Zaveri: So, you are confident that we are able to sell the project?

K.T Jithendran: I think it's a great product. The people have understood the product. It's a great location coming from a strong brand. And I think very confident that this project will fetch much higher prices in days to come.

Himanshu Zaveri: And this is the 2.4 million is the whole Niyaara, right?

K.T Jithendran: Yes, you're right.

Himanshu Za veri: So, there's a nother parcel also at, we have another parcel also at Worli, right.

K.T Jithendran: No, you're right. Next to this another parcel, about 1.5 million here in Niyaara itself is about 2.4 million plus another 1 million opportunity for comme rcial is also there

Himanshu Zaveri: In Niyaara.

K.T Jithendran: Yes.

Himanshu Zaveri: The 1.5 million you said is where?

K.T Jithendran: That is adjacent to Niyaara, another land, Worli West, we call it. The parcel next to this spot and adjacent to it.

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Himanshu Zaveri: So that is also ours right, that we'll develop in the future?

K.T Jithendran: Yes.

Himanshu Zaveri: And the Prabhadevi and the Pune also we have, right.

K.T Jithendran: Those are potential for the future.

Moderator: Thank you. The next question is from the line of Nishith Shah from Aequitas Investments.

Nishith Shah: Good evening, sir. My question relates to the paper segment. So, what was the export contribution over here and compared this to the last quarter?

Vijay Kaul: We don't export much. We don't, we only do about 10% to 12%, maximum 15% we have done in one quarter. I think in the last quarter, it was not more than

10%. So, 10% is hardly about 7,000- 10,000 tons not more than that. So, our contributions in exports are equivalent to the domestic contribution, in fact, slightly better also in exports.

Moderator: Thank you. The next question is from the line of Vishal Ghai from Abercrombie & Kent.

Vishal Ghai : Hi, this question is for Mr. K.T. I was just wondering, what will be the total revenue, which you will be generating from the three phases, you will be delivering in the current financial year?

K.T Jithendran: I think depending on what sales we do this year, I expect about 1,500 to 2,000 crores.

Vishal Ghai : Thank you.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors. Please go ahead.

Dixit Doshi: Just wanted to know if you have shared how much we have paid for the land parcel in Pune, Bangalore and Walkeshwar?

K.T Jithendran: Yes overall, about INR 500 crores both projects together.

Dixit Doshi: Which one, Pune and...

K.T Jithendran: Pune and Walkeshwar.

Dixit Doshi: Pune and Walkeshwar put together INR 500 crores . And how much for the Bangalore?

K.T Jithendran: Bangalore about INR 100 crores to INR 120 crores.

Dixit Doshi: Okay. And I assume that in this INR 500 crores , I mean, Walkeshwar would be the major part?

K.T Jithendran: No. Walkeshwar is a very small part.

Dixit Doshi: Okay. if you can help me with the separate in INR 500 crores ?

K.T Jithendran: I will get you offline. JD

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Moderator: The next question is from the line of Himanshu Zaveri from Dhruv Gems.

Himanshu Zaveri: I just wanted to ask like in the future being shareholders, what is the views on the demerger of the business because in the end, the value is only created if you demerge your real estate business, which is Birla Estates, right?

Snehal Shah: Yes. So, you're right somewhere down the line we have to unlock the value, but as of now, there are couple of reasons that you need to understand. One is we are dependent on the cash flows from the paper business to support the real estate business till it becomes self-sufficient in terms of its own cash flows and borrowings.

Number two, we have to have sufficient, what we call deliveries, executions of our projects in order to demonstrate our capabilities, etcetera and the product qualities, etcetera and all that stuff. So, I think you're right, but this is something you have to wait for some time. It won't happen immediately.

Himanshu Zaveri: No, no, I understand waiting is okay, but like we have something in the pipeline, right, in the near future maybe one year, two years down the line?

Snehal Shah: No. I mean, it's at the back of our mind not on the drawing table or on the table. We're not really thinking of it very seriously at the moment because I don't think it's the opportune time to do that.

Himanshu Zaveri: But the revenues we get from the real estate business, the major ones are going to only start when the Niyaara one, the revenue comes in, right? The other ones are pretty small right now.

K.T Jithendran: As I mentioned see, we are expecting with these three possessions is that about INR 2,000 crores of revenue this year. There is nothing from Niyaara.

Himanshu Zaveri: Right. But Niyaara is like three years, four years down the lines, right.

K.T Jithendran: You're right. You're right.

Himanshu Zaveri: So, till then, we are dependent on these two, three, four projects only for the revenue.

K.T Jithendran: I think we have about, Yes, correct, revenue, but cash flow is coming from all projects. So, we have about 10 projects, as of now.

Himanshu Zaveri: So Niyaara also we'll get only slab wise get, phase wise when you...

K.T Jithendran: Yes, Yes, absolutely. That's the rule. Any project, whatever is the RERA on the completion of a particular phase, you can

recognize the revenue. See cash flow, it keeps coming. It's only the

recognition of EBITDA and revenue or profits and revenue, which comes at the end of the..

Himanshu Zaveri: Please, as a shareholder, please consider the demerger also, in the future, whenever you feel comfortable.

K.T Jithendran: Yes. I mean, we are all sitting here to take care the best interest of the shareholder s. JD
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Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Parvez Qazi for closing comments.

Parvez Qazi: Thanks, everyone, for an enthusiastic participation in the call. I would now like to hand over the call to the management for their closing remarks. Over to you, sir.

R.K. Dalmia: Thank you for all participating in this earning call, con call. I hope we have been able to answer your question satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our IR Manager at Valorem Advisors. While we are very thankful to all our investors, who stood by us. And had the confidence in the company's growth plan. With this, I wish everyone a great ev ening. Thank you.

Moderator: Ladies and gentlemen on behalf of Nuvama Wealth Management. That concludes this conference. Thank you for joining us. And you may now disconnect your lines. JD
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Call: Jul 2023

ADITYA BIRLA
CENTURY
SH/XII/2023

Corporate Relationship Department
BSE Limited 24th July, 2023
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th floor, 1st Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort, Bandra-Kurla Complex
Mumbai-400 001

Scrip Code: 500040 Bandra (East), Mumbai-400 051.

Scrip Code: CENTURYTEX

Dear Sir/ Madam,

Sub: Transcript of Q1FY24 Earnings Conference Call of Century
Textiles and Industries Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements)
Regulations, 2015 ('Listing Regulations')

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the
Q1FY24 Earnings Conference Call conducted on 19th July, 2023 at 04:00 pm 1ST after
the meeting of the Board of Directors of the Company held on the same day itself.

This is for your information and record.

The above information is also available on the website of the Company:

www.centurytextind.com.

Thanking you,

Yours truly

For CENTURY TEXTILES AND INDUSTRIES LIMITED

ATUL K. KEDIA

Sr. Vice President (Legal) & Company Secretary

Encl: as above

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Corporate ID No.: L17120MH1897PLC000163

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Q1 FY '24 Earnings Conference Call"
July 19, 2023

MANAGEMENT : MR. R.K. DALMIA – MANAGING DIRECTOR –
CENTURY TEXTILES AND INDUSTRIES LIMITED
MR. VIJAY KAUL – CHIEF EXECUTIVE OFFICER –
PULP AND PAPER DIVISION – CENTURY TEXTILES AND
INDUSTRIES LIMITED
MR. K.T. JITHENDRAN – CHIEF EXECUTIVE OFFICER
– REAL ESTATES – CENTURY TEXTILES AND
INDUSTRIES LIMITED
MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER –
CENTURY TEXTILES AND INDUSTRIES LIMITED

MODERATOR : MR. ABHINEET ANAND – EMKAY GLOBAL FINANCIAL
SERVICES

Century Textiles and Industries Limited
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Moderator: Ladies and gentlemen, welcome to the Q1 FY '24 Results Conference Call of Century Textiles

and Industries Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Abhineet Anand from Emkay Global Financial Services. Thank you, and over to you, sir.

Abhineet Anand: Thanks. Good afternoon, everyone. First of all, I would like to thank the management of Century Textiles for giving us this opportunity to host the call. We have with us from the management, Mr. R.K. Dalmia, Managing Director; Mr. Vijay Kaul, CEO, Pulp and Paper Division; Mr. K.T. Jithendran, CEO of Real Estate; and Mr. Snehal Shah . Over to you, sir.

Management: Thank you. A very good evening to everyone joining us today. It is my pleasure to welcome you all to the earnings conference call for the first quarter of financial year 2024. Let me first take you all through the quarterly industry and financial highlights. The global macroeconomic continues to remain challenging despite inflation easing from record high. As per IMF, the global growth is expected to drop to 2.8% in 2023 compared to from 3.4% in 2022. Developed economies are expected to see and especially pronounced growth slowdown from 2.7% in 2022 to 1.3% in 2023.

Global headline inflation is expected to cool off from 8.7% in 2022 to 7% in 2023 on the back of lower commodity and energy prices. However, underlying core inflation is likely to decline rather slowly. And a slowdown in global economy, India will remain the fastest growing major economy with growth expectation of 6.5% to 7% in 2023.

In the backdrop of global slowdown, sticky inflation and uncertain geopolitical conditions, we have been able to deliver satisfactory performance from all divisions. Talking about our financial performance for the first quarter of financial year 2024, the consolidated turnover stood at INR1,106 crores. The EBITDA for the quarter was INR129 crores, with consolidated EBITDA margin 12.1%. And there was a net loss of INR7 crores.

There is an exceptional item loss of INR65 crores due to the closure of its spinning and weaving process at the textile mill. Now let me take you through some of the key highlights across our 3 business verticals. Starting from real estate business, the Indian real estate business is currently experiencing a favourable up cycle, and one of the most buoyant periods in over a decade.

Residential trades across all major markets in the country has witnessed a strong growth with the industry growing nearly threefold in the past 3 years. Real Estates achieved bookings worth INR207 crores from already launched projects in Q1 FY '24. The collection demand is strong at INR369 crores from all projects during the quarter at an overall collection efficiency of 98%.

During Q1 FY '24, the company acquired 3 notable projects at premium location in Pune, Mumbai and Bangalore with a GDV of INR5,600 crores. The Pune project is 5.8 acres plot on Century Textiles and Industries Limited

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Wellesley Road with a gross potential of INR2,500 crores. We acquired a plot in Walkeshwar, Mumbai, which is a 0.2 -acre plot with a gross potential of INR600 crores --

The Bengaluru project is 28.9 acres in Sarjapur with gross potential of INR2,500 crores. On the ongoing project from Birla Alokya Bengaluru, Birla Vanya MMR, and Phase 1 of Birla Navya, Gurugram are due to delivery in FY '24. The 2 earlier acquired projects in Bengaluru at near Devanah

alli near Bengaluru International Airport and Rajarajeshwari Nagar are progressing well and is expected to be launched in second half of FY '24, in addition to the new phases of already launched projects.

The site 2 commercial assets Birla Aurora and Birla Centurion continue to generate stable rentals. Additionally, our 2 projects were honoured with 2 prestigious awards where is Birla Navya Gurugram received the Merit Winner Award trophy from British Safety Council and Birla Niyaara was recognized as an Iconic super luxury project of the year at the Times Real Estate Conclave Awards '22, '23.

Lastly, the Indian Real Estate sector poised sustained growth on the back of strong demand, led by rise in per capita income and shifting consumer behaviour . Despite moderate increase in property prices, the real estate sector is expected to experience continuous growth due to encouraging GDP per capita, disposable income and urbanization.

The company's strategy remains unchanged, which is to focus on the premium on luxury segment for sustained future growth. Moving on to the Pulp and Paper segment, demand was slow in the reported quarter due to general slowdown. Paper prices were under pressure due to raw material price volatility and increased price competition from international mills, resulting in lower NSR.

Demand across tissue and board segments declined due to better prices offered from international mills as well as demand from high consumption sectors like FMCG, F&B, Pharma

remains stagnant. However, corrective measures on the cost management front helped the company to maintain its operating profitability. The first quarter of FY '24, the overall capacity utilization improved to 95% against 93% in Q4 of FY '23, with sales volume witnessing a decline of 8% year-on-year on 99,459 metric tons.

In Q1 FY '24, net sales declined by 2% year-on-year to INR836 crores, primarily driven by lower realization, while EBITDA stood at INR144 crores with margin at 17.2%. Pricing and printing paper demand is expected to remain subdued in coming quarters despite opening of educational institution as this government tender.

In Q2 FY '24, wood put pressure on market demand leading the price erosion. Tissue paper demand will see some seasonal impact in short term but should stabilize by Q3 '24. Demand in both segments expected to improve in Q2 FY '24 as FMCG market is shaping up. However, cost pressure to remain high in domestic markets due to imports and excess supplies from domestic mills. Export demand from Europe, U.S. are expected to remain low due to recessionary impact. Lastly, talking about textile division, the first quarter under review, net sale was INR218 crores and EBITDA loss of INR12 crores. The Q1 FY '24, despite raw material prices being low, Century Textiles and Industries Limited

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demand remains sluggish with most of the Indian mill operating at partial production capacity.

Cotton prices in India have declined sharply by around 35%. And consequently, yarn prices also declined, but there is a slight demand for yarn due to weak market sentiment.

Apparel service demand remains weak on account of inventory getting piled up across the value chain. After a long lull in the bedlinen market, inquiries have started floating, but this segment being a part of discretionary spend, demand remains subdued. We have made a strategic decision to see operation of our in-house spinning and weaving units. Instead, we will source all our grey requirement from trusted vendors, ensuring quality control under our strict supervision.

This change will not impact on the revenue of the textile business. In fact, it is expected to enhance profitability due to savings in fixed cost. The company has provided INR46 crores for the impairment of spinning and weaving assets in this quarter, and INR18 crores towards VRS paid to the related workers. In the

terms of outlook, the textile retail demand is expected to start picking up by August '23 with the start of festive season.

The demand is expected to be moderate in Q2 and improve through H2 FY '24. The markets have turned highly price sensitive and retailers are preferring lower-ticket MRP items. U.S. and Europe imports of textile products have fallen sharply. Industry experts believe that FY '24 will be challenging here in global economy as well.

Over the medium term, global demand should stabilize from Q4 FY '24, and India will remain a big beneficiary supported by China plus 1 strategy and 3 trade agreements with developed countries. Thank you.

Moderator: Sir, should we open the floor for questions?

R. K. Dalmia: Yes.

Moderator: Thank you very much. Our first question is from the line of Kunal Khudania from DSP Asset Managers. Please go ahead.

Vivek Ramakrishnan: This is Vivek Ramakrishnan. I have 2 questions. The first one being on the debt levels, which have increased to INR1,935 crores, of its short-term debt is about INR686 crores. Do you expect that some of this debt will come down as your projects get completed and we get collections? Or is it all going towards the land bank and the total debt level will be around these levels? And if so, what is the peak? If you're okay, I'll ask a second question also, sir.

R. K. Dalmia: Yes, please go-ahead Vivek.

Vivek Ramakrishnan: Okay. The second question is on the real estate business. Are we seeing any slowdown in sales velocity when you see quarter-on-quarter at all, especially in high-value projects. We've heard conflicting reports about inventory at Worli not in your property sir, but overall. So, is there any slowdown in demand for really high-value properties? And any guidance on sales would be -- or the next quarter would be very useful.

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Snehal Shah: Hi Vivek, this is Snehal here. To answer your first question, we expect the debt levels to remain the same by the end of next year because the cash flows from the businesses will start kicking in. It has increased because we made these purchases in the early part of the year. So that is one of the reasons why the debt levels have gone up, but they're expected to remain the same unless there is some new deals that the real estate business signs.

So therefore, the debt, we expect to be somewhere around INR2,000 crores, maybe if they spend another INR500 crores on a new deal that might go up to INR2,500 crores. To answer your

question on the short-term debt, yes, we are going to release the short-term debt. We are in the process of replacing it with some long-term debts going forward. So those limits will be freed then. Is that okay with you?

Vivek Ramakrishnan: Perfect sir.

Snehal Shah: So, I will ask K.T. Jithendran to answer the second question.

K.T. Jithendran: Hi Vivek. Thank you for your question. On the real estate demand, I see the other way. The prices are going up, velocities are increasing, number of players are reducing, inventories are lesser. So, we see a multiyear kind of a traction in sales velocities. So, some of our project's prices have increased more than 25% to 30%, and we are short of inventory. So right now, the challenge that we are having is we don't have enough inventory to sell otherwise we could have done much better sales than what we are reporting now. When our new launches come in -- the next -- I mean, either late this quarter or early next quarter, I think our sales velocities will pick up. But I don't see any sort of a slowdown in the next -- the foreseeable future. Vivek?

Vivek Ramakrishnan: If I can just ask a follow-up question on that. We are just looking at the number of units sold quarter-on-quarter. Is it that the late stage of the project, the pace of sales comes down, and that's the effect that we are seeing? Or is it

here...

K.T. Jithendran: Worli, specifically, there's lack of inventory now, most of the projects have seen possession. If you look at many of the marquee projects they all have seen possession, most of the inventory is sold. There's a huge lack of inventory in the Worli market right now. So hopefully, when we launch our Tower 2 in Q4, we expect to get very strong traction at better prices.

Moderator: Thank you. Our next question is from the line of Pavandeep Bhatia from NV Alpha. Please go ahead.

Pavandeep Bhatia: Hello, sir. One of my questions answered by the -- asked by the past participants. So, are we telling that our inventory our collection number in booking value is down because of inventory getting sold off and new inventory -- price inventory not coming in?

And second question, sir, we used to comfortably clock INR140 crores -- INR135 crores, INR140 crores on rental side, I can see INR30 crores being booked -- being announced declared this quarter. So, it's around INR115 crores, INR120 crores. What is the reason of our rentals going down, sir, in this market?

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K.T. Jithendran: Yes. Thank you, Pavandeep. So primarily why we are not able to clock sales is lack of inventory. We are at a position where almost 80% of our inventory is sold in all projects. So largely, the impetus will come from new launches, which we are expecting to have in the future quarters. They're mainly Bengaluru, Worli, NCR, all of these projects. So that's one part of it.

The other part on rentals, INR140 crores we have never clocked. We have been clocking INR120 crores, INR125 crores over the last few years, the COVID years. Now with that rental has gone up to INR130 crores. Yes. Yes. So INR30 crores is a net figure, what you are seeing is, which means the gross rentals minus all the costs, the maintenance costs, etc. What you must be talking about is the gross rentals. But even gross rentals have not reached INR140 crores.

At best, it has gone about INR125 crores, maybe initially when in 2017 or '18, when we had Vodafone giving us INR250 crores -- INR250 per square foot, we had slightly higher rentals at INR135 crores. But otherwise, our rentals are currently, if you look at it, we are 100% leased out, zero vacancy. And we expect about -- we have an average rental of about INR187 per square foot, all leased out, and we expect close to about INR130 crores of annual rentals. And it is better than the last 2 to 3 years that we have seen.

Pavandeep Bhatia: So, this number will be stable going forward or we do...

K.T. Jithendran: It will only increase from here, Pavan. We're only seeing the number increase, yes.

Pavandeep Bhatia: I'll join back in the queue. Actually, I have few more questions.

Moderator: Thank you. Our next question is from the line of from Biplab Debbarma from Antique Stock Broking. Please go ahead.

Biplab Debbarma: Sir, I have 3 questions. First question is regarding yesterday we saw from the India Hume Pipes filings that Century and India Hume Pipes signed a JDA of 6.8 acres project development in Badarpur, Southeast Delhi. Just if you could throw some light about the project, such as like what would be the expected GDV, what will be the area, by when it will be launched some timeline?

K.T. Jithendran: Thank you, Biplab. So yes, we kind of concluded a deal yesterday only. This is in prime Delhi on the Mathura Road. India Hume Pipes, it's about roughly 7 acres of land with a total possibility of about 1.4 million square feet. We expect rental -- we expect the GDV of about INR2,800 crores or thereabouts over a period of 6 years, launch in about 12 months.

Biplab Debbarma: Okay, sir. And early in this month, I think. -- a few weeks back, you have announced 1 project in Thane from Hindalco. So, what would be the GDV and area of that approximately?

K.T. Jithendran: That sh

ould be close to about 5.5 million square feet, 31 acres of land with a GDV of almost INR8,000 crores, approximately INR8,000 crores.

Biplab Debbarma: Okay. And 1 final question is on the Niyaara. So, I was just checking the numbers. So, if you see in terms of inventory, you have sold more than 80%. But in terms of value that we have given is, we have sold only 72% -- around 72%. That means the unsold inventory we have higher

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ticket size inventory. So, in that context, you're also planning to launch the tower 2 where the ticket prices will be higher. So, in that context, would you have a relook at the products because the -- if my understanding is correct, tower 2 would be very super luxurious kind of products.

So, do you see some kind of slow traction or is it too early to see these as a trends?

K.T Jithendran : So Biplab, as we mentioned, the bulk of the inventory in tower A is sold. Right now, we are selling at about INR80,000 per square foot, INR78,000 to INR85,000 per square foot. One large apartment that at the top we sold even at INR85,000. We don't see any apprehension on that account. The only thing is that we are reluctant to sell inventory here because, as we mentioned, 80% of the units are sold, we need to keep to hedge against inflation, etcetera.

I think we can realize much better prices we hold on to this inventory and sell it at a later part.

All the cash flow that we require is largely taken care of for Tower A. Tower B we are extremely confident given the demand supply situation in the market that we'll have very strong traction.

The number of apartments will be much less in Tower B, we will be hardly having about 150 or less apartments. And I don't see any challenge in moving that inventory at much higher prices given the demand in the market.

Moderator: Thank you. Our next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: Thanks for the opportunity. Firstly, you mentioned about the Hindalco land. Over how many years you think you can realize this?

K.T Jithendran : I think we'll take about 8 to 9 years.

Dixit Doshi: Okay. And regarding the Sarjapur, Bengaluru line, you mentioned INR2,500 crores potential. What kind of -- I mean, how many square feet we are planning to build there?

K.T Jithendran : It's about 2.7, 2.8 -- 2.8 million, about 3 million square feet. With top line expected about INR2,800 crores.

Dixit Doshi: Okay. INR2,800 crores Okay. And now my second question is regarding the launches. So, in the previous call, you have mentioned that we are planning almost INR5,000 crores of launch this year. So are we on track and I think...

K.T Jithendran : Yes, we are completely on track. Dixit, yes. We are going to launch either late this quarter or early next quarter our project in Devanahalli, Bangalore, 52 acres. And then we will also launch the Rajarajeshwari Nagar. We are also planning to launch Tower B of Birla Niyaara in Q4 this year. We're also planning to launch the Walkeshwar project this year. We are also planning another launch of Phase IV of Birla Navya in November, December. We expect the second half -- the latter half of the quarter of the year to be heavily launch.

Dixit Doshi: And one more question on -- so earlier, you mentioned that we are targeting annualized INR5,000 crores kind of run rate. So, after these recent purchases of land, do you want to revise it for, let's say, FY '25?

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K.T Jithendran : No, no, I think right now, we'll keep it at INR5,000 crores. I think these are important because we are running out of inventory. This inventory is important for us. So, I think with this kind of inventory, we'll keep the target of INR5,000 crores. We will think about revising that as we acquire

more projects.

Dixit Doshi: Okay. And one last question from my side. So, obviously, we are more rather than JDA, we are more into buying out...

K.T Jithendran : Project that we did yesterday completely was a JDA. That is the fourth JDA we have done so far. So, we have about 4 JDAs and about 4 outright. It's 50 -50.

Dixit Doshi: Okay. So, in outright purchase, what kind of IRR we generally look at?

K.T Jithendran : Given today's market land price going up, etcetera, there is not many JDA opportunities in the market. Most people are preferring outright. JDA is largely opportunistic. So, with that, we look at, at least about 18% IRR post tax in our outright costs.

Moderator: Thank you. Our next question is from the line of Harsh Pathak from B&K Securities. Please go ahead.

Harsh Pathak: Sir, I wanted to check on this, the deal with Indian Hume Pipes. You mentioned that the potential is 1.4 million square foot and GDV of INR2,800 crores. So, is this value attributable to us? Or this is the entire potential of the project?

K.T Jithendran : This is the entire potential, Harsh, that's the entire project potential.

Harsh Pathak: Right. And from this, we have a 64% share?

K.T Jithendran : That's right. That's right.

Harsh Pathak: Okay. And this Thane project would be launched when in FY '25?

K.T Jithendran : No, because it's a large project, this needs a lot of work on it and cleaning up the land, etcetera .

We bought it as is where is . So, we expect about 15 to 18 months is the target for launching this.

Harsh Pathak: Right sir, and one more question on this Indian Hume Pipe deal. So how much deposits have we already paid or are yet to pay? And from this revenue sharing whatever we have with them, what is the timeline ? And as in when do this deposit get adjusted? Any color on that?

K.T Jithendran : Yes. So, we expect the land value is about INR625 crores, INR630 crores. The deposit that paying is about INR145 crores. Of it, we have paid INR25 crores now. The rest of the money will go for conversion, etcetera , will be directly paying to the authorities, about INR105 crores, and at the time of the launch, such as before launch, we will be paying another about INR15 crores.

Harsh Pathak: Right. So, this will be spread out in the next 12 months?

K.T Jithendran : Yes, yes, yes.

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Harsh Pathak: Okay. Okay. Understood. And sir, on the balance sheet, you mentioned that on the debt side, we are looking to maintain the sales of INR2,000 crores , maybe at max it can go to INR2,500 crores.

But this doesn't still include this pay out for Thane land and also Indian Hume Pipes, maybe the potential deals will be signing for the rest of the year. So, does this also take care of all these aspects or any upside you can see here?

Snehal Shah : I think answering the first question, I mentioned that -- as far as we are concerned, we have spent most of the money in the first half, but the cash flows from our manufacturing businesses are yet to come in during the year. So as far as they are able to manage any additional requirement because for Hindalco deal, for example, we just have to pay INR200 crores as an initial price because it is deferred payment.

So only if there are some major big deals that getting signed for which there is going to be an outlay required, only in that circumstances, I expect the debt to go up from its present levels. It might have some peaks in the middle of the year, but at the end of the year, as of today, I'm expecting it to be as it is unless there is some major deal signing that happens, of course, which is there in the pipeline, but we don't know when it will materialize .

Moderator: Thank you. Our next question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Sir, just a couple of questions. First, a c

larification. So along with any other project gets left out in terms of the new projects that you have taken. So, you are mentioning in the presentation, one is Hindalco 4 and one is a JV, which we signed for Indian Hume Pipes. So, anything other than that?

K.T Jithendran : Other than that, what Dalmia Ji mentioned in the main speech.

Pritesh Chheda: Those were the 3 which were a part of the main speech, Pune, Walkeshwar, and Bengaluru, and then Indian Hume Pipes?

K.T Jithendran : As of now, these are the 5 things we have signed for the current year. We're expecting more deals in the pipeline. So, when it happens, we'll be happy to announce those.

Pritesh Chheda: And all these are JD's, right?

K.T Jithendran : No, it's not JD. These are outright and mix of outright and JDA. The Hindalco is a deferred outright. And what we did with the IHP is a JDA.

Pritesh Chheda: Okay. Other thing is, have we thought about how much project do we want to take on 1 at a time or you want to execute at a time. Is there any upward limit or basically, as and when basis, wherever you see your threshold IRR, you are willing to putting the capital?

K.T Jithendran : At this point of time, we have enough and more bandwidth to finalize as many projects as possible in each of these markets, bandwidth or the resource is not a constraint. We are looking for the right projects, right location, right product that we can get at the right market value. There is no other constraints at this point of time.

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Pritesh Chheda: Which means the INR2,000 crores balance sheet debt level will be -- is not a sacrosanct number, right?

K.T Jithendran : No, no, not at all.

Pritesh Chheda: Not at all. Okay. Okay. And all of these 5 new projects, which one of them would start in FY '25?

K.T Jithendran : I think Walkeshwar will start in FY '24 only. We will launch it in FY '24. The rest of projects like Pune and Bengaluru will start in FY '25. We have planned to start even the Delhi project in '25, the Thane may take a little longer.

Pritesh Chheda: Okay. Okay. And you have paid INR300 crores initially for that in the Thane one.

K.T Jithendran : Yes, we will. As of now, we have not paid anything. We will be paying over a period of time.

Pritesh Chheda: Okay. Thank you very much sir. Ok, lastly, on the owned land, whichever projects that you take, there, what is the margins that you would look at?

K.T Jithendran : Depends Pritesh, from project to project. So, if you look at Kalyan, it's about 30%, 35%, Worli more like 50%.

Pritesh Chheda: And in terms of JD, there, what kind of margin in IRR is possible?

K.T Jithendran : Yes. So again, it is location to location. There's no one specific number. IRR subsequently look north of 30% for JDAs. Yes, margins look at close to 30%, 30-plus percent in outright deals. Yes. But again, it's completely -- moves from location to location, depending on what's the potential size, opportunity, etcetera, etcetera, lots of factors.

Moderator: Thank you. Our next question is from the line of Pinaki Banerjee from AUM Capital Private Limited. Please go ahead.

Pinaki Banerjee: Thanks for the opportunity, Coming to the presentation with your pulp and paper segment, you have stated that in the writing and printing paper that government order it's tenders in Q2 FY '24 will put pressure. But sir, actually going by whatever, we are -- country is scheduled to have the general elections coming next year in various states and the Indian government would look forward to complete all their projects. So, are you not expecting some better high quality of tenders in this regard?

Vijay Kaul : Yes, Mr. Pinaki, what is happening is that there are 4 or 5 new tenders which are coming up in the country for the publishing of books. But that will come sometime after August 15 to October, sometime betw

een August 15 to October. And that bidding process will take some time and the orders cannot come before end of October or November. So, until that time, there is going to be a little bit of a difficult situation. Otherwise, it's still fine.

Pinaki Banerjee: Okay. And my last question is that on an overall basis and based on the presentation and whatever commentary you have given, like you are having just in the real estate segment, you Century Textiles and Industries Limited

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are having some bit of optimism, while the paper and pulp and the textile segment is looking a bit subdued at this point of time, so is my understanding correct, sir?

Vijay Kaul : Not really. I think what we are telling you the true -- what is happening at the marketplace. So, until April, we were selling quite nicely. So, everything has changed in the last 1.5 month, 2 months. So, it can change back. If the tenders come in, maybe the sentiment goes back again. So, it is not that we have given a subdued picture for paper and very high picture for Birla Estate even though yes, Birla Estate is going to be there is a quite optimistic view.

Pinaki Banerjee: It is a cash cow right, at this point of time for you? Am I correct to say?

Vijay Kaul : Yes. Yes.

Moderator: Thank you. Our next question is from the line of Dhruvesh Sanghvi from Prosperotree. Please go ahead.

Dhruvesh Sanghvi: Yes. Sir, I would just like to understand on the real estate side, if you can explain the cost structure because we are building up relatively new versus the leagues of Godrej or Oberoi or some of the southern players who are there in the market for a long time. And I'm sure we are learning and adapting a much better strategy from the start. So, considering that, how are we adapting the cost structures? And if you can give a holistic view on, how are we thinking about the fixed cost structures of the company. I mean, as I see today, it seems to be somewhere around INR200 crores per year. If you can give some thoughts on that, it would be helpful.

K.T Jithendran : Thank you, Dhruvesh for the question. We follow an outsource model for construction. Also, we don't take a project where we cannot afford good contractors, good consultants and designers, etcetera. So, we largely operate in the premium segment, where we know that we can -- we are able to afford good quality contractors who will deliver with all compliances in place. That's very important. Number one. Number two is that we budget very carefully. We budget for escalations; we budget for contingencies. And over and above that, we look for margins. Number three, in our JDA projects, whatever we have done, most of them are profit sharing. So automatically, there is a hedging done. Even otherwise, when we do, we do it -- when we develop a project, we do it phase-wise. So, your first thing is that way taken care of. That's what you're sales. And we also keep some inventory to the end of the project, so that to take care of any kind of inflationary methods. And so, these are some of the things that we talk about when you talk about project costs. We have a very strong monitoring system to make sure that we stay within budgets. And as far as the...

Dhruvesh Sanghvi: Corporate overheads.

Snehal Shah : The overheads are concerned, as I said, Dhruvesh, you're right. Given our scale at the moment, our overheads look a little high. But you have to understand, previously, Mr. K.T. Jithendran, somebody asked him about whether we have the bandwidth or not, so we -- the current cost is because we have already built the bandwidth and sort of people are on the bench right now waiting for projects to launch.

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So, over a period of time, this cost will get absorbed. And when we quote our what we call it, IRRs and our EBITs on projects, we have a pr

ocess of providing x percentage based on the project size of our fixed cost to the project for arriving at the IRR and the EBIT. So that way, we are taking care of. So yes, they might look a little high right now, looking at...

Dhruvesh Sanghvi: I was not coming from whether it is looking high or not. I do understand it's a building phase. Just wanted to understand that -- so if you can expand a little bit more on this INR200 crores or whatever the number is on the corporate overhead, how does this team structure look like? H ow many people? What are they brought? I mean if you can give some color on that area? Like why do we require so many people at the planning stage? I'm sure there must be reasons, but some flavour to it.

K.T Jithendran : First of all, the IN 200 crores figure is a misnomer. It's only less than INR100 crores is our overhead. It's over INR100 crores, here about 250 to 300 people divided over this thing. So, as I see, the number is only about less than INR100 crores, the rest is all largely expenses for your marketing cost, what you have to expense out when you do your launches, etcetera. INR200 crores is not the right figure.

Dhruvesh Sanghvi: Perfect. Right. And one question related to margins because of -- I mean, if I -- please correct me if I'm wrong because I'm relatively new to this company. On the broad level, Worli is the owned land, the one which is launched last year and sales happened amazing. But most of the newer aspects are going to be land, which will be purchas ed or via JD or JV or the route that we do.

And therefore, I think I read the previous con call, where you had indicated margins to be like 70%, 80% on the existing project, which is going on. So how should we see the profitability after taxes, I mean, is it sensible to say when we start executing INR4,000 crores and INR5,000 crores, and when we reach the possession and when we start booking them, it will be 3, 4, 5 years ahead. Is it easy to see 20%, 25% net profit margin after taxes? I mean, if I do the m ath, it reaches there, but I just wanted a confirmation or some affirmation there.

K.T Jithendran : I can't confirm that much. But I think at this point of time, if you take a mix bag of your own projects and that, I think 20%, 25% is easy. I th ink more like it will be about 20% PAT margin. For example, some of our projects which you have taken like Delhi, we are clocking almost 50% EBIT margins. So, it's a mixed bag Dhruvesh. Some of the projects, it has done very well. They are done. We are getting more than 50%. Some of the projects is more like 25%, but nothing is below 25% EBIT margin. The profit we will be -- anyway, we will be completing 2 or 3 projects this year. So, we'll know for sure what kind of profit margins were able to crack at the price level, yes.

Dhruvesh Sanghvi: Right, right. And sir, last one. In terms of strategy where you mentioned that we are focused a little bit more towards t he premium side. But when we think about expanding in 4 cities and probably do 12 or 13 projects at a point in time, is this a fairly good approach or a slightly mass - market approach should also start kicking in or some talks around that?

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K.T Jithendran : Yes. So, at this point of time, I think there is enough and more room at the premium segment for us to expand in each of these chosen markets. I don't see a situation coming up at least the next 5 years. But yes, as we grow higher and as we have to build more and more capabilities, as we grow larger and larger, of course, we will be looking at -- flanking at the other mid -segment market also. That will be a future growth strategy once we completely consolidated in the premium segment.

But I think for the foreseeable future, I think there is enough and more gunpowder available -- enough of demand available in the premium segment. When I say pre

mium segment, largely

look at above around INR6,500 to INR7,000 and above per square foot.

Moderator: Than k you. Our next question is from the line of Mr. Ajit from Nirzar Enterprises. Please go ahead.

Ajit: Sir, just to expand on the previous participant's question on debt levels, I just want to understand,

is there any thought process internally that we don't want to go beyond a particular debt limit INR3,000 crores, INR3,500 crores. Is there any thought process around that? And related to that, what will be our blended cost of borrowing as of now?

Snehal Shah : Right now, to answer your last question first, right now, my blended cost is around 7.5%. But that is primarily because majorly, most of the borrowings are sitting in the short-term bracket. It is expected to go up to close to 8% once we shift that to long-term borrowings. In terms of -- there is -- actually, there is no ballpark that we put ourselves in terms of how much we can -- how much we will borrow. It all depends on how much -- how fast growth of the real estate business does.

Broadly, we have a number that based on mix of working capital loans plus long-term loans plus some unsecured loans, we may -- we are capable of going up to INR5,000 crores also if the need arises. But of course, we'll go cautiously and we'll see if there is actually a need for doing that. And that will happen only if we are expecting the real estate to fuel its growth through its own cash flows from FY '27 onwards. So, if that does not happen, there might be a slight pressure on the debt levels. But broadly, we are looking at INR3,000 crores to INR4,000 crores max at the moment.

Ajit: Okay. And sir, have you also explored the lease rental discounting model for...

Snehal Shah : We're doing that right now. We are in the process of doing that. That's how we are going to move from the short term to the long term. That is one of the possibilities that we have.

Ajit: Can there be any cost saving on that front?

Snehal Shah : Cost savings?

Ajit: Yes.

Snehal Shah : In what sense you are asking cost saving -- you're talking about interest rates?

Ajit: Yes, interest rates.

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Snehal Shah : No, no. I told you that we are -- at the moment, we are close to about INR800-odd crores of short-term borrowings. So, it is almost going to replace. So that is going to replace the lower cost into a higher cost borrowing, right?

Ajit: Okay. Okay. And sir, just last question, if I may squeeze in. Can we also try to explore because as you are mentioning that if we get great deals and more land acquisitions can happen, we can go to INR3,000 crores, INR4,000 crores of debt levels. Can we also try to explore some platform strategic tie-ups like Mahindra has done in the past, Mahindra and Godrej...

Snehal Shah : We are open to that right now, absolutely open to right now. But at the moment, the funds are not really interested and we are only interested in taking equity, which the funds, particularly 2 problems. One, they are not interested in residential; and number two, they are not interested in equity at the moment. But I think we have some talks going on if something fructifies, we certainly are looking at those ideas to further fuel our growth. But we are looking at that as an additional growth capital.

For our present plans, we are pretty well capitalized right now. So, we don't see any problem in our -- unless we get a very good opportunity, and we don't want to miss it or something like that, maybe at that time, we'll look at, but we are already in the works in terms of tying up platform funding.

Moderator: Thank you. Our next question is from the line of Anil Raika from Tradelink. Please go ahead.

Anil Raika: This is for Thane land, which we have acquired, is it a JD or it is an outright?

K.T. Jithendran : So, Anil, that's an outright, but payable over 4 years -- 4 to 5 years.

payable over 4 years -- 4 to 5 years.

Anil Raika: So, this INR595 crores is INR200 crores plus 4 to 5 years scattered payments?

K.T. Jithendran : Yes, yes, yes.

Anil Raika: And this Worli Niyaara, we have launched the project in 14 acres. So, I think we have more land available there, no?

K.T. Jithendran : Yes, yes, that we'll come on later.

Anil Raika: What is total land area in Worli?

K.T. Jithendran : Developable land is 30 acres.

Anil Raika: 30 acres. Sir, one last question. This -- as a strategy, we are spread in 5 cities. And in every city...

K.T. Jithendran : Four.

Anil Raika: There is 4 -- so 4 cities. So as a strategy, every market is a different market. Every market has a different taste about the real estate. So how do we manage this? And how we are comfortable for this?

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K.T. Jithendran: So that's why we are not in more than 4 cities, Anil. We are only there in 4 cities. We understand

all these 4 cities very well. These 4 cities together constitute about 65% of the overall market, residential market, and they are least volatile and they command the highest amount of traction, demand, etcetera. And we are very well versed with the functioning of these markets. We understand the consumers of each of these markets. Therefore, we are there in 4 markets, and we are restricting ourselves to only 4 markets at this point of time. We are not going into 10 markets or 8 markets or all the other Tier 3 or Tier 2 cities.

Why it is very important to be there in at least 4 markets is because otherwise, there will be too much concentration of risk if you operate in a single market. There could be -- when one market is going through a change in terms of regulations, in terms of demand, etcetera, your balance sheet can be totally lopsided. So therefore, I think it's a balanced act to be there in these 4 markets.

Moderator: Thank you. Our next question is from the line of Dhananjai Bagrodia from ASK. Please go ahead.

Dhananjai Bagrodia: Congratulations, sir, on good set of numbers and a very well-outlined strategy, and how we're thinking about it. But just a question follow-up from the previous participant, how are we considering there's been some issues with other developers recently regarding their quality in some of the new projects, which they have done. What are we doing to ensure the same that our quality will always be of the highest standard and we don't have those kinds of issues?

K.T Jithendran: So, I think there is simple principle focus, laser sharp on execution, constant review, constant acquire the best quality of people, work with the best contractors, best consultants, partners, strong review process, focus, top management focus on review and making sure that we give the best quality. That is the commitment and the understanding that execution is very important, not taking execution for granted.

Dhananjai Bagrodia: Sure. Because just regarding the contractor part, is there any particular list of contractors with whom we will only work with because one of our larger peers has now started facing issues with some other contractors, anything along those lines?

K.T Jithendran: So, we choose horses for courses. For example, if you look at for our Kalyan project, we are working with Shapoorji. He is a very top-rated contractor and the product is coming up very well. Our flagship project Niyaara, we're working with Leighton, the multinational contractor, have done marquee projects across the globe. While for our projects in NCR, we are working with a strong local contractor. So, MC, manage the quality, our own focus on quality commitment, review, etcetera. The contract is important, but also the man from our side who is running the project at the site, the project manager and focus on processes is also very, very important. So, I think your question is right. It's very

important to focus on execution. If you take that for granted, then projects will slide and consumers are going to complain. We are very aware of that thing, and it's easily one can potentially part of in the quest for growth, etcetera, I know sometimes people oversee this part. But I think we're very well aware of that. This is very important for the long-term sustenance of the company.

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Moderator: Thank you. Our next question is from the line of Biplob Debbarma from Antique Stock Broking. Please go ahead.

Biplob Debbarma: Sir, just first is, I think I missed, what is the total GDV in Delhi? Is it INR1,800 crores or INR2,800 crores?

K.T Jithendran: INR2,800.

Biplob Debbarma: Okay. Okay. Okay. My first question is that as we have demonstrated astute land acquisition strategy at a very -- I think it is relatively very low cost. Excellent selling ability also more than 80% of your inventory. So, the only thing that remains is on the product, how the product is executed? So, the 3 projects in Bengaluru, Kalyan, and in first phase of Gurugram are expected to be delivered? So, can you tell us by when these 3 projects should be ready delivered?

K.T Jithendran: By the end of this financial year, all 3 will be delivered.

Biplob Debbarma: Like in the last quarter?

K.T Jithendran: So, start from quarter 2 this quarter onwards, start handing over from September onwards.

Biplob Debbarma: Which project?

K.T Jithendran: September, March.

Biplob Debbarma: September, which project, sir?

K.T Jithendran: September, we'll start with Alokya. Alokya will go from September to December, December to March will be Kalyan, and February, March will be Navya.

Biplob Debbarma: And my last question is, Sir, you have a very good launch pipeline in the second half of this year and also next year based on the current projects. Sir, do you think in this year working at robust month pipeline, we will be able to cross INR3,000 crores of sales booking business?

K.T Jithendran: We are targeting INR3,000 crores of booking this year and about INR5,000 crores we hope to cross next year. So, at this point of time, we hope to achieve these targets.

Moderator: Thank you. Our next question is from the line of Raj Rishi from DCPL. Please go ahead.

Raj Rishi: Could you share with us your aspiration regarding becoming top 2 or 3 real estate developers in India? By when do you plan to achieve this?

K.T Jithendran : As much as the size is important, we're also very particular that we want to be the most admired real estate company in India, the most reputed. So quality, delivery, long-term products is as much important as the size. So, we have to do both hand in hand in a balanced way. We are looking at reaching about INR10,000 crores of booking in about the next 3 to 4 years, yes. And then we'll start out according to . But more important is to deliver it, focus on execution, be the most admired, most customer-centric real estate company.

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Raj Rishi: And the group has how much land, which something like this Hindalco deal can fructify for essentially?

K.T Jithendran : See, we are focused on our chosen geographies -- so there, we have mostly land from our own parent company, Century. And there -- and right now, this is only this Hindalco land. We don't have any other in the horizon. But as we expand into other markets at the right time, when the growth story continues, I think there will be lots of opportunities unlocking.

Raj Rishi: For the -- from the group line?

K.T Jithendran : From the group itself.

Raj Rishi: Okay. Okay. And by when do you expect that to happen other geographies?

K.T Jithendran : Yes, anybody's guess, we don't know. At this point of time, I think we'll be focused to establish ourselves in the

se 4 markets, maybe a few years later. So, I don't like to put a number on that.

Raj Rishi: And the Worli land, you said is total 30 acres, right?

K.T Jithendran : Yes, 30 acres of developable land is there. So, we will be developing it in phases.

Raj Rishi: And presently, you're working on how much of the area? Right now, the projects which are on...

K.T Jithendran : Yes, 14 acres is under development.

Raj Rishi: Ok, ok, and the issue with the Wadia Group is regarding 10 acres, right?

K.T Jithendran : Yes, that's not included in this. That is a separate land.

Raj Rishi: Okay. Any comments on that issue which is going up?

K.T Jithendran : That's in the court , that will take its own time.

Moderator: Thank you. Our next question is from the line of Manish Maheshwari from Manu Group. Please go ahead.

Manish Maheshwari: Yes, all my questions have been answered.

Moderator: Thank you. Thank you. Our next question is from the line of Mr. Aagam from Flute Aura. Please go ahead.

Aagam: Congratulations for a good set of numbers. Most of my questions were answered. I only have 1 question in the textile division. We are now looking at restructuring, by the way, by way of spinning out the division. So, I just wanted to understand, is it specific to this segment? And how are we looking for textile division in general? Are we looking to make it asset-light going future?

R. K. Dalmia: No, it is not asset-light in future, the spinning and weaving which departments we have closed because we can outsource the grey fabric, which is no more USP in the textile business. Of

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course, process house, we want to run it properly, which we will run. So, this is an asset-light model, and it will increase the EBITDA also and give the good return.

Moderator: Thank you. Our next question is from the line of Karan Mehta, who is an investor. Please go ahead.

Karan Mehta: Yes, I have one question on the paper business. We have taken most of cost-saving measures in the last financial year. So, can you please quantify the savings approved from each of these measures on a full year basis?

Vijay Kaul : No, we cannot go on. So, we cannot go on saying that because of what measure we have achieved, what -- but yes, overall, I can tell you on an overall basis, whatever measures we have taken, we have almost cost reduction to the tune of INR80 crores to INR90 crores.

Karan Mehta: Okay. Okay. And sir, my second question is on the textile business. So, when do we expect a turnaround in this business?

R. K. Dalmia: It depends on a lot of factors, so many, because at present the market is subdued, and we expect in the last quarter of the FY '24, it will improve further when demand will come, both from the international and domestic market.

Karan Mehta: Okay. And sir, just continuing on the paper business question. So, do we expect more cost savings in this, like any strategies or any plan to further enhance the cost savings?

Vijay Kaul : Yes, definitely. We are always looking for measures by which the cost could come down in the organization. That's our day-to-day job, and we are looking at so many aspects as to where we can further bring down the cost.

Karan Mehta: Okay, sir. And sir, like we have done in paper business, do we expect similar cost savings in the textile business as well?

R. K. Dalmia: Yes, yes. I think you can say, yes, that's a -- so yes, this is without saying. It is a continuous process, and we always make all out efforts to save the cost wherever it is possible.

Snehal Shah : So, on a current basis, not for you -- not just for you, but everybody, this question on cost savings, yes, in fact, the restructuring that we have done in the textile mill is primarily because we want to save cost. So that's going to save a lot of fixed cost. Yes, we are not planning a lot of capex in

the textile business, but we are always providing for capex paper business.

And the capex that is provided in the paper business is threefold. One is to increase the capacity.

So, we may -- we are looking at increasing the capacity from current roughly around 5 lakh tons to about 6.25 metric tons over a period of 3 years. Plus, we are looking at some efficiency improvements, plus also we are looking at some cost rationalization measures through this capex.

So, it is all part of the game, as Mr. Kaul said that we are there for that purpose only. So certainly, we are expecting one is to increase the capacity and increase the margin, which are roughly should take us to around 22%, 23% EBITDA margins going forward.

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Karan Mehta: Okay. And sir, it seems that most of our textile peers are -- have started becoming profitable and have started seeing good growth. So, when do we expect a better growth in this business segment?

R. K. Dalmia: Difficult to say. But as I said earlier, it should start in quarter 4 FY '24 when the market sentiment will improve, hopefully.

Moderator: That was the last question of a question-and-answer session. I would now hand the conference over to the management for closing comments.

R. K. Dalmia: Thank you all for participating in this earnings call. I hope we have been able to answer your question satisfactorily. If you have any further question or would like to know more about the company, please reach out to our IR manager at Valorem Advisors. We are thankful to all our investors who stood by us and had the confidence in the company's growth plan. And with this, I wish everyone a great evening. Thank you.

Moderator: On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2023

ADITYA BIRLA
CENTURY

SH/XII/2023 27th October 2023

Listing Department Corporate Relationship Department
BSE Limited

1st Floor, Phiroze Jeejeebhoy Towers

Dalal Street, Fort, National Stock Exchange of India Limited

Exchange Plaza, 5th floor,

Bandra-Kurla Complex

Mumbai-400 001

Scrip Code: 500040 Bandra (East), Mumbai-400 051.

Scrip Code: CENTURYTEX

Dear Sir/ Madam,

Sub: Transcript of Q2FY24 Earnings Conference Call of Century

Textiles and Industries Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India

(Listing Obligations and Disclosure Requirements)

Regulations, 2015 ('Listing Regulations')

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the Q2FY24 Earnings Conference Call conducted on 20th October, 2023 at 04:00 pm 1ST after the meeting of the Board of Directors of the Company held on the same day itself.

This is for your information and record.

The above information is also available on the website of the Company:

[www .centurytextind.com](http://www.centurytextind.com) .

Thanking you,

Yours truly

For CENTURY TEXTILES AND INDUSTRIES LIMITED

ATUL K. KEDIA

Sr. Vice President (Legal) & Company Secretary

Encl: as above

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Corporate ID No.: L17120MH1897PLC000163

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"Century Textiles and Industries Limited

Q2 FY'24 Earnings Conference Call"

October 20, 2023

MANAGEMENT : M R. R.K. DALMIA – MANAGING DIRECTOR –

CENTURY TEXTILES AND INDUSTRIES LIMITED

MR. VIJAY KAUL – CHIEF EXECUTIVE OFFICER –

PULP AND PAPER DIVISION – CENTURY TEXTILES AND

INDUSTRIES LIMITED

MR. K.T. JITHENDRAN – CHIEF EXECUTIVE OFFICER

– REAL ESTATE DIVISION – CENTURY TEXTILES AND

INDUSTRIES LIMITED

MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER –

CENTURY TEXTILES AND INDUSTRIES LIMITED

MODERATOR : M R. SUMIT KUMAR – JM FINANCIAL INSTITUTIONAL
SECURITIES LIMITED

ADITYA BIRLA

JM FINANCIAL BROKERS LIMITED

Century Textiles and Industries Limited

October 20, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Century Textiles and Industries Limited Q2 FY '24 Earnings Conference Call, hosted by JM Financial Institutional Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumit Kumar from JM Financial Institutional Securities Limited. Thank you, and over to you, sir.

Sumit Kumar: Thank you very much. Good afternoon, everyone. On behalf of JM Financial Institutional Securities, I would like to welcome everyone to the 2Q FY 2024 Earnings Conference Call of Century Textiles and Industries Limited. Today, from the management, we have with us Mr. R. K. Dalmia, Managing Director, Mr. Vijay Kaul, CEO, Pulp and Paper Division, Mr. K. T. Jithendran, CEO of the Real Estate Division and Mr. Snehal Shah, Chief Financial Officer.

I would now like to hand over the call to the management team for their opening remarks. Over to you, sir, and thank you.

R. K. Dalmia: I'm R. K. Dalmia. Good evening, everyone, and welcome to the earnings conference call for the second quarter of the financial year 2024. Let me first take you all through the financial highlights, followed by the business-wise operational highlights. For the second quarter for financial year 2024, the consolidated turnover stood at INR1,087 crores. The EBITDA for the quarter was INR46 crores with a net loss of INR33 crores. For the first half of the financial year 2024, the cons

olidated turnover stood at INR2,193 crores. The EBITDA was reported at INR181 crores with a net loss of INR40 crores.

Now let me take you through some of the key highlights across our three business verticals.

Starting with our Real Estate business, during Q2 FY '24, the sector has displayed a strong demand and absorption rates across all categories. There is a fall in the inventory overhang across cities with reduction in new launches ahead of the upcoming festive season.

Birla Estate achieved booking worth INR708 crores in Q2 FY '24 at our already launched projects. Our collection remained strong at INR251 crores from all projects during the quarter. During Q2 FY '24, we acquired two notable projects at the premium locations with an estimated GDV of approximately INR10,300 crores. We signed a binding MOU for the purchase of approximately 30 acres of land in Thane, which has a potential of more than INR7,600 crores, and we acquired approximately 6.8 acres of land in Mathura Road, New Delhi, which has a potential of more than INR2,700 crores.

These acquisitions represent our commitment to growth and strengthening our presence in the city where we are present in. We launched the first phase of Birla Trimaya, Bengaluru, and we received a spectacular response from the customer. We achieved booking value worth INR467 crores, selling almost the entire phase within 36 hours.

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At our launch project execution is progressing smoothly with a strong focus on safety, maintaining high-quality standards and on-time delivery. We have completed approximately 23.5 million safe man-hours at all our under-construction projects emphasizing our dedication to safety and quality.

The delivery of Birla Alokya, Bengaluru, has commenced from October '23 and other two projects, Birla Vanya Kalyan, Birla Vanya Phase 1 Gurugram, are on track for delivery in financial year '24. And we are committed to providing an exceptional experience to our customers at the time of delivery.

Birla Navya, Gurugram, received a Platinum Award in quality, excellence during the 8th Apex Foundation Expo held in Udaipur. Additionally, Birla Tisya, Bengaluru, has received ESG and Sustainability Awards at the 2nd edition, Sustainability Summit and Award 2023 by UBS Forum

for maintaining sustainable green practices at the site during the construction phase. These recognition highlights our commitment to quality and sustainability. On commercial assets, Birla Aurora and Birla Centurion continue to generate stable rentals and re-prioritize creating a safe environment for all stakeholders at our properties.

Lastly, the Indian Real Estate sector is entering a new phase of growth, driven by buoyant consumer sentiment and robust property launches and competitive pricing and a stable interest rate environment, and we believe the momentum is expected to continue with increasing demand with a strong consumption record. Our focus on the luxury segment and growing interest of buyers in premium housing allows us to maintain an optimistic view of the sector's future.

Moving on to Pulp and Paper segment. Paper prices continued to be under pressure during the quarter, and the fall has been quite drastic, although around 15 September, prices seem to have

bottomed out in all likelihood. International Pulp prices also went up after 15th September by about \$100 per metric ton, which is a positive side.

In the second quarter of FY '24, the overall capacity utilization was 89%, with overall sales volume up by 8% as compared to the last quarter and marginally declined by 1% year on year to 107,608 metric tons. This was primarily due to poor demand by tableware customers in the quarter as most of the tableware plants were not operational due to heavy rain and flood in Gujarat, Himachal Pradesh and other places. In Q2 FY '24, the net sales declined by 15% on year to INR799 c

rores, while EBITDA stood by INR76 crores in margin at 9.5%.

We witnessed normalized demand for writing and printing paper in Q2. The domestic and export demand on tissue products remained sluggish. And on-board segment too, demand remains sluggish, although there was improvement after mid-September '23 against the backdrop of the upcoming festival season, and mills have also announced price increases due to extreme cost pressure.

Demand in writing and printing paper as well as the board segment is expected to increase due to seasonal impact of festivals. Exports are expected to pick up in the upcoming months with a

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better realization and more price stability. Tissue demand should also improve with a higher focus on domestic sales for better realization.

Export demand from Europe, U.S. is increasing slowly. However, the situation of oversupply will continue till the end of this financial year, as demand growth is lower than the additional capacity expansion by domestic mills. Lastly, talking about Textile division. For the first quarter under review, the net sales were INR235 crores with EBITDA loss of INR20 crores.

In Q2 FY'24, sales turnover increased by 8% quarter on quarter and 5% year on year. However, lower sale in Q1 and Q2 on account of sluggish demand and excess inventory levels with Indian domestic apparel brands and home textile, there had been some relief in drying order and aggressive pricing as retailer have started to place replacement orders and explore new opportunities.

We have won Society of Energy Engineers and Managers, SEEM GOLD award successfully third time in a row, this is about improving energy efficiency by any manufacturing facility.

Considering the constantly changing market dynamics against the backdrop of ongoing geopolitical crisis, we have shifted our focus from maximizing productivity to optimizing cash flow, which involves closely monitoring our working capital and inventories.

We are developing new sustainable products by utilizing our dedicated state-of-the-art and R&D facility, design and supply chain. With several FTAs in finalization stages, we expect the fabric and garment retail market demand to improve from Q4 FY'24. Thank you.

Moderator: Sir, shall we begin with the question-and-answer session?

R. K. Dalmia: Yes, go ahead.

Moderator: We take the first question from the line of Mr. Vivek Ramakrishnan from DSP Mutual Funds. Please go-ahead sir.

Kunal: This is Kunal from DSP Mutual Fund. I just have one question on your Real Estate business. So since now we have so many projects in hand already in the under-construction space, and we have also acquired two projects. So I just wanted to understand how would our cash flows look like over the next 3, 4 quarters? And related to that only, how would our debt levels pan out?

Snehal Shah: So it's Vivek?

K T Jithendran: Yes, Vivek Ramakrishnan.

Snehal Shah: No, I think there is somebody else.

Kunal: Kunal, from DSP.

Snehal Shah: Yes, Kunal. So right now, as you can see, our debt is somewhere around INR2,200 crores. That is a gross debt., we have another about INR400 odd crores in mutual funds and bank balances.

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So roughly, our debt is around INR1800 crores. So, we expect the debt to go up more or less at the same level INR2,200 crores or something like that.

Hopefully, with a debt-to-EBITDA of around two or something. And that would take care of some of the, what you call it, investments that the real estate might be doing, which are in the pipeline at the moment, anywhere in the range of INR500 odd crores or something like that.

As far as the existing projects are concerned, because of some good response that we get for our project, they are self-paying for themselves. So basically, the money that we require is only for growth capital

al. So that is fairly provided for us. So, we don't foresee any major issues in funding those things. So, cash flows are pretty good enough.

Kunal: So, is it fair to assume that the debt level would be at the similar levels?

Snehal Shah: Yes, absolutely. So, I said that to similar levels with an approximate investment of INR500 odd crores, but if the Real Estate business is lucky enough to get more deals, probably to that extent, the debt might go up. But even with INR2,000 odd crores of debt, we were comfortably placed with about two times debt to EBITDA.

Moderator: Thank you. We'll take the next question from the line of Avish Jain from Antique Stock Broking.

Avish Jain: Congratulations for excellent response in Birla Trimaya. Sir, my first question is in terms of revenue potential, how much could be launched in the second half of FY '24? And what are those projects?

K. T. Jithendran: Hi Amit, K.T. here. So, our aspiration is to reach gross pre-booking value of about INR3,000 crores. We are expecting to launch the new project in Bangalore, which is R. R. Nagar, which we had acquired last year. And we are also planning to launch Walkeshwar in Q4 FY24. And we're also planning a new phase of Birla Niyaara at Worli in the coming quarter. All of these together with our current sustenance sales should help us achieve a target of around INR3,000 crores.

Avish Jain: Okay. And sir, my next question is on the employee cost. Sir, it has increased substantially by 14 odd percent. So why is this a sudden jump in employee costs?

K. T. Jithendran: I'm not sure about 14% of what. But as we grow, we keep growing, we keep increasing, we keep recruiting new people. Right now, we are on a very strong growth path. So, employee costs will keep growing. And we are not too concerned about employee growth. I think we need the right talent and the right capability to build the organization, and we are not leaving any stone unturned out there.

And we have only about 50 employees, managing this overall project of more than 6.4 million square feet under construction. Very soon that will go to about more than 100,000, I mean 1 million -- sorry, 10 million under construction. We are handling about 12 projects. So, by that time, we are -- I mean, less than adequately staffed is what I would say. So, I think...

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Snehal Shah: Actually, K.T. is trying to answer it from a perspective of real estate, but I think the question that you're asking is from a Century Textiles overall expense, which has gone to from some INR87 crores to INR100 crores or something like that, right, if I'm not mistaken.

Avish Jain: Yes, yes.

Snehal Shah: So that is basically in the July cycle, we give a variable pay, and we gave you what we call it, your increments, etcetera, to our staff. So, this is a normal increase in the salary, nothing to worry about. It's already provided for in our budgets, etcetera.

Avish Jain: Okay. The next question is, sir, how much has been the collection in Birla Niyaara? And when do you plan to launch the second tower?

K. T. Jithendran: So, we have approximately collected close to about INR750 crores in Birla Niyaara, approximately there. And our focus is to launch this in the coming quarter, Q4.

Moderator: The next question is from the line of Akshay Ajmera from Nirzar Securities. Please go ahead.

Akshay Ajmera: Sir, could you please provide us a breakup of the INR700 odd crores of sales booking during the quarter?

K. T. Jithendran: The breakup?

Akshay Ajmera: Yes. I mean, project-wise we can have the breakup of from which project how much we have collected?

K. T. Jithendran: Yes, we can even provide you offline, if you want to take, yes. So broadly, as I said, in Birla Trimaya, which has been our launch is about INR467 crores. Navya, Gurugram is about INR108 crores. Niyaara Tower A balance whatever inventories, we have done about

INR64 crores. We

have done in Vanya about INR37 crores, Alokya INR14 crores, Tisya INR18 crores. Yes, so broadly, that's a breakup of the INR708 crores for quarter 2.

Akshay Ajmera: Okay. And sir, regarding the Paper division, we have seen that the margins have dropped drastically from 18% EBITDA margins to 10%, largely, what we see is because of realization, and what you have guided in the earlier calls is we will be targeting 20% about 20%, 22% EBITDA margin. So, can you explain this 10% EBITDA margin in terms of realization and in terms of cost input?

Snehal Shah: So Akshay, basically, we look at it this actually, it is more in the second quarter that we are seeing this as a temporary blip. So roughly, the realizations have gone down by almost around INR10,000 per ton on an aggregate basis. So, a great part of it is because of the pricing and not much on the cost front, etcetera. Essentially, the volumes are actually, the volumes have gone up compared to last quarter, but the bigger hit is on the realization front, which now is looking up. And the realization was down for various reasons. We can get into it if you want to.

Akshay Ajmera: And again, on the Paper division, can you also give us a little bit on the outlook on the margin front?

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Vijay Kaul: This is Vijay Kaul here from Paper. Mr. Ajmera, the outlook for the next 2 quarters seems to be quite okay. And we should be doing much better than what we have done today because by 15th of September, almost the prices have bottomed out. And now the prices are slightly looking up.

And as also the imports of pulp, the prices of the pulp have gone up. So, because of that, the market is also a little bit bullish on that front that the prices will increase. So, the outlook for the next 6 months is quite okay.

Akshay Ajmera: And we would be looking at a similar kind of margins that we enjoyed in past, 18% and above?

Vijay Kaul: Yes, yes. Definitely 18% and above. Yes.

Moderator: Thank you sir. The next question is from the line of Mr. Mukesh from Moon Venture. Please go ahead.

Mukesh: I have a couple of questions. We are going to book the revenue of 2, 3 projects in this financial year. But after that, in FY '25, '26 in Real Estate business, we are seeing that quite a bit a lull period in terms of revenue booking. And how you're trying to avoid such conditions in future years?

K. T. Jithendran: So, see the point is the way the real estate revenues are booked is on completion. Unlike in the past, they used to do project percentage completion, unless you have a non-cancellable contract, etcetera, but since we are in multiple locations and the right way to do it is on percentage completion. So, it's a given that this is going to be lumpy, unless we have enough project launches, a number of projects and so that we can have steady project launches every quarter and also project deliveries every quarter going forward.

So that is going to take some time. So, over the next few years, at least, it is going to be lumpy. That's the way industry is, and we have to be and that's the way it is going to be. And yes, since we have started relatively newer than many other well-established developers. So yes, this year, we'll have a chunky number. Next year, it will drop down, and it will pick up based on the deliveries. So, I don't think unless we really stack up the number of projects it'll take a few years for this to kind of become steady.

Mukesh: So that's what but my question is that what actions we are taking to make sure that this consistency should be taken care of and what actions we are taking on the employee side and projects launching side?

K. T. Jithendran: Actions are very simple, keep signing new projects, the right new projects and keep launching it and keep completing those projects as quickly as possible. Just keep on the grind, launching the acquired project

ts, get approvals, launch it and complete it, keep on adding that way. Since we have started, the only problem is that we have started much later than the other. The others

took 15, 20 years, then we will do it in 5, 6 years more.

Mukesh: But sir, the problem is that as demand keeps rising, and we don't find enough good opportunities for land and all that. So how are we trying to just to make sure that we have a very healthy pipeline for that?

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K. T. Jithendran: So far, it has been good. We have added INR16,000 crores of projects this year. We did three projects and added three new projects in Q1, two new projects in Q2. We have a very strong pipeline. There's nothing to worry about. We'll keep continuing the way we are doing it and it's all going very well for us. Yes. We have a pipeline of about INR45,000 crores of gross development value. We are looking at adding another about INR10,000 crores this year, maybe another INR20,000 crores next year. And we have enough and more gunpowder for that. So, we are pretty confident that we are on the right track.

Mukesh: That's great to hear, sir. Sir, one more question on the side of Worli project. Your RERA approval is in FY'28, but we feel that as the speed of execution is quite good, can we be able to deliver it much before in FY'27?

K. T. Jithendran: As of now, it's going good but we'll stick to our guidance of '28. Maybe we can deliver it a few quarters before. But we are still in the early stages, so we'll continue with our current guidance.

Mukesh: Okay, sir. Small suggestion from our side, sir. Can you provide project wise collection of all the projects? It will be better for us.

K. T. Jithendran: Sure, we can give it to you offline.

Mukesh: Okay, sir. Thanks a lot. Keep doing good work.

K. T. Jithendran: Thank you.

Moderator: Thank you. The next question is from the line of Sourabh Gilda from Motilal Oswal Financial Services. Please go ahead, sir.

Sourabh Gilda: Yes, congrats on the good quarter sir. I just had one question on the cash flow. Can you please let us know what was the outflows for the two business-driven projects that we did? And overall,

do we have any targeted outflow for bidding this year?

K. T. Jithendran: I think roughly, we spent INR'300 odd crores this year, outflows for new projects that we have signed, and we have provided for another INR'500 crores expected outflows for the balance of the year.

Sourabh Gilda: Okay. So, INR'300 crores as in after this INR'300 crores or do we have any payment for this year? Or will it get filled up in the balance INR'500 crores portion?

K. T. Jithendran: So, these projects one project was basically a JV. So, we –have already put in the required deposits and balance of purchase of land, which also we have done. So, there is nothing much further on the current what we have done. But now there are quite a few projects in the pipeline.

The moment we sign deals that based on either land acquisition or joint venture, we will put in the money and we provide it by INR'500 crores. We are okay to add another INR'500 crores if we are lucky to find good products.

Sourabh Gilda: That's great. Thank you so much.

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Moderator: Thank you. The next question is from the line of Avish Jain from Antique Stock Broking. Please go ahead, sir.

Avish Jain: Thank you for the opportunity once again. Sir my question is, sir, when do we see our Gurugram project to launch? And what was the GDV for this project?

K. T. Jithendran: Gurugram has already launched now. Birla Navya, we launched it in 2020. We are now we have sold almost INR'1,500 crores there. Are you talking about Gurugram? Or you talking about Delhi, the project, which we signed this year?

Avish Jain: Sir, I'm talking about the third phase. When do we plan to launch that?

K. T. Jithendran:

The new phase. So, we are planning to launch this in Q4. So, if lucky we'll go ahead because there is some resistance from the Haryana government. They're not clearing some of these floor projects. They're saying instead of four floors, we'll clear only three floors. So, all these projects which are floor projects are currently stuck at the government level. We are hoping that it will get cleared by either Q4 or it may go, there's a possibility it may go into the next quarter. Yes.

So that was in financial year, I'm sorry, yes.

Avish Jain: And sir, what was the GDV for this project for third phase?

K. T. Jithendran: About INR'1,000 crores.

Avish Jain: Okay. And so, is there a possibility of any further project acquisition?

K. T. Jithendran: Yes, yes lots of possibilities. Several projects are in the line. They're lined up.

Avish Jain: Okay. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Mr. Mithun Soni from Geecee Investments.

Please go ahead, sir.

Mithun Soni: Sir, just one query. Can you share like what has been our collection efficiency? In the sense, how much we would have asked for from our customers and how much we have got?

K. T. Jithendran: Yes. So, thank you for the question. So of course, aided by a very strong rising market, positive market, collections have been very healthy and strong and efficiency is unheard of, is close to more than 98%, is an extremely positive, unheard sort of efficiency in collections.

Mithun Soni: This is for Q2 or for H1?

K. T. Jithendran: Overall.

Mithun Soni: Overall.

K. T. Jithendran: We look more from the point of view...

Snehal Shah: So whatever billing we have done, we have been able to get money for 98%

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Mithun Soni: Yes. And sir, can you share like what has been our construction cost? Like how much construction expense altogether where we would have spent the cost

K. T. Jithendran: We have a checklist item. We can do that. We can better those numbers we can share you offline. Construction cost varies from project to project, region to region, stage of the construction.

Mithun Soni: what I mean to say is that just the overall, if we would have got about X collection for this quarter against that so...

K. T. Jithendran: Yes. We can give that number. I mean we'll have to kind of take it out, but we can share that with you offline.

Mithun Soni: Okay. And one request, sir. So, like if you can provide a waterfall like in the sense, given the booking, what is the overall collection we are doing, construction costs we are spending, on how much money is going towards development, business development expense, keep investments?

So, what is the cash flow? So that will give us a good feel as to how are things moving for us.

K. T. Jithendran: Yes. This keeps varying from project to project, but we can send you those...

Mithun Soni: If it is combined also is fine for now. Like whatever is convenient for you.

K. T. Jithendran: Yes. Okay.

Mithun Soni: Okay. Perfect. Thank you, sir.

Moderator: Thank you. We take the next question from the line of Mr. Karan Mehta, an individual investor.

Please go ahead, sir.

Karan Mehta: Thank you for the opportunity. I just have a couple of questions. Firstly, on the Paper segment, our power and fuel costs have decreased drastically. So is this trend sustainable?

Vijay Kaul: Sorry, I couldn't get your...

Snehal Shah: Power cost has reduced...

Vijay Kaul: Yes, power cost yes, we are focusing on the total energy cost and that has gone down considerably. And we have got the -- linkages of coal, which has been revived by us of late. And because of that, we got the coal at a reasonably good rate, which earlier we had to purchase from the market and the market rates are quite high. So, the coal rate has also decreased and the consumption also of coal has decreased at our power plant, yes. And

we are continuously

working on that and we want to see that we come to the world benchmark as far as the power consumption is concerned.

Karan Mehta: Okay. So, this trend will continue for the whole year?

Vijay Kaul: Yes. This trend will continue.

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Karan Mehta: Okay. Sir, secondly, on the Real Estate business. So, we have done great business development and land purchases in the last two quarters. So, what's your outlook on further land purchases and business development for the rest of the year?

K. T. Jithendran: Our outlook is very positive, Karan. We have several projects to be signed, lined up in all our markets, chosen market, be it NCR, Bombay, Pune and Bangalore. We are pretty confident that we'll be adding at least another INR'10,000 crores of new projects the way things are looking up. Yes.

Karan Mehta: Okay. Sir, so on this, we don't expect our debt level to increase by more than INR'500 crores...

K. T. Jithendran: Yes, that Snehal has already explained to you how these positions. So, we are not too much worried about that part.

Karan Mehta: Okay. And sir, you mentioned that the Haryana government is like not allowing...

K. T. Jithendran: Yes, there has been some PIL, and they are considering it. The matter is at the Chief Minister's Office. It hasn't moved for quite some time. All the developers are stuck and we are hoping that there will be some positive resolution soon.

Karan Mehta: Okay. Sir, in case that if the Haryana government doesn't allow us to do so, do we have any plans to launch a three-floor project for the Gurugram project?

K. T. Jithendran: Yes. I would rather not of course, that's the only thing because there's I mean, 25% of the FSI going down is not a very favourable situation. So, we'd rather wait and hope that things would change and the government will favour us.

Karan Mehta: Okay. Fine, thanks a lot, sir. I'll get back in the queue.

Snehal Shah: Excuse me, I think the earlier gentleman wanted some cash flow details, breakup of project. I think if we can look at Slide number 35 on our earnings presentation, he will get a division-wise breakup of all kinds of different lines of expenditure.

K. T. Jithendran: It's already provided.

Moderator: Thank you, sir. The next question is from the line of Mr. Amit Srivastava. Please go ahead, sir.

Amit Srivastava: Yes. Congratulations on a very good response on Birla Trimaya and good scale up on a real estate. Sir, I have two questions. One is that when we are talking about debt to EBITDA of 2x means, we are including the EBITDA of real estate. And what is the kind of revenue which is to be booked in the next six months, like in the next two quarters? And what is the kind of margin profile we'll get into in this project as it is now into the commissioning phase?

Snehal Shah: So, Amit, roughly real estate revenue, we are expecting around INR'2,000 crores. It all depends upon people coming up to take possession and paying their balance and concluding the sale completely because you know that we have to book the revenue only when the customer pays.

Even if we are ready for possession, he has to come and make a final payment, sometimes some

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customers delay those things and all. Roughly, based on whatever is available for delivery, we are expecting around INR'2,000 crores of, what you call it, revenue from real estate.

Amit Srivastava: In terms of margin, sir, in EBITDA margins, what kind of margin you are looking at?

Snehal Shah: On this, on the real estate?

Amit Srivastava: Yes, INR'2,000 crores, which we are going to book. So broadly, what is the range?

K T Jithendran: Roughly. 25% to 30%.

Amit Srivastava: Okay. Second question on in terms of the Birla Niyaara, sir, what is the current rate which we are selling? And what is the kind of inventory, which is

remaining, like it's on a larger size or

now it is on two BHK kind of which is remaining? And second, when we are going to launch the second phase, the rates will be at a similar rate or we'll be launching at a premium? How it's

going to be played out in terms of value also if you give the second phase?

K. T. Jithendran: Yes. Amit, so largely, as you know, we mentioned about 85% of the inventory is sold. So, what is left is some of these larger apartments at the top, like the duplex apartments, etcetera, which is also now gaining traction. And maybe a few two and three bedrooms here and there. We're not too keen to sell those now because it's just one year old. There is other four, five years of construction left, so we would rather sell it at higher prices. Currently, we are selling at INR'80,000 per square foot. Strategy for Tower B will be more kind of conceptualized closer to the launch. But looking at the market conditions and the dynamics at that point of time, we will formulate the strategy for Tower B.

Amit Srivastava: And currently, what is the rate going on, sir, in terms of carpet?

K. T. Jithendran: Roughly about INR'80,000 to INR'85,000 per square foot.

Amit Srivastava: Okay. Got it.

K. T. Jithendran: Thank you.

Amit Srivastava: Sir, next question is related to Paper division. So basically, we have already sir has said that we have seen that bottoming up, and we are aiming for, again, a similar kind of margin. But on our current pricing trend, what is the level of profitability, sir? Where are we in terms of EBITDA margin? Are we close to 15% or still we need more improvement in profit pricing to get into that zone?

Vijay Kaul: See, we have gone into a two-pronged thing. One is that from 1st of October, we have increased our prices because the prices had bottomed out. So, we had no other alternative, but to increase the prices. So, we have increased the prices by INR'2, INR'3 in the market. That is number one. On the other front, we are working on reducing the cost structure as to how whether it is a power cost or the steam cost or even the pulp cost. So, we are trying to reduce the cost there. So, in my opinion, if you talk about the next quarter, our margin should be something around 17%.

Amit Srivastava: Okay. It will be back to normal situation in Q3 itself.

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Vijay Kaul: Yes.

Amit Srivastava: Okay. Great, sir. Thank you very much for opportunity.

Vijay Kaul: Thank you.

Moderator: The next question is from the line of Mr. Raj from Arjav Partners. Please go ahead.

Raj: How many units are we expected to deliver in FY '24?

K. T. Jithendran: Units. There are three projects in three different regions we are planning. So roughly in the range of about 1,500 units, all three cumulative.

Raj: 1,500 units. And how much are there in H...

K. T. Jithendran: Sorry.

Raj: 1500 is for overall, right, FY '24?

K. T. Jithendran: That's correct.

Raj: All right. And how much have you already given in H1?

K. T. Jithendran: So, we are just starting to do it.

Raj: All right. Okay. Thank you.

K. T. Jithendran: Thank you.

Moderator: The next question is from the line of Mr. Akshay Ajmera from Nirzar Securities. Please go ahead, sir.

Akshay Ajmera: Hi. Thank you for taking my question again. Sir, my question is regarding the Real Estate business project. Birla, Vanya, Alokya and Navya, we are nearing to deliver and hand over the three projects very soon now. So is there any overshoot in the projected cost, which you must have envisaged earlier initially, including any price escalation or inflation, that kind of the cost. So, is there any overshoot in the budgeted cost that you might have actually thought for and how much that would be?

K. T. Jithendran: Thank you, Akshay. I'm very happy to let you know that there is a zero increase in the budget.

We are all well budgeted despite the major crisis of COVID and

this thing, etcetera, we have

been well within our budget. We were able to manage our cost very astutely.

Moderator: Thank you, sir. The next question is from the line of Mr. Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Thank you for the opportunity, sir. My question is on the leasing income side of it. So, you have done around INR30 crores consistently for the last two quarters. Would we be seeing a similar

level of leasing income going ahead as well for the other two quarters?

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K. T. Jithendran: No, it will be more or less the same. We are now almost literally 100% occupancy, zero vacancy at this point of time in both premises. So, it will be more or less steady. We are getting an average about 190, 195 bucks per square foot. We expect that to remain like that.

Vignesh Iyer: Right. And my second question is on Birla Niyaara side, our current phase. I just wanted to know, what is the inventory, which is unsold as of now? If you could give me on square feet side or unit-wise, anything would be helpful?

K. T. Jithendran: About 414 was the number of units when we launched it in February '22. As we speak, we have done about 350 or 355, exact number I don't know, but yes, there is about 50, 55 apartments are balance.

Vignesh Iyer: Okay. Got it. That's all from my side and all the best, sir.

K. T. Jithendran: Thank you.

Moderator: The next question is from the line of Mr. Himanshu from Dhruv Gems. Please go ahead, sir.

Himanshu: Yes. Hi. I would like to know, whether we are going to track in the next three years to four years for around INR10,000 crores of top line, which you have guided?

K. T. Jithendran: Absolutely, bang on track.

Himanshu: Okay. So, for that, as you said before in the concall, we are like looking at another INR25,000 crores, INR30,000 crores of projects

K. T. Jithendran: Yes, every year, not just overall. Every year, we'll be looking at that sort of number.

Himanshu: Every year INR20,000 crores, INR25,000 crores?

K. T. Jithendran: Yes. Right.

Himanshu: That's great. And one more thing I would like to ask you, what is the outlook on own lands, like the one in Prabhadevi. We have another land in Pune, etcetera, everywhere, right? The company owns the land. So, what is the outlook over there?

K. T. Jithendran: See the outlook is pretty futuristic at this point of time. We have enough and more inventory at Worli, etcetera. So, it will, we are not looking for an immediate launch in the next two years, three years on these projects. That's why we are concentrating on a lot of the other projects also.

So, we have our hands full. Whenever we think it's a right and opportunity time, we will figure out these launches.

Himanshu: No, why I'm asking is because the land parcel like Prabhadevi, which is a quite premium one, and the markets are also very good for the premium projects. So, I was just asking about that one?

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K. T. Jithendran: Yes. But we have enough and more at Worli to focus there at this point of time. And once we kind of dispense this reasonable amount of this inventory, then we can think about that. We don't want to cannibalize these markets for very similar micro markets.

Himanshu: Okay. And one more thing I want to ask, like, if you must be knowing like a project like a Raheja Atithya, which is like quite close to our project. So, they are selling around 1,00,000, 1,10,000 or 1,20,000, I don't know exactly, but so the next phase of our project, can we expect around 80,000, 85,000, 90,000 square feet? Or it'll be like more premium than this one, like a bigger size and all that?

K. T. Jithendran: Yes. Good question. So yes, so as we are of course, we are figuring up. We are planning to do much larger formats, taking into the consideration of the current demand in the market. Pricing

is in there something which we sort of finalize more when we are closer to the launch, will conceptualize. It's too early to determine. Now we'll examine situation at that point of time.

The only difference between Raheja and us, being Raheja is ready possession and there's hardly any inventory left there. They have started this project five years, six years, seven years back.

So that's in a very different stage of development, and we are in a very different stage of development. We are just beginning and it's a futuristic kind of a project. But I can assure you

that the kind of amenities, the kind of space that we are working on is going to be no less than any other project.

Himanshu: Correct. So, if we launch also the bigger ticket size ones, units and all, so you're confident that we'll be doing very well. That's second phase, right?

K. T. Jithendran: Yes. We're very, very confident of our product. We're also very confident on the kind of product sizes that we choose. We would like to match it as per the prevailing market demands.

Himanshu: And should we look at around 50% net profit margin from that Niyaara project?

K. T. Jithendran: Yes, that's something which should be possible. Considering the kind of the demand is in that market currently, I think that is something which should be possible by the time we finish that project.

Himanshu: Because if you are selling at 80,000, 85,000 and our costing is like, you said 20,000, 25,000, right? But that's for built-up, is it?

K. T. Jithendran: Yes. That two numbers are not relatable. The 80,000, 85,000 currently is on carpet. And when I'm saying 20,000, 25,000 is the cost, which will be by the end of the project, by end of the time,

considering all escalations and everything, when the project gets finished maybe five years, six years, seven years ahead.

Himanshu: So, we should look at around 50% margin?

K. T. Jithendran: I think something that we should aspire for.

Himanshu: Okay. Thank you.

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K. T. Jithendran: Thank you.

Moderator: Thank you. The next question is from the line of Mr. Dixit Doshi from Whitestone Financial Advisors. Please go ahead, sir.

Dixit Doshi: Yes. Sir, I just missed one thing when you talked mentioning about this next second half, we're going to book INR2,000 crores revenue, right? When you're mentioning about the EBITDA margin percentage, you said 25%, 30%, I just wanted to confirm that?

K. T. Jithendran: Yes, broadly in that range. We will be able to confirm that again as closer we finish and execute and hand over, but yes, that's the sort of aspiration we have to.

Dixit Doshi: Okay. And this Niyaara Tower 2, what will be the size of the project in terms of square feet?

K. T. Jithendran: Square feet, it will be similar to Tower A, around 8.5, 9 lakh square feet.

Dixit Doshi: 8.5 to 9 lakh square feet. So, when that ballpark number of sales that we can generate is with nine lakh square feet into whatever INR80,000, INR90,000 per square feet realization that will get, right?

K. T. Jithendran: Right. Yes. So 8 lakh, 8.5 lakh is not carpet, that's saleable.

Dixit Doshi: That is what you construct. Carpet will be much lesser.

K. T. Jithendran: Yes. You're right.

Dixit Doshi: Okay, which is around 15%, 20% lesser?

K. T. Jithendran: Usually, our markup is about the carpet to saleable is about 60% to 65%.

Dixit Doshi: So 65% of 9 lakh

K. T. Jithendran: Yes, you can figure that out.

Dixit Doshi: Okay. That's it. Thank you.

Moderator: Thank you. We'll take the next question from the line of Karan Mehta, an individual investor. Please go ahead, sir.

Karan Mehta: Thank you, sir, for giving me the opportunity again. First, my first question is for the Paper segment. How confident are we to achieve 18% and above EBITDA margins for Paper in Q3?

And what would be our guidance for margins for full year FY '24?

Vijay Kaul: How confident

we are? We have told you how much we will be doing already. I don't know, how we have to give you the confidence on that. We have told you the present situation, and we have told you, what actions we are taking to get to those margins.

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So that's why we are more or less confident about it, but we don't know because the Israel and Palestinian war is going on. Anything can happen anywhere in the world. So keeping those factors aside, we are balanced, we are totally confident about that.

Karan Mehta: And what will be your guidance for full year FY '24?

Vijay Kaul: Yes, we should be around 15%, 16% on the overall. Yes.

Karan Mehta: Okay. And sir, one question on the textile business. So we had guided on cost as rationalization measures and so what will be the impact of these rationalization measures on our margin going forward? Like how do we see the margin trajectory?

Snehal Shah: The restructuring we've done is essentially getting rid of our spinning and weaving units, and we are slowly moving towards on 100% outsourced model. So earlier we used to do about out of one lakh meters, we used to do about 45% is to be outsourced. Now we'll have to outsource almost 100%. So, it's a slow progress because immediately you can't ramp up to 100%.

So slowly and steadily, we are trying to make progress. In the meantime, what is happening is the fixed cost continues, and we are not having full production. So, we don't see a major change in the margin at the moment probably because of high fixed costs and low production as well as demand supply situation being not so favourable, possibly we'll be continuing with some losses in the business.

Karan Mehta:

Okay. Fine, sir. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Mr. Manish Maheshwari from Equity At Work. Please go ahead, sir.

Manish Maheshwari: Sir, what is our net debt as on 30, September?

Snehal Shah: Net debt would be around INR1,800 odd crores.

Manish Maheshwari: Okay. Sir, our debt has increased dramatically, right?

Snehal Shah: It was INR1,000 crores in the beginning of the year, but then we had a lot of acquisitions that we did during the year. So naturally, plus there are some capex expenditures going on in our Paper business. All those are and then we raised this INR900 crores loan, which is a lease discounting loan, of which we have not yet utilized the entire loan.

So that is sitting with us around INR400 crores odd. Gross debt is INR2,200 odd crores, you reduce INR400 crores and you get INR1,800 crores. So my debt has gone up only by INR800 crores. That's not significant. If I have to grow my Real Estate business, I should be actually having much higher debt. In fact, I'm telling my CEO to use money, just like all of you are telling him.

Manish Maheshwari: Sorry, sir. Come again?

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Snehal Shah: I'm saying, my debt is just INR1,800 odd crores, which is nothing significant or worrisome thing. And I'm telling my Real Estate CEO to add more take more money from me, which is what all of you sitting down there want him to do is what I'm trying to tell.

Manish Maheshwari: So sir, that prompts me to ask you a very compelling question here, which is investors are consider Century Textiles as a real estate play, right? So going forward, maybe in the foreseeable future, do we see a possibility of doing an equity carve-out or spinoff for Birla estates and listing

Snehal Shah: So what, I forgot his name. Manish, you started with a question saying that INR2,200 crores is very high are you not worried about this debt. Now I need my Paper business because my Paper business is a cash cow for us. So if my Paper business stops giving me cash, then I'll be increasing more debt for my Real Estate business to grow faster. Will you be happy with that?

S

o till the time, real estate is able to finance its growth through its own capital, till that time, we will need some support from the other businesses. So, from our strategic purpose as a company, we believe that, we should continue with the Pulp and Paper business. When Real Estate becomes completely self-sufficient, that is probably the time when we try thinking of unlocking the value of the Real Estate business. I hope that helps you.

Manish Maheshwari: Right, sir. Thank you so much.

Moderator: Thank you, sir. As there...

Snehal Shah: I'm sorry, you ensure that we close before 5:15, that's a hard stop.

Moderator: Yes, sir. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

R. K. Dalmia: Thank you all for participating in this earnings concall. If you have any further questions or would like to know more about the company, please reach out to our IR Manager as well as our advisor. Thank you. Good bye.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

ADITYA BIRLA
CENTURY
SH/XII/2023

Corporate Relationship Department
BSE Limited 07th February, 2024
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th floor, 1st Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort, Bandra-Kurla Complex
Mumbai-400 001

Scrip Code: 500040 Bandra (East), Mumbai-400 051.

Scrip Code: CENTURYTEX

Dear Sir/ Madam,

Sub: Transcript of Q3FY24 Earnings Conference Call of Century
Textiles and Industries Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements)
Regulations, 2015 ('Listing Regulations')

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the
Q3FY24 Earnings Conference Call conducted on 02nd February, 2024 at 04:00 pm 1ST
after the meeting of the Board of Directors of the Company held on the same day itself.

This is for your information and record.

The above information is also available on the website of the Company:

www.centurytextind.com.

Thanking you,

Yours truly,

For CENTURY TEXTILES AND INDUSTRIES LIMITED

ATUL K. KEDIA

Sr. Vice President (Legal) & Company Secretary

Encl: as above

Century Textiles and Industries Limited

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Corporate ID No.: L17120MH1897PLC000163

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"Century Textiles and Industries Limited 3QFY24
Earnings Conference Call"

February 02, 2024

MANAGEMENT : MR. R. K. DALMIA – MANAGING DIRECTOR , CENTURY
TEXTILES AND INDUSTRIES LIMITED

MR. VIJAY KAUL – CHIEF EXECUTIVE OFFICER , PULP
AND PAPER DIVISION , CENTURY TEXTILES AND
INDUSTRIES LIMITED

MR. K. T. JITHENDRAN – CHIEF EXECUTIVE OFFICER ,
REAL ESTATE DIVISION , CENTURY TEXTILES AND
INDUSTRIES LIMITED

MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER ,
CENTURY TEXTILES AND INDUSTRIES LIMITED

MODERATORS : MR. KARAN KHANNA – AMBIT CAPITAL
ADITYA BIRLA

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Century Textiles and Industries Limited
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Moderator : Ladies and Gentlemen , Good day and welcome to Century Textile s and Industries Limited Q3FY24 Earnings Conference Call hosted by Ambit Capital.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call , please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Karan Khanna from Ambit Capital. Thank you and over to you, sir.

Karan Khanna : Thank you and good afternoon, everyone. On behalf of Ambit Capital, I welcome you all to the Q3FY24 Earnings Call for Century Textile s and Industries Limited.

From the Management Team today we have Mr. R. K. Dalmia – Managing Director, Mr. Vijay Kaul – Chief Executive Officer of the Pulp and Paper Division, Mr. K. T. Jithendran – Chief Executive Officer of the Real Estate Division and Mr. Snehal Shah – Chief Financial Officer of the Company .

I will now hand over the call to the Management Team for the “Opening Remarks” post which we can start the Q&A session. Thank you and over to you.

R. K. Dalmia: I am R. K. Dalmia. Good evening everyone and welcome to the Earnings Conference Call for the 3rd Quarter of the Financial Year 2024 .

Let me first take you all through the Financial Highlights followed by the business wise operational highlights :

For the 3rd Quarter of the Financial Year 2024 the consolidated turnover stood at Rs. 1,179 crores. The EBITDA for the quarter grew by 124% year -on-year to Rs. 204 crores with EBITDA margin reported at 17.3% while the net profit grew by over 10 times year

-on-year to Indian rupees 80 crores.

The multi fold increase in our EBITDA and net profit this quarter were driven by an excellent overall performance by the real estate and improved performance as significant cost savings measures by our Pulp and Paper division. For the 9-months period of the Financial Year 2024 , the consolidated turnover stood at Rs. 3,373 crores , the EBITDA reported at Rs. 384 crores with EBITDA margin of 11.4% with a net profit of Rs. 40 crores.

Now let me take you through some of the “Key Highlights ” across our three business verticals starting with the real estate business : CENTURY

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During Q3 FY-24, the real estate sector continued to experience consistent growth owing to robust economic growth as enthusiastic consumer demand with a significant trend in rising demands for premium and luxury homes offering superior amenities and executive design. The Q3 FY-24 the revenue of Birla Estates grew by 139% year -on-year and 115% quarter -on-quarter to Rs. 86 crores. The additional other income of Rs. 78 crores from sale of TDR have brought the EBITDA to Rs. 63 crores. We have achieved bookings worth Rs. 189 crores in Q3 FY24 at our already launched projects while collection were Rs. 182 crores from all projects during the quarter.

During the quarter, we received OC of two blocks of Birla Alokya Bengaluru. While we have initiated our first set of handovers marking a major milestone in our journey , we have received excellent feedback on the product from customers who have already taken up the possession . We have also received OC in January 24 for 4 buildings at 'Birla Vanya Kalyan' and at Birla Navya Gurgaon and the hand over can commence shortly in both the projects.

The new phased launch of Birla Niyaara at Worli Mumbai is slated for launch in Q4. In other update Birla Tisya Bengaluru was honored “5 Golden Star Awards by National Safety Council ” recognizing the excellence and exceptional performance in “Occupational Safety and Health Management System ”. Additionally, Birla Navya Gurgaon received the “National EHS Award ” from Global Safety Summit, hosted by World Safety Forum London UK.

Lastly, our commercial project Birla Aurora completed a 100% transition to Green Energy, reiterating our commitment to a more environmentally sustainable future. Overall, the premium of luxury residential market is witnessing a remarkable surge in demand, steady interest rates and positive consumer sentiments towards upgrading the bigger configuration and better lifestyle is poised to drive sales to new heights in Q4.

Our endeavor of building a superior brand with focus on the premium and luxury segment

perfectly aligned with the escalating interest of buyers in premium housing.

Now moving on to the Pulp and Paper segment :

The Paper board and tissue prices are more or less stable. However, imported Pulp prices, wood and coal prices are showing an increasing trend. For Q3 FY-24, the overall capacity utilization was 104% as compared to 89% in Q2 FY-24, both production and sales volumes increased by 16% and 11% respectively over the previous quarters. While sales turnover increased by 10% to Rs. 881 crores over the last quarter despite marginal reduction in NSR, EBITDA increased by around 74% to Rs. 132 crores with EBITDA margin reported at 15% vis-a-vis 9.5% last quarter. CENTURY Textiles and Industries Limited

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Segment-wise Paper EBITDA remained almost constant at Rs. 12 per kg, Board turned positive to Rs. 6 per kg after being negative in the last four quarters and tissue improved to Rs. 25 per kg from 20 in the last quarter. Overall, EBITDA was Rs. 11 per kg from Rs. 7 per kg in the last quarter. We hope to achieve more than Rs. 11 per kg in the last quarter. Various measures like

technology upgradation, production enhancement and other cost reduction initiative have been taken to improve sales and reduce cost of production for the quarter leading to healthy financial performance.

Export volumes in both writing and printing Paper and copier Paper increased towards the end of Q3. Export demand in tissue segment remains subdued due to crashing price in UAE, while export demand from Europe, USA was showing an increasing trend. Although disturbances in that Suez canal or cost concern about supply chain disruption resulted in increased price of raw materials.

The Company set up a new QSC at Bhiwandi to further strengthen service to West zone customer, and we also signed a declaration for providing direct wood to CPP by farmers to secure raw material supply. There were 5.2 million plantation of eucalyptus and poplar seedling and clones carried out in this financial year till date.

Our market outlook :

Writing and printing demand is expected to stabilize due to a government tender in Q4 FY-24. While copier demand is expected to increase in Q4 due to seasonality, we expect consistent demand in the tissue segment in Q4 although imports are foreseen. Due to lower import prices our focus will be more on domestic sales for better realization. In the board segment despite rise in lower price import, demand is expected to remain stable due to rise in Pharma, FMCG and F&B demand in Q4.

Lastly, talking about the textile division for the 3rd Quarter under review net sales were at Rs. 197 crore with the EBITDA loss of Rs. 19 crores. Q3 FY-24 overall production and sales volume decreased by 4% and 11% respectively over previous quarters. Sales turnover also decreased by 14% over the previous quarter.

The apparel fabric segment experienced a subdued demand with downward shift in consumer spending on garment and textiles even during festive season. Home textile segment has only seen marginal improvement in the US market with retailers demanding replacement and new products for the upcoming season.

Inventory have reduced significantly on account of Black Friday and Christmas sales. Our collaboration with UK based textile organization focusing on sustainable product range had been CENTURY Textiles and Industries Limited

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successful and may likely result in the bulk order in near future. On the sustainability front we conducted an awareness program on women health and hygiene in 5 villages of Jhagadia Taluka.

The change in consumer spending dynamics have impacted the entire value chain of Indian organized production house leading to high inventory eventually causing financial crunch. We have restructured our operation by increasing outsource fabric activity while keeping the important final processing and finishing activity in house. We have also shifted our focus on new technical collaboration for NPD and VAP.

With that, I now conclude the opening remarks and we can start the question-and-answer session.

Thank you sir. Over to you, Karan.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We take the first question from the line of Dixit Doshi from Whitestone Financial Advisors. Please go ahead.

Dixit Doshi: I have two questions. First, on the real estate side, so earlier we were mentioning that in the H2 there will be delivery of three projects, and we would be recording almost 1,700, 1,800 crore kind of revenue. So, has that been delayed because nothing has come in the Q3 and will everything come in the Q4?

K. T. Jithendran: So, there's been a slight delay in some of the projects, but we have got OC's for few of the phases

of all the three projects is supposed to deliver. So, we're pretty hopeful of clocking this in current quarter Q4.

Dixit Doshi: So, entire will come in Q4 or you expect that some might go

into the Q1 next year as well?

K. T. Jithendran: There may be a slight possibility of a spillover, but most of it should come in this quarter.

Dixit Doshi: And what kind of margins we are expecting there?

K. T. Jithendran: So, usually our margins are close to about 30% plus.

Dixit Doshi: Like the EBITDA margin you are speaking?

K. T. Jithendran: Yes.

Dixit Doshi: Now my second question is regarding the new launches. So, just the confirmation to this Niyaara Tower 2 we have already launched, or we are going to launch in next couple of months and there were two, three more launches we were planning, I think the RR Nagar, Bangalore, Walkeshwar and new phase in Gurgaon. So, any update on that? CENTURY

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K. T. Jithendran: So, we are in the process of launching Niyaara Tower B. We got the RERA the market warming up is going on. Before the end of this month itself I think we will be launching it. As far as RR Nagar is concerned, we are waiting for RERA. Pretty confident that we should get the RERA this month and we're launching it late Feb or early March.

Walkeshwar is touch and go we have hoping to get it and may be we'll try to launch it in March again in the last stages. Delhi, I think it is still stuck in that process. So, Delhi will not happen this quarter. Delhi looks like next year. I mean Delhi means what I meant is Gurgaon the last phase of Gurgaon.

Moderator: Thank you sir. The next question is from the line of Amit Srivastava from B&K Securities.

Please go ahead.

Amit Srivastava: Couple of questions on real estate. One is that sir you have booked the TDR sales this quarter.

So, just wanted to understand what is this regarding in the past also we have booked this kind of revenue so how much more opportunity we will have on our TDR?

K. T. Jithendran: So, Amit in a textile mill policy you have to give this one-third to the government and MHADA etcetera to BMC etcetera. So, we had some opportunity here and there was a huge deficit in the TDR market. So, we just took an opportunity to take off some of the TDR which was surplus with us. This will keep coming on and off, it's really difficult to put a number on that. So, we just took care of the market demand supply opportunity.

Amit Srivastava: Second sir in terms of the project pipeline which we have shown, one is that we have shown the Birla Niyaara Phase -3 in FY25. So, just wanted to understand what is the kind of response you are looking at on our Phase -2 will you go for the Phase -3 or will it be delayed Second is that in terms of the Thane project we have not disclosed the pipeline even in FY25. So, where we are going delay in that project if you can explain?

K. T. Jithendran: So, Amit, as far as Tower B is concerned now how we perform in Tower B we'll know in a couple of months by March should be pretty clear. So, based on that if we get a pretty strong response to sell 70% of inventory, then of course we'll look very aggressively at launching Tower C also.

Otherwise, we will see to calibrate it maybe in the last quarter of next financial year or we should push it beyond that we'll take a call once the performance on Tower B is assessed, and we get to know about that.

As far as Thane is concerned it's a land, it's a raw industrial land there's a lot of work required to clean it up and so that is in progress, it's progressing well. It's a large piece of land industrial land, conversion and all that has to happen. So, therefore we are a little more circumspect there CENTURY

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though we may try to launch it next financial year, but it's a touch and go. we may spill over. So, that's why we're not given a very strong guidance on it for next year. It could happen in next year, but more like

ly to happen in the year after that.

Amit Srivastava: So, basically, we'll have to pay all these charges also in terms of the clearances and everything into that other than the revenue clearances?

K. T. Jithendran: Yes those are some of those expenses that we'll start bearing whatever is required to regularize the land.

Moderator: Thank you. The next question is from the line of Sourav Dutta from Minerva Asset Advisors.

Please go ahead.

Sourav Dutta: So, sir according to Slide 23 around 47% of the Pulp and Paper revenue came from Paper. Could

you please brief it into copier versus writing and printing?

Vijay Kaul : 30% is about copier . Balance is a non-copier .

Sourav Dutta: Secondly your EBITDA margin in Pulp and Paper rose around 500 b ps sequentially and this came at a time when your competitors have faced higher volatility in the prices , they also reported declines in FPV realizations because of the imports which doesn't seem to be the case with you, so I'm just wondering if you could take me through how have you seen increase in board prices sequentially and what specific margin drivers within copy or tissue helped in expanding margins?

Vijay Kaul : I think earlier also during the investor conference call I have said that we have been totally working on the cost reductions and we have had a lot of cost reductions in terms of chemicals and in fact on the packing materials, in fact on the various power. I was telling you that we have been working on the cost reductions and that has been our strength in the last one year and that's why you will find that we have performed slightly better than others in the present circumstances.

Sourav Dutta: But still if I were to calculate the net sales realization for Paper board specifically it is higher while the usual market reports say that import prices have moved lower. So, is there any particular reason why this increase happened for you?

xVijay Kaul : As I said we have worked on cost reduction everywhere. No realization has not increased to that extent it is just about Rs. 1,000 per ton so that's not an increase at all. It is basically the overall cost reductions in the board which have taken place. For example, Our power consumption earlier used to be about 525 K WH per ton of board production. Today it has CENTURY Century Textiles and Industries Limited
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come down to 435. I'm just giving you one example to show as to how much cost saving has been there in board alone.

Similarly, in case of steam, similarly in case of the productivity, the question is that if you see our quarter average it is more than 16,000 tons every month that means we have produced around 48,000 tons of board which was never produced earlier.

So, the efficiencies in the cost of production and the cost of chemicals and the cost of packing, we made some changes in packing which was unnecessarily a burden to the customer also and to us also. So, both are happy.

Sourav Dutta: Quickly last question , has the wood supply situation improved in Uttarakhand and newer areas for you in the last couple of quarters?

Vijay Kaul : The last quarter our wood supply situation has been quite good, and we have got a good stock of wood now and actually January to March quarter is generally that the wood supply is generally there, but from April to June it's the bad month because it's the harvesting month.

So, the wood supply reduces. So, that's why I have built a stock in such a manner that from April to June I will not have any problems of wood and also we have done certain changes in the Pulping process where I can use different types of woods and I can increase the percentage of certain types of woods which are available in the marketplace. So, that's also a cost reduction element in that.

Sourav Dutta: And how would prices have moved sequentially for you on board and a part from eucalyptus

what are the varieties would you be looking at roughly ?

Vijay Kaul : We have been using even the poplar , we have started using even the bamboo which earlier the percentage of bamboo was lesser, but now we can go up to 25 % , 30% which earlier it was only 15%.

Moderator: Thank you. We take the next question from the line of Mithun Soni from G C Holdings. Please go ahead.

Mithun Soni: Just I wanted to understand on this TDR part. So, like this TDR we are generating from our Worli project and from what I would understand that lot of what we generate we can use in house itself. So, if you can just explain how do we generate that and after using it how much we are left with to sell?

K. T. Jithendran: So, this TDR is basically the land that we have surrendered as part of the mill land development policy to the MCGM. That TDR is generated which you had surplus and we found an opportunity CENTURY Century Textiles and Industries Limited
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in the market there was a huge demand supply gap. So, we sold it to the market to other developers, so we got a good margin and that is the reason why we have sold this TDR. So, it is over and above what we require in our project.

Mithun Soni: What you sold is over and above for the tower?

K. T. Jithendran: That's right that's correct.

Mithun Soni: But sir just to understand when you will make say Tower C, so will you have to rebuy?

K. T. Jithendran: No, we don't have to rebuy .

Mithun Soni: So, this is over and above the required for Tower B and C put together?

K. T. Jithendran: You are right.

Mithun Soni: Are we still left with any surplus or more or less?

K. T. Jithendran: When it gets generated , here and there we may have a little more surplus so it's difficult to quantify at this point of time. So, often and when we get these generated , accessing the market demand etc etc will take that call.

Mithun Soni: We should not build it as a part of the model or the project as such?

K. T. Jithendran: No not at all.

Mithun Soni: Sir second on the Tower B have you in fact like finalized the price at which you're looking to launch?

K. T. Jithendran: No, not yet.

Moderator: Thank you. The next question is from the line of Dixit Doshi from Whitestone Financial Advisors. Please go ahead.

Dixit Doshi: The question is regarding the real estate division. So, what kind of launches we are planning in FY25?

K. T. Jithendran: Plenty of launches Dixit apart from the projects which we are launching currently we have Sarjapur coming up in Bangalore, Wellesley Road coming up in Pune, IHP land coming up in Delhi, Walkeshwar we're trying this quarter if it doesn't, then it may spill over, newer phases of Birla, Trimaya all these are lined up for next financial year from our existing projects and also hoping to finalize. CENTURY

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Dixit Doshi: Roughly can you quantify the value of launch in FY25 ?

K. T. Jithendran: Difficult to quantify at this point of time roughly about 8,000 crores to 9,000 crores from your existing one and some newer projects which may happen in the coming quarter and next quarter we may get another about 4,000 crores, 5,000 crores.

Dixit Doshi: Whatever new launches you are targeting in FY25 is it 8,000 to 9,000 crores?

K. T. Jithendran: From our existing ones plus, we are all continuously looking for new projects. So, some of them may come from there to an addition. This is without taking Tower C into consideration. If based on the performance of Tower B then if Tower C comes that is over and above this there will be another 5,000 crores, 6,000 crores around roughly 5,000 crores.

Moderator: Thank you sir. The next question is from the line of Ritwik Sheth from One -Up Financial. Please go ahead.

Ritwik Sheth: Sir just o

ne question on the Worli Prabhadevi micro market , what is the kind of absorption on an annual basis you are seeing and what is the kind of growth rate is there in that micro market where our flagship product is there?

K. T. Jithendran: As of now there are no immediate launches coming up. In this particular micro market, we are there . Most of the products are either it is nearing completion or with OC, but maybe in the longer term there may be some launches coming up in Worli Sea Face . There are two or three projects slated to come there prestige projects closer to the racecourse etc etc, but of this stature, of this kind of size that we have I don't see any serious competition to this project .

Ritwik Sheth: Any sense on the annual absorption in that micro market Prabhadevi , Worli towards near the race course that particular thing?

K. T. Jithendran: I don't have any ready numbers as of now, but I can get back to you on that.

Moderator: Thank you. The next question is from the line of Himanshu Zaveri from Dhruv Gems . Please go ahead. We take the next question from the line of Deep Mehta from Bank of India Mutual Funds . Please go ahead.

Deep Mehta: One quick question, how is our BD pipeline shaping up and what can be the target for FY24 and FY25 for real estate project ?

K. T. Jithendran: So, far in FY24 we have finalized projects worth about gross development value of 16,000 crores. We have again very strong pipeline and we are hoping that we will be able to conclude a few more projects. I mean , it may happen in Q4 or may spill over to Q1, but very strong proposals CENTURY Century Textiles and Industries Limited

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are there in each of these micro markets that we have chosen. So, our target will continue to strike deals in the range of about 20,000 crores per annum going forward also.

Deep Mehta: So, FY25 also we are targeting 20,000 crores?

K. T. Jithendran: Yes sure.

Moderator: Thank you. The next question is from the line of Nirav Savai from Abakkus AMC . Please go

ahead.

Nirav Savai: Most of my questions have been answered. Just one thing in terms of the BD pipeline you said so what would be the quantum of deals which you are looking out for would it be 500 ,1,000, 2,000, 5,000 crores or any color if you can just give on that?

K. T. Jithendran: Largely we're looking at deals in the range of 1 ,500 crores and above unless some very specific location specific high visibility trophy projects are there, but typically would look at 1 ,500 plus GDV projects.

Nirav Savai: This would be largely joint development, or would we be buying land or how do we see this?

K. T. Jithendran: Both mix of JDA and we are flexible there, JD A or outright, we 'll look at a judicious mix of both.

Moderator: Thank you. The next question is from the line of Abhinav Bhandari from Soham Assets Managers . Please go ahead .

Abhinav Bhandari: Just two questions. One is how much is the pending payment relating to the land of the various projects that we acquired thus far?

And the second question is how much should be the construction spend for this fiscal and next fiscal if you could give some direction on that?

K. T. Jithendran: So, pending land I think most of the land we are fully paid for except Thane. So, that will happen over 4 years, 5 years. We haven 't even started paying for that, that will start paying once we start the regularization of the land right now the spend is largely on the regularization of the land. So, that's about 600 crores balance.

Abhinav Bhandari: Is it equal tranches or typically the bulk amount goes out first just trying to understand that?

K. T. Jithendran: More or less is like spread first tranche is 200 crores, the rest is spread and there is a 1% at the end of a developed share. So, it 's largely an equal proportion and construction cost spend I think . I mean that's the

number we need to compute. So, we can get back to you on that. CENTURY
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Abhinav, just one point mostly we are cash neutral in all our projects. There is nothing as of required largely it is funded by our customer receipts except Kalyan where there is a little bit of the funding required, but otherwise almost all our projects are largely funded through customer receipts.

Moderator: Thank you. We take the next question from the line of Jeet from Pinpoint Asset Management . Please go ahead.

Jeet Shah: Sir, if I listen properly you mentioned you expect business development of about 20,000 crore this year and next year. So, on the back of this what kind of pre sales ramp up do you expect because you've done around 1 ,100 crore for 9-months this fiscal. So, how should this move up assuming you're able to launch your projects on the timeline that you're envisaging ?

K. T. Jithendran: We are crossing more than 3000 crores of sales this year and looking at more doing close to 5,000 crores to 6000 crores next year.

Jeet Shah: And on a portfolio level what kind of EBITDA margins do you expect from these projects?

K. T. Jithendran: 30% to 35%.

Jeet Shah: On average?

K. T. Jithendran: Yes.

Moderator: Thank you. The next question is from the line of Karan Mehta an Individual Investor . Please go ahead.

Karan Mehta: I just have one question on Paper business. So, what would be our full year margins in the Paper segment and our margin outlook in this business for FY25?

Vijay Kaul : Well, this year it will be around 15% or so, for the next year we are still working out the numbers and I think it will take another one month before we can comment on that.

Snehal Shah: Every time people keep on asking about the margins. Quite honestly, we don't look at the margins because if you're calculating percentage on the selling price and generally the cost also moves a long with the selling price. So, the right thing to look at is the EBITDA that you get per kg of Paper . So, our aspiration is to be somewhere close to Rs. 15 per kg which is what we feel we should get in the next year. Right now, we are at Rs. 11 per kg .

Moderator: Thank you. The next question is from the line of Saksham Mongia from Ambit Capital. Please go ahead. CENTURY

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Saksham Mongia: My question is related to the real estate sector in the previous call it was mentioned that our leasing rental is about Rs. 190 per square feet. As per the latest reported news at Barclays rented a space in Worli for Rs. 320 per square feet. Do you anticipate the possibility of a steep rental hike in our leasing portfolio considering the potential market-to-market opportunities?

K. T. Jithendran : I mean the rentals have gone up, the vacancies have drastically reduced. We are at 100% occupancy, no immediate releasing or closure is coming up 320 that's a steep thing. I'm not very sure that headline rental s or is there effective rental is what that we need to go into the det ails. I don't have the details, but generally it's looking pretty good the way the market is pretty strong the demand for leasing.

Moderator: Thank you. The next question is from the line of Depesh Kashyap from Invesco. Please go ahead.

Depesh Kashyap: Sir, I just wanted to be sure if I heard correctly you're still maintaining your pre sales guidance of 3,000 crore this year?

K. T. Jithendran : Yes.

Depesh Kashyap: So, in 9-months you have done just 1,100 crores so in next 2 months you are expecting around 2,000 crores further sales?

K. T. Jithendran : Depesh you are well aware that most of the real estate sales happened during launch. Even if you look at our 1 ,100 crores, it mostly happened in Q 2 when we launched Trimaya Phase 1 where we did 550 crores.

So,

I'm hoping that when we do Niyaara Tower B, and we will do the RR Nagar together there are about 6 ,000 crores. If we do reasonably well we should be able to strike this target.

Depesh Kashyap: So, till now you have a RERA approval only for Niyaara 2, right for RR Nagar and for Walkeshwar t he RERA is still awaited?

K. T. Jithendran : You are absolutely right, but we are hoping to get the RR Nagar RERA this month.

Depesh Kashyap: And sir any color you can give on Niyaara Phase -2 like what price point are you looking at because I think the Niyaara 1 is showing at around 80,000 per square feet if I am correct?

K. T. Jithendran : Yes 80,000, 85,000 we are selling now in the last we sold at 85. Yes similar range because it is at launch s o around similar range is what we are expecting.

Depesh Kashyap: And sir how much units are there in Niyaara Phase -2?

K. T. Jithendran : 149 units. CENTURY

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Depesh Kashyap: And lastly sir any color on the collection that you are looking at in this year till now you have done 800 odd crores, what is the expectation?

K. T. Jithendran : Looking around 1,500 crores.

Moderator: Thank you. The next question is from the line of Himanshu Zaveri from Dhruv Gems . Please go ahead.

Himanshu Zaveri: So, in the presentation we have shown a booking potenti al of around 45,000 crores. So, that includes all the projects shown in the presentation along with the commercial projects of Niyaara ?

K. T. Jithendran : Not commercial.

Himanshu Zaveri: Niyaara means the whole project of the 40 mega plot what we are building on right?

K. T. Jithendran : Yes.

Himanshu Zaveri: So, that doesn't include the west plot which you have shown in the presentation on the first week of January which you have shown right, 1.5 million square feet?

K. T. Jithendran : Right.

Himanshu Zaveri: That is separate right ?

K. T. Jithendran : Yes.

Himanshu Zaveri: So, that is also a residential one which is going to come out?

K. T. Jithendran : As of now it is yes.

Himanshu Zaveri: Residential right?

K. T. Jithendran : Yes.

Himanshu Zaveri: And my line got disconnected s o I just want to know what is the news on the busin ess development front like I haven't heard anything in a while, so we can expect this year like a ny update or next year 20,000 crores like what is the update?

K. T. Jithendran : I was just men tioning a while before the Depesh we have already finalized in this financial year projects worth 16,000 crore GDV. We have several proposals in a ll geographies Bombay, Delhi and Bangalore and Pune. Now negotiations are going on, due-diligence are going on. We expect CENTURY Century Textiles and Industries Limited

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few of them to happen this quarter m aybe some of them may spill over to next quarter, but we are quite hopeful that we will be doing some very good deals in the next few months.

Himanshu Zaveri: And one more question. So, if I see a GDV it's around 45,000 crores a nd we are supposed to sign another 20 ,000, 25,000 crores according to what we are projecting, right?

K. T. Jithendran : Yes.

Himanshu Zaveri: The West plot and etcetera w hat we have. The other one is separate.

K. T. Jithendran : As I mentioned 16,000 we have already signed. So, we're expecting another 3,000, 4,000. I mean as per our target with the 20 we have done 16 and maybe another 20,000 next year.

Himanshu Zaveri: So, what of my question is that sir if we are like 65 ,000, 70,000 crores of G DV we have on hand. So, shouldn't we like now going at the rate of slowly at the rate of 10 ,0000, 15,000 crores a year in the next 2 years, 3 years because now we have a huge GDV which is there in our hands, right?

K. T. Jithendran : See the idea is that we should constantly have inventory to sell. So, if I have a GDV which I can't launch now, but i

s it 3 years, 5 years down the line that GD V is not effective GD V for me.

I would like to launch projects worth 15,000, 20,000, 25,000 every year. So, that's what I'm looking at.

So, the project which I am going to have sequential. I'm going to launch it because of managing supply. I have like in Thane I can't launch if I have even let's say 5 million, but I can't launch all of 5 million tomorrow.

So, I would like to have many projects which I can launch simultaneously so that my annual sales can go up. So, just saying GD V is 45 , 50, 60 that doesn't mean much to me. I should have enough projects to launch every year simultaneously.

Himanshu Zaveri: So, what I heard sir is that next year you're projecting 5 ,000, 6000 crores of sales. So, in the next 2 years to 3 years should we be there around 10,000 crores sales a year?

K. T. Jithendran : Yes absolutely.

Himanshu Zaveri: Couple of years or next 3 years?

K. T. Jithendran : Yes absolutely.

Himanshu Zaveri: And the Niyaara project you said Phase -2, you said only 149 units, so from what I assume you are going to make only 4 bed rooms, 5 bed rooms, 6 bed rooms is it because the first phase had 2 bed rooms, 3 bed rooms? CENTURY

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K. T. Jithendran : We are largely having 4 and 5 here and it's a few large 3 bed rooms.

Himanshu Zaveri: In the second phase, is it?

K. T. Jithendran : That's correct.

Himanshu Zaveri: So, we'll be having premium you are targeting a premium segment which is hot right now?

K. T. Jithendran : Totally luxury ultra luxury.

Himanshu Zaveri: And any response like pre-launch or anything has happened or nothing is such right now?

K. T. Jithendran : No, we got the RERA . We started warming the market. It's an extremely strong response, but fingers crossed.

Moderator: Thank you. We take the next question from the line of Jeet Shah from P inPoint Asset Management. Please go ahead.

Jeet Shah: Sir, out of the 7 ,500 crore of ongoing projects how much is sold and what would be the inventory in hand right now?

K. T. Jithendran : We have sold about 6 ,300.

Jeet Shah: So, existing inventory is only 800 odd crores?

K. T. Jithendran : Hardly any inventory left except the Kalyan we have about 2,00 crores otherwise most of the places the percentage inventory is in single digits.

Jeet Shah: And sir based on the new launch that you're expecting this quarter broad basis how much percentage would you expect to get sold ?

K. T. Jithendran : Sorry, you're saying what percentage of the new launch do you expect to sell?

Jeet Shah: Yes.

K. T. Jithendran : I am hoping depending on when we get the RERA for RR Nagar, if you have enough time then I think 50% of these should not be a big challenge in today's market considering the locations and the product that we have.

Jeet Shah: And sir more long-term question on strategies. So, now you have presence across multiple cities.

So, do you intend to try and scale up and win more market share in any particular city or would CENTURY

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you want to be opportunistic in terms of business development and like have a fair presence everywhere kind of?

K. T. Jithendran : As of now we are very clearly focused to increase and establish and to rather consolidate our footprint in these four markets. I think these four markets still have the largest amount of opportunities among all other cities in India.

So, we want to really establish ourselves. I think that's the clear short -to-medium term strategy and we will keep reviewing this every couple of years and also we wonder how the market evolves. We're also looking at entering the commercial market in a much bigger way at the opportune time when we have enough of fund flow or tie ups with large platforms etc etc. So,

that

's the medium -term strategy for us.

Jeet Shah: And one last question is for the textile business. So, it's been EBITDA negative for a few quarters. So, any thoughts there in the sense that should one expect a reversal in margins per se ?

R. K. Dalmia: It depends on the market how the market improves. So, this quarter , running quarter we hope market should improve. So, we may do better, but all depend on the markets and demand supply.

Jeet Shah: But sir does it make sense running the business when you're burning cash there?

Snehal Shah : So, t he thing i s I'm sorry I didn 't get your name Jeet. So, Jeet I don't know how much you 're following the Company , but in the last second quarter we decided to get rid of our spinning and weaving units and move to a completely outsource m odel so that we could at least save costs etcetera and all that and we were going for 100% outsourcing model.

So, now over the next the last quarter and the quarter before that we have seen that we have not been able to really sc ale up to 100% , markets are not s o good etcetera. So, we are doing a wait and watch approach and probably so Jeet yes so in continuing so we are keeping a wait and watch I mean because we are not reaching our entire full capacity plus we are also spending money on providing V RS etcetera to the people that we are reducing.

So, the losses are mou nting. We are keeping a wait and watch if th e markets we feel that unless it improves and if it doesn't improve probably somewhere down the line we may take some other calls.

Moderator: Thank you. The next question is from the line of Himanshu Zaveri from Dhruv Gems . Please go ahead. CENTURY

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Himanshu Zaveri: I just wanted to ask now the real estate business is when it stands up on its own feet maybe in a couple of years down the line. So, the real value for the shareholders should be when we would demerge the business. So, are we looking at doing anything 2 years, 3 years down the road?

Snehal Shah : Every quarter this question comes up and you yourself mentioned that it has to stan d on its own feet in the next 2 years, 3 years. So, once that happens so right now it is on its feet with respect to the projects that it has launched, but it is not on its feet yet in terms of growth capital as K.T was mentioning he has plans for 20,000 crores G DV every year which will require substantial cash and support from the parent Company as well as the cash cow that is the Paper business. So, yes 2 years, 3 years down the line when we see them perfectly on their own we will certainly look at unlocking value of both the business.

K. T. Jithendran : Yes. I just wanted to make one clarification which was the response to De pesh Kashyap's question on the GDV was 45,000 that include s Worli West a Iso 1.5 million square feet from Worli West.

Moderator: Thank you, sir. As there are no further questions. I would now like to hand the conference over to the management for closing comments.

R. K. Dalmia: Thank you all f or pa rticipating in this earning concall. I f you have any further questions or would like to know more about the Company , please reach out to our IR manager at Valorem Advisors.

Thank you for your support and confidence in the Company .

Moderator: Thank you, sir. On behalf of Ambit Capital that concludes this conference. Thank you for joining us and you may now disconnect your lines. CENTURY

Call: May 2024

ADITYA BIRLA
CENTURY
SH/XII/2024

Corporate Relationship Department
BSE Limited
1st Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai-400 001

Scrip Code: 500040

Dear Sir/ Madam, 13th May, 2024

Listing Department

National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Bandra-Kurla Complex
Bandra (East), Mumbai-400 051.

Scrip Code: CENTURYTEX

Sub: Transcript of Q4FY24 Earnings Conference call of Century
Textiles and Industries Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements)
Regulations, 2015 ('Listing Regulations')

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the
Q4FY24 Earnings Conference Call conducted on 07th May, 2024 at 04:00 pm IST after
the meeting of the Board of Directors of the Company held on the same day itself.

This is for your information and record.

The above information is also available on the website of the Company:

www.centurytextind.com.

Thanking you,

Yours truly,

For CENTURY TEXTILES AND INDUSTRIES LIMITED

ATUL K. KEDIA

Sr. Vice President (Legal) & Company Secretary

Encl: as above

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Corporate ID No.: L17120MH1897PLC000163

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"Century Textiles and Industries Limited

Q4 FY'24 Earnings Conference Call"

May 07, 2024

MANAGEMENT : MR. R.K. DALMIA – MANAGING DIRECTOR –
CENTURY TEXTILES AND INDUSTRIES LIMITED

MR. K.T. JITHENDRAN – CHIEF EXECUTIVE OFFICER
– REAL ESTATES – CENTURY TEXTILES AND
INDUSTRIES LIMITED

MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER –
CENTURY TEXTILES AND INDUSTRIES LIMITED

MODERATOR : MR. BIPLAB DEBBARMA -- ANTIQUE STOCKBROKING

ADITYA BIRLA

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Moderator: Ladies and gentlemen, good day, and welcome to Century Textiles and Industries Q4FY24 Earnings Conference Call hosted by Antique Stockbroking. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Biplab Debbarma from Antique Stockbroking. Thank you, and over to you, sir.

Biplab Debbarma: Thank you, Steve. Good afternoon, everyone, and welcome to the Q4FY24 Earnings Call of Century Textiles and Industries hosted by Antique Stockbroking. Today, we have with us the management of the company represented by : Mr. R. K. Dalmia, Managing Director; Mr. K.T. Jithendran, CEO, Real Estate Division; and Mr. Snehal Shah, CFO. Without further ado, let me hand over the call to Mr. Dalmia. Over to you, sir.

R.K. Dalmia: Thank you. Good evening, everyone and welcome to the earnings conference call for the fourth quarter of the financial year 2024. Let me first take you all through the financial highlights, followed by the business -wise operational highlights. For the fourth quarter of financial year 2024, the consolidated turnover of continuing operation grew by 60% year -on-year to INR1,542 crores. The EBITDA for the quarter grew by 81% Y -o-Y to INR282 crores with EBITDA margin reported at 18.3%. The net profit on continued operation was INR160 crores for the quarter. As you might be aware, on March 22, 2024, the Board of Directors of the company reviewed the operations of the Textile division and in view of the unsatisfactory performance of the unit with continued operational losses despite attempts of possible turnaround as

well as considering

the adverse market conditions and non -availability of viable orders to cover the cost, it was decided to discontinue operation of the process house after completion of the orders in hand. The net loss for the quarter for disconti nued operations amounted to INR140 crores.

For the financial year ended 2024, the consolidated turnover of continuing operations grew by 19% to INR4,570 crores. The EBITDA reported was INR718 crores with EBITDA margin of 16.8% with net profit from continued operations of INR304 crores. The net loss from discontinuing operations was INR244 crores for the full year.

Now let me take you through some of the key highlights across our 3 business verticals, starting with the Real Estate business. During Q4 financial '24, the Indian real estate sector, sales volumes in primary market have grown at extremely healthy rate. Wi th Mumbai market witnessing the highest sales volume and Y -o-Y growth across all other Indian metros, owing to a robust economic growth and strong consumer demand with a significant trend of rising demand for luxury homes offering the superior amenities a nd exquisite designs.

Q4 financial '24, the revenue of Birla Estate grew substantially year -on-year to INR668 crores with EBITDA of INR204 crores, representing an EBITDA margin of 30.5%. This growth was driven by revenue recognition of 3 projects, which have initiated handover for well before the RERA timeline , namely Birla Vanya Phase 1 in Kalyan , Birla Navya Phase 1 in Gurugram and m M3Uii'I-IM

Birla Alokya in Bengaluru. We achieved bookings worth INR2,881 crores in Q 4 financial '24 at our already launched projects, while our collection was INR644 crores from all projects during the quarter.

In Q4, we launched a new phase of our flagship project, Birla Niyaara at Worli in Mumbai called Silas, which received a spectacular response from customers resulting in the sale of 68 units worth INR2,391 crores within a month after its launch. The show apartment for the project was unveiled by Ms. Ananya Birla in the presence of top luxury influencers, Bollywood celebrities and luxury designers.

In other updates, Birla Tisya, Bengaluru received Safety Shield Award from National Safety Council, India. The only real estate developer to receive this prestigious award.

Additionally, Birla Niyaara, Mumbai, was awarded the winner of prestigious 15th CIDC Vishwakarma Safety Award '24 for the best HSE practices. Overall, the residential real estate market is expected to grow to new heights in the upcoming financial year, driven by a surge in demand and a strong consumption record. We believe that financial '25 is poised to be a transformative period fuelled by urbanization trend , a booming rental market and consistent

property value appreciation. Customer centric project had been outlined in 3 years road map. This will strengthen our differentiated position by increasing customer experience and deepening customer engagements.

Now moving on to the Pulp and Paper segment. During Q4 '24, paper, board, and tissue prices continued the downward trajectory with average net sales realization down by 15% year -on-year, consistently reducing NSR, impacted sales turnover and EBITDA. Overall production volume increased by 6% year -on-year. However, they are 4% lower than previous quarter. Sales volume increased by 13% year -on-year. Sales turnover for the quarter decreased by 6% Y -o-Y to INR859 crores with EBITDA at INR65 crores, and EBITDA margin reported at 7.6%.

Supply chain disruption in the Red Sea and Suez Canal have contributed to increase in prices of key raw materials. Increasing price of imported pulp and challenges in wood availability have also impacted cost of production. Board and tissues sales were better than Q4 '23 as compared to paper and CGP sales. Various cost reduction ini

tatives have been envisaged in pulp and

recovery, power block, machine replacements, in PM3, which would help improve machine productivity and reduce overall cost.

As a part of sustainability initiative, 80 nurseries have been developed in 11 districts to provide seedling and clones to farmers and total of more than 52,00,000 plantations completed in financial year '24.

On the market outlook, writing and printing and copier demand is expected to improve post - election with government tenders opening in Q1 FY '25. Seasonal factors like expected to moderately revive demand with an increase in exports, offering improved realization and greater price stability.

Tissue demand is expected to remain stable in FY '25. Domestic realization continued to be higher than in export market. However, our focus is more to prioritize growth in domestic m

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market, while board demand is likely to improve in Q1 '25 with Pharma segment gearing up summer medicines with added price increase announced by international paper mills.

Export demand from Europe, U.S. and U.K. markets is consistent and is expected to improve in FY '25. However, oversupply in market likely to continue in FY '25 as the market growth is lower than the capacity being added by domestic as well as international mills.

Lastly, talking about Textile division. In the beginning of FY '24, the company took a decision to initiate the process of restructuring the company's textile business operation at Birla Century Bharuch plant. As a part of restructuring plan, spinning, and weaving departments at the plant were discontinued.

However, with a view to optimize the utilization of process house, it was supposed to increase outsource of specialized greige fabric from 45,000 meters per day to 105,000 meters per day. Simultaneously, VRS scheme was also implemented for the workers, employees working at the discontinued units, and majority of workers, employees at spinning and weaving department opted for that scheme.

On March 22, 2024, the Board of Directors of the company reviewed the operations of the Textile division. In view of the unsatisfactory performance of the unit with continued operational losses, despite attempts of possible turnaround as well as considering the adverse market conditions and nonavailability of viable order to cover the cost, it was decided to discontinue the operation of the process house after completion of orders in hand.

After careful consideration and deliberation, the Board approved the proposal to discontinue all operations at Birla Century Bharuch Unit except some minor manufacturing operations and other allied activities related to supply of yarn to Birla Advanced Knits Private Limited, a joint venture of the company of Grasim Industries Limited.

With that, I now conclude our opening remarks, and we can start the question -and-answer session. Thank you.

Moderator: The first question is from the line of Dhananjai Bagrodia from ASK Investment.

Dhananjai Bagrodia: Congratulations on a fantastic set of results again. I believe for FY '24, we have outperformed what our initial estimates were. Just to ask you now going ahead, with now we've delivered in terms of this FY '24 -'25, like how is land prices coming along, going ahead , to purchase them to have a next leg of business? And how are we looking at other aspects of real estate in terms of commercial and maybe anything else we're thinking of?

K. T. Jithendran: Dhananjai, thank you for your questions. So yes, the land prices have become much firmer. It's getting more and more pricey if I may say so. So that much more difficult it has become to conclude deals. But we are looking at quite a few number of parcels in each of our targeted regions and pretty confident that we are getting some good deals either on outright or JV model. So from that

point of view, we are pretty hopeful that we will be able to conclude a few good deals though the prices of land are continuously climbing up. m

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Dhananjai Bagrodia: Okay. So would we still look at outright purchase? Or has it been a combination of...

K. T. Jithendran: Yes, yes, we are still looking for both outright and JV. Why outright, because otherwise, it would be too opportunistic. So in our targeted segment where we think the land prices still makes sense, we are open to concluding deals.

Dhananjai Bagrodia: Okay. And how are we thinking of ex-residential for other projects? How are we planning on thinking? Are we looking at any other avenues in terms of either malls? Or how is that coming along?

K. T. Jithendran: Yes, we are pretty much focused on residential. I think that's still the best bet for leveraging the brand and also strengthening the balance sheet and also very sharp margins. But however, we are also opportunistically open to looking some commercial deals in the market. I think the commercial market is also pretty firm, at a good time, if you have the right product to look for commercial opportunities also.

It will be largely on the back of raising some funds, which we are in the process of. We are following up on that. And apart from that, even plotted development, I think, is a good opportunistic play for quick turnaround. So we are on the lookout for these 2 segments also in addition to the residential.

Dhananjai Bagrodia: And how is it competition in terms of competitive intensity now in terms of more and more players coming into the market? Are we thinking...

K. T. Jithendran: Yes, I think it's quite competitive now. A lot of top players are all looking for land. We faced that, when we are going for a particular piece of land. There is more than 1 player who is after the same land. So the landscape has become quite competitive, to tell you the truth. But we are pretty hopeful that given our brand, given our execution capabilities, and our pricing power, I think we we'll be able to secure a few good deals for ourselves.

Dhananjai Bagrodia: Okay. And would you have any targets for the next few years? Or that's too early to say?

K. T. Jithendran: Yes, I mean, we have targets. We have about INR15,000 crores to INR20,000 crores of new projects target. We did about INR16,000 crores this year. Hopefully, we do a similar number or close to about INR20,000 crores in the coming year.

Moderator: The next question is from the line of Abhishek G etam from Alpha Invesco .

Abhishek G etam: Thank you for the opportunity, sir. Sir, my -- the first question revolves around MMR market . So as you also highlighted that you're looking for some land parcel in the key areas . So my question is how do you see given there's a lot of projects coming up, a lot of demand also there, but a lot of supplies are coming up. So how do you estimate that demand supply going ahead?

K. T. Jithendran: I think the demand at this point of time is far more than the supply. I think there is quite a few demand . That's what we have seen personally in the markets that we are operating. Every market demand is far outstripping supply. Supply is constrained because the number of players are much fewer than what it used to be. m

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And land prices, as I mentioned, has gone pretty sharp. Also, the regulatory rules also puts a lot of constraints on many developers in terms of having financial backing, the discipline of getting all the approvals. And I think from that point of view, supply is still pretty constrained compared to the demand. Demand is very, very robust on the back of several fundamental factors, tracing to the Indian economy and the current affordability price. Suppose there is going to be

a

sustained demand over the next few years.

Abhishek G etam: Another question was on paper. So earlier, I guess our guidance stood at 15% operating margins in the division. Currently, we are at 5%. We understand the current issues. And then what's the outlook ahead for FY '25?

Snehal Shah : So Abhishek, basically, last year, we had a little bit of a cost constraints. And one of the reasons for our low margins in last year was certainly the cost constraints we had, particularly on the procurement of wood as well as on the power costs that we have. We have a lot of capex planned to overtake all these issues that we had in the bottlenecks.

And we can safely give you a guidance that we will be if not 15, we'll be close to about 12 next year. I think it is not percentage, it is INR15 per kg of paper is the margin that we are aspiring for. But the guidance right now is around INR12 to INR13.

Abhishek G etam: Understood, sir. And just one last question. Sir, we've booked loss from discontinued operations for INR150 crores on net realizable value of INR174 crores. So can you give some more light

on this? And is this expected to roll over in the next few quarters also?

Snehal Shah : We have already taken whatever impairment we have to take, we have already taken that impairment this year. And whatever realizable value is left, we are hopeful that, if not more, we will at least be able to achieve that realizable value. So we don't expect anything more in the next year other than some write-offs, may be not more than INR25 crores.

Moderator: The next question is from line of Deep Mehta from Bank of India Mutual Fund.

Deep Mehta: Congratulations for a very solid number. My first question is regarding our real estate business. It will be very helpful if you can give launch timeline for next year. So in which quarter or which month are we planning to launch each of these projects?

K. T. Jithendran: Yes. So we are pretty optimistic in the current year. We are coming up with as many as 9 launches. And these launches will be spread across each of the quarters, starting from this quarter itself. We are looking at Walkeshwar launch, the Bangalore, RR Nagar launch, then Trimaya Phase 2 launch, then launch in Pune, launch in NCR, further launches in Bangalore. So pretty upbeat about this for this current year. Yes, so at least about 9 launches we are planning.

Deep Mehta: So with more than INR8,000 crores of launches planned this year, do we expect to grow our presales from the last year?

K. T. Jithendran: Yes, we at least expect to double our sales performance from what we did last year. m

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Deep Mehta: Sure, sir. This is very helpful. And my second question is regarding our total debt. We have roughly around INR2,500 crores of debt as on FY '24 end. How should we look at this number?

And how will collection help us to manage this number?

Snehal Shah: Deep, Snehal here. What debt you are seeing INR2,482 crores is the consolidated debt. Against that, we have about some liquid mutual fund investments and some HO balance. So our net debt right now is somewhere around INR2,050 crores. So our -- based on the current launches that we are going to do of our existing projects, and the ongoing projects that we already have, we expect additional cash flow requirement by the real estate business to be somewhere around INR300 crores to INR400 crores.

So that is where we expect our debt to go to INR2,500 crores net debt or whatever we are talking about. Now the only question is Mr. K.T. Jithendran just now gave a guidance that we might be doing new acquisitions to the extent of INR15,000 crores to INR20,000 crores. So maybe roughly around INR2,000 crores additional debt might be required. Maybe half of it will be financed by the parent and half will be financed through either raising construction fin

ance on

our existing projects or some sort of financing arrangement with the joint financier. Does that help you?

Deep Mehta: Yes, sir. That is very helpful. And just last one question with a very strong response in Niyaara Phase 2. Do we expect to launch Niyaara Phase 3 in this year itself?

K. T. Jithendran: Too early to say that. We may look at launching it in Q4 of this year or we may think about it next year. Yes, it's too early because we'll continue to observe how Niyaara 2, the Tower 2, which is called Silas, performs. So far, we have done more than 72-73 bookings. So once we do about 80% to 90% of the booking, then we may think about it. Right now, our focus remains on maximizing from Niyaara 2.

Moderator: The next question is from the line of Rohan Shah from Valcore Capital Advisor.

Rohan Shah: Hello. Yes, am I audible?

K. T. Jithendran: Yes, yes, you are.

Rohan Shah: Yes. Okay. Sir, so just a few questions on the real estate front. Could you help me with the presales of FY '24, if you can give me a number?

(K. T. Jithendran): Pre-sales, FY '24, the last year, that was INR3,985 crores.

Rohan Shah: Okay. INR3,985 crores. And we hope to do twice of it in this year, as you said earlier, right?

(K. T. Jithendran): Yes.

Rohan Shah: Okay. Sir, the second question on the line of the paper business. We see a great dip in EBIT. So could you help us with why the dip in EBIT considering quarter-on-quarter?

Moderator: Ladies and gentlemen, we have lost the management line. Please wait for a moment while we reconnect. Thank you. m

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Ladies and gentlemen, we have the management line reconnected with us. Thank you.

Snehal Shah: sorry, Rohan.

Rohan Shah: So sir, my question was regarding the paper business. So during the quarter 4, we see a good dip

in the EBIT. It's nearly INR30 crores. So could you help us why such a dip because that would have been viewed, this business would have given us free cash flow, which would have financed our real estate so any specific reason for the dip?

Snehal Shah No, the specific reason is in NSR, we were expecting some improvement in it, which actually didn't happen. And we have continued to have some cost disadvantages, as I mentioned earlier.

So basically, we lost close to about INR117 crores just because of price difference.

And we had little less volumes also because we were having some difficulty in pulping capacity, and therefore, we could not produce more and sell more. So we consider that as a blip. We hope that the demand is going to increase post the election results, because now everything in the government tenders has stopped. And therefore, there are no tenders for the paper business. Hopefully, the FMCG and Pharma business will pick up, which will result into some increase in the board's. Tissue, we are reasonably okay. And the demand is pretty buoyant. We also had some tough competition on the pricing front from imports from China, Indonesia. These two countries. So that also put a little bit of a pricing pressure in the market.

So I mean, overall, we are hoping to do better, but still, we were able to provide some cash flow to the business from this segment.

Rohan Shah: Okay, sir, yes. That was helpful. Sir, my next question is on the line of the presales for next year.

So sir, as you said, we would be doing around INR8,000 crores of presale next year. So where do you see it coming from like new launches, existing launches or from which geography, if it can help us?

K. T. Jithendran: So as I mentioned, we are coming up with 9 new launches next year, either new project launches or new phase launches. So largely coming from these and of course, the balance sales from Niyaara 2 and the Niyaara 1 and the balance inventory left over from Kalyan, Birla Vanya.

Except for Birla Vanya and Niyaara, most of the other

er projects are almost on a sold-out situation

for whatever phases we have launched. That has still all come from new phase launches.

Rohan Shah: Okay. And sir, could you give us an amount of the launches like in crores, how much would the value be of the new launches?

K. T. Jithendran: About INR12,000 crores of launches will be there, roughly.

Moderator: The next question is from the line of Dikshit Doshi from Whitestone Financial Advisors.

Dixit Doshi: My first question is, I think in this quarter, we have recorded a revenue of INR668 crores in the Real Estate division. And we started the delivery of 3 projects - Vanya, Alokya, and Navya. So can you help me with how much revenue has been recognized in these 3 projects separately?

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K. T. Jithendran: So we have recognized revenues of around INR687 crores across the 3 projects. And the balance would be recognized in the coming quarter. You would like the detail project wise?

Dixit Doshi: If possible?

K. T. Jithendran: Yes. So around INR 264 crores in Kalyan, around INR 200 crores in Bangalore and around INR 222 crores in Gurugram.

Dixit Doshi: Okay. So I think Gurugram is a 50-50 JV. So we record the entire revenue in our books and then we will...

K. T. Jithendran: Yes, in the profit sharing, we record the whole thing here. If it would have been a revenue share, 50-50, we would have recorded only 50-50. But in a profit sharing, the entire top line is fully recognized.

Dixit Doshi: Okay. And their share will come in the cost line?

K. T. Jithendran: That's right.

Dixit Doshi: Okay. So my question was, let's say, these 3 projects total value is around INR 2,700 crores plus. So almost INR2,000 crores can come in the next 1 or 2 quarters.

K. T. Jithendran: No, that's not correct. As far as Bangalore is concerned, we received OC for the full project. So that is right. And as far as Kalyan is concerned, we have received OC for 5 out of the 7 buildings. The 2 buildings are still expected. So yes, between this quarter and next quarter, the rest will be recognized.

Of course, there is a few more, about 20% of sales in balance. We have sold about 1,000 apartments. We have about 1,200 apartments. About 200 apartments left for sale in Kalyan, that's the position.

Whereas in NCR, we have recognized revenue only for the first phase. This is the first 2 blocks, right. There are many more blocks left, which will be recognized over this year, next year and a couple of years. So roughly about INR600 crores in Phase 1, which had got OCs. The rest is all work in progress. Our sale is 100%, yes, what I'm saying is that NCR, we have whatever phases we have launched. We have sold almost 100% of the inventory, which is about INR1,500 crores, of which we have got OCs for only Phase 1. The other phases will get OC over this year and next year.

Dixit Doshi: So how much will be OC received , which will be...

K. T. Jithendran: Roughly about in NCR, it's about INR600 crores, of which I think, 228 units of which about 170 units we have got the OC, another 52 units is balance, which we have received the OC, but we are still doing the billing, etc. So we have not recognized revenue. So revenue also will be recognized this quarter. Rest all will come up in this year, end of this year and next year. m

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Dixit Doshi: So you are saying that this NCR, which we show INR1,600 crores booking value, only INR600 crores is OC received which, let's say, INR220 crores we have recognized this quarter and balance will come over next few quarters.

K. T. Jithendran: Yes, 228 units, 170 units we have recognized. So roughly 170, and another 50, 60 units will come up.

Dixit Doshi: Okay. So in terms of value, let's say, even in Kalyan and Bangalore, Alo

kya...

K. T. Jithendran: I'll give you more -- yes, yes. I lost you, Dixit.

Dixit Doshi: Yes, yes. Can you hear me? Hello?

K. T. Jithendran: Now I can hear you.

Dixit Doshi: Yes. So what I'm asking...

K. T. Jithendran: Dixit, can you hear us?

Dixit Doshi: Yes, yes. Can you hear me?

K. T. Jithendran: Yes.

Dixit Doshi: Yes. Can you hear me now?

K. T. Jithendran: Your voice is going on and off.

Dixit Doshi: Is it better now?

K. T. Jithendran): Yes, we can hear you.

Dixit Doshi: Yes. So for Kalyan and Alokya project also, we are showing booking value INR 840 crores and INR 386 crores. So how much of that is OC received?

K. T. Jithendran: See, Vanya, as I mentioned, of the 7, we have got OC for 5 buildings. Okay, the other 2 OCs we're expecting in this quarter and 1 in next quarter. And in Alokya, we received the full OC.

We have to bill for the last 76 apartments out of the 218 apartments. We have about 3, 4 apartments balance to sell

As far as Navya is concerned, I just wanted to make some correction. I had mentioned 170 apartments, but actually it's about 114 apartments, for which we have booked profits, and another 108 apartments will be booking profits in this quarter.

Dixit Doshi: Okay. And sir, my next question is, so if I read the current revenue, INR668 crores, I think some INR30 - 40 crores will be leasing revenue

K. T. Jithendran: No, no. That is over and above to this. Leasing revenues on top of it.

Dixit Doshi: Okay. This INR 668 crores revenue does not include leasing? m

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K. T. Jithendran: No, no. That's another INR130 - INR140 crores on top of this.

Dixit Doshi: This quarter, our segment -wise real estate is INR668 crores.

K. T. Jithendran: That is without the revenue from the leasing. That's on top of this.

Dixit Doshi: Okay. So where do we record the rent revenue in P&L?

K. T. Jithendran: In CTIL, because those 2 buildings sit in CTIL. So it is recorded in the CTIL revenue, parent company revenue.

Dixit Doshi: Yes, I'm asking consolidated revenue of the real estate segment is reported INR668 crores this quarter.

K. T. Jithendran: So the total revenue is INR668 crores. Plus there are some other charges which comes in other operating income. So the total revenue, which we've recognized for the units is INR 687 crores.

So the difference between INR660 and INR 686 crores is other charges

K. T. Jithendran: We will just get back to you on that.

Dixit Doshi: Yes. So just to conclude my question. So in the real estate division, our EBIT is INR196 crores this quarter. Of this INR196 crores, I think INR124 crores we received from TDR.

K. T. Jithendran: You're right.

Dixit Doshi: Okay. So the INR72 crores EBIT is for the real estate segment, normalized on INR670 crores top line, which is hardly 12% -13%. And if I remember correctly, in our previous con calls, we have mentioned that these 3 projects in revenue recognition are 30% plus margin kind of projects

K. T. Jithendran: You're absolutely right. It's all around 30% margin. Right now, we have recognized whatever

was in the early sales, which we have done in 2017 and the later when the prices increased, those revenues will come later in the next quarter. But still it's not 12%, it is about 23% is what I gather.

Snehal Shah: Dixit, INR 668 number that you are seeing is for the quarter. And if you look at the revenue, which Mr. K.T. Jithendran was telling you is for the entire year. So you have to look at INR832 crores, which includes the leasing income.

So when he was talking INR600 crores of revenue recognition, he is looking at the year -end figure of INR832 crores, which also includes the revenue of the other leasing. Because we've not received all the revenue in fourth quarter, we also had some revenue recognition in quarter 3 also.

Dixit Doshi: When you

mentioned 23% margin on these projects, even the early sales, so this 23% is reported.

So how much would be our corporate head expenses, because of which the reported margins looks lower? m

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Snehal Shah our corporate overheads are around INR174 crores to INR175 crores annually including salaries and other corporate spends . And as a percentage of booking value, it's well within our industry norm of 4%.

Dixit Doshi: Yes, yes. That I understood. I was just wondering that the reported margin of the real estate division of these 3 projects, which we are recognizing the revenue looks very low in the fourth quarter.

Snehal Shah : So the numbers I'm talking about is for the FY '24. If you're looking at INR832 crores, the numbers from leasing income is INR151 crores; from Vanya is INR264 crores; from Birla Alokya, that is Bengaluru, is INR201 crores and from Navya is INR216 crores. And if you look at the profit from INR198 crores, you have to reduce INR202 crores, which is the TDR. So that is the total cost that we have actually incurred as overheads and everything else. Am I clear?

Dixit Doshi: Okay. I'll take it offline, maybe.

Moderator: The next question is from the line of Siddharth from SaaS & B

Siddharth : Just a 3 -part question actually. So I'll ask 1 at a time if that's fine with the management.

K. T. Jithendran: Yes, yes, it's fine.

Siddharth : So firstly, I just wanted to know since the management is, from what I can tell, more focused on the real estate business, and most investors obviously also see value in that. And we did shut down the loss -making unit this time around the Textiles division.

Are we also internally discussing thoughts of a demerger where it will unlock value because investors then are completely interested in the real estate play, can get a chance to have equity there? And those who are interested in the paper or the pulp busin ess can have an opportunity there. Are those conversations on the table at the moment?

Snehal Shah : Those conversations are not on the table, but certainly at the back of our mind, but we have been constantly telling investors that real estate for us is a new business. And it certainly right now standing on its feet for the business that it's already lau nched, but it certainly requires a certain big growth capital.

And pulp and paper business is sort of our cash cow. And just to give you some numbers, roughly, even if we do 500,000 tonnes of paper and if you take INR15 per kg, we are making INR750 crores of EBITDA. So that is a significant amount for us to at least reduce the amount of debt that we can raise for the purpose of the growth capital of real estate.

So it is at the back of our mind. Certainly, there is always a case for unlocking value for both the businesses separately. But right now, I don't think, and we don't think that it is an opportune time for us to do it. We are going slowly. We have already started with closing down the loss -making business. But we certainly don't want to get away from the cash cow because we don't intend to invest anything more , to organically or inorganically grow the paper business. So there is no major capital that we ar e planning for the paper business. So that is one reason. m

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Somewhere –2-3 years down the line when real estate can stand on its feet even for the growth capital, I think that discussion will come on the table.

Siddharth : Actually, you mentioned that obviously now to grow the real estate business, we will need growth capital and you did mention in the conversation prior that we are having conversations that we're looking to raise funds, maybe some funding at the promoter le vel or from others. So now the fundraising that you're looking at, are you looking at

dilution in Century Textiles thereby
to raise money for the business .

Snehal Shah : We are only looking fund raising for specific projects at project level, not at a subsidiary level, not at the parent level.

Siddharth : All right. So even the promoter funding then would come at the project level, I'm assuming, right?

Snehal Shah : No, promoter will not put any more fund. We'll just put our capital from the business in that project. And the other partner will put his money into that project. So there will be an SPV separately for each project.

Siddharth : Understood. Thirdly, just a couple of more questions. There have been conversations in the market about GIC looking to fund a few of the projects at Birla. Are we in active conversations with them regarding the same? And if so, could you shed any light on that?

And secondly, as far as the Birla lands are concerned and the lands of the textile mills that we have, what's our status on those? Are we seeing realizable value there, where, for example, we can maybe have a new project or something of that sort?

Snehal Shah : So probably, I think you've come in late in our business. We already have investors know of our plan for the Worli land in terms of the development value over there and our plans for that. As far as GIC is concerned, there is absolutely zero discussion with them at the moment. Like all investors, everybody comes and meets us and look at our projects. Besides that, there is no other discussion. This is pure speculation.

K. T. Jithendran: Just wanted to clarify to Mr. Dixit, the net leasing income for the financial year is INR116 crores. That is one. Number two, the revenue, which is recognized for the 3 projects, Kalyan, Gurugram and Bangalore, the EBITDA margin on that is approximately 23%. This is at the project level. Plus after that, there are overheads and other costs which come down. So just wanted to clarify on the EBITDA margin for the projects. Yes, the balance phases of the same projects will get recognized in the subsequent quarters.

Moderator: Sorry to interrupt, sir, but the current participant has been disconnected.

K. T. Jithendran: Okay . Okay . But I'm sure they must be hearing on.

Moderator: Yes. The next question is from the line of Himanshu Zaveri, an Individual Investor.

Himanshu Zaveri: Yes. So what is our plan on a market like NCR, as it's a red-hot market and the prices are going up a lot. So if you must be aware, DLF and Godrej are doing extremely well in that market. So m

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they have done sales of like INR10,000 crores only in NCR. So what are our plans to sign new BD? Or are we finding very difficult to find new deals that land prices have gone up a lot over there in that particular market?

K. T. Jithendran: Yes. Good question, Himanshu. We are also pursuing very aggressively deals in all the 3 NCR markets - Delhi, Gurugram and Noida. As you very rightly mentioned, the market is a little frothy. The prices have really gone up. The supply is very little, and there is heavy competition. For instance, in Noida, there's literally no supply at all.

We have been trying pretty hard. We are pursuing a few deals in each of these markets. We already have a deal of Indian Hume pipes in NCR, which we are hoping to launch this year. We also have the last phase of our Gurugram project in Sector 65, which is Birla Navya. So, the last phase of INR1,000 crores is still expected.

As you know, there's some policy level decision which are awaited from the government because of which that last phase is stuck. We have a few more deals which we are pursuing very aggressively in Gurugram, in Noida and also in New Delhi. So we are hopeful that we will be able to clinch at least some of them or a few of them.

Himanshu Zaveri: So can we expect maybe a couple of them this year itself?

K. T. Jithendr

an: Yes, yes, of course, this year itself for sure.

Himanshu Zaveri: Okay. And apart from the land in Worli, which we have, which other places do we have land parcel like the Talegaon 1, or the Kalyan or anywhere else we have lands where we can develop?

K. T. Jithendran: No, we don't have anything beyond what we have now. We have the Worli one, Kalyan one, we have done. There are a few more parcels in Kalyan, but that's not right for development now.

May come up in a few years. Talegaon, we have again but I don't think it is right for development today, maybe in a couple of years later. So that's pretty much about it. There are no new lands available with CTIL.

Himanshu Zaveri: Okay. And what is your assumption for business development in future? Can we expect like INR20,000 crores of BD almost like every year now going ahead?

K. T. Jithendran: That's a reasonable assumption.

Himanshu Zaveri: Because if you want to grow, you should look at that rate, at least, right?

K. T. Jithendran: Yes. Yes. I agree with you, and I think we are kind of targeting that kind of growth , steady growth for the next few years.

Himanshu Zaveri: Can we expect that the markets like Pune and Bangalore also we will enter in a big way? Because Mumbai already, we have quite a bit of inventory on our own also, right?

K. T. Jithendran: That's right. In Bangalore as we speak, we have 5 projects. We are looking at a few more. I think our highest number of projects is in Bangalore. We have 4 projects in Mumbai, 1 in Pune and 2 in NCR. We are hoping to increase Pune and NCR substantially this year. m

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Moderator: The next question is from the line of Amit Sanghvi.

Amit Sanghvi: Yes, sir. As I understood, in case of Silas, we have sold about 68 units under Pre-sales and for a total value of INR 2,391 crores. I just wanted to know what is the price per square foot for these 68 units. And how many units are there yet to be sold under presales?

K. T. Jithendran: So Silas, there is about 148 units in all as we speak, we have sold about 72. And the average carpet price per square foot has been about INR 95,000.

Amit Sanghvi: Okay. And what is the RERA timeline for possession for this?

K. T. Jithendran: 2028.

Amit Sanghvi: 2028, okay. And for Birla Niyaara 1 is 2027?

K. T. Jithendran: No, that's also 2028, Jan, just maybe about 6 months later. Niyaara Tower A is a much taller building. So probably we'll be finishing both this building around simultaneously.

Amit Sanghvi: Okay. And what will be there in Phase 3? It is mall and hotel or even residential also?

K. T. Jithendran: Tower C, as of now, we're planning residential because there is a pretty robust demand for high - end large format flats, apartment s. The kind of success we experienced in Tower B, we hope to continue in the same way in Tower C too.

Amit Sanghvi: Okay. And it is expected to be launched either in Q4 FY '25 or in FY '26 Q1?

K. T. Jithendran: That's right. That's right.

Moderator: As there are no further questions, I would like to hand the conference over to Mr. Dalmia from Century Textiles and Industries for closing comments.

R.K. Dalmia: Thank you all for participating in these earnings Concall . If you have any further questions or would like to know more about the company, please reach out to our IR manager at Valorem

Advisors. Thank you.

Moderator: On behalf of Antique Stockbroking, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you. m

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Call: Jul 2024

CENTURY

SH/XII/2024 zznd July, 2024

Listing Department Corporate Relationship Department

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Sandra (East), Mumbai-400 051.

Scrip Code: CENTURYTEX

Sub: Transcript of Q1FY25 Earnings Conference Call of Century Textiles and Industries Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the Q1FY25 Earnings Conference Call conducted on 16th July, 2024 at 04:00 pm 1ST after the meeting of the Board of Directors of the Company held on the same day itself.

This is for your information and record.

The above information is also available on the website of the Company:

www.centurytextind.com.

Thanking you,

Yours truly

For CENTURY TEXTILES AND INDUSTRIES LIMITED

ATUL K. KEDIA

Sr. Vice President (Legal) & Company Secretary

Encl: as above

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Corporate ID No.: L17120MH1897PLC000163

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"Century Textiles and Industries Limited

Q1 FY'25 Earnings Conference Call"

July 16, 2024

MANAGEMENT : M R. R.K. DALMIA – MANAGING DIRECTOR –

CENTURY TEXTILES AND INDUSTRIES LIMITED

MR. K.T. JITHENDRAN – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – BIRLA ESTATE –

CENTURY TEXTILES AND INDUSTRIES LIMITED

MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER –

CENTURY TEXTILES AND INDUSTRIES LIMITED

MODERATOR : M R. MOHIT AGRAWAL – IIFL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Century Textiles and Industries Limited Q1 FY '25 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Agrawal from IIFL Securities Limited. Thank you and over to you, sir.

Mohit Agrawal: Thank you, Sagar. Good afternoon, everyone, and welcome to the First Quarter FY '25 Earnings Conference Call of Century Textiles and Industries hosted by IIFL Securities. Today, we have with us the senior management of the company represented by Mr. R. K. Dalmia, Managing Director; Mr. K.T. Jithendran, MD and CEO of Birla Estate; and Mr. Snehal Shah, CFO of Century Textiles. I now invite the management to share their opening remarks, which will be followed by a Q&A session. Over to you, sir. Over to you, Dalmia, sir.

R. K. Dalmia: Okay. Thank you. Good evening, everyone and welcome to the Earnings Conference Call for the first quarter of the financial year 2025. Let me first take you through the financial highlights, followed by the business and operational highlights. For the first quarter of financial year 2025, the consolidated turnover of continuing operations grew by 28% year-on-year to INR1,140 crores. The EBITDA for the quarter declined by 15% year-on-year to INR125 crores with EBITDA margin reported at 11%. The net profit on continued operation was INR28 crores for the quarter.

Now let me take you through some of the key highlights across our business verticals starting with the real estate business. During Q1

'25, the Indian real estate sector continued to flourish driven by positive indicators such as GDP growth, boosting investment and a strong consumer spending sustaining demand. Increasing urbanization and steady property value appreciation are also expected to propel the residential market forward. Within this market, the premium and luxury segments are experiencing rising demand with differences shifting towards enhanced amenities and luxurious spaces.

For Q1 '25, the revenue of Birla Estate grew by over 800% year-on-year to INR338 crores, driven by continued deliveries and projects Birla Alokya in Bengaluru; Birla Vanya in Kalyan; and Birla Navya Phase 1 in Gurugram.

We achieved booking of Rs.INR262 crores in Q1 '25 at our already launched project, representing a growth of 27% year-on-year. We maintained very strong collection of INR488 crores from all projects during the quarter. We did two major acquisitions during the quarter, wherein we acquired 13.27 acres of land parcel in Gurugram with a GDV of INR5,300 crores. And we also acquired 16.5 acres of land parcel in Manjri, Pune with GDV of INR2,500 crores.

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In other updates, Birla Tisya, Bengaluru received a gold award at the 16th edition of the Confederation of Indian industry Southern region Environment, Health and Safety Excellence award 2023. Additionally, Birla Niyaara, Mumbai, Birla Navya, Gurugram received Silver award at the RoSPA Health and Safety Awards 2024.

In our outlook, we anticipate significant growth in the residential real estate market in the coming quarters, driven by a confluence of favourable factors and stable economic conditions, which have attracted robust investment from both domestic and international players. Additionally, infrastructure development and the expansion of smart cities presents a new opportunity for growth. Investors are increasingly viewing the Indian real estate sector as a secure and profitable long-term investment with the potential of substantial return.

Now moving on to the Pulp and Paper segment. In Q1 '25, paper, board and tissue prices continue to see a downturn trajectory with average net sales realization down by 14% year-on-year, although they were at par vis-a-vis previous quarter. This impacted sales turnover and EBITDA. Overall, product and sales volumes increased by 7% year-on-year and 12% year-on-year, respectively. Sales volume is lower by 8% Q-o-Q with general election impacting tender orders from government.

Sales turnover for the quarter decreased by 6% year on year to INR786 crores with EBITDA at INR65 crores, and EBITDA margin reported at 8.3%. Demand for writing and printing paper was subdued in Q1 '25 due to deferment of government tenders, seasonal closing of education institution and courts for summer vacation. Demand remains subdued for both segments as well. An order flow impacted in the first half of the quarter due to the price increase taken at the beginning of quarter.

While the tissue paper in the first half Q1, domestic demand experience an upward trend due to

seasonal factors are supporting market sentiment with volume picking up. The company continued to take various cost reduction initiatives like the increased usage of bamboo and veneer chips to reduce raw material costs. Also, we use fiber plant pulp instead of imported pulp in tissue machine, added by suitable chemical program to reduce input costs.

On the sustainability front, the company developed 80 nurseries in 11 districts to increase good catchment area and achieved around 7.5 lakh plantation in Q1, with a annual target of 1 crores plantation. It also implemented 5 water conservation schemes, approximately saving up 0.5 million cubic meters of water annually. And lastly, compressed methane gas generated from wastewater was utilized tissue paper machine in place of LPG.

On the market outlook, seasonal factors

are expected to moderately revive pricing a printed paper demand in Q2. In Q2 '25, order flow in tissue segment is forecasted to be slightly lower in the initial months on account of lean season. However, demand is expected to pick up towards the end of quarter.

This upcoming festival season as well as FMCG and pharma segments picking up, more demand is likely to improve in Q2. Also imports are expected to remain subdued due to high ocean

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freight and issue with container availability. Export demand with Europe, U.S. and U.K. market likely to be impacted by high ocean freight.

In conclusion, due to a lukewarm business performance, largely due to rising input costs and global supply chain disruption in the paper segment and customers postponed of delivery in the real estate segment. Despite these challenges, consolidated turnover for continuing business

increased by a healthy 28% year-on-year. Looking ahead, we are confident that sustained demand and a strong public investment both globally and domestically, will drive robust performance in upcoming quarters.

With that, I now conclude our opening remarks, and we can start the question and answer session. Thank you.

Moderator: Thank you very much. The first question is from the line of Karan Khanna from Ambit Capital.

Please go ahead.

Karan Khanna: I had a couple of questions on the real estate business. Firstly, if we consider the company has a GDV pipeline of about INR54,000 crores. Given where we are in terms of the cycle, how are you internally strategizing as far as launches are concerned? And if you could also reiterate the timeline around the launch of this INR54,000 crores of GDV pipeline?

K. T. Jithendran: Thank you, Karan, for your question. Yes, as you very rightly pointed out, we have an overall GDV of INR54,000 Crs. As you know, we have already launched about INR12,500 Cr out of that and we have clocked sales of about INR9,500 crores out of that. The balance will be distributed over the next few years. This year itself, we are planning to launch another INR12,000 crores of this, in the current financial year. And similarly, I think over the next few years, we will be distributing this. And also, we are looking at adding every year about INR15,000 crores, INR16,000 crores of in GDVs every year. And we are looking at a very positive and strong real estate cycle for the next few years.

Karan Khanna: So can you, just as a follow-up to this. If I look at slide number 17 of the presentation. So FY '20 to FY '24, we've seen launches of about two projects a year. But this year, you've laid out a fairly ambitious plan of about launching 9 projects in the rest of FY '25. So how confident are

you about these launches as we've also observed delays in terms of launches such as RR Nagar project in Bangalore?

K. T. Jithendran: Yes, absolutely right. We were supposed to have launched RR Nagar in the last quarter. But because we didn't obtain the RERA, we had to postpone the launch, and we are quite hopeful that we will be able to launch it this quarter. Similarly, Walkeshwar also we are supposed to launch last quarter. However, again, we are waiting for RERA. So both these projects are waiting for RERA. Walkeshwar, I'm sure, we are more confident that we'll be getting in the next few days.

RR Nagar, I'm expecting it by the end of this month or early next month. But for that, I think we are pretty confident that we are well geared up for the other launches. And we are quite confident that we'll be able to launch all the ones that we had guided that we will be launching. We are making good progress in all of them. So this was a little unexpected.

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The RERA person was not there. He resigned; the new person took time to join in Bengaluru. So I don't think this will be the normal course

e. This was a little unexpected. So, but I'm quite confident that we'll make up to this.

Karan Khanna: Sure. And lastly, on your Pune, Manjri Project, where you've considered a revenue potential of INR2,500 crores, and the total area of 3.2 million square feet. So this translates into an implied per square foot rate of around INR7,800. If you look at comparable projects in the similar vicinity that's at about 20% lower versus this. So the question is what type of product should we be expecting considering the higher revenue and the higher per square foot potential? And any guidance on margins that you will be targeting in this project?

K. T. Jithendran: So Karan, as our positioning is that we always aim for the most premium positioning in every micro market. Like in our past, we have shown that in Kalyan, in the market was a 11, 11.5, today, we are selling at INR15,000 per square foot. Similarly, we are pretty confident that here also will be creating a very premium product. We're looking at a margin of at least about 25% to 30% in terms of EBITDA margin. More importantly, we, as you know, we always look at very strong IRR – north to 20%. So our positioning is no different here. We are looking at the premium positioning, and we are looking at good margins.

Moderator: Our next question is from the line of Biplab Debbarma from Antique Stock Broking. Please go ahead.

Biplab Debbarma: So I have two, three questions. First question is the launches that you mentioned INR120 billion, INR12,000 crores of launches in FY '25, what are the projects? And how much GDV of each projects would be launched? Can you please give us a breakdown how INR120 billion would be launched in FY '25?

K. T. Jithendran: So Biplab, thank you for the question. So as I mentioned, this quarter, we are hoping to launch RR Nagar, and a new phase of Trimaya and Walkeshwar. Together, this must be about 1,000 plus 500, 1,500 plus 600, about INR2,000 crores. In Q3, we are planning to launch the project, which we have finalized in Bengaluru Sarjapur Road. And the last phase of Birla Navya in Gurugram, which is about INR1,000 crores. And Pune project, Sangamwadi. So that's in Q3. And in the final quarter, Q4, we are hoping to launch the projects which we have signed in Thane. Then the new project, which we have signed in Pune, we are quite confident that we're able to launch that also, which is in Manjri. And also the last the third phase from Trimaya. So these are the broad launches planned for the next coming 3 quarters.

Biplab Debbarma: And Delhi, we are not launching this financial year?

K. T. Jithendran: Delhi is difficult because the entire approval process takes a lot of time. There are more approvals than usual. So we are kind of planning it for the Q1 of next year.

Biplab Debbarma: That's great. And second question is in the Tower 1 Niyaara, how much cost yet to be incurred, because last I visited it was 22nd or 23rd floors levels that you have constructed. So how much more total cost to be incurred in Tower 1?

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K. T. Jithendran: Yes. So construction costs, if you look at in tower 1, we are so far about close to INR300 crores. in terms of construction costs, yes.

Biplab Debbarma: Any other costs besides construction costs to be incurred in Tower 1?

K. T. Jithendran: Obviously, all this premium cost, the FSI costs, the marketing costs, the sales cost, the overhead costs, so many costs are there, Biplab. All of that will definitely will be incurred.

Biplab Debbarma: So how much to be incurred, sir, total for that?

K. T. Jithendran: Offline. Accounting numbers could be done offline. Okay?

Biplab Debbarma: And on the on the paper side, sir, what would be the steady state EBITDA margin for papers shall be in FY '25?

Snehal Shah : Biplab, you're asking for the entire year?

Biplab Debbarma: Yes, sir. What should be the -- because margin has been

little bit...

Snehal Shah: Pretty bad, but we are hoping that with the pulp price increasing, we expect a rise in the NSR, which would contribute to our margin. But I think probably we are looking at right now around 12 per kg. So it's very difficult to give a margin because -- but I can say that our EBITDA will be roughly on average at the end of the year at about INR12 per kg.

Moderator: The next question is from the line of Amit Srivastava from B&K Securities. Please go ahead.

Amit Srivastava: So my first question is on the balance sheet to Snehal sir...

Moderator: Sorry to interrupt Mr. Srivastava, you're sounding a bit muffled.

Snehal Shah: Yes, Amit, tell me.

Amit Srivastava: Yes, sir, my first question is on our balance sheet. So basically, our net debt number has increased to INR29 billion this quarter. And...

Snehal Shah : There is a mistake. The net -- it is gross debt, net debt is INR2,500 crores.

Amit Srivastava: Okay. And second is that, sir, our OCF was negative this quarter of around INR700 crores. So basically, I just wanted to understand how this will play out for the FY '25, given we have three projects we have already signed. And going ahead also, we are going to sign the project. So effectively, if you can give that how the numbers will be on a net debt side and OCF generation

for the year as a full year?

Second, in terms of the working capital side, also, we have seen that paper division has significantly increased the working capital by INR2 billion. So effectively, at EBITDA of INR50 crores, so we have increased the working capital significantly. So if you can give the clarity on that.

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Snehal Shah: Good question, Amit. Let me answer the last question first. Working capital right now is high because we have suddenly got a lot of linkage coal from Coal India and we cannot refuse that. So we -- I think this is a peak working capital and gradually, we have planned to reduce it. So working capital will be released in the next 3 quarters. So that's not a problem. But then market being subdued, we don't expect much cash flow coming from the paper business this year because they also have their own capex plan, and we cannot hold those capex plan because that will impact our profitability in the future year. So even if you consider, let's say, for a hypothetical case, zero cash flow coming from paper business, we are still comfortably placed because whatever debt the parent has raised, now future financing will come from the subsidiary because they have undrawn construction finance plans, which they have not used even in the parent side because the Niyaara project is on the parent's books. So we have not withdrawn construction finance for the Niyaara project also. So I don't see many major issues in terms of financing our future deals. Of course, the debt might go up a little bit by the end of the year. We may on a consolidated basis cross maybe INR4,000 crores, but that all depends on how many more projects that we sign. But raising that money is not a problem for us.

Amit Srivastava: Okay. How much is going to be -- we are going to invest for these three projects of INR9,000 crores GDV, which we have recently signed?

K. T. Jithendran: So Amit as I said, the biggest one of here is INR5,300 crores from Barmalt. It's a JDA with just about INR145 crores payment. So it's not a big deal. The other one, which is Manjri is a deferred outright deal. So we have paid only some INR200 crores right now. And we also signed a third project, which we announced yesterday, so there also INR170 crores. So it's fine.

Amit Srivastava: Okay. And second, sir, in terms of the project launch, which you have just outlined, that came at around INR12,000 crores, we are going to launch in FY'25. Whereas presentation effort on the 17th slide itself, you have mentioned around INR8,500 crores of GDV expected. I just wanted to clarify on that number, what is the difference between these two?

K. T. Jithendran: Yes. So here, I think we had a -- yes, whatever I'm telling you now, that's what we are aiming at.

Amit Srivastava: Okay. So any project -- like Birla Niyaara Phase 3 also we were planning earlier in Q4, but now it seems we have postponed.

K. T. Jithendran: Yes. We are not looking at this year, considering the size of it, I think we'll take it up in the next financial year.

Amit Srivastava: Okay. So basically, the one project which you recently we have signed maybe that will come into the picture, which is not happening.

K. T. Jithendran: Yes. The one in Manjri, that's moving very fast. So we are quite hopeful that we'll be able to launch that this year. We had even given that guidance also of Manjri, yes.

Amit Srivastava: Okay. Last question is, sir, on the Birla Estate numbers if you look at -- what is the kind of margins we are making in terms of the project which we are delivering now because whatever

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the numbers we have looked at, the Birla Estate numbers, on our sales of around INR450 crores, our numbers on the EBITDA side is almost like zero. So effectively, and that is...

K. T. Jithendran: Slightly mistaken there. I think we are already -- whatever we have delivered, so far we are giving a 27% plus margin. Don't look at those numbers because those are the numbers of including all the overheads and the kind of growth that we are currently doing, the marketing expenses of launch, everything includes that, that's not the right number.

As we get more scale and we start delivering more EBITDA, this number will go up. But I can assure you that at the project level, each of these projects are delivering at least 27%. Some projects like the NCR project, we are only accounted for the margin for Phase 1. But as you look

at the other phases, it's going to be almost as high as 40% plus. So I don't think margin is a worry.

And as I mentioned, margin is, of course, important but the most important thing is IRR, how quickly we turn around projects. How quickly we bring in cash so that the growth cycle keeps continuing. And even if there is a -- even if we get caught in the wrong cycle, we are not left with too much unsold inventory.

So IRR is the number one concept. Margin is also important, but margins are pretty safe with a margin that's at least about 25%.

Amit Srivastava: That's what I just wanted to get clarified. On our existing project, whatever we are delivering

around 25% plus we are getting it.

K. T. Jithendran: Yes. At this point of time, whatever we have already accounted for is about 27.5%.

Amit Srivastava: Okay. And sir, last, on Birla Navya, there was an FSI thing which was not getting clearance.

K. T. Jithendran: That's clear now. Government has cleared it. It came in the newspapers. We are all set for the last phase launch now. This year, we'll be launching it.

Moderator: The next question is from the line of Jojo Shaju from Alpha Invesco Research Services. Please go ahead.

Jojo Shaju: Sir, I have three questions. First is regarding the real estate division. So in the last call, you have mentioned that our corporate overhead was around INR175 crores annually. So this is increased from INR100 crores, if I say a couple of quarters back. So I just want to understand what is the increase going forward? What is the steady state number of corporate overhead in the real estate division?

K. T. Jithendran: So, Jojo, there's no steady state. As we keep growing, we'll keep increasing. Our corporate overhead will also increase as we are strengthening ourselves in many parts. It's difficult to give you a steady state number because in several areas, we're kind of strengthening as the scale increases, it's very important for us to strengthen our management team and our controls, mechanisms, etcetera. But largely, I could tell yo

u that it will not exceed about 3% to 4% of our bookings. If that's the kind of a ballpark figure, 3% to 4% of bookings is what we should kind of consider as our overheads.

Jojo Shaju: Okay. So 3% to 4% we can benchmark according to the premium.

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K. T. Jithendran: Yes, I think that will be a good benchmark, yes.

Jojo Shaju: Okay, sir. And sir, what is the expected collections in the real estate division for this entire financial year? And for the collections part, where exactly is it reflecting in our financial statements?

K. T. Jithendran: Sorry for collections yes, of course, we give...

Snehal Shah: 1,500 is our target, right?

K. T. Jithendran: Yes, 2,900 is what we are targeting.

Snehal Shah: This is our expected target of collections is roughly around INR2,900 crores. In terms of reflection in the balance sheet, it comes into our inventory for the real estate business because we -- the amount that we spend on construction that is shown as an asset and the collections that we have is shown as a liability.

Jojo Shaju: Okay, sir, understood. And sir, what is the construction spending for the next, let's say, two financial years, next two financial years? What is the expectation?

Snehal Shah: Two financial years will be difficult, but I think it will be more or less in line of our collections -- a little less than our collections.

Jojo Shaju: Okay. And sir, my last question is, I just want to understand how is the JV with the Grasim performing? Will it have a turnaround in the current year? What is your views?

Snehal Shah: JV to Grasim?

Jojo Shaju: JD with Grasim, yes.

Snehal Shah: So we have no JD with Grasim. You're talking real estate business or something else?

Jojo Shaju: No. This is not on the real estate. This is I think on the...

Snehal Shah: No, that is a joint venture. It's a joint venture with Grasim in the textile side. So that is the only remaining textile part that we continue. And that is in the initial stage, Jojo. So it will take some time to generate profits. But it is not a significant ask on our balance sheet, it is more a new thing that we are developing in the country. So it will take some time to absorb. So hope fully, next -- this year also probably, we do n't -- we might not see the light at the end of the tunnel. But certainly next year, we will be starting to show profits from that. Yes, we had INR8 crores loss in this quarter from that business, our share of profit.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: Sir, this quarter, we have recognized around INR338 crores of revenue in the real estate segment.

So I think there's one portion which is the lease revenue and there's the revenue recognition from

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various projects. So if you can break this up from -- for us, how much is the revenue from the lease and what are the project-wise revenue, which is booked in this INR338 crores?

Snehal Shah: So it is INR37 crores from lease rentals, INR68 crores from Vanya, our Kalyan project; INR196 crores from Gurugram project; and INR37 crores from our Bangalore project.

Dixit Doshi: Okay. And sir, since I think this INR34 crores EBIT which we have recognized, I think there is a portion of corporate expenses which is impacting this EBIT. So if you can tell us what is the corporate level expenses which

is booked in this quarter? And also -- this EBIT also has a portion of lease income. So the lease revenue, how much is the EBIT of the lease revenue in this?
Snehal Shah: So let me -- I mean, you can probably work out everything else. On the revenue recognition of the projects from the revenue that I just now mentioned, Vanya, we have got about INR13-odd crores, Navya, we've got about INR60 crores and Alokya, we've got about

INR11 crores. And

balance it's a loss after providing for all corporate expenses. I don't have the exact numbers right now, but we can offline -- you can ask for this.

Dixit Doshi: Okay. And if you can just help us what would be the corporate level expenditure that was booked for this quarter in the real estate segment?

K. T. Jithendran: Yes. So we'll provide you offline those numbers, sir.

Dixit Doshi: Okay, definitely. I'll get in touch with you offline.

Moderator: The next question is from the line of Deep Mehta from Bank of India Mutual Fund. Please go ahead.

Deep Mehta: Congratulations for aggressive BDs for the year. My first question is regarding our organization capabilities. We are planning to significantly increase our launches as well as presales for the year. So how have we already developed and trying to develop further our organization capabilities in terms of hiring new people for different roles, different geographies and also solidifying some of our processes, if you can talk about that?

K. T. Jithendran: So, Deep thank you for the question. So, yes as we keep growing, we have been creating a decentralized organization. Each region will have their own teams which will be responsible for their P&L of the regions. So, Bangalore has their regional team. NCR has their regional team. Pune, we are now developing our regional team. Bombay and Western -- I mean Bombay has has its own regional team and there is an HO.

So, as we keep growing, we keep enhancing our operational capabilities, sales capabilities. We already have a very strong BD team which is doing its job very well. We have a very strong sales team which is powering the sales performance of the company. Similarly, we have had pretty strong operations team as we keep on scaling up at each region.

We recruit the right kind of people and we have a very strong process of orientation in terms of Birla Estates way of selling or Birla Estate's we have customer centricity or our operations, construction, etc. largely construction is outsourced. We go with the best of construction Century Textiles and Industries Limited

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partners. So, it's largely -- mostly management monitoring and control systems where we very strongly do our review mechanisms and we give a lot of research backed ideas on to the design and we have very strong budgeting and quality control system.

Execution is our core strength and the deliveries that we are doing, we have got NPS score of almost 85% which is one of the highest in the industry. So -- and we keep monitoring these parameters to make sure that the delivery and quality and cost and returns are the most efficient. Does that answer your question, Deep?

Deep Mehta: Yes, sir. This is very helpful. And my second question is regarding our unsold inventory if you can give the value of unsold inventory as at the end of the quarter of this year?

K. T. Jithendran: Unsold inventory is very little. Also, the inventory that we have launched is sold out. If you look at NCR it's almost 100% sold out. If you look at Bangalore it's almost 95% sold out. Mumbai is also. So overall I think about 87% of the launch inventory is sold. So, what we are now -- what we have -- the sales performance is a little muted in the first quarter is largely because of lack of inventory number one and also lack of new launches. So, we hope to make it up in the coming quarters.

Deep Mehta: Sure sir. Can you help me with the absolute amount of unsold inventory, rough number will also work?

K. T. Jithendran: Yes. So, the numbers of this I think we can help you offline all these numbers. Yes, about INR12,849 crores is what we have launched and what we have kind of booked so far is about INR9,428 crores.

Deep Mehta: So roughly INR3,000 crores?

K. T. Jithendran: Yes.

Deep Shah: Sure sir. That's all from me. Thank you.

Moderator: Thank you. The next question is from the line of Abhinav

Sinha from Jefferies. Please go ahead.

Abhinav Sinha: K. T. sir couple of questions for you. So firstly, on GDV the projects that we are adding, is there a target in mind for the year? So that's question one.

K. T. Jithendran: Yes. So, as I mentioned, largely we are looking at about INR15,000 crores to INR20,000 crores this year and would like to continue to look at that sort of number so that we can keep growing and can do full justice to our sales process also and cash turnaround also.

Abhinav Sinha: And how does it break between various markets or nothing specific there?

K. T. Jithendran: No, I don't we have not put a number on. Wherever we get the right opportunities, the most

attractive ideally a JDA etc., if not a JDA than in a great location and premium locations at we're aiming at. As I said, we are not taking risk in terms of title or location or in terms of speculative future locations where the markets might emerge. We're not looking at those ones. We're only looking at well-established locations. So, from that point of view, I don't want to put a number

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to each region wherever we get the most attractive options will go there. I think all four markets are equally attractive.

Abhinav Sinha: Okay. And I presume the opportunities are still fairly attractive and we still don't have too much competition out there.

K. T. Jithendran: That's right. The competition is definitely there. It's increased. So yes, so wherever we think it's the right deal that we are getting it we are going for that.

Abhinav Sinha: Got it. Sir secondly and this is a bit of a market question. I mean we have heard in the last quarter like for example in NCR we are seeing a couple of projects which have underperformed say either in terms of pricing or volumes. I wanted to hear your take on that?

K. T. Jithendran: See I think if you price it right, I think you will be able to get the volumes. Market real demand is there. Supply is very few. If the design is right, the product is right, the ticket size is right I think we should be able to -- at the right locations I think there should be no issue with the moving inventory. If you overprice it or under-design it then there could be. It's important to get the product right in every market and the price is also right. I think those combinations one has to get it right. If that is right, I'm pretty confident that there should be good traction.

Abhinav Sinha: Right. And broadly so you wouldn't be overly worried or look to change your sales guidance for the year?

K. T. Jithendran: No. At this point in time, we are pretty confident.

Abhinav Sinha: Sure. Great and all the best to the team sir. Thank you.

K. T. Jithendran: Thanks Abhinav. I appreciate that.

Moderator: Thank you. The next question is from the line of Raj Rishi from Dhan Group. Please go ahead.

Raj Rishi: Can you give a perspective as to what kind of quantum of group properties you can develop over the next 3 years to 5 years?

K. T. Jithendran: I think pretty limited and not much then in the markets that we have chosen. I think we are kind of maxed out in terms of group properties because largely the properties are in Mumbai. And I think all of that we have counted. Maybe in Pune we have about 45 acres in Talegaon. So that kind of develops and the broader the town planning rules changed then we may launch that. But apart from that, I can't envisage any more launches from the -- or any more kind of tie-ups to the group plans.

Raj Rishi: In a previous call, in fact, I had only asked a question and you had talked about other than the present focus geographies, a lot of like a huge number of group properties there which can come into the Century Textiles fold?

K. T. Jithendran: Yes. But as I said in the next 2 years, we are not looking at expanding into any other region. I think we have got a job cut out in kind of

consolidating in these four markets that we have chosen. I think we'll be focusing on these markets.

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Raj Rishi: Okay. And I believe you had an aspiration to be in the top three or top five in the next coming years that would entail a huge quantum jump in your business. So how -- can you comment on that like what kind of aspiration, how do you plan to reach there?

K. T. Jithendran: Yes. So, we are very confident and we are aspiring to be among the top three. But more important, I mean, as we scale up it's also important for us to be as the most reputed player in terms of customer centricity and in terms of quality. We are willing to give up scale for these two parameters. What's most important is to give high-quality products in the right within the specified time and give the best of customer-centric service.

Scale is important. As a group we have always been the top three in every business that the group has entered. So, we are pretty confident that we'll be aiming for that too, but not at the cost of the other more important parameters. So, it will be kind of a balanced approach in terms of scale, in terms of quality, in term customer centricity.

Raj Rishi: Okay. Any plans for fundraising on the equity side?

K. T. Jithendran: We always are looking for raising platform funding for our private funding, private equity funding for scaling up our residential portfolio, maybe at some point of time even the commercial portfolio, but not in the near future for any public sort of funding.

Raj Rishi: This wouldn't be in the parent -- in Century Textiles, it will be a particular project?

K. T. Jithendran: Yes, it will be at the project level.

Raj Rishi: Okay. Thanks a lot.

K. T. Jithendran: Yes.

Moderator: Thank you. The next question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan: Congratulations KT. So, my question was on Niyaara Phase I and Phase II. If you see in the last quarter the percentage sold has gone up from 68% to 71% and it had like a big bang launch. So, what is the ebb and flow of this business? I mean is this going to take a little more time to dispose off the property and how does it happen in Phase I and Phase II because they're entirely different customer bases?

K. T. Jithendran: Yes. So, thank you Vivek. So, Niyaara Tower A is now in terms of units almost 90% sold out. We also increased the price to now above INR1 lakh per square foot. And I think we will be happy to now sort of really look at the rest of the apartments more towards completion. I think makes sense also, it's more than 90% gone. There's hardly 20, 25 apartments left. As far as the sellers the Tower 2 is concerned we have sold more than 50%, 52% in terms of area or units. So -- and the traction has been very strong in last quarter and after that the election year coming there has been a slowdown. I think the initial demand has been sucked out. Given that I think a new round of intergeneration is going on and we expect to do about 3 to 4 apartments every month from here onwards. So that's the kind of velocity we are aiming at.

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Vivek Ramakrishnan: Okay, thank you very much. That is my question. Thanks a lot.

Moderator: Thank you. Next follow-up question is from the line of Biplab Debbarma from Antique Stock Broking. Please go ahead.

Biplab Debbarma: Sir, on the -- you mentioned about Manjri and Sector 71 that we acquired, The INR200 crores and INR170 crores that you mentioned are these the cost of acquisition total cost of acquisition or these are the initial payments?

K. T. Jithendran: No. I think Sector 71, which we kind of concluded yesterday I think that's a full payment -- full cost of acquisition.

Biplab Debbarma: So INR170 crores cost of acquisition we have paid, right?

K. T. Jithendran: That

's right. Yes, it's an outright payment.

Biplab Debbarma: And for Manjri, what would be the total cost of acquisition?

K. T. Jithendran: Manjri is about INR340 crores but it's a deferred sort of payment.

Biplab Debbarma: Out of INR340 crores, you have paid so far, INR200 crores. Am I correct, sir?

K. T. Jithendran Yes, okay.

Biplab Debbarma: And my second question is for FY '25 remainder of FY '25, any more projects, residential projects that could be recognized?

K. T. Jithendran: Recognized? whatever is the balance of the Kalyan and Alokya and a bit of Navya. So, I don't - - so the unrecognized once that part is there in terms of handing over is going on. Beyond that I'm not expecting any new projects to be handed over or any new phase to be handed over this year.

Biplab Debbarma: And in FY '26, any new projects that could be handed over?

K. T. Jithendran: In FY '26, maybe another phase of Navya will come up.

Biplab Debbarma: Thank you, sir. That's all.

Moderator: Thank you. The next question is from the line of Amith Sanghavi from Investor. Please go ahead.

Amith Sanghavi: My first question is related to the inventory left out for these 3 completed projects, which is left out for the purpose of revenue recognition in terms of square feet. And another question is regarding is infact a suggestion that if we can put one more slide in our presentation for the land, which we have acquired but which are yet to be developed. That is my second question, sir.

K. T. Jithendran: Sure, we can do that, Amith. We can do it. Yes. And what is the first question is whatever is recognized and unrecognized?

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Amith Sanghavi: Yes. We have completed 3 projects, right? Vanya, Alokya and Navya. In these 3 projects, what is the total inventory left out as on 1st July, which is yet to be recognized in the books of accounts in terms of square feet?

K. T. Jithendran: Yes. So, there is -- I mean, if you want to go into the detail, we can go offline. So, I think we have about Navya is about 228 units of which we have done about 200 and around 28 units are to be recognized. Alokya about another I think about 76 units have to be recognized. Vanya is a major portion about 700 units as we have to be recognized.

Amith Sanghavi: Okay. And it is going to be recognized this year itself, right? Because the project is completed.

K. T. Jithendran: Yes. So Vanya, I think we have 7 towers of it. We have got OC for 5. There were 2 more towers which we are expecting the OC in the next -- this quarter and next quarter.

Amith Sanghavi: Okay. So, what you said is in Vanya 700 units in Alokya about 76 units and in Navya about

220...

K. T. Jithendran: Yes. Ballpark figures these numbers, we can always...

Amith Sanghavi: I can understand it. Okay. Ballpark number.

Snehal Shah : Amith, you can go on Slide 16 of the earnings presentation you will get the details between the GDV for what we have launched and what is upcoming.

Amith Sanghavi: Okay. I will do that. Thank you, sir.

Moderator: Thank you. The next question is from the line of Harsh Pathak from B& K Securities. Please go ahead.

Harsh Pathak: My question is on the Sector 31 Gurugram that we just acquired in the first quarter. So what would be our share in the JV.

K. T. Jithendran: So it's a 40% rev share, 40% to the partner and 60% to us.

Harsh Pathak: Sure. And so the indicative GDV of INR5,000 pertains to just us or its at the project level?

K. T. Jithendran: Sorry, I didn't get you. What was that indicate? 5,300.

Harsh Pathak: Yes. So is it at the project level or our share?

K. T. Jithendran: Sorry.

Harsh Pathak: Is it our share or is it pertain to the overall project?

K. T. Jithendran: Total is a gross. That's a gross, 5,300 is a gross number.

Harsh Pathak: That's gross. Okay. Yes. And sir, my second question is regarding the land availability in NCR. So, I think we now have total 4 pr

jects in the NCR market in the NCR region in our portfolio.

But this quarter, we have done our first outright purchase in that market. So how is the land

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availability? And how is our thought process regarding going ahead for outright purchases?

What kind of margin profile can we expect, what's your take sir?

K. T. Jithendran: So, as I mentioned margin profile, you're always looking at 30% plus margins. What we have -

- what we are more focused on is 20%+ for our IRRs for JDA projects and 16%, 17% IRRs for our outright projects. So, we are working well within those parameters and those guidance. Of course, land is very very scarce in NCR. Very few lands are there. And all the lands that we have kind of finalized is very, very prime properties. Excellent locations. All should be selling above 15,000. Of course, Sector 31 is extreme premium. I think we expect at least INR6 crores, INR7 crores per apartment or more per apartment there. So, all at very high premiums. And it's very difficult to get land in NCR today. Supply is very little. And we are very happy to have done these acquisitions.

Harsh Pathak: Sure. So, can you explain more kind of an outright purchases or our preference will be more towards JV/JD?

K. T. Jithendran: Harsh, we're on the lookout for the right kind of lucrative deal. Very difficult to come by. But yes. And as I said, we'll keep looking for the good deal. So, it's possible that for a long period of time, we may not do any deals. And suddenly, we may get the right deals. We may do quite a number of deals. So, depending on the quality of the deal, we keep looking for it in the right markets in the right location. So, we have been fortunate that we got this deal at Sector 31. It's a very, very attractive deal. And what we kind of acquired that 71% is also an extremely favorable location at a very good attractive price. So, that is why we went ahead and did it.

Harsh Pathak: All right, sir. I think that answers the question. Thanks a lot, sir.

Moderator: Thank you. The next question is from the line of Dixit Doshi from Whitestone Financial Advisers Private Limited. Please go ahead.

Dixit Doshi: I had similar questions on the Gurugram projects. But one more question, sir, in Niyaara Tower 2 I think the last quarter, we had sold around 68 units. So how many more units did we sell in this quarter?

K. T. Jithendran: We are at 75 but there have been a few cancellations of that 68 later on. Some people did not go ahead with, they withdrew. Not many, handful of them. And now today we are at 75.

Dixit Doshi: Okay. And sir, the sales of 70,000 square feet and INR262 crores value, if you can break it up project wise for us.

K. T. Jithendran: Roughly 225 of that is Niyaara.

Dixit Doshi: Okay, that's it. Thank you, sir.

Moderator: Thank you. The next question is from the line of Himanshu Jhaveri who is an individual investor. Please go ahead.

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Himanshu Jhaveri: I just wanted to ask what do we aspire as a company? And can we expect to a top line of around INR20,000 crores, INR15,000 crores-INR20,000 crores in the next 3 years? And what do you plan to do differently to make Birla Estates a niche and a premium brand in the market?

K. T. Jithendran: Yes. So, I think the next 3 to 5 years I think it 's reasonable to expect a top line of INR20,000 crores. I think we can easily reach there. We have very strong presence in each of these chosen 4 markets and I think we could be the dominant player in each of these markets. That's our aspiration. How we want to differentiate ourselves, as I have mentioned is through superior quality, delivery, extreme focus on execution, extreme focus on design, customer-centric design, these are the most customer-centric organization. We are very kind of experiential driven company who gives a very superior experience to our customers taking care of them, doing the -- making sure that even after customers move into our projects, they get a very different experience of living, community building.

Our aspiration is to create happy Birla communities, make them a very differently engaged community, enhanced living experience, et cetera. So that's how we want to sort of differentiate our projects in the very long term. I think so our endeavour is to get there while building scale through very strong processes and focus and execution.

Himanshu Jhaveri: And do we also plan to have a huge workforce and machinery to launch projects simultaneously across different states every quarter? Because if we want to reach that INR20,000 crores mark, we'll have to have a big -- machinery should be very...

K. T. Jithendran: If you are meaning machinery in terms of processes and team, yes, we are all for it. Having a hardware machinery, we are an outsourced company, we are looking at...

Himanshu Jhaveri: Machinery in terms of the teams and sales force?

K. T. Jithendran: Yes, of course. We are in the process of building every year. We add about 40%, 50% more employees. We were at 200 last year. We are at 350 now. We may go up to 500, 550 as the demand for people are there. The only thing is that look a very high-quality team and there's a lot of training orientation process within the company, create a very strong culture of high performance and customer centricity. It's very service-oriented. That is the building blocks of the company. And we are also creating a decentralized system which can move very swiftly, quickly, empowered sort of teams.

Himanshu Jhaveri: That's great. And I read an Article KT in the newspaper of the Century Bhavan being demolished. So, are we planning a project over there?

K. T. Jithendran: We are very seriously evaluating it.

Himanshu Jhaveri: So, not still fixed anything, right?

K. T. Jithendran: No. It's under evaluation.

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Himanshu Jhaveri: No. Because just next to that, the Oberoi 360 and all are selling at very well and good premium prices. There's a huge scope to...

K. T. Jithendran: Yes, we are pretty aware of that. Yes, we're very aware of that, and we're looking at the opportunity.

Himanshu Jhaveri: So, in future, we might do it, right?

K. T. Jithendran: Possibilities are there.

Himanshu Jhaveri: Thank you.

Moderator: Thank you. The next follow-up question is from the line of Biplab Debbarma from Antique Stock Broking. Please go ahead.

Biplab Debbarma: So, on the outright purchases, we have been seeing that last years also, when we compare with the cost divided by the GDV, it is less than 15% and around 12%, 13%. We see also both Manjri and the Sector 71 they are less than 14% of the GDV acquisition cost. So, is this a normal rate for outside acquisition like 13%, 14% of the GDV? It seems very on the lower side. So it's a good thing. So, I'm just trying to understand whether we can continue to do such excellent outside purchase is going forward. That was my question?

K. T. Jithendran: Yes, Biplab. So, we keep looking for the right opportunities, but it's not just the price, it's also the location, the other factors, how quickly we can launch it, how it will add to the overall brand value of Birla, how we access the other parameters, development potential, growth potential, etc. And also, of course, the price. So, all those factors together, we look into it. So that's why we are a little patient and take our time to do the BD.

So, these are the two ones which we got into after prolonged negotiations, we were able to conclude it. Yes, but we can't take that 13% is a benchmark. As we said, there may be properties where may have to pay a higher price, but the location is great, and it makes sense for us. Overall, we try to look at that. We don't have more than 20%, 25% of the overall GDV to

the landowner.

Biplab Debbarma: Yes, that's great. Because so far, you have been doing 13%, 14% of that GDV, that's viewed as excellent. And my final question is on the Thane project. What would be the -- if you launch a project this year, what would be the estimated rate that you expect to launch the project in terms of rupees per square feet carpet area?

K. T. Jithendran: So, it's too early Biplab, to kind of give a guidance on prices. I know that on a saleable area,

we've been looking at least 11,000 plus in that market. It's a very strong, very attractive market. We are catering to both Navi Mumbai and Thane, and the location is fantastic. It's two pieces of land on adjacent both sides of the road. Huge opportunity, but a little early on the -- to give a guidance on price, but at least that's the kind of you're looking at about INR11,000 to INR12,000 per square foot on saleable area.

Biplab Debbarma: Thank you, Sir.
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Moderator: Thank you. The next question is from the line of Deepak Purswani from SVAN Investments. Please go ahead.

Deepak Purswani: Sir, my question is related to FY'25 presales. As we have mentioned in the previous call, we would be looking out to double it up the presales. If I were to look in the overall scheme of things, the Worli, we said on a monthly basis, we would be looking 3 units to 4 units. That would be an annual run rate of approximately INR2,000-odd crores, which means remaining INR6,000 crores out of the total launch pipeline of INR8,500 crores GDV.

So, my first question is, if you can throw some light, how confident are we in terms of quickly turning around the project in terms of the approval and launching project? And secondly, on the sales momentum because it is implying 70% presales of the launch pipeline?

K. T. Jithendran: So, if you look at our past, we have been kind of doing about whatever inventory is left, we have only bought sold at a national level, about 87%, what left is -- only 13%. So, that is one part in sustainable sales. The rest, as I mentioned, have given you overall in the number of launches which we are planning. On the back of it, what we have planned is almost about INR8,000 crores, all of which will have to happen mostly all of it in the next 3 quarters.

And we are pretty reasonably confident of doing this given our kind of performance in each of these markets and each of these -- whether it is Bangalore, Bombay or NCR. So, from that point of view, I think we are pretty confident we were able to achieve this target.

Biplab Debbarma: And secondly, sir, from the -- as we also mentioned about the aspirational target of achieving the presales of INR20,000-odd crores over the next 3 years. Now with that figure from the business development front...

K. T. Jithendran: Yes. I did not mention, I said in the next 3 years to 5 years.

Biplab Debbarma: yes, 3 years to 5 years. With that regard, we also mentioned about the business development activity of INR15,000 to INR20,000-odd crores every year. So just wanted to get a sense in terms of what would be the investment we would require for the land for that part every year?

K. T. Jithendran: So, if you -- it depends on what kind of projects come to us. If you look at last years, we invested about INR1,000 crores to add a portfolio of INR16,000 crores. So even if you do some escalation, that's about INR3,000-INR4,000 crores is what we're looking at. But of course, we are on the back of very strong collections also. We are collecting stronger as all that internally, we hope to have the gunpowder to kind of create that kind of capability to acquire projects. We are also looking for, as I mentioned, the platform funding, private equity platform funding. So, all of that should kind of give us the firepower to go for more acquisitions and achieve our targets.

Biplab Debbarma: Thank you.

Moderator: Thank you. As there are

no further questions from the participants, I now hand the conference over to the management for closing comments.

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R. K. Dalmia: Thank you all for participating in this earnings con-call. If you have any further questions, I would like to know more about the company, please reach out to our IR manager at Valorem Advisor. Thank you, and have a great evening ahead.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2024

ADITYA BIRLA
CENTURY
SH/XII/2024

Corporate Relationship Department

BSE Limited 29th October, 2024

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, 5th floor, 1st Floor, Phiroze Jeejeebhoy Towers

Dalal Street, Fort, Bandra-Kurla Complex

Mumbai-400 001

Scrip Code: 500040

Dear Sir/ Madam, Bandra (East), Mumbai-400 051.

Scrip Code: ABREL

Sub: Transcript of Q2FY25 Earnings Conference Call of Aditya Birla

Real Estate Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing

Obligations and Disclosure Requirements) Regulations, 2015

('Listing Regulations')

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the Q2FY25 Earnings Conference Call conducted on 22nd October, 2024 at 04:00 pm 1ST after the meeting of the Board of Directors of the Company held on the same day itself.

This is for your information and record.

The above information is also available on the website of the Company .

Thanking you,

Yours truly

For ADITYA BIRLA REAL ESTATE LIMITED

(formerly Century Textiles and Industries Limited)

ATUL K. KEDIA

Jt. President (Legal) & Company Secretary

Encl: as above

ADITYA BIRLA REAL ESTATE LIMITED

(Formerly known as Century Textiles and Industries Ltd.)

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"Aditya Birla Real Estate Limited
Q2 FY'25 Earnings Conference Call "
October 22, 2024

MANAGEMENT : MR. R.K. DALMIA – MANAGING DIRECTOR – ADITYA
BIRLA REAL ESTATE LIMITED

MR. K.T. JITHENDRAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA REAL ESTATE
PRIVATE LIMITED

MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA REAL ESTATE LIMITED

MR. AJAY GUPTA – CHIEF EXECUTIVE OFFICER ,
PULP & PAPER – ADITYA BIRLA REAL ESTATE
LIMITED

MODERATOR : MR. AMIT SRIVASTAVA – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY'25 Earnings Conference Call of Aditya Birla Real Estate Limited hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Srivastava from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Amit Srivastava: Thank you, Nami. Good afternoon, everyone. On behalf of B&K Securities, I welcome you all to the Q2 FY'25 Earnings Conference Call of Aditya Birla Real Estate. We have with us from the management Mr. R.K. Dalmia, Managing Director, Aditya Birla Real Estate Limited; Mr. K.T. Jithendran, MD and CEO, Birla Estate s Private Limited; and Mr. Snehal Shah, CFO. Snehal Shah: Amit, even Mr. Ajay Gupta, our CEO for Pulp & Paper is also there.

Amit Srivastava: Okay. Sure, sir. So, Mr. Ajay Gupta, CEO for the Paper & Pulp division. So, we will start the call with opening remarks from the management, which will be followed by Q&A. Over to you, sir.

R. K. Dalmia: Thank you. Good evening, everyone, and welcome to the earnings conference call for the second quarter and first half of the financial year 2025. To start with, let me first inform you, as you may already know that our company's name has officially changed to Aditya Birla Real Estate Limited in line with the company's strategy to continue to expand the real estate portfolio.

Let me now take you all through the financial highlights, followed by the business and operational highlights. For the second quarter of the financial year 2025, the consolidated turnover of continuing operations grew by 32% year-on-year to INR 1,121 crores. EBITDA for the quarter grew by 50% year-on-year to INR 99 crores with EBITDA margin reported at 8.8%. The net profit on continued operations was INR 13 crores for the quarter. For the first half of the financial year 2025, the consolidated turnover of continuing operations grew by 30% year-on-year to INR 2,260 crores. EBITDA for the period grew by 5% year-on-year to INR 223 crores, with EBITDA margin reported at 9.9%. The net profit on continued operations for this period was INR 40 crores for the quarter.

Now let me take you through the key highlights across our two business verticals, starting with real estate business. During Q2 financial year '25, the Indian real estate sector continued to experience a robust demand, driven by factors such as a large space requirement, enhanced amenities, and the desire to secure a well-desired living space boosting the luxury market.

Tier 1 cities are witnessing steady demand, while Tier 2 cities are emerging as new investment destinations due to infrastructure development, improving connectivity and affordable pricing. In Q2 FY'25, the revenue of Birla Estate grew by 500 year-on-year to INR 254 crores, driven by continued delivery at Project Alokya in Bengaluru, Birla Vanya in Kalyan, and Birla Navya Aditya Birla Real Estate Limited

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Phase 1 in Gurugram. EBITDA was reported at INR28 crores, representing the EBITDA margin of 11%.

During the quarter, we launched three projects, namely Birla Anayu in Walkeshwar, Birla Ojasvi in Bengaluru, and Birla Trimaya Phase 2 in Bengaluru. For the quarter under review, we achieved booking worth INR1,412 crores for our already launched projects and strong collections of INR644 crores from all projects during the quarter. We also made two major acquisitions during the quarter

, where we acquired ownership rights of 10 acres of land parcel in Worli, with a GDV of INR14,000 crores. And we also acquired 5 acres of land parcel in Gurugram, NCR with GDV of INR1,400 crores.

In other updates, Birla Niyaara, received 5-star rating by British Safety Council.

Our outlook on the sector remains positive, fuelled by robust demand from high net worth individuals, non-resident Indian and growing aspiration among urban elite. We expect the growth momentum to continue, driven by strong economic fundamentals and favourable policy measures.

Now moving on to the Pulp & Paper segment. In Q2 financial year '25, the paper, board and tissue prices continued their downward trajectory with average net sales realization down by 4% year-on-year and were almost at par with previous quarter. Production and sales volumes increased by 8% year-on-year and 13% year-on-year, respectively. Sales volume increased by 10% Q-o-Q, driven by growth in board segment.

Sales volume in Q2 '25 increased by 7% Y-o-Y and 9% Q-o-Q; however, EBITDA decreased by 22% Y-o-Y and 10% Q-on-Q due to lower NSR, rising input cost pressure from increasing wood and imported pulp costs, thus constraining profitability. Demand for writing and printing paper remained subdued in Q2 FY'25. Import quantity has also seen an upward trend in copier segment.

The company continued to implement various cost reduction initiatives to counter these market conditions, like increasing fiber line production, subsequently, enabling substitution of imported pulp on tissue machine. Bamboo use is also increased to 30% to reduce production cost of captive pulp. We started the oxidized white liquor plant to potentially reduce caustic consumption in fiber line pulp production.

On the sustainability front, the company developed 80 nurseries in 11 districts to increase wood catchment areas with about 97 lakhs plantation completed in Q2 FY'25. The company generated 131 metric tons of compressed methane gas from wastewater and utilized the same instead of LPG in tissue machine. Company is also taking various strategic measures like reworking the copier market strategy to revamp product portfolio. Additionally, B2C strategic initiatives are also under conceptualisation stage. And new products are being developed in writing and printing paper segment.

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On the market outlook, writing and printing paper demand is expected to improve Q3 FY'25, driven by publishing season and anticipated release of government tenders. Tissue demand in Q3 FY'25 is expected to remain low post-festive holiday season.

Board demand is expected to remain subdued due to tapering-off of festive season demand. An excess supply of cost-competitive imports is expected to aggravate the pricing pressure in the domestic market. The decline in international pulp price is also expected to impact exports and increase low-price imports in the absence of antidumping regulation. The impact of lower demand-excess supply imbalance leading to inventory accumulations at all major paper producers is expected to contribute to continued pricing pressure.

In conclusion, Q2 FY'25 has been an overall good quarter, driven by stellar performance by real estate business, and we are, therefore, strategically expanding our real estate portfolio.

With that, I will now conclude our opening remarks and we can start the question-and-answer session. Thank you.

Moderator: The first question is from the line of Karan Khanna from Ambit Capital.

Karan Khanna: K.T., just a couple of questions from my side. Firstly, on the NCR portfolio, in 1Q FY'25 presentation, you had mentioned that the launch of Delhi Mathura Road project was planned for this fiscal year. But in the 2Q presentation, this is not featured in FY'25 launch pipeline. So could you elaborate on the reasons for this delay?

And secondly, the presentation also doesn't talk about the Noida land parcel you have taken under development. So could you provide more insights into this project as well in terms of, terms of arrangement, revenue sharing, etcetera, between the company and Lotus Group? And what can be the anticipated development potential for this project?

K. T. Jithendran: Good afternoon, Karan. Yes. The first one, a question on India Hume Pipes, though we are trying to launch this project in this quarter, but it looks unlikely because we're not able to make enough progress on the approval. So it looks difficult for us to launch this project in this financial year because of the approval issue in New Delhi. It may take more time. That's why we have put it out of guidance. And that's as far as the India Hume Pipes is concerned.

As far as Noida, we have signed a binding agreement, and there are certain preconditions precedent, which the JV partner has to fulfil. So until that is completely complied with, we are not talking or disclosing the other commercial details of the project. Once we cross that bridge, then we'll be happy to disclose all the other details because it becomes relevant only once those preconditions are met.

Karan Khanna: Just a follow-up. By when do you expect these terms to be complied with by the partners?

K. T. Jithendran: Our expectation is that before December, we should be able to do this.

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Karan Khanna: That is helpful. The second question on Worli, you have about 2.5 million square feet of development potential besides Niyaara Phase 1, 2, and 3, and now you have also acquired 10 acres of land parcel from the Wadia Group. So with the optionality with Century Bhavan, so how are you planning, strategically planning the launches in this micro market?

And how should we assess sales momentum in the micro market based on the expanded land portfolio? And as a follow-up, when do we expect the launch of Birla Niyaara Phase 3, any specific milestones or considerations that could influence this timeline?

K. T. Jithendran: Yes. So, Karan, we have a pretty strong inventory in Worli and it's a very valuable inventory. It's a very strong market. Inventory levels are at a very all-time low. I think it's a good place to accumulate good assets at very good valuation that we have been able to accumulate. What we are planning is that we would definitely be aiming to launch Tower C, which is the last phase of

Niyaara, next financial year.

Simultaneously, we're also thinking of launching this newly acquired asset of 10 acres, at least 1 phase of that. The others like the 2.5 million, which the adjacent land, that may take a couple of more years to get launched. And we will think about Century Bhavan and how to time that because that is still under plans.

Karan Khanna: Sure. My last question, given where the leverage is, you're at about INR 4,000 - INR 4,500 crores. Going forward, how are you thinking about business development? And likewise, where do we see this number settling at in terms of leverage given the construction and the upcoming development pipeline that you have?

K. T. Jithendran: Yes. So, if you look at our current acquisitions, we have acquired this year about INR 21,000 crores worth GDV with an investment of only INR 1,500 crores. So I think we will keep looking at value accretive, good value projects whenever we get an opportunity, either through JDAs or through such very good valuation we get at outright or deferred outrights. That will continue to be our strategy. On the debt position, I'll just...

Snehal Shah: Karan, Snehal here. Basically, I mean, let's look only at the stand-alone level, our gross debt is about INR 3,581 crores, if you see. And there is a cash balance and other liquid investment of about INR 600 crores. So, we are roughly around net debt of INR 3,0

00 crores, and we can easily

borrow another INR 2,000 crores if required. That is one part. So we don't look at the subsidiaries borrowing because in any case, their borrowings don't come into the calculations of the standalone borrowing covenants that we have.

And for the construction finance, etcetera, I think we already have lines for most of the projects, except that because of very good sales velocity, we are able to finance the construction costs so far, out of the collections that we receive. That is not a problem over there. So I don't see the borrowings increasing in the subsidiary. So we have enough firepower at the moment if required to invest in more properties, more projects, if required.

Moderator: The next question is from the line of Raj Rishi from DCPL.

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Raj Rishi: Any plans to raise resources at the project level?

K. T. Jithendran: Resources, are you referring to funds or what? Equity? No need at this point of time, but we may be open to some private equity investments if there are the right partners, we're open to that for further expanding our business development portfolio.

Raj Rishi: Okay. And in the previous call, I think you had said in 3 years' time, easily you could cross INR 10,000 crores. So could you comment on that?

K. T. Jithendran: Annual sales, right? That's what you are meaning, right?

Raj Rishi: Yes.

K. T. Jithendran: Yes, yes. So we stand by that.

Raj Rishi: And the real estate scenario over the last few months and years has been very robust, right, especially in the area you're addressing. So what's your assessment for the future, like from here onwards to the next whatever you can foresee?

K. T. Jithendran: So Raj, as we look at the inventory levels, etcetera, in all the 4 major markets where we are operating and all the micro markets that we are looking at, it looks like a very good bet for the coming few years. Inventory levels are still pretty low. Number of players are less, supply is less, comparatively less. Supply has increased in some markets, definitely. But still, I see there is a very good leeway for strong branded, trusted brands, players, etcetera, to have a good run for at least the next 3 to 4 years.

Raj Rishi: And what kind of price movement do you see in the markets you operate? Like what is your perspective?

K. T. Jithendran: Difficult to predict, Raj. So, in our calculations, we take about 5% per annum sales increase. But largely, we take a call just before the launch, what's the market position and accordingly price the project.

Raj Rishi: As of now, you don't see the prices going down from whatever levels they are at?

K. T. Jithendran: No, we don't see that at all.

Moderator: The next question is from the line of Pinaki Banerjee from AUM Capital Private Limited.

Pinaki Banerjee: Sir, there's a news article last week that you have opened your first international office in Dubai to cater to clients in the Gulf region. So sir, can you throw some light on this matter and how much revenues are going to expect in the future from this region?

K. T. Jithendran: Dubai office. Yes, so we had actually opened the Dubai office last year as a part of a strategic expansion for sales, and I'm very happy to say that our recent launches, we had substantial bookings from Middle East. So I think we're very happy with that and the revenues are growing

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pretty strong. And we may be open to strategically opening offices in other international regions of growth also.

Pinaki Banerjee: Okay. Sir, my last question is just a hypothetical one, sir. Actually, you have just changed your name from Century Textiles to Aditya Birla Real Estate. And going by your current presentation, you have shown that the optimism is more towards the real estate than your pulp and paper business.

business. So sir, do you have any plans to actually demerge the business to unlock value in future?

Snehal Shah : At the moment, Pinaki, we don't have any plans at the moment. The reason why we changed the name, there are 2 reasons: One is to give the connotation of being part of the Aditya Birla Group, that is the Aditya Birla part. And second is to provide a focus on the investors that we are focusing more on the growth of the real estate business. Because most of our fresh capital allocation, whether through borrowings or in case tomorrow, we raise any money through equity, will be only towards the real estate business. And the paper business has to sustain itself on its own internal cash flows.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited.

Dixit Doshi: Sir, so our balance sheet as of September, does it reflect the deal that we have done with Bombay Dyeing? So the land is part of the inventory and if we would have taken some loan that is also part of the loan that we're showing in this balance sheet or it ...

Snehal Shah : Yes, it is, Dixit.

Dixit Doshi: And sir, this booking value, if you can give us a breakup the project -wise of the booking value?

K. T. Jithendran: Yes. Those bookkeeping questions, we can take later also.

Dixit Doshi: Okay. Okay. No problem. And if you can help us, till date, how many Niyaara Phase 2 units we have sold?

K. T. Jithendran: Niyaara Phase 2. Yes, means Silas. Silas, we've sold about 77 apartments.

Dixit Doshi: Okay. And sir, in the segmental result, we see that we have around 9% to 10% EBITDA margin that I can understand is because of the head office expenses, which...

K. T. Jithendran: Yes. Our project margin has been about 30%.

Dixit Doshi: Yes. So if you can help us what kind of head office expenses and at the annual...

Snehal Shah: There is some more clarity, you need to understand is, that the EBITDA margins are overall and we are not recognizing the EBITDA of the real estate business because it is from an accounting perspective, we can only recognize EBITDA once the finished goods are handed over to the customers. So that is a bit of an anomaly for us because, and yes, of course, the corporate expenses are growing in line with the growth of the real estate business. HO corporate expenses
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are not going up. It is the expenses of the real estate business, which are going up in terms of corporate overheads, which is in line with our budget, and it is in line with the growth that we are planning.

Dixit Doshi: Okay. Okay. So I understand that we book revenue when we deliver the project. So, the sales that we have booked today, those projects would have been delivered, but the cost is also booked at the time when the sales is booked, right?

Snehal Shah : Correct.

Dixit Doshi: So that's why I was trying to understand. So the only factor, which dilutes the EBITDA margin could be the HO cost, right?

Snehal Shah : HO cost has been there. Were you talking about HO as a parent HO or HO of real estate?

Dixit Doshi: Of real estate, sir?

K. T. Jithendran: And also on the launch costs of the new projects, when we launch, the sales, marketing costs, all of that gets expensed out.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking.

Biplab Debbarma: Sir, I have 3 questions. First is on the FY'25 guidance that we have earlier guided around INR 7,000 - INR 8,000 crores. Are we still sticking to our guidance, looking at slippages in approval?

K. T. Jithendran: Okay. Yes. So if you're going to put all questions, then it's fine, but if we wanted to answer that, yes, we are still going by that guidance.

Biplab Debbarma: Okay. Second question is on where do we stand regarding project launches in Wellesley Road, Sarjapur, and Thane? I mean what

is the current stage of approvals for these projects?

K. T. Jithendran: So Wellesley Road, Pune, we are planning to launch this quarter. December is what we're planning to launch. We are well on our way in terms of approvals. Sarjapur will be in Jan Q4.

And Hindalco will be more likely in March of Q4.

Biplab Debbarma: Okay, great. So we are on track in these 3?

K. T. Jithendran: Yes, we are. We are.

Biplab Debbarma: And the third question is for Snehal sir. Sir, for the paper business this year, what do you think would be our EBITDA margin in FY'25? And in terms of cash flow, will you be able to generate at least INR 300 - INR 400 crores of net cash flow from this business?

Snehal Shah: Biplab, the answer is negative on the cash flow. I don't think we expect to generate any cash flow this year because half year is gone. And there has not been a significant inflow of cash from the paper business. The outlook does not look very good, but we hope that it will be better in the second half, but we don't expect profits to probably reach even 50% of what we did last year.

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Moderator: The next question is from the line of Himanshu Zaveri, an individual investor .

Himanshu Zaveri: Yes. I would like to know -- do you think the real estate prices have peaked as of now in Mumbai and where we have most of the important portfolio? And we should go a little bit now on volumes too, as price appreciation from these prices looks difficult now onwards?

K. T. Jithendran: Yes. Thanks for that question, Himanshu. Yes, I mean, we have always looked at volumes all times. All of our launches, if you have noticed that we have been able to garner very strong volumes. And we stand by that idea. As far as prices are concerned, I think, there is -- the markets, as I mentioned to you earlier, as mentioned earlier in this call that the inventory levels are still pretty low. Handovers are very low.

So I think there is still quite a bit of upside left in the markets, especially Mumbai, Bangalore, NCR, all of these markets, I think there is a good amount of upside still left. Supply/demand gap is still quite wide. Number of players are also fewer. There's a lot of consolidation in the industry. Demand seems to be very strong. And so if the product is good, backed by a strong and reliable brand, I think, there is a very good upside still left in the market. That's my belief.

Himanshu Zaveri: I particularly was asking about the Niyaara project because I think we are already around -- selling around the INR90,000 square feet, right? So do you think the prices can still go up from here on? That's what my question.

K. T. Jithendran: I think as we progress in our construction and the project gets closer to completion, there is still quite a bit of room for appreciation. I'm largely looking at the developments around there's going to be a business district coming next to it. Top -notch hotels, 5 -star hotels coming close to that. There is a second access coming behind the project. So lots of new stuff that's coming. So the value accretion from here is going to be phenomenal. So I think there is a very good strong upside still left in this project ..

Himanshu Zaveri: And the new land, which we acquired, it is just next to Niyaara, right?

K. T. Jithendran: Yes, it's touching Niyaara's boundary. It's a part of the Niyaara, it was always ours, but anyways, there was a dispute...

Himanshu Zaveri: So that is also going to be full residential like... ?

K. T. Jithendran: Yes. So largely, it will be residential, but we will look at other options also. We're still on the drawing board figuring out what has to be done.

Himanshu Zaveri: And premium only, right? Like 3, 4, 5...

K. T. Jithendran: We haven't taken a call. It will be a separate project. So to say from that point of view, the positioning and all depending on market conditions,

we will think about it.

Himanshu Zaveri: And the same thing you feel is for the NCR market also because there also the pricing is very, very strong, right?

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K. T. Jithendran: Yes, NCR also demand is very strong. If you look at the recent launches of the few players that have lands there, every launch has been a sellout and every launch has been pretty strong. Prices have been very, very strong. So I expect that momentum to continue.

Himanshu Zaveri: Correct. And now we also have quite a few parcels where we can...

K. T. Jithendran: Yes, we're pretty excited about that.

Moderator: The next question is from the line of Krishna from Ashika Stock Broking .

Krishna : So my one question is that I quickly wanted to understand the consumer mix. How much of it is driven by investors and how much is driven by our first time users for the residential projects?

K. T. Jithendran: Yes, a difficult call to make, Krishna. We don't know how many of them to the extent possible, in our sales, we would like to believe that they are all actual users, but the very fact that willing to wait until the product is delivered, there is also an element of investment coming in there. What we try to do is that all of the projects, as soon as 10% is collected, we do the stamp duty registration, then GST, etcetera.

We have some rules saying that you can't sell for 3 years or at least until 50% of the payments are made. So despite that, if you see people coming in, we really don't care whether they're

investors or actual users because all we care is that they are all long-term players. They are seriously interested in buying this and they're not flippers. So from that point of view, I think we are getting pretty strong traction ..

Krishna : Okay , got it. A follow -up question to that. Like you mentioned that you set up an office in Dubai, and we also plan to set up offices abroad. So what percentage of the sales or bookings, do we see from these?

K. T. Jithendran: Yes, as of now, we are seeing about 20%, 25% of these bookings coming from international markets.

Krishna : Okay. And any specific project or market that it comes for?

K. T. Jithendran: For both our Niyaara Phase, Silas, we had very strong response from both Singapore and Middle East and U.S. And now in the recent Bengaluru launches also, we saw very strong traction from all these markets, Singapore, Middle East, U.S., U.K. .

Krishna : Got it. So one more question. If you could just mention the total sales that we have done, like the collection, how much of it is coming from home loans? What is the percentage of collections from home loans?

K. T. Jithendran: Yes. I don't have that number offhand, Krishna. Maybe we can give it to you. But the projects right now, these launches have been very recent in Bangalore. So , there is not . I mean, it still takes time for people to go and fetch home loans. But if you look at Silas, there's been very few people have taken home loans. The product at Worli, very, very few, hardly anybody had so far Aditya Birla Real Estate Limited

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went for home loan. But generally, I look at the other -- the Bangalore market, we see 60%, 70% people taking home loans.

Krishna : Okay. Got it. And one last question, if I may ask. How do you see the competition in the NCR region, given there are a lot of new players entering and also existing players having a hold in the market?

K. T. Jithendran: NCR is a very broad market. If you look at Noida, there's hardly any supply, hardly any new projects launched, very few projects are being launched. There's virtually no supply . There's huge demand . Demand far outstrips supply. People are waiting for the right projects to come. There are a lot of stuck projects and half done projects because of which there is a lot of unmet demand. So , there's a

very distinct leaning towards stronger dependable branded players.

If you look at Gurgaon, again, the number of players has dwindled a lot from what it used to be. There may be a slight increase from what it used to be last year or year before last. But if you look at the overall picture in the last 10 years, it has drastically reduced . The number of land availability is also drastically come down. So in both these markets, I see a very strong opportunity for growth.

Moderator: The next question is from the line of Chirag Sureka from UTI Mutual Fund.

Chirag Sureka : So in terms of the land acquisition, which we did in Worli , I think where we mentioned the land cost was around INR1,100 crores. Have we made the full payment or is it a sort of... ?

K. T. Jithendran: We have made the full payment, Chirag. Full payment has been made.

Chirag Sureka : And for the other acquisitions, is there any component of pending land payments?

K. T. Jithendran: No. Others anyway is our own land, so there's no question of any land...

Chirag Sureka : Okay. And sir, in terms of debt cap, like previously, we have been guiding that we'll try and keep it about 1x in terms of leverage. So are we continuing with that stance? Or is there a relook in terms of because of the growth opportunity?

Snehal Shah : We're comfortable. Right now I think, we are 0.7 or something on a stand alone . We are looking at it on a stand -alone basis. I think, we are 0.7 or something as of today and we maintain that we will be around 1 at the most.

Moderator: The next question is from the line of Vivek Ramakrishnan from DSP MF.

Vivek Ramakrishnan: Chirag just asked a lot of my questions. So let me ask another question then. In terms of Niyaara 2, you said you sold 77 -- I think 77 out of 148. Do you see the sales momentum as per your projections? And looking into the medium term, the question is this. I understand that you're bullish on the market and you are acquiring and you're raising debt for that. And what is the point where you would say, I mean, what is the art of science that you're going to use to say that, okay, this is -- from now on, we'll go for self -sustaining cash flows. Those are my 2 questions.

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K. T. Jithendran: Yes. So the first question on Niyaara sales, yes, I think we have done much better than expected. We didn't expect such a strong sales momentum. So I think this has been a positive surprise for us. And of course, there has been a little lull in the first quarter because after a strong sales initial launch, and being the last quarter, Q1 being a little bit of election, etcetera, there was a kind of

a slowdown, but it is again picking up now. I see the momentum again picking up ..

I don't know what the question clearly was, but I think, if it is self-sustenance, means, I think, there's a lot of collection that we are expecting from these projects going further down based on the progress and milestone billings. But more importantly, I think, there is so much potential for growth. There is so much demand, so we would like to really take full advantage of that.

So we'll keep looking for growth opportunities. Self-sustenance will happen whenever that happen, but I think we don't want to miss out on the growth opportunity. So whenever there is a right project at the right valuation, and we think there's the right demand, we will always look for the capital resources to acquire that. So that's not going to be a constraint.

Snehal Shah: Vivek, Snehal here. To answer your question specifically, quite honestly, for our launch projects, we are already self-sustaining ourselves. So we are in a negative working capital situation. After providing for all corporate overheads, etcetera, and all that stuff, we are still yet to reach a position where we will have free cash flows, which will fund the growth capital level. Right now

ht now

funding for the construction of our launch project is not a problem.

We are already positive on the operating cash flows. And only when most of the project come into fulfilment, probably that is a time when we'll start having free cash flows from the real estate business, and we expect that till then keep on funding the growth capital of the real estate business further. I hope that helps you.

Vivek Ramakrishnan: Yes, that does. Perfect. In fact, I think you mentioned that last quarter also at 67%, 60% sales you are self-sustained for a project. If I can just ask one more question. In terms of execution of projects are you facing any challenges due to the availability of labour, any of these issues affecting the real estate players? Or is it all going as per plan?

K. T. Jithendran: So Vivek, as things stand today, everything is fine. Broadly all of our execution is on plan, within budget, no issues there. But if the market continues to grow along with the infrastructure growth, the Indian economy continues to grow, we may have to look for more contractors, more skilled labour, mechanization of construction, modernization of construction, modular construction, etcetera. Because the kind of demand, which we expect both in real estate and in infrastructure construction, the availability of good contractors could be an issue and further downstream, the availability of skilled labour could be an issue. So we may have to find solutions for this in the long run.

Moderator: The next question is from the line of Akshaya Ajmera from Nirzar Securities LLP.

Hitesh Doshi: Yes, I'm Hitesh Doshi here. Congratulations on name change of the company reflecting Aditya Birla Group. So sir, my only question is that, can we have a breakup of this INR 43,000 crores GDV of Bombay in which INR 10,000 crores is ongoing and INR 33,000 crores -- because there Aditya Birla Real Estate Limited

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is some confusion is that, does it include the Kalwa land total potential or part of it? Does it include the 10 acres of employees quarter land in Worli? And does it include Wadia land we have acquired? And my second question is that the 10 acres of Mr. Wadia's land, which you acquired recently, what FSI we will get? What kind of carpet area we can sell out of that?

K. T. Jithendran: So, Hitesh, Thane is about INR 7,600 crores in a conservative basis. And this new acquisition in Worli is about 2.6 million square feet. So that's INR 14,000 - INR 15,000 crores. INR 14,000 crores is what we have currently assumed on a more conservative basis looking at the kind of supply. Then we had the INR 20,000 crores from the previous -- Worli, 30 acres. So, INR 20 crores plus INR 14 crores, INR 34 crores. Plus, INR 7 crores, so that's INR 43 crores. So, INR 43 crores, INR 43.5 crores is definitely there on a conservative basis.

Hitesh Doshi: Okay. So this include entire potential of the Hindalco land or is this partly...

K. T. Jithendran: Yes. It's full potential.

Hitesh Doshi: Okay. Full potential. And even the 10-acre of the employee quarter you can do ready in this.

K. T. Jithendran: Yes, yes. All that's included. That is all included.

Moderator: The next question is from the line of Akash Gupta from Nomura.

Akash Gupta: Sir, my first question is with respect to Niyaara. I was just seeing your sales. So Niyaara sales were weaker on a quarter-on-quarter basis. So I wanted to understand why is that so? Because Oberoi's project, Three Sixty West had a pretty strong momentum even in the second quarter.

K. T. Jithendran: So I can't speak about -- maybe that's a ready possession, ready to move in. As you know we had an extremely strong -- a super strong launch where there was a lot of excitement, and most of these people picked up during that period. So obviously, after such a strong response, there is always going to be a little bit of lull.

All I

can assure is that it's again picked up momentum now. We are having a very strong response. There's a huge amount of interest again generated. And this is expected, it comes in bits and spurts. Initially, with the launch time, there is momentum, but our momentum was much

higher than what we expected.

Then of course, that's followed by a little bit of lull. And now again, it picks up in the festive season at the year-end. Q3, Q4 is largely when this momentum picks up for various obvious reasons. So we are not at all worried because what we had expected as our business plan, we have already covered all of that during the launch season itself.

Akash Gupta : Okay. Okay. And just wanted to understand, this quarter, our residential EBITDA margins came in at roughly 11%. So what was the project level margins for this quarter?

K. T. Jithendran: 30% for all projects.

Akash Gupta : 30%? Okay.

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K. T. Jithendran: Yes.

Akash Gupta : Okay. And I heard during the call that one of our projects was delayed to the next financial year. So I just wanted to understand, based on our current launch pipeline, what projects are we planning in the third quarter? And what projects are we planning in the fourth quarter?

K. T. Jithendran: I had mentioned a little earlier that we are planning our Wellesley Road, which is Sangamwadi in Pune this quarter. Then we are looking at Sarjapur in Bangalore, another phase of Trimaya in Bangalore next quarter, Q4. And also, we're looking at Thane project, the Hindalco land project launch in Q4. And to make up for IHP, we are trying. We are not too sure to launch the Sector 31 Barmalt project also. We may be touch and go. We may be able to do it. We may not be to do it, but we are trying to get that also in the next quarter.

Akash Gupta : And despite the delay in launches, are we still sure to reach our guidance of INR 7,000 crores to INR 8,000 crores in presales?

K. T. Jithendran: At this point of time, Akash, we are reasonably confident.

Akash Gupta : Okay. Okay. And sir, just one final question. On the consolidated level, we were looking at debt of roughly INR 4,000 crores this financial year, and we are already at roughly INR 4,500 crores at 1.1x net debt to equity at a consolidated level. So I just wanted to understand like towards the end of FY'25, how are we looking at net debt to equity at a consolidated level?

Snehal Shah: So Akash, I think I answered this question at the beginning of the call. Maybe you're looking at a consolidated basis, I think you should probably look at a stand-alone basis, which is more important. And I think we are still sticking to the point that we will be around 1 as far as the debt equity ratio goes. And right now I think we are somewhere close to 0.7, 0.8 or something, anywhere between that. And I think when we were talking about it, we didn't have the Wadia land deal in our calculations. So that has kind of slightly changed the appletart for us. But then at the end of the day, it was a very attractive deal, which we could not leave for -- and it is about being in the vicinity of a larger land parcel as well as the attractive pricing that we got. But we are still comfortable. As I said, our net debt on a stand-alone basis is right now INR 3,000 crores. So we can easily -- if required set ourselves to INR 5,000 crores if required on a stand-alone basis, maybe we will be slightly above the 1, but of course, see that we are spending it on some good acquisitions.

Moderator: The next question is from the line of Deep Mehta from Bank of India Mutual Funds.

Deep Mehta : Congratulations for a very stable quarter, both in terms of presales as well as attractive BD deals. Two questions. First is a clarification, which I would like to ask. We talked about potential fundraise from private equity investors. So we are talking about fundraising the

project -- at

project level or on at holding company.

K. T. Jithendran: At project level.

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Deep Mehta : Okay. So no potential fundraise at the holding company level?

K. T. Jithendran: No.

Deep Mehta : Okay. Very clear. And my second question is regarding our presales guidance for the year. If we have to meet our guidance, we'll have to do significant presales jump in H2. So this elevated H2 will be led by new launches or from sustenance from existing projects?

K. T. Jithendran: No, it will be primarily driven by new launches.

Deep Mehta : Sure. So my last question was that if you can share the potential GDV of each of the launches, which we are planning in H2?

K. T. Jithendran: I'll broadly try to share it. So Wellesley Road, which we're planning this quarter is about INR 1,050 crores. Sarjapur is going to be a very big launch in Bangalore, in Q4, is about INR 2,700 crores. New phase of Trimaya with another 7 lakh square feet will be roughly about INR 700 crores. The last phase of Navya will be about INR 1,400 crores. And Hindalco launch, which we are planning in March of Q4, that is expected to be about INR 1,800 crores, the first phase.

Moderator: The next question is from the line of Ishita Lodha from Svan Investments .

Ishita Lodha: I have a question with respect to the cash flow statement. So , if I come to presentation, Page 32, I see that the project development cost is around INR 3,441 crores. Now I understand that INR 1,100 crores was spent towards the Wadia Group land acquisition. Then maybe around INR 500 crores for the other business development activities we did in Gurugram acquisition and Manjri, Pune. So , what about the balance INR 1,900 -odd crores? Like can you throw some light on that?

Snehal Shah: Yes, 1 second. So Keyur, can you -- yes, just a minute, Ishita.

Ishita Lodha: Yes.

Snehal Shah: Because Keyur can.

Keyur Shah : Yes. So we've also acquired land at Sector 71. Then we've made some payments for the land at Sector 31. We've also made payments for the Kalwa land. So all of that is comprised in the cash flow, which you have included therein. And there is also a working capital adjustment factored in the overall. So the gross amount is recorded in project development costs. And that also includes the development cost, which we have incurred on the projects.

Snehal Shah: So Ishita, this also includes construction costs incurred on the existing projects that we have launched.

Ishita Lodha: Okay. Okay. Got it. Also one other question that I have is on the Walkeshwar launch. I see that 23% has been sold so far. So I mean this seems to be muted versus the other launch -- the response we are getting on the other launches. So is it because it was launched towards the end of the second quarter or can you throw some light on this?

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K. T. Jithendran: So see, it's a very, very ultra -super luxury project in South Mumbai. We have just about 8 apartments. Two are already sold, and we have some very strong follow -ups on the other inventory also. Given the profile of these cust omers, they take their time, et cetera. But I think we've already done 2 and the pricing has been at INR 150,000 per square foot. So obviously, we can't do a Trimaya here what we did because that's about INR 1 crores average. This is INR 50 crores, INR 60 crores. Tt has its own characteristics. So, that's as per our plan. So it's going well from that point of view.

If you look at these kind of high luxury sales, if you look at the other big players, obviously, most of them, the bulk of it goes more towards when the product is almost ready or structurally ready, et cetera. Here, we just launched and we already kind of done 2 apartments. We're looking at a few more for the end of this year. So I see, this project is do

ing very well from that point of view.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking.

Biplab Debbarma: I have 2 follow -up questions. First question is on the project development cost. Out of that, how much was the construction cost in the 1H FY'25? And in second half of this financial year, how much project development cost do we anticipate?

K. T. Jithendran: Biplab, I suggest these bookkeeping questions, we can take off -line. You can connect and take it from Keyur. We don't want to take others time on this. We can talk more about.

Snehal Shah: I think broadly we answered , Ishita. So I think you should have got your answer with that. It's very detailed. Each project.

K. T. Jithendran: Yes, I think, you can always connect with Keyur and take the numbers.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing remarks.

R. K. Dalmia: Thank you all for participating in this earnings con -call. If you have any further questions or would like to know more about the company, please reach out to our IR manager at Valorem Advisors. Thank you so much for your time and have a good day. Thank you.

Moderator: On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

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SH/XII/2024

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Real Estate Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

('Listing Regulations')

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the Q3FY25 Earnings Conference Call conducted on 22nd January, 2025 at 12:00 noon 1ST after the meeting of the Board of Directors of the Company held on 21st January, 2025.

This is for your information and record.

The above information is also available on the website of the Company.

Thanking you,

Yours truly,

For ADITYA BIRLA REAL ESTATE LIMITED

(formerly Century Textiles and Industries Limited)

ATUL K. KEDIA

Jt. President (Legal) & Company Secretary

~as above

Aditya Birla Real Estate Limited

(Formerly known as Century Textiles and Industries Limited)

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"Aditya Birla Real Estate Limited

Q3 FY '25 Earnings Conference Call "

January 22, 2025

MANAGEMENT : MR. R.K. DALMIA – MANAGING DIRECTOR – ADITYA

BIRLA REAL ESTATE LIMITED

MR. K.T. JITHENDRAN – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – BIRLA ESTATE S

PRIVATE LIMITED

MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER –

ADITYA BIRLA REAL ESTATE LIMITED

MODERATOR : MR. AKASH GUPTA – EQUITY RESEARCH NOMUR A

Aditya Birla Real Estate Limited

January 22, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Aditya Birla Real Estate Limited Q3 FY '25 Earnings Conference Call hosted by Nomura. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Akash Gupta from Equity Research Nomura. Thank you, and over to you, Mr. Gupta.

Akash Gupta: Thank you. Good afternoon, everyone. On behalf of Nomura, I welcome you all to the 3Q FY '25 Earnings Call for Aditya Birla Real Estate. We have with us from the management Mr. R.K. Dalmia, Managing Director, Aditya Birla Real Estate; K.T. Jithendran, MD and CEO; and Mr. Snehal Shah, CFO.

Sir, we will start with the call with opening remarks from the management, which will be followed by a Q&A. Over to you, sir.

R.K. Dalmia: Okay. Thank you. Good afternoon, everyone, and welcome to the earnings conference call for the third quarter and 9 months of financial year 2025. Let me now take you all through the financial highlights, followed by the business-wise operational highlights.

For the third quarter of financial year 2025, the consolidated turnover of continuing operations declined by 4% year-on-year to INR946 crores, EBITDA for the quarter was reported at INR18 crores. This EBITDA margin reported at 1.9%, while the net loss for the quarter was INR37 crores.

For 9 months of financial year 2025, the consolidated turnover of continuing operations grew by 18% year-on-year to INR3,206 crores. EBITDA for this period was INR241 crores with EBITDA margin reported at 7.5%. The net profit of continued operations for this period was INR3 crores.

Now let me take you through some of the key highlights across our business verticals, starting with the real estate business. During the quarter, the Indian real estate sector recorded a strong sales, with consistently growing appetite for new launches. The premium and agri residential housing segment continued to outperform, driven by factors such as a large space requirement, advanced amenities and the desire to secure and well-designed living spaces. Premiumization continues to remain the defining feature in the residential segment.

Q3 FY'25, the real estate business performed very well with booking value increasing by 257% year-on-year to INR675 crores at our already launched projects and collection increased by 175% year-on-year to INR501 crores. The revenue of Birla Estate grew by 117% year-on-year to INR184 crores, driven by continued deliveries at project Birla Alokya in Bengaluru, Birla Vanya in Kalyan and Birla Vanya Navya Phase 1 in Gurugram. Adhering to our commitment of Aditya Birla Real Estate Limited

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diversifying the portfolio while catering to demand for spacious homes, we acquired a 70 acres land parcel in Boisar for our first ever plotted development project.

In other updates, Birla Aurora has been awarded the prestigious Net Zero Energy -Existing Building certification by the Indian Green Building Council. Also Birla Anayu, Walkeshwar has received LEED Gold precertification, reaffirming our commitment to energy efficiency and global sustainability.

Let me also take this opportunity to provide some clarity regarding Honorable Supreme Court order on land bearing C.S. 1546 that appeared in media publication of Times of India. The Worli West land comprises of freehold and leased land. The lease land, which is under Supreme Court order measuring to 25,544 square meters or equivalent to 6.31 acres under the development potential of approximately 5 lakhs square feet to

INR5,000 crores booking potential. This has no impact on Birla Niyaara project, as land parcels are different.

Additionally, there would not be an impact on our long-term plan of the company through this order as company had planned to develop this post 3 to 4 years. It is important to note that Birla Estate added a total of INR63,000 crores GDV till date and we have strong business pipelines across our key markets of MMR, NCR, Pune, Bengaluru. We plan to stay on course with our long-term growth plan.

Lastly, our outlook on the sector continued to remain optimistic, driven by increasing urbanization trend, rising disposable income and government investment in infrastructure. With the ongoing reduction in unsold inventory, India's real estate sector is strategically positioned and resilient and dynamic future effectively addressing overhang concern.

Now moving to the Pulp and Paper segment. Q3 '25, paper, board and tissue prices continued to witness a downtrend due to weak domestic demand, rising finished goods inventory and rising input cost pressure from increasing wood and imported pulp cost. Average net sales realization for the quarter were down by 6% year-on-year and 3% vis-à-vis previous quarter. While production volume fell by around 15% year-on-year, sales volume decreased by 16% year-on-year. That resulted in EBITDA declining by 79% year-on-year.

Writing and printing paper segment witnessed a soft market demand in Q3 financial year '25.

The board segment faced challenging market conditions in Q3 with price correction taken by domestic mills for machine coverage. The company continued to implement various cost reduction initiative to counter these market conditions, like trial of using bagasse pulp in middle layer of board without compromising on quality. Bamboo usage in Fiberline was increased from 14% in Q1 to 31% in Q3 to reduce cost of captive pulp. Additional capacity of chippers was utilized to store wood chips instead of wood logs thereby reducing downtime in pulp mills.

On the sustainability front, the company developed 138 nurseries in 13 districts to increase wood catchment area with about 110 lakh plantation completed till Q3 '25. The company generated around 44 metric ton of compressed methane gas, CMG, from wastewater and utilized the same instead of LPG in tissue machine. Company is also taking various strategic measures like

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conducting a management leadership workshop, Mission Everest with a leading faculty. We also re-worked with the copier market strategy to revamp the product portfolio. Additionally, B2C strategic initiatives are also under development stage.

On the market outlook, prices have recovered in writing and printing paper segment at the end of Q3. On the market outlook prices have recovered in writing and printing paper segment at the end of Q3 and Q4, realizations are expected to be higher, while the operating environment in the tissue segment is expected to be challenging in Q4, given the disruption from entry of new players and adverse demand-supply balance in the domestic market.

In both segments, both volume and pricing outlook in Q4 remains subdued given market condition and competitive intensity from low-cost imports with rising domestic competition, we are making efforts to develop export market to obtain orders with a positive contribution margin and ensure machine coverage. Export in paper segment are expected to increase from Q4.

With that, I will now conclude our opening remarks, and we can start the question-and-answer session. Thank you.

Moderator: The first question comes from the line of Akash Gupta from Nomura. Please go ahead.

Akash Gupta: Sir, we'll take the first question till the question queue assembles. So sir, we did not have any launches in the third quarter in the festive season. And now you are saying that we'

I have

roughly 6 launches in the fourth quarter. So I just wanted to understand like where are we with respect to RERA timelines for these 6 projects? And how confident are we that all these 6 projects will go through?

My second question is with respect to the loss in your real estate segment this quarter on the P&L. I just wanted to understand, could you give us a brief background as to why do we have a loss in the third quarter for the real estate segment?

K. T. Jithendran: Yes. So our launch calendar for this quarter, largely based on our RERA clearances, we are expecting the Birla Trimaya and Birla in Sangamwadi, which is in Pune, we are expecting these 2 launches in February. Also, we are expecting to launch Sector 31 in Gurgaon, Barmalt project in February, and we're expecting 2 launches in March. One is in Sarjapur, Bangalore and the other one is the new phase of Navya in Gurugram. So together, we expect to launch about INR8,000 crores of new projects worth of inventory. So, with that, it's our confidence that we'll be able to achieve our guidance.

Snehal Shah: So, Akash, on the loss part of real estate, basically, the reason is, of course, our corporate overheads are going up and we were expected to realize some EBITDA from the handover of our completed properties in Kalyan, particularly. So that has not happened in this quarter, so we could not recognize that revenue as well as the profits from that, which will probably happen in this quarter.

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K. T. Jithendran: Akash, I just want to assure you all our margins for these projects are all protected. We are running a margin of at least 25% to 32% in all the projects which we are handing over. And overall, it's close to about 30% to 35% margin. But just because the revenue number has not

come in while our overheads is evenly distributed across this thing , we have blemishes there.

Akash Gupta: And sir, one more question for FY '26. What is our presales guidance? How are we looking at that?

K. T. Jithendran: So, we'll refrain from giving any guidance at this point of time. Let's see about the quarter 4.

Snehal Shah: Akash, essentially, as K.T. mentioned, that we have a few launches in this quarter, we have to see what is the performance of those launches. And based on that, we have to consider the sustenance sales of the balance, including our existing launched properties. And based on that, we will work on the number and probably end of quarter 4, we'll be able to give you a better guidance.

Moderator: Next question comes from the line of Dixit Doshi with Whitestone Financial Advisors Private Limited.

Dixit Doshi: So, my questions are related to this recent Supreme Court order. So some of the things you have already covered in the opening speech, but a few doubts regarding that. So firstly, is it only -- the litigation is only in the West part? Or is there any litigation on the East part of the land as well? Secondly, this West part is a 10 -acre, so entire 10 -acre is under litigation and only the judgment has come for 6 -acre or only 6 -acre was under litigation and 4 acres is absolutely clear?

The next part is whether we will have to develop any units for the BMC? And if yes, then how much it will cost us? I have a few more if you want, I can cover entire thing.

K. T. Jithendran: So just to give a little more clarification on this litigation aspect, which is already covered by Mr. Dalmiaji in the opening statement. So, the litigation is clearly on restricted to that 10 acres of land on the Worli -- sorry, the litigation is restricted only to the Worli West land, not to the East land. East land is totally clear and has nothing to do with it. On the West land, which is approximately 10 acres, 3.5 acres was freehold, there is no problem , it's absolutely clear.

If you remember a few years back, we had said that we have won in t

he high court, etcetera, on

this 6.5-acre land, which is a long lease land from BMC. So that is where the order got reversed in the Supreme Court. So, the thing remains that only the 6.5 acres is where we have suffered a loss in this litigation. Otherwise, the rest remains intact. Also, it's pertinent to mention that there is a lot of obligation in terms of building the workers' colony there, etcetera. So if the land goes, obviously, the responsibility and the liability of redevelopment, etcetera, also moves to the owner of the land.

Dixit Doshi: So, in case this land goes, so we will not have to build anything?

K. T. Jithendran: Right. You're absolutely right.

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Dixit Doshi: And is there any space where we can appeal against this order or it's full and final done?

K. T. Jithendran: These legal options we are exploring at this point of time.

Dixit Doshi: And just regarding this, if we surrender this land, I mean whether we will be getting any additional FSI, TDR or anything? And is there any option where we can give them this land somewhere else and keep this land?

Snehal Shah : This 6 acres, you clearly understand Worli East is 30 acres now because we also acquired the Wadia land. So that is completely a separate story. There are no issues on that. This is a 10 -acre property of which partly 4 acres roughly is our own leasehold land. So, there is no litigation or any encumbrances or anything on that land. So that is free for us to develop. And we maintain that we will develop that. The issue is only on the 6 acres land . 6 acres land belongs to BMC. So, BMC has leased it to us. And we wanted to take procession of that, which the Supreme Court has said now you can't get it.

So therefore, now everything related to that is BMC. So, we don't have to surrender because it is not our land that we have to surrender. It is their land now at the moment. I hope I'm clear about that. So, anything they have to do on that land is their liability. We have absolutely no liability on that land.

Dixit Doshi: And my second question is regarding the Niyaara project. So how much units are unsold in the first tower and the second tower?

K. T. Jithendran: Yes, so in the first tower, about 400 units are sold out of 414. Second tower, about 86 units are sold out of 148.

Dixit Doshi: And any thoughts on tower 3?

K. T. Jithendran: Yes, that we are planning to bring it in this coming year.

Dixit Doshi: FY '26?

K. T. Jithendran: Yes.

Moderator: Next question comes from the line of Siddhant Chhabra with Minerva Asset Advisors .

Siddhant Chhabra : Just had a couple of questions on the paper and pulp segment. Firstly, if possible, can you give me a split of wood procurement between Subabul, Casuarina and Eucalyptus , the 3 types of wood?

Snehal Shah : Siddhant , I don't have that breakup at the moment. You can drop an email; I'll send it to you.
Siddhant Chhabra: Okay. And when I drop the email offline, could you also tell me how it's changed over the last year. That's also possible?
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Snehal Shah : Okay. I 'll try to send you this trend or whatever. You want to know Eucalyptus and Poplar , right, the breakup?
Siddhant Chhabra: No. So Subabul , Casuarina and Eucalyptus , what the split is of wood procurement between these 3.
Snehal Shah : Okay. Fine.
Siddhant Chhabra: Okay. So my second question now is regarding wood prices. If you can give me an idea that how do you see domestic and imported wood prices moving over the rest of the year?
Snehal Shah : I think the cost pressures will continue. The wood prices have gone up by close to around 6.5% from last year and imported pulp has gone up close to almost 17 -odd percent up. So that pressure will continue, particularly imported pulp because of the dollar -- rupee depreciation
also would
impact the pricing of that. So that is one thing. And there is the demand -supply part, probably it will also continue because there are new capacities that have come up in the market and all that. So those cost pressures will certainly continue in the near future. There is a possibility that slowly as the demand picks up, we can pass on some of it in the pricing.
Siddhant Chhabra: So are you saying that the domestic wood price s, you expect them stay stable or increase or... ?
Snehal Shah : Mostly, we expect them to be at least sustained. But we don't expect it to considerably go down.
Siddhant Chhabra: So domestic wood prices, you don't expect a decline over the rest of this year, say, by December end of the year.
Snehal Shah : Correct.
Siddhant Chhabra: Okay, right. And on imported wood, you told me imported pulp, what about imported wood?
Snehal Shah : We don't import wood.
Siddhant Chhabra: Then my last question would be on Shandong Chenming , the Chinese paper company , they had a significant part of their capacity shut down in this last December quarter. So, first thing would be, have you heard any update on that, if it's come back or to any extent? And secondly, because of that, have you seen that the competitive intensity in paperboard has come down due to their capacities being shut off in the last quarter because they're quite a large player in the paperboard segment?
Snehal Shah : So, I absolutely don't have any update on that part. But you have to understand that we were facing pressures, both from imports as well as from new capacities coming up in the market. So, imports probably are slowing down, that is what we are seeing, but the pressure is still up because of the new capacities in the domestic market.
Siddhant Chhabra: Okay. So you're saying that in paperboard, import pressure has been slowing down?
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Snehal Shah : Yes.
Siddhant Chhabra: Okay. And do you expect that to remain the trend going forward? Or do you expect the competitiveness to increase again?
Snehal Shah : Well , I think it would probably always be there. And now with particularly rupee depreciating also would probably slow it down a bit in my opinion. So, the pressure may be there, but it won't be as intense it was in this financial year.
Siddhant Chhabra: Okay. So again , like the decline has happened and you expect it to be slow -- the pressure from imported paperboard to be slow as well, not pick up again?
Snehal Shah : Yes.
Siddhant Chhabra: Right. Okay , I'll reach out to you regarding the split between the 3 types of wood procurement.
Moderator: Next question comes from the line of Harsh Pathak with Emkay Global.
Harsh Pathak: So K.T., with regards to your remarks that in fourth quarter, we'll be launching INR8,000 crores of new inventory. But to meet our original guidance of INR7,000 crores to INR8,000 crores of presales for the year, I think the ask rate is close to around INR5,000 crores to INR5,500 crores.
So how confident are we that we'll be able to achieve this high sales from whatever we are launching in the last quarter?
K. T. Jithendran: Harsh , so apart from the launches, there are also sustenance sales . So, with a combination of both that we are pretty reasonably confident that we will be able to achieve this promised target.
Harsh Pathak: Sure. So that INR7,000 crores to INR8,000 crores remains intact , the guidance.
K. T. Jithendran: Yes, with the help of new launches and sustenance support.

Harsh Pathak: Sure. But in the sustenance launch, I was looking at the Q3 performance. So, I think the third quarter was mainly driven by Niyaara sales. I think 55% came from Birla Niyaara Phase 1, Phase 2 combined. But now again, Walkeshwar, we have not seen any sales during the quarter. So first is, how is the traction in the luxury and premium segment and the sustenance

inventory is also

low. So, my question was more around that.

K. T. Jithendran: Yes. So I'm not expecting huge listing because we don't have much of sustenance except whatever is leftover inventory from Silas and Walkeshwar, which is Birla Anayu. But I can be confident in saying that we are getting a lot of traction in both these projects, a lot of interest is being shown, people are coming and going.

But as we know in this luxury sales, once the launch is done, it takes its own time for deals to be concluded. And usually, most times you have noticed that Q4 is a high action period for these very high-end value units, luxury sales are now about INR10 crores is -- usually seen pretty strong traction in that final quarter.

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Harsh Pathak: Right. But are we seeing footfalls, good footfall still at our projects at the luxury side?

K. T. Jithendran: Yes. It's pretty strong.

Harsh Pathak: Sure. And my next question was regarding this Boisar land parcel. So what kind of development are we eyeing there? And when do we expect the launch of this particular project?

K. T. Jithendran: Yes. So it should be a pretty quick launch. It's a plotted development that we are planning there. So it's very well located, very close to the bullet train station, which is coming up from Ahmedabad to Mumbai. The location is very strategic. We've got a very good deal. So, it's largely a plotted development. So, I expect this to be launched in the next financial year.

Harsh Pathak: So, in the first half, we can expect this launch?

K. T. Jithendran: Yes, I don't like to guide so sharply. But I can, at this point of time, confidently say that should be in the next financial year.

Harsh Pathak: Sure. And what would be the GDV of this particular project?

K. T. Jithendran: Roughly about INR500 crores being a plotted development.

Harsh Pathak: For the entire project and this is completed our share, right? I think it's an outright purchase.

K. T. Jithendran: Right.

Harsh Pathak: And regarding the BD pipeline, I think in this year, we have already done a very good business development. So how does the pipeline look for the future acquisitions?

K. T. Jithendran: Yes. So, we have already done about INR23,000 crores. So, pipeline looks pretty robust, still very strong deals, both JDA and outright, we are pursuing at this point of time.

Moderator: Next question comes from the line of Pritesh Sheth with Axis Capital.

Pritesh Sheth: Just one question or actually a couple of them. One, first is on Sarjapur, since it's a big project, we would get approvals for the whole project, and we would launch 1 or 2 phase out of it? Or what's the plan there?

K. T. Jithendran: Yes, considering the market demand and the land structure, etcetera, we are actually planning for a single-phase launch.

Pritesh Sheth: Okay. So whole of projects will get launched at one go. Okay. That's good to hear. And secondly, on the debt part, INR4,000 crores, which is like close to 1:1 in terms of equity. How are we looking ahead in terms of managing the leverage? Is there some comfortable ratio that we have in mind?

And from the trajectory perspective, is this going to go down from here on? And if yes, then how are you planning to bring this leverage down? I know, I mean, we have a good pipeline,

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expecting a good cash flow from it, but it will take probably a couple of years for us to scale up to that cash flows, but in between how are we going to manage it and keeping the growth also in mind.

Snehal Shah: So yes, the comfortable level for us will be somewhere around 1.1 of the equity. And I know we are very close to it. But then the thing you have to understand is we have these launches. So a lot of cash is expected to come roughly to -- even if you take 2

0% of what we are going to

launch, that would be about INR1,000-odd crores at least that will come. That will help in reducing the net debt to us. The cash may not be available, but it will reduce the net debt. Therefore, we can access additional borrowings against that.

Plus, if you look at the launches that we have already done and the amount of bookings that we've done and you net off the balance expenditure and the balance cash that we have to receive from our launch project, we are much more comfortable, roughly around INR5,000 crores of cash is in the bank right now to be received in the next 2, 3 years based on that. Is it clear or you want some more clarification?

Pritesh Sheth: I was on mute, sorry. I got that answer. Just one more follow-up there. In terms of land investments, we have some target in terms of how much we are going to invest to acquire projects considering we have already built a reasonable pipeline. So, what's the target there for next year?

K. T. Jithendran: So as we said, we have exceeded this year's target by more than 25%. But as we mentioned in the past also, we keep looking for good value -adding projects at good locations, which will further enhance our brand and we'll be able to do justice to the business. So, whenever we get such opportunities, we are at this point of time chasing up quite a few with no particular timelines. So, whatever we get, if it's a good deal within our parameters, within our broad guidelines, we will be happy to acquire it.

Moderator: Next question comes from the line of Saksham with Ambit Capital.

Saksham: My first question is related to the presentation. On Slide 17 for the MMR region, saleable area is increased by 0.5 million square feet compared to the previous presentation, while the G DV decreased approximately by INR5,000 crores. So, can you please explain the disconnect over here?

K. T. Jithendran: Yes. So, we had just kind of kept the litigation part, whatever, that we kept it aside.

Saksham: But if you would observe that your saleable area has increased by 0.5 million square feet. So it is now 10.6. It was earlier 10.1.

K. T. Jithendran: The MMR. I will just check that and come back to you.

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Saksham: Sure. And my next question is related to the Noida update. So, we haven't got any update on Noida currently. Any potential timeline or the GDV potential of that project, if you could highlight that as well?

K. T. Jithendran: Yes. So, Noida is still work in progress. As I mentioned last time, there are a few conditions precedent, which still is being handled by the land JV partner, the landowner. So, unless that is complied with, we are in no position to declare or talk about it.

Saksham: So no timelines on that as of now?

K. T. Jithendran: Yes, difficult to guess, make a guess there. We'll be able to tell you once we do it.

Saksham: Sure. And my last question is related to the Worli land. So, what about the potential launches for FY '26, as you mentioned that you would be launching for Niyaara for Phase 3. What about the Wadia family land that we have bought and the Century Bhavan, if you could highlight that as well?

K. T. Jithendran: Yes. It's too early to kind of give a guidance at this point of time. We are right now focusing on our launches for current quarter. Once we kind of make progress on this, we will be maybe in a better position to assess the situation. For sure, we are pretty confident of launching Tower C, this is the third tower. As far as the rest of the parcel is concerned, that we are in the process of market assessment, etcetera. So difficult to make a guess now.

Moderator: Next question comes from the line of Siddhant Chhabra with Minerva Asset Advisors.

Siddhant Chhabra: I just wanted a re-clarification on the paperboard part I asked, because in the IP, it says that the Q4 ou

tlook, both volume and pricing remain subdued in the board segment due to competitive intensity from low-cost imports. But when I asked the question earlier, we had discussed that pressures from import is slowing down. So I just wanted a clarification, am I misunderstanding something?

Snehal Shah: We are not saying that the pressure is off. I have just mentioned that the intensity might kind of reduce because we've seen some good -- I wouldn't say good on the rupee-dollar side. So that makes imports a bit competitive. That's all I'm trying to say.

Siddhant Chhabra: Okay. You had mentioned about domestic capacity also coming on within board. So could you...?

Snehal Shah: It's come in board, it's come in tissue also.

Siddhant Chhabra: Okay. Is it possible to disclose some names of the players where it's come up?

Snehal Shah: I think in our presentation on the tissue, we have already discussed. And in terms of board, you -- they are all big players like ITC, JK, etcetera.

Moderator: Next question comes from the line of Chetan Shewami with Accenture.

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Chetan Shewami: I had a question that what kind of revenue split do you think between pulp and paper and real estate segment going forward? I understand that you are cautious about the performance of the upcoming launches in Q4, but still I would like to know like what kind of split do you think going forward because we are seeing consistent decline in pulp and paper segment, because of economic headwinds also, but we have also seen aggressive increase in the real estate segment in terms of revenue. So how do you expect the split? Yes, that's my first question.

Snehal Shah: So yes. I mean our focus in terms of revenue growth is going to be in the real estate sector, because we have no plans to add any capacities in our pulp and paper business. So gradually, you will see the turnover amount increasing in favor of the real estate business. And the pulp and paper business may just marginally improve its turnover, which would depend slightly on the volumes that we have planned in terms of better capacity utilization. And in case the NSR of the products improve.

Chetan Shewami: My second question is you would have expected some kind of EBITDA margin for the new launches or for the real estate segment for just quarter 4, so I understand that there is a lot of uncertainty about how the projects will perform. But still, can you give guidance about what do you expect EBITDA margin for the Q4?

K. T. Jithendran: So largely, it's between 25% to 35% of margins.

I also wanted to give a clarification because the question raised by Saksham from Am bit Capital that how the MMR, GDV increased from 10.1 million to 10.5 million . There has been a reduction in the overall Worli portfolio because of this Worli West land, where the litigation results have come. But there has been an increase because of Boisar land acquisition, which is in the tune of about 1.4 million square feet. So netted off, it comes from 10.1 million to 10.5 million square feet. Just wanted to give that clarification.

Moderator: Next question comes from the line of Amit Srivastava with B&K Securities.

Amit Srivastava: My first question is what is the plan for the construction cost in Birla Estates this year FY '25 and next year FY '26? And what is the collection we are looking at in this overall business?

K. T. Jithendran: Hi, Amit. So collections, of course, we have collected INR1,600 -plus crores last quarter, which is already higher than what we collected the whole of last year. And through all these launches and further handovers, etcetera, we are reasonably confident of adding another INR1,000 to INR1,200 crores in that range. And we are having a good net cash flow from these operating projects of almost plus INR500 crores. So, construction is not a challenge. We're already

running

at a positive cash flow from our operating projects at INR500 -plus crores.

Amit Srivastava: Any ballpark number, sir, on our construction cost?

K. T. Jithendran: Construction cost moves from project to project, depending on percentage...

Amit Srivastava: Overall total for the FY '25, sir.

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K. T. Jithendran: We can come back to you on that number. Around INR1,800 crores is our construction spend going to be this year, roughly.

Amit Srivastava: And in terms of the project pipeline you have given 5, 6 projects which you're going to launch. If you can give us the breakup in terms of the GDV because the Thane project is large, but what is the kind of value we are launching in first phase in terms of Sangamwadi, what is the value you are going to launch?

K. T. Jithendran: So Sangamwadi, we are launching in the range of about INR400 crores.

Amit Srivastava: How much, sir?

K. T. Jithendran: INR400 crores Sangamwadi Phase 1. Trimaya, we are launching the new phase of INR800 crores. Sarjapur, we are aiming for a launch of almost INR3,000 crores. Birla Navya, about INR1,000 crores. Barmalt in Gurugram about INR3,000 crores.

Amit Srivastava: And in terms of the Birla Niyaara, have we seen any kind of price increase over the last 1 quarter, sir, particularly in Silas?

K. T. Jithendran: Sorry, what is that, Amit?

Amit Srivastava: So in the second phase, Birla Niyaara, have we seen a price increase?

K. T. Jithendran: Price increase, no. We haven't done any.

Amit Srivastava: Okay. And in terms of, sir, balance sheet you have already clarified, but just wanted to understand that this cash flow, which we are looking at in the collection will be seen in terms of the project, but that cannot be utilized for getting a newer project on a BD. So looking at the current balance sheet, it looks like that next year, getting a new pipeline and adding is becoming a challenge from the balance sheet perspective.

Snehal Shah: So Amit, what I meant was this money which comes gets into our RERA account. But that balance I have ends up reducing my net debt. I have, therefore, more leverage to borrow against

that. Did you understand what I'm saying?

Amit Srivastava: Yes, yes. So basically a stand-alone business will keep on raising the fund.

Snehal Shah: Exactly, yes.

Amit Srivastava: Any thought process on the paper business, sir, because we are working since last 3, 4 years to improve on our operational efficiency, but we are not getting any results, though the market conditions are also not very conducive, but what is the long-term plan? So are we planning to continue this business or we have a plan to do something to release the fund from there to...?

Snehal Shah: At the moment, I will not comment on the second part. In terms, of course, this year has been not so good for the entire industry, you know very well. And we certainly faced that situation

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more. And our capex that is happening is continuing to happen. But then if the cash flows are not in because of the business situation, then we postpone our capex also and that impacts our - this about increasing our capacity and reducing our costs. But we are pretty hopeful that till the time we continue this business, I mean going forward, it will start producing the required cash flows. And at the moment, of course, the business will continue.

Amit Srivastava: Okay. Sir, last question is that when are we going to develop the Century Bazaar and adding it into our GDP, any thought process?

K. T. Jithendran: So Amit, on Century Bazaar, we have some plans, but with the acquisition of this additional land, we are rethinking on the entire strategy. Because we have enough of supply in this micro market, so we need to strategize and plan this properly. So that's work i

n progress.

Amit Srivastava: So it will be resi plus commercial, or how will be the mix? Any comment?

K. T. Jithendran: Both options are open. We are largely inclined at this point towards resi, but both options are open. Now we have enough of inventories. So we're exploring, yes.

Moderator: Next question comes from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited.

Dixit Doshi: So, Birla Vanya, Alokya and Navya are under the delivery phase. So how much revenue recognition would be pending still?

K. T. Jithendran: So largely, I think Navya and Alokya is done, it's 100% done, except some customer receipts. People are taking their time to take possession, etcetera. As far as Vanya is concerned, we have done about half of it and the rest half of it will be partly for this year.

Dixit Doshi: So, around INR400 crores, INR450 crores of revenue.

Snehal Shah: Roughly that is the number. Yes.

Dixit Doshi: And it will happen in Q4 only or some will...

K. T. Jithendran: Bulk of it will happen in Q4, there may be some spill over to the next year.

Moderator: Next question comes from the line of Raj with Arjav Partners.

Raj: Sir, out of the INR14,980 crores of the ongoing projects, what will be the timeline for completion?

K. T. Jithendran: Time lines will range. It may go all the way up to 2029. We keep adding projects phases will keep extending. And we're going to launch new phases this year. So that will run for another 4, 4.5 years from here.

Raj: Understood. And sir, how much would be the EBITDA on this ongoing part?

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K.T.jithendran: Ongoing, it roughly takes 30% to 35%.

Raj: 30%, 35% EBITDA?

K.T.jithendran: Yes.

Raj: And sir, then on the upcoming part, which is around INR48,000?

K. T. Jithendran: Yes, I think at this point of time, we should assume similar EBITDA. That's what we are doing. But largely, as I've always tried to guide the analysts that we look for IRRs, we're focused on IRRs. So, we'll keep selling inventory and convert inventory into cash and move into new projects. So that is constantly our model being very capital efficient and also trying to convert inventory into cash and keep turning over cash because in a business which is essentially cyclical.

I think it's very important to focus on return on equity, return on capital employed rather than purely on EBITDA. So, EBITDA may guide you to keep on sitting on inventory to achieve your targeted margins. So, we are more about cash turnover.

Moderator: Next question comes from the line of Hardik Jain with ISJ Securities.

Hardik Jain: Yes. I think most of my questions are answered. Just 2 things. Any thoughts on Prabhadevi, I

think last time once it was asked, I think it's answered that it's in distant future ...

K. T. Jithendran : Not at the moment Hardik.

Hardik Jain : Okay. And is there a chance or are we thinking on redeveloping Century Bhavan?

Snehal Shah : That will come before Prabhadevi.

Hardik Jain : So how big is that portion Century Bhavan ?

K. T. Jithendran : So, Century Bhavan is situated in a plot of about an acre roughly, and it has a potential of about roughly 4 lakh square feet. We also have to be careful how to schedule the entire launch phases of Worli. Worli, we have plenty of inventory, positioning, planning, pricing, all of that is required. So accordingly, we will . That plan is work in progress at this point of time.

Moderator: Next question comes from the line of Isha Shah with Nirzar Enterprise .

Isha Shah: My first question is, in last con call, you had mentioned that for project Mathura road, Delhi, there were few approvals that were pending. So , I would like to know what's the status on that?

And are we planning to launch that? Or what's the status over there? The second question is related to the Pulp and Paper business. Sir, what would be the

NSR and operating cost per ton
as compared to our competitors?

K. T. Jithendran : So, on the Indian Hume Pipe project in Delhi, there has not been much progress on the approvals. We are expecting after the elections, things will improve. There will be more responsible people

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taking charge. At this time, committee is not in place, etcetera. So definitely, that's not going to be launched this year. If at all, it will happen only in the next financial year. We haven't made much progress there, as of now. We're waiting for the new establishment to come, post elections and then take charge.

Snehal Shah : On the Pulp and Paper business question, I mean I would not like to comment on the NSR comparison because it's not just one single product. There are different kinds of products. And within those products segment also, there are different varieties of products. So , there will be some places where our NSR is better than the competitors or maybe equal or maybe lower. What is important is on the cost factor roughly on an overall aggregate basis. Usually, we have a little bit of a cost disadvantage of close to about 5% to 6% vis-a-vis our premier competitors.

Moderator: Next question comes from the line of Siddhant Dand with Goodwill.

Siddhant Dand : You said you had a 4% to 5% cost disadvantage to your competitors. So , any reason why?

Snehal Shah : See, there are a couple of reasons. One is some competitors have certain subsidies available. We have just slightly older plant, etcetera. And we have a locational disadvantage also where if you want to go out of north, it becomes a little challenging for us in terms of logistics. And there are a few competitors with higher capacity could afford to put some captive plants for processing mechanical pulp which for us, it doesn't make sense. So , we have to import them.

So based on the pricing of the imported pulp, sometimes it becomes our disadvantage. So , there are a variety of reasons. But broadly, we have estimated that we kind of more or less at any given time, would range between 5% to 6% of the competitors cost. So , our EBITDA margins are not as -- would be if they are 20% competitors -- I'm just talking about the major competitors, they would be probably about 25%, 26%.

Siddhant Dand : My second question was on the antidumping duty. So , are we working with the government?

Snehal Shah : We are constantly -- paper body, IPMA which is there, is constantly in dialogue with the ministry, etcetera, to ensure that. But the case is not very strong as we feel, I mean, from what we understand.

Moderator: Next question comes from the line of Akshay Ajmera with Nizar Securities LLP.

Akshay Ajmera : Just a quick question on the Worli West land litigation, you mentioned that how much GDV is revised downward because of adverse Supreme Court ruling?

Snehal Shah : Roughly INR5,000 crores.

Akshay Ajmera : INR5,000 crores. And in area, it would be how much, sir?

K. T. Jithendran : About 6.8 lakhs .

Akshay Ajmera: 6.8?

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K. T. Jithendran: FSI potential.

Akshay Ajmera: Okay.

K. T. Jithendran: But we must also remember that along with this, also, there is a lot of rehabilitation liabilities also. So, the margins of this will be much lower than the usual margins. It is expected 4 to 5 years down the line. So the NAV will not be significant here, the NPV of this.

Akshay Ajmera : So there are no thoughts of procuring this land from BMC going forward?

K. T. Jithendran ; So, we are exploring all options. Too early to come to a conclusion.

Moderator: Next question comes from the line of Prashant Gaikwad, an Individual Investor.

Prashant Gaikwad: I would just like to ask you one question with respect to the Century Bhavan. So what would be the revenue potential for that?

K. T. Ji

thendran : Century Bhavan, roughly about INR4,000 crores.

Moderator: Next question comes from the line of Himanshu Jhaveri, an Individual Investor.

Himanshu Jhaveri : What launches are we expecting in this quarter? And do we expect around INR3,000 crores to INR4,000 crores of presales this quarter to meet our guidance for the full year?

K. T. Jithendran : Himanshu, I have already explained the entire launch calendar, month-wise, project-wise, area-wise, value-wise right in the beginning and also, we are reasonably confident of achieving our guidance.

Himanshu Jhaveri : Okay. And are we seeing some slowdown in prices as in the end, the real estate is connected to the stock market and there their prices are down like 30%, 40%. So just to know for the knowledge ?

K. T. Jithendran : So Himanshu, to what we are saying that we are coming up for launches also is that the inventory overhang continues to be very low, far lower than what it used to be in the past when the markets are not so great. Demand has been strong. Overall, if you look at year-to-year, there has been a higher intake compared to last year, the sales have been much higher than what it has been last year.

So, it's too early to predict that there is going to be a slowdown any of that. So, there's been no let down in pricing. We had a launch in Q2 in Bengaluru. And we sold Phase 1 of Trimaya last year at INR6,800 crores sold out and at INR8,200 crores last quarter, and again, a full sell-out. So that is what the data tells you.

Himanshu Jhaveri : But as of now, we are not seeing any kind of slowdown?

Snehal Shah : No, not to my knowledge.

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Moderator: Next question comes from the line of Sidhant Chhabra with Minerva Asset Advisors.

Sidhant Chhabra : So, you mentioned in your investor presentation that the writing and printing segment has witnessed soft demand in Q3. So within that segment, specifically copier paper, if you can give me an idea how the pricing has been over the last 2 quarters, so sequentially and how import intensity has been, you said it's increased, and how do you expect import intensity to be going forward within copier paper only?

Snehal Shah : Right now, I don't have the numbers. So just drop an e-mail, I'll answer your questions.

Moderator: Next question comes from the line of Raj from Arjav Partners.

Raj: On the upcoming launches part, which is around INR48,000 crores, right?

K. T. Jithendran : Upcoming launches of the future.

K. T. Jithendran : Yes, as of now, it's INR48,000 crores because 14 we have launched, which will happen over the next 5 to 6 years.

Raj: It will launch over the next 5 to 6 years, all right. And how much is our share from this whole amount?

Snehal Shah : See, apart from 4 or 5, I think there are only 2 revenue shares. So out of 63 about 47 is ours. Roughly 90%, this is ours.

Raj: Understood. And how much would be the EBITDA on this upcoming project?

K. T. Jithendran : Yes. So for projects like Worli, which is about 50%, our EBITDA is expected to the margin about 45%, 45% and the others we have acquired and the JDA, etcetera, range from about 25% to 35%.

Raj: And how much would be the overall cost in constructing all the INR63,000 crores of portfolio?

Snehal Shah : So we take out the margin, and that's what it says minus land cost is up. So if you look at INR63,000 crores, and we say that the EBITDA margin is 35%, rest is all cost, right? So that is the cost you calculate it.

Raj: I think it comes to around 10% PAT. Am I right, after including the PAT part?

Snehal Shah : Anyway, so this detailed accounting, this thing we can discuss outside. Our EBITDA margins is, as I told you in the range of about 25% to 35%. Projects like Worli and land around, which is about 45%, that is in broad guidance. The rest of the calculations you can figure out or we can talk

about it offline.

Raj: All right. I will just drop in an email to your IR team.

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Moderator: Ladies and gentlemen, as there are no further questions, we have reached the end of question - and-answer session. I would now like to hand the conference over to Aditya Birla Real Estate Limited management for closing comments.

R.K. Dalmia : Thank you all for participating in this earnings call. If you have any further questions, or would like to know more about the company, please reach out to our IR manager at Valorem Advisors.

Thank you so much for all your participation and interest in our company. Thank you so much.

Moderator: Thank you. On behalf of Aditya Birla Real Estate Limited management and Nomura, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

ADITYA BIRLA
REAL ESTATE
SH/XII/028/2025

Corporate Relationship Department
BSE Limited
1st Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai-400 001

Scrip Code: 500040

Dear Sir/ Madam, 21st May, 2025

Listing Department

National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Bandra-Kurla Complex
Bandra (East), Mumbai-400 051.

Scrip Code: ABREL

Sub: Transcript of Q4FY25 Earnings Conference Call of Aditya Birla
Real Estate Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015
(Listing Regulations)

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the
Q4FY25 Earnings Conference Call conducted on 15th May, 2025 at 11:00 A.M. 1ST after
the meeting of the Board of Directors of the Company held on 14th May, 2025

This is for your information and record.

The above information is also available on the website of the Company viz.

www.adityabirlarealestate.com

Thanking you,

Yours truly,

For Aditya Birla Real Estate Limited
(formerly Century Textiles and Industries Limited)
Atul K. Kedia

Jt. President (Legal) & Company Secretary

Encl: as above

Aditya Birla Real Estate Limited

(Formerly known as Century Textiles and Industries Limited)

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Corporate ID No.: L17120MH1897PLC000163

"Aditya Birla Real Estate Limited Q4 & Full Year F Y'25
Earnings Conference Call "

May 15 , 2025

MANAGEMENT : MR. R.K. DALMIA – MANAGING DIRECTOR , ADITYA
BIRLA REAL ESTATE LIMITED
MR. K.T. JITHENDRAN – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER , BIRLA ESTATES PRIVATE LIMITED
MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER , ADITYA
BIRLA REAL ESTATE LIMITED
MODERATOR : MR. HARSH PATHAK – EMKAY GLOBAL FINANCIAL

SERVICES LIMITED

Aditya Birla Real Estate Limited
May 15 , 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Earnings Conference Call of Aditya Birla Real Estate hosted by Emkay Global Financial Services Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harsh Pathak from Emkay Global Financial Services Limited.

Thank you and over to you, sir.

Harsh Pathak: Thank you . Good morning, everyone. On behalf of Emkay Global Financial Services, I welcome you all to the Q4 & Full Year FY25 Earnings Conference Call of Aditya Birla Real Estate.

I would like to welcome the Management and thank them for this opportunity . We have with us today

Mr. RK Dalmia – Managing Director Mr. K .T. Jithendra n – Managing Director and Chief Executive Officer, Birla Estates, and Mr. Sn ehal Shah – Chief Financial Office r.

I shall now hand over the call to the “Management for the Opening Remarks .” Over to you, gentlemen .

R.K. Dalmia: Good morning, everyone, and welcome to the Earnings Conference Call for the 4th Quarter and Financial Year ending 2025.

As you all know, at Aditya Birla Real Estate, we have been on a journey of streamlining our company to build one of the India's largest real e state player and in that context, Financial Year '2 5 has been a landmark year. This year , the company has taken further steps to reorganize the businesses while delivering superlative growth in its core real estate segment.

The board has also approved Divestment of its Pulp and Paper business, which further s harpens balance sheet and management focus towards real estate and will lead to long term value creation.

I am sure you must have gone through the financial performance so I can directly move to highlight our real estate business. The Indian real estate market continue to demonstrate resilience and steady growth, supported by stable macroeconomic environment, rising urbanization and involving lifestyle aspir ation, with right p rojects, right location and trusted brand names are continuing to witness healthy traction .

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In parallel , there is a growing emphasis on sustainability and innovation . Green building practices, energy efficient design and smart infrastructure are increasingly influencing both buyers differen ce and regulatory framework. These are all parameters that we have built in our business model and portfolio apart from being guided by strong return guardrails.

In Q4 Financial Year '2 5, the real estate business performed exceptionally well with stella r sales at our three new project s and two new phases launched across NCR, Bengaluru and Pune regions . Booking value doubled on the year to Rs.5,738 crore s. Collection too grew by more than 100% to Rs.1,073 crores .

For the full year Financial Year '2 5, the booking value more than doubled to Rs.8,087 crores on the back of our seven projects phase launches . Our collection increased by 100% year -on-year to Rs.2,706 crores.

The number of units sold, and area sold per square feet grew by three times versus Financial Year '24.

The revenue for the year grew by 11% year -on-year to Rs.1,157 crores. Added projects having GD V of more than Rs.25,000 crores, taking the total GD V of company close to Rs.70,000 crores. This number speaks about our strong business momentum and trust our customers, partners , and stakeholders have placed in us. Importantly, the Birla brand has been a key success factor in our related journey.

This year we have also elevated our brand visibility like never before . As the principal sponsor of

Royal C hallenger s Bengaluru in IPL 2025 , we took the Birla Estate brand into millions of homes.

The impact was both emotional and strategic, amplifying our reach and deepening our brand connect.

In other updates , we have raised US D 33 million with Mitsubishi Estate Company for the Development of Birla Evara , Bengaluru. This joint venture has a strong vote of confidence from one of the largest, most respected global real estate business investors. We will explore such opportunity going forward. Building on all these levers, we also strive to achieve over Rs.15,000 crore s in the next few years in annual pre -sales.

And in the backdrop of such a strong business e xecution, we are equally proud to have also been conferred the Prestigious Golden Peacock National Quality Award for the Year 2025, becoming the first real estate company to be honored in the last six years. As we look ahead, we are gearing up for

the next stage of growth.
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We are exploring the redevelopment space in a meaningful way which we believe can unlock asset light deals for us. We are also exploring expansion of our commercial real estate portfolio, which opens a new annuity income stream and bring us closer to our vision of being a holistic real estate platform. Given all the factors I have just listed , I believe our real estate business is very well positioned for sustained and high quality growth ahead.

Now moving on to "Paper Segment ." As mentioned earlier, the Board of Directors of ABREL approved the Divestment of the Paper business through business transfer agreement envisaging a slump sale to ITC subject to consideration of Rs.3,498 crore s subject to achievement of certain condition precedent. We expect the divestment process to conclude by Q2 Financial Year '26. With that, I will now conclude our opening remarks and we can start the question -and-answer session.

Thank you , gentlemen.

Moderator: Thank you, sir. We will now begin with the question -and-answer session. The first question comes from the line of Amit Srivastava from B&K Securities . Please go ahead.

Amit Srivastava: Yes. Hi. Congratulations on a very good set of numbers in terms of the presales the way that we have achieved in FY25 . So now I just want to take it forward for the next year. How are we looking at the presales number ? And given a context, we are planning to launch around Rs.14,000 crore s of GDV across eight, nine projects during FY 26. If you can give the sequencing also that how these projects are going to be launched over the next fiscal year and what will be the guidance for presales as well as the project additions for FY26 ?

K.T. Jithendran: Yes. Thank you, Amit . Fair question. So as you know, we mentioned we are planning to launch around Rs.14,000 crores of new launches or new projects . Largely , this is up in the Q3 and Q4. There may be a couple of launches we are trying to get into Q2. But since it is all largely skewed towards the latter half of the year, I hesitate to hazard a guess on the guidance number for this year. What we are largely looking at is on a more three -year plan in which our aim is to reach around Rs.15,000 crores in about three years' time . I think I will be more confident talking about larger horizon of time rather than giving you a very short term annual guidance because of the reason that so many factors are there and launches are all stacked towards the latter part of the year , so I would say that we will continue to grow in a phased manner, but it could go up and down and largely focusing on a three -year plan in which I think by the end of the third year, we should be having an annual sales of more than Rs.15,000 crores per annum , I mean, it was like doubling from what we did last year.

Amit Srivastava: Sure, sir. In terms of the two large projects which we launched during Q4, one is in G

urgaon, second

is in Bangalore. So Gurgaon has got a very strong response. We have managed to sell everything,

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whereas the Bangalore project response was slightly lower. So , can you give us understanding that what was the key reasons on different market responses , is the market is slower , one market location is better , if you can elaborate on that side ?

K.T. Jithendran: What happened in NCR was truly exceptional. Nobody thought in a short period of time of 15 days we could have kind of cracked a 3,000 plus booking in such a short period of time. So that was really exceptional . What happened in Sarjapur in Bengaluru , it is a very remarkable performance in my view, because this has been the highest launch for us in Bangalore. Nowhere in such a short period have we clocked Rs.850-crores plus. All our previous launches, the phases were small, so we did Rs.500 crores or we did Rs.550 crores , etc., but this has been a humongous launch ; we clocked Rs.850 crores -plus. So from our point of view, I think this has been a very, very successful launch. The time allowed us is just about a week there . So that was the reason. So that is if you may say that it could not reach what was like Rs.3,000 crore s or something like that. But I think it was also a very, very strong response. We almost launched in the far end of the quarter.

Amit Srivastava: There is no problem with the demand as such, or is the demand slowing down in the market?

K.T. Jithendran: Amit, demand continues to be very strong. I have always maintained that the right pricing, right location and combination of right brand, right design, right sizing , I think the market continues to have massive hunger or demand for such kind of products.

Amit Srivastava: Okay. And sir, one more question is related to our cash flows . How would be the cash flow positioning for the upcoming year considering that what like we have done a deal of getting the paper business so that cash flow taking cognizance as well as the project collection and process , the planned Capex on construction spend , if you can highlight on the cash flow position ?

Snehal Shah : Hi, Amit, Snehal here. See, our current consolidated debt stands at Rs.3,575 crores and roughly our networth is around Rs.3,900 crores. So the debt-equity is around 0.92. Now , post the paper business divestment cash flow coming in, we will have to actually repay close to around Rs.2,000 crores of debt, which is kind of tied in some way or the other the assets of the paper business . So the balance

that comes will be held in treasury to earmark for the future growth capital of RE business. So thereafter we will of course be having cash flows from the collections, but I assume that also would be eaten up against the construction cost. So the major requirement is only for growth capital and therefore this balance amount remaining from the paper business will be used and if exhausted we will probably go for fresh borrowing because our leverage would have improved a lot.

Amit Srivastav a: I just wanted a clarification on this cash flow. So basically this Rs.2,000 crores paper debt is included in our net debt of Rs.3,500 crores or no?

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Snehal Shah: Yes, yes, it is included. That is what I am saying. Yes, from Rs.3,500 crores, Rs.2,000 crores will go away and whatever is remaining with us after capital gains and everything Rs. 3500 crores if you are calculating coming from the paper sale, so, Rs. 2,000 crores goes, Rs.300 goes, so around Rs.1,200-odd crores will be available to us in our treasury to pay for any growth that happens in the real estate business, but if it falls short, we will go for fresh borrowings.

Amit Srivastav a: And in terms of the collection versus construction spend for this year '26 if you have?

Snehal Shah: Sorry. Sorry, Ami

t, what is the question?

Amit Srivastav a: So how much is the projected collection in FY26 versus construction spend?

K.T. Jithendran: So we had a very healthy collection of almost Rs.2,706 crores, construction spend was about Rs.1,600 crores.

Amit Srivastav a: If you can give it for the FY26 also sir what is the projection if you have?

K.T. Jithendran: So as I mentioned, this is largely dependent on sales and since I am not giving a number for sales, I do not want to hazard a guess, but I can assure you that it will be a very, very healthy and strong growth in collections also largely based on our bookings so far and the progress we are making on construction.

Amit Srivastav a: Okay. Sure, sir. Thank you very much and I will come back in the queue.

Moderator: Thank you. The next question comes from the line of Karan Khanna from Ambit Capital. Please go ahead.

Karan Khanna: Yes, hi. Thanks for the opportunity. K.T., if you can give some qualitative thoughts on the footfalls conversion and the booking that you are seeing in this quarter? And specifically on Niyaara, can you please share the number of units that were sold last quarter? And as a follow up, what is the outlook going into FY26 -- are you still looking at year end launch for phase -III or will you look to move it to third quarter?

K.T. Jithendran: So first of all, as far as Niyaara is concerned, we all know that we have launched two towers. The first tower, we have sold 401 apartments out of the 414 apartments. So there is hardly any inventory left. And in Tower B, we sold 96 apartments out of 148 apartments. We had a very strong last quarter.

We did about 9 or 10 apartments in the last quarter, so we are at 96. So I think the demand remains steady. Despite that most of our very prime inventory is sold. The demand remains steady and we

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are very excited and looking forward to our launch of the third tower, most likely this will happen in Q3 end or early Q4.

Karan Khanna: And in one of the slides, K.T., you mentioned that your Birla Vanya is the only project that is expected to be delivered this financial year. Given the kind of growth and the business development that you have done in the last few years, will FY26 the focus be towards more of BD and launches or will you shift gears and focus toward the execution of the existing projects?

K.T. Jithendran: Thank you, Karan, for this question. So let me tell you that our focus always has been and will continue to be on execution. I think good BD and sales happen on the back of very strong execution.

We have delivered three projects so far; one is that Birla Vanya in Kalyan, Birla Alokya in Bengaluru and the first phase of Birla Navya in NCR. All these phases have been delivered well within the RERA timeline and has been very well appreciated with a very strong NPS score. It is not happening now. Alokya and Navya both this NCR and this thing projects has been completed and largely delivered and profits booked. In Vanya, we have some flats yet to be sold and for that our income recognition will come in for that residual part for this year and some part of our customers are not paid fully, there is more than 20% to be paid. That kind of will come this year. We had not scheduled for any kind of handovers this year. There will be a modicum of handovers from Birla Tisya and a new phase of Navya coming up in the next financial year. I think largely big delivery will be of Niyaara Tower -1 in FY28. So just because there is no delivery in a particular year, does not mean that focus is not there. As mentioned in Mr. Dalmeida's speech, we have got the Golden Peacock Award for Quality Systems, the only real estate company in the last several years we have been conferred upon that as a company. So that speaks well about our execution, quality, timelines, everything that

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s extremely focused on. We are also very proud to say that we have met all our budget costs during this period of time. I don't think there is a lack of focus, in fact there has been extreme focus for us has been execution and design .

Karan Khanna: I think this is helpful. I think thanks for the clarification. The second question is on Bangalore . Given you have exhausted most of the launches here barring Trimaya phase -IV, which is expected this fiscal year, what are the expectations on business development in this market for FY26 and any guidance on FY26 business development that you would like to share overall ?

K.T. Jithendran: Yes. So I think we are totally focused on continuing to build our GDV banks because as our sales as you mentioned have been very strong and we have a very strong pipeline of launches lined up for this year. So , I think our focus will continue to be in BD. Last year, added GDV worth about Rs.25,000 crores. This year we are looking at , at least about Rs.15,000 crores to Rs.20,000 crores , new GD V to be added and it will be focused in all markets , wherever we get the right deals, be it Bengaluru , be it NCR, be it Bombay or Pune , our focuses in all these four markets equally.

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Karan Khanna: And then last question is on Noida Sector 150 . Any development post the intervention by regulatory authorities and do you see this project getting added to your portfolio in the next four or five years given the complications that are associated with it?

K.T. Jithendran: Looks a little dicey because it has not made much progress from where we had , during the time we have signed , it is still hanging in balance, so it is 50 :50, I am not too confident about concluding this deal. The agreement expires in some time later this month . So we will have to evaluate it in a fresh manner.

Karan Khanna: So this is helpful, K .T. I will come back in the queue for any follow -ups. Thank you and all the best.

Moderator: Thank you. The next question comes from the line of Akash Gupta from Nomura. Please go ahead.

Akash Gupta : My first question was on the Ni yaara Tower launch . So there is Godrej coming up and then there is also Prestige . So I just wanted to understand your plans for the Niyaara third phase, like how will this tower be different from the first two phases , are you planning to change dimensions or anything? That is my first question , sir.

K.T. Jithendran: Okay. So Akash, yes, the competition has heated up in this region , there are lot of very high end apartments coming around in this micro market. However , our traction as I mentioned a little earlier has been very strong for Tower -B, but it is always good to bring in something new. So we are still not in a position to disclose that, but we are bringing in a changed format for Tower C.

Akash Gupta: Okay. My second question is with respect to the Mathura Road project also . So what is the status of that project? And my third question is with respect to Sarjapur. So we launched that in the far end of the quarter. So can we expect the balance Sarjapur sales in this quarter of the financial year ?

K.T. Jithendran: Okay. About the India Hume Pipes Mathura Road Project in Delhi, unfortunately , it is still stuck in the approval stage. We have not been able to make much progress there. We need a standing committee to be appointed and the project to be cleared by that. We were hopeful with the new formation of the new government this will speed up. Unfortunately, it has not happened. We have not taken it in this year 's launch calendar also, but we are trying our level best to sort of get it going. The good part is that because being a JV, there is not much capital locked in it , hardly anything. Because we think it is a very attractive and a very strong market , all efforts are going on to circumvent this challenge that we are

facing. That is about India Hume Pipes Project . Sarjapur , yes, it was launched in the far end and we are expecting sales continues to happen. Only thing is that the new phase, the team, the challenge, the channel partners , recoup is happening at the beginning of the new quarter. But I think the sales continues to happen and we expect a reasonable amount of traction continuing in this project .

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Akash Gupta: Understood, sir. Best of luck for the new financial year sir. Thank you so much.

K.T. Jithendran: Thank you , Akash.

Moderator: Thank you. The next question comes from the line of Pritesh Sheth from Axis Capital. Please go ahead.

Pritesh Sheth: Yes. Thanks for the opportunity. First question, continuing on this Sarjapur , it mentions that we have launched it fully , but it seems like we did not open much of inventory, so just wanted to understand how much we opened to have this Rs.860-odd crores kind of a sales there?

K.T. Jithendran: Barring three towers , we opened four towers at the beginning to just focus on that because time period was very short. So right now we are focusing on those and once we get reasonable volumes there, we will open up the other towers also.

Pritesh Sheth: And four towers would have a value in terms of GD V of Rs.1,000 crores or more than that or -?

K.T. Jithendran: I do not have that number here. Maybe we can give you those numbers offline for the first four towers in Sarjapur.

Pritesh Sheth: No worries . Okay. Just trying to understand the cash flow details that you have given in slide #34. So we did a project development cost of around Rs.6,000 plus crores and you mentioned earlier that

Rs.1,600 crore s is what we spent for construction . So rest is the FSI purchase that we did , is that the right understanding ?

Snehal Shah : Other than construction finance, it includes BD cost of the projects that we have acquired . A significant part of that about close to Rs.1,300 crores is towards the Worli acquisition, 10 acres. And we can give you a breakup of the other cost. K .T., do we have the other cost other than project or something?

K. T. Jithendran: Yes, roughly that is the way , rest is I mean, Rs.2,000 plus what do you call it construction, how much we spent on construction, Rs.1,600 plus Rs. 1,300, so that is close to Rs.3,000 crores, right and balance Rs. 3,000 crores for the other projects that we have acquired .

Pritesh Sheth: Okay, okay So basically it also includes the B D cost that we have incurred ?

Snehal Shah : Yes.

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Pritesh Sheth: That is what I wanted to know . Okay. And just one last on the launches slide, you have given GDV estimate of 26 . This I suppose also includes the inventory which is there in the project or Rs.14,000 crore s is all new projects that we are looking to launch ?

K.T. Jithendran: So Rs.14,000 is the new launches plus the sustenance inventory is also there. This is just the new one we are bringing to the market .

Pritesh Sheth: Okay, okay , fair enough. That is all from my side and all the best.

K.T. Jithendran: Thank you.

Moderator: Thank you. The next question comes from the line of Hitesh Doshi from Ni rzar Securities. Please go ahead.

Hitesh Doshi : Yes. Good morning to everyone and congratulations on great sale numbers.

K.T. Jithendran: Thank you, Hitesh bhai.

Hitesh Doshi: So my question is what is the sustenance inventory if you suggest?

K.T. Jithendran: Roughly about Rs.6,700 crores, Hitesh bhai .

Hitesh Doshi: So in a way will you make projects available worth Rs.20,000 crore s in the entire next 12 months ?

K.T. Jithendran: That is right .

Hitesh Doshi: Okay . And how far we are from receiving money from the ITC deal or there may be some negative surprises over there ?

Snehal Shah : We do not expect any negative surprise as of today , Hite

sh bhai . We expect the closure to happen

somewhere by the end of July and if it happens in July, then a month or so to receive the money. So hopefully in August we should be closing. So there can be no negative surprises other than maybe a slight delay in the closure of the deal.

Hitesh Doshi: We have Rs.20,000 crore s worth of goods to be sold in current year, which will be launch plus inventory. So we should be hopeful of at least crossing what we had done last year?

K.T. Jithendran: No comments , Hitesh bhai.

Hitesh Doshi: Okay. Wish you all the best, sir. Thank you so much.

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K.T. Jithendran: Thank you.

Moderator: Thank you. The next question comes from the line of Dixit Doshi from Whitestone Financial Advisors. Please go ahead.

Dixit Doshi: Hello. Ye s. Thanks for the opportunity . Sir, my first question is in our earlier interactions in some of the calls you have mentioned that the Worli project, the cost of construction is around Rs.20,000 a square feet . So wanted to confirm this is on a salable area you mentioned or it is on a carpet basis?

K.T. Jithendran: So I have always mentioned costs on salable area. I said in the region of about Rs.25,000 , starts with Rs.20,000 that it may go up by the finished projects get concluded into about Rs.25,000.

Dixit Doshi: So Rs.25,000 approx . cost on salable, whereas the realization would be around Rs.80,000.

K.T. Jithendran: What I have said always is that by the time we complete this construction over the next six, seven, eight years, we will achieve an average price over Rs.50,000 and a cost approximately about Rs.25,000 maybe including all inflation. So we should get close to maybe 45-50% margins, that is what I have maintained.

Dixit Doshi: And when we say this Rs.25,000 cost, this will include marketing and everything. So this entire cost will come when the revenue recognition will happen or some of these cost s is even recorded currently because we are showing losses in the current quarter ?

K.T. Jithendran: So Dixit , what happens is of course a significant cost is always put in work -in progress, but there are certain launches cost, advertising cost , etc., which we incur during the year for the launches. So those costs get written off in the P&L account . Because we had lot of launches this year, particularly in the last quarter , so therefore we had a significant amount of expenses which we had to charge in the P&L account and that is one of the reasons why we have a little softer EBIT DA margin . So all these launch costs, etc. , those things are written off in the P&L.

Dixit Doshi: Okay. We have given nine projects for FY26 planned launches. If you can give a GDV wise the

different projects ?

K.T. Jithendran: I can name which are the projects. GDV project wise will take a lot of time. We can do it offline. We are doing a new phase of Birla Trimaya in both phases. In Mumbai, we are going to do the first phase for our Thane project which we had signed with Hindalco. A new tower in Birla Niyaara we are planning to launch. We signed a large project plotted development in Boisar near Mumbai which also we are planning to launch. We are planning to launch two phases in Pune, Birla Punya, which we launched the first phase in March. We are hoping to launch two more phases there. Then the other

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project in Pune which is located in Manjri we are planning to launch that too. So there will be three launches in Pune. In NCR, Arika phase -I is literally sold out. So now we are gearing up to launch the next phase of Arika. And the new project which we had signed last year in Gurgaon, which is Sector 71, so that also we are planning to launch.

Dixit Doshi: Okay. And recently there was some regulation regarding NGT approval. They have mentioned that around Vikhroli, Thane area,

environmental clearance will be required from central government. So can that impact our Thane project?

K.T. Jithendran: Yes, yes. We have applied to central government. Our project has come under that. That is why it has got little impact. Otherwise we were planning to launch it in the last financial year. So we have applied to Delhi for our clearance.

Dixit Doshi: Okay, fine. That is it from my side.

Moderator: Thank you. The next question comes from the line of Siddhant Chhabra from Miner va Asset Advisors. Please go ahead.

Siddhant Chhabra: Hi. Thanks for the opportunity. My question is, I know that we have divested paper and pulp business, but I just have a small question on some intricacies there. Firstly, is regarding the wood price I have seen that in the presentation there has been a decline by 6% quarter-on-quarter and as well year-on-year. So what is the kind of expectation? I know that we have divested it, but some kind of expectation of this price going forward maybe over the next six to 12 months.

Senhal Shah: So right now particularly on the pulp and paper business in terms of input price as well as imported pulp price, we expect it to stabilize, but we do not expect it to come down drastically.

Siddhant Chhabra: So any range you could provide, possibly what is your expectation would be from here?

Senhal Shah: It will be difficult to provide a range at the moment because you see the markets, they are all volatile. So it is very difficult to predict right now. So what we can only do is keep a close watch and if there is a significant change, we can look at market correction of our realization.

Siddhant Chhabra: Okay. So we are expecting some further downward movement in import prices for like paper and pulp?

Senhal Shah: Yes.

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Siddhant Chhabra: Okay. And secondly, I wanted to ask regarding the market outlook that you have written in the investor presentation, there is increased competitive intensity from Indonesia and Thailand. So, this would be in board and tissue, or it would be in the uncoated paper as well?

Senhal Shah: Mostly in board.

Siddhant Chhabra: Okay. In your understanding, this is expected to continue to be a factor throughout the year going forward or is this maybe a short-term kind of headwind?

Senhal Shah: Expected to continue. The association is talking to the government to have some sort of a minimum import price and even anti-dumping, etc., So let us see how that progresses.

Siddhant Chhabra: Right. I just had one small thing. It is a data point that I would need. So maybe if I could reach out to you post the call, But I just wanted to know in terms of the input price by area what the kind of wood price would be? So I mean if you would not have it now, I could possibly reach out to you after the call is done.

Senhal Shah: Yes, please reach out.

Siddhant Chhabra: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Amit Agicha from HG Hawa. Please go ahead.

Amit Agicha: Good morning, sir. Congratulations, sir, for blockbuster sales. Sir, my question was with regarding to the Mitsubishi tie-up like you have raised Rs.275 crores. It is a JV or loan taken from them?

K.T. Jithendran: No, it is not a loan, it is an equity participation by them.

Amit Agicha: What would be our share?

K.T. Jithendran: So 51 is ours, 49 is theirs. So it is project level equity participation. Structuring is done in a certain way, but actually it is a 51:49 and we get 8% DM fee.

Amit Agicha: Can you share some outlook on EBITDA margins for the FY26?

K.T. Jithendran: In FY26 there is no handover happening up. So there will not be too much emphasis on EBITDA. Collections are going to be strong, sales we are focusing on, but the bulk of the EBITDA will happen in the future year. We do not expect much of

f EBIT DA because of the way the project completion method accounting is done. We do not expect too much of EBITDA to come in , in FY26.
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Amit Agicha: Thank you for answering, sir. All the best for the future.

K.T. Jithendran: Thank you.

Moderator: Thank you. The next question comes from the line of. Biplob Deb barma from Antique Stock Broking . Please go ahead.

Biplab Debbarma : Good morning, everyone. Good morning, K .T., sir and Snehal , sir. My first question is regarding Pune projects. So Pune is a new market to us. So my understanding is we have launched the first phase in Pune of around 400. So how is the Pune market when you compared to say Bangalore and Mumbai and NCR market that where you have done exceedingly well and how is your response regarding the story of Pune alone?

K.T. Jithendran: Thank you , Biplob . So again the story of the last quarter has been that most of the launches was stacked up to the end of the year . Of the 400 limited inventory that we launched because of certain approval changes which happened in the Pune development rules, we could launch only 400, but we sold 75% of that inventory. So it has been a very, very strong response for us and we continue to expect that kind of response in our upcoming launches in Pune.

Biplab Debbarma: And about the market, sir?

K.T. Jithendran: Market is very strong, holding very strong , I think it is a very resilient market, very strong demand, much like the Bangalore market, it is the third largest market in India, and we are very bullish about this market.

Biplab Debbarma: And second question is on the deals. I am sure you are getting a lot of deals, using all the deals and analyzing all the deals. But if you could give us some insight in terms of deals in the next few quarters, do we expect a few large deals or something that can that be closed ?

K.T. Jithendran: Yes, I mean, at any point of time, we have a certain amount of term sheets signed and we are looking at converting them. We are also attempting to convert something this quarter, lots of them in the coming quarters. We are also now largely focused on getting redevelopment deals in Mumbai. We are making good progress there . Hopefully either in this quarter or maybe next quarter, we may be able to announce our first successful I am hoping to do that. We may do something this quarter, or it may spill over to the next quarter, but I think we have a healthy pipeline and we expect to close some good deals very soon.

Biplab Debbarma: Sir, thi rd question and a final question. Since you post the topic of redevelopment, see , most of the Mumbai developers, all the reputed developers , they are also focusing on redevelopment projects.

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So, do you see lot of supply from redevelopment project itself or would there be stiff competition in redevelopment projects amongst the greater developers , how is the redevelopment market , is it really happening at a faster pace?

K.T. Jithendran: I think South Mumbai is really opening up because of the infrastructure development and connectivity which has substantially improved towards that area. There is increased competition in that market. Top developers are all aiming to do that. However, I fee l there is enough room because the size of these are relatively much smaller. So the inventory which will come out of each of them will be limited. But I think one can create a strong market share, positioning there and then trust plays a very significant factor. So I think we definitely have an edge over there and that is what we are experiencing that . Our brand equity works very well in that segment.

Biplab Debbarma: Thank you. Congratulations and all the best , sir.

Moderator: Thank you. The next question comes from the line of Amit Srivastav a from B &K Securities. Please go ahead.

Am

it Srivastav a: Yes. Thank you for the follow -up. First, just one clarification . You have mentioned that Birla Niyaara the square feet cost would be around Rs.20,000, 2 5,000. So just wanted to understand that what are the costs we are including in that for that Rs.20,000, Rs. 25,000?

K.T. Jithendran: All c ost, development cost, cost of land cost , cost of premium F SI, overheads, marketing and sales cost, of course, the construction cost , approval cost, design cost, overheads, inflation, material inflation, all of that.

Amit Srivastava: Got it. So one clarification is related to our provision which we have done for around Rs.114 crores for our JV in Birla. So considering that we have a pretty investment of only Rs.25 crores in that business and we have recently commissioned that project , so what is this pertains to this liabilities of more than that -- it is operational liability or any other item which was done?

Snehal Shah : Basically, the JV which we had , that JV was depende nt a lot on our existing textile s business which used to supply yarn to it as well as certain utilities were shared. But post -closing of our textile divisions, it became unviable for the JV also to continue. So we have now therefore decided to close, I mean sell the JV away and right now have estimated its liabilities to be in the region of close to around Rs.228 crores . etc., So both the partners will be contributing equally to that particular liability.

Also, we already have Rs.50 crores of capital. So, we will have to invest another Rs.89 crores each into the JV. So that particular Rs.89 crores is what we are considering as a provision. We have already accounted for a loss of about Rs.8-9 crores in the first quarter. So the net amount that we have to provide is about Rs.81 crores. And the second, so if you see the number of Rs.124 crores, so Rs.81

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crores is this and the next Rs.43 crores is with respect to the carrying cost we had of the property, the only lease land which is now as per the Supreme Court we have handed it over to the BMC. So we have to write off that particular carrying cost of that particular property. So these are the two major exceptional items. So 81 plus 43 is 124 crores is what we have provided. Hope that helps.

Amit Srivastava: Yes, yes, sir. Thank you for the clarification. That is it for my side.

Moderator: - Thank you. The next question comes from the line of Akash Gupta from Nomura. Please go ahead.

Akash Gupta: Hi, sir. Thank you for taking a follow up question. Sir, with respect to a launch guidance of Rs. 140 billion, do you think there is any downside risk to this launch guidance, for example you are waiting for central government approval for that Thane project. So my first question is how confident are we of this Rs. 140 billion launch guidance?

K.T. Jithendran: Akash, see, at this point of time we are very confident and quite positive. All of this is going to happen as we have planned it, but seeing approvals of things to prop up and this may get more jacked up towards the last quarter, theoretically, some of them may spilled over to the Q1. As of today, there has been no such signs. But in approval thing you can never totally, totally be assured. It will happen in time. Everything is progressing as per plan as of today. We expect all of them and we are fairly confident, but it is possible that that one or two of them may get spilled over to the following quarter of the next year. Having said that, Akash, I wanted to do one clarification. Akash and Pritesh both of you had asked for about Sarjapur how much we launched, etc., So I have said four towers, but actually it is four blocks which we have launched, each block is of two towers, so we have launched about seven towers and what we have balanced, we have kept for later launches of six towers. The overall is 13 towers

divided into four or five blocks, I wanted to give that clarification.

Akash Gupta: I see because in the PPT for Sarjapur we saw that I think the entire project was launched, that is what the PPT showed for the Sarjapur project.

K.T. Jithendran: Akash, you are right. We have one RERA number for the entire 13 this thing. One RERA we are planning to launch the whole thing, but we decided to focus more to maximize our revenue, etc., on the first seven towers because of the paucity of time as the RERA came in at a very late stage.

Akash Gupta: What were the project level EBITDA margins for the 4th Quarter revenue that we booked?

K.T. Jithendran: 33% depending on various projects. I think our projects had a very high margin. Kalyan being where it is, pricing Kalyan at a lower margin, but that is the range.

Akash Gupta: Understood, sir. Great. Thank you so much.

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Moderator: Thank you. The next question comes from the line of Ronald Sioni from ICI CI Securities. Please go ahead.

Ronald Sioni: Yes. Thank you sir for the opportunity and congratulations on great set of numbers. Actually I had a query on the business development guidance which you had given about Rs.15,000 crores to Rs.20,000 crores. Does this include redevelopment projects because redevelopment projects will not need much of the capital? Another related question would be, are you being a little bit conservative considering generally around 10% -odd land cost is there and you will have about Rs.1,200-odd crore s to invest in the coming financial year, so this BD guidance, is it conservative?

K.T. Jithendran: I think it is realistic. I would like to say as I said our approach towards new deals is a little conservative in terms of what I have always mentioned is that we do not take any risk other than the market risk, very particular about location, title, access, zoning, even the land prices, the micro markets we choose, the kind of competition there is. So from that point of view we are a little more choosy about our BD deals. This also includes the new segment that we are planning to enter, which is the redevelopment sector. Having said that, I mean funding has never been a constraint. So, I think we are reasonably confident that we should be able to achieve this.

Ronald Sioni: Yes, thank you. And uh, last question would be on your three years target of reaching Rs.15,000 crores, but as your overall vision is to be in the top league of the developers and what we are currently seeing is that local unlisted, but organized players are also really moving at a very fast pace and trying to cross Rs.10,000 crores of presence. So how does you stack up versus organized and unorganized large players in terms of your overall vision of being in the top league?

K.T. Jithendran: So I think what we are talking about is almost like doubling our current booking in a short period of three years. So I think that it stacks up very well. We have been growing pretty strongly. We also have to take the cycle into consideration. We have been going through a very, very strong cycle. We have to assume that the cycle will continue in the same fashion. The market is definitely tuning towards more organized, branded corporate players who are more committed on execution and

quality of delivery, timely delivery also. So I think we are very well placed, and we are very well placed to take advantage of this. And I have always mentioned that we want to grow proportionately with being most customer-centric as well as the most reputed developer. So we would not be going too aggressive after signing new deals. We are very choosy about the deals because real estate is a multi-year cycle business. So, we have to be careful about that. We have to be prudent about growth. So we will take our time to grow, but we are very confident given the opportunity, given the brand, given the kind of skills we are building up in our team, etc., I think we will be on a very robust growth path.

Ronald Sioni: Thank you very much, sir for answering the question and best of luck.

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Moderator: Thank you. The next question comes from the line of Isha Shah from Nirzar Enterprise. Please go ahead.

Isha Shah: Good afternoon and congratulations on a good set of numbers in NCR and Bangalore. I have two questions. First one is Financial Year '25-26 and '26-27, how many and which projects will be getting completed and delivered? And second question in Financial Year '25 projects that we have added but not launched how much money have we invested on our own projects and in JDA, say the upfront investment and advance? So these are my two questions.

K.T. Jithendran: Okay. Isha, so I think I had mentioned to you about the projects which are getting completed I think there is not much happening in '26, only the balance inventory which is to be sold and some spill over from the last year units which are completed but customers have not taken possession, have not paid up to 80%, those are the ones where we are going to recognize EBITDA for the current year, which is not very substantial. The following year, I think we will be attempting to recognize revenue for our projects in Bangalore, Birla Tisya and also for a new phase of Birla Navya. So that is in the next financial year.

Isha Shah: Okay. So they would be completed and delivered?

K.T. Jithendran: That is right.

Isha Shah: Okay, okay. And for second question, sir?

K.T. Jithendran: Second question was on the launch. So there is a list of the projects we have added. So we have added -

Isha Shah: But not launched. Yes, I want to know basically, there are projects that we have added but we have not launched. So how much money have we invested on our own projects and in JDA like the upfront investment and advance that we have invested?

K.T. Jithendran: So Birla Arika of course we have launched. So I will not speak about it. That was the project which was acquired this financial year itself, and we turned it around in less than nine months. Manjri is the other project we launched last year, which was deferred outright, deferred is a long payment schedule, I think we have paid roughly about Rs.200 crores there. Boisar is an outright project. Maybe we can get you these numbers offline. Sector 71 was there, which is again an outright. Then Worli, the new land 10-acres we acquired, which we invested about Rs.1,200 crores.

Isha Shah: So this comes to approx Rs.1,500 crores like we would have invested upfront?

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K.T. Jithendran: Roughly yes. That is right.

Isha Shah: Okay. We have invested and we have not yet launched. Okay. Okay. Thank you, sir.

Moderator: Thank you. The next question comes from the line of Sagar Shah from FIN Research. Please go ahead.

Sagar Shah: So two things, sir. I mean, is it safe to assume that major deliveries would be from FY28 onwards, sir?

K.T. Jithendran: Yes, I mean Worli will start from FY28, Tower A. That will be a big, big completion. Significant delivery milestone for us.

Sagar Shah: By '29, sir?

K.T. Jithendran: '28 I said no. Is that right?

Sagar Shah: For both the towers in '28?

K.T. Jithendran: There is a gap of a year between them.

Sagar Shah: Okay. I heard your comments on redevelopment. Is it safe to assume to understand from what you said you are bullish on the process redevelopment in South Mumbai where your peers have been very aggressive sir, Walkeshwar, South Mumbai area?

K.T. Jithendran: Yes, that is one of our target markets; South Mumbai, Bandra, Juhu, Santa Cruz.

Sagar Shah: Because I believe Walkeshwar is one project and Malabar Hill, I mean also you are fairly aggressive, right?

right, sir?

K.T. Jithendran: Yes, yes, yes.

Sagar Shah: What is the outlook on redevelopment ?

K.T. Jithendran: I am excited, and I think we will be able to secure a few deals.

Moderator: The next question comes from the line of Ankit Bajaj from CARE Ratings . Please go ahead.

Ankit Bajaj : Yes. Good afternoon, sir. First of all, congratulations on a strong set of sales and collection . Sir, just wanted your guidance going ahead on net debt -to-equity, sir?

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Senhal Shah : I think in the beginning I mentioned that right now it is about 0.92. So I think to give you an estimate of future net debt -equity would depend on when I get my payment from the sale of the paper business and probably that time, as I mentioned, we would be retiring about Rs.2,000 crores of debt from the amount that we receive. So hopefully at that time the debt would come down to about Rs.1,500 crores. So that would be almost less than half of our equity So plus of course we will have cash balance. So technically we almost will be zero debt at that particular time.

Ankit Bajaj: Okay. Sir, just wanted to understand because there are substantial projects that we will be launching in this current financial year. So you will be tying -up some new debts for these launches as well ?

Senhal Shah : As I said, from Rs.3,500 crores of outstanding debt, we will be repaying Rs.2,000 crores of debt from the Rs.3,500 crores that we receive from the paper business. So even if you consider some capital gain, tax , payment, etc ., we will still be having some Rs.1,200, Rs.1,300 crores in our treasury. So that probably will be used for any acquisitions that we plan in the near future. And if we still require more amount , at that time we will be doing fresh borrowings. So it all depends on how much is needed for the near future for acquisitions over and above the amount lying in our treasury from the money that we receive from the sale of paper business.

Ankit Bajaj: Okay. Thank you , sir.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to the management for the closing comments.

R.K. Dalmia : Thank you , all for participating in this Earning Con Call. If you have any further questions or would like to know more about the company , please reach out to our IR Manager , Valorem Advisors . Thank you for all your interest in our company .

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

ADITYA BIRLA
SH/XII/64/2025
Corporate Relationship Department
BSE Limited
1st Floor, Phiroze Jeejeebhoy Towers

Dalal Street, Fort,
Mumbai-400 001
Scrip Code: 500040

Dear Sir/ Madam, REAL ESTATE
30th July, 2025

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Bandra-Kurla Complex
Bandra (East), Mumbai-400 051.

Scrip Code: ABREL
Sub: Transcript of Q1FY26 Earnings Conference Call of Aditya Birla
Real Estate Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015
(‘Listing Regulations’)

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the
Q1FY26 Earnings Conference Call conducted on 24th July, 2025 at 11:00 A.M. 1ST after
the meeting of the Board of Directors of the Company held on 23rd July, 2025

This is for your information and record.

The above information is also available on the website of the Company viz.

www.adityabirlarealestate.com

Thanking you,

Yours truly,

For Aditya Birla Real Estate Limited
(Formerly Century Textiles and Industries Limited)

Atul K. Kedia

Jt. President (Legal) & Company Secretary

Encl: as above

Aditya Birla Real Estate Limited

(Formerly known as Century Textiles and Industries Limited)

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Corporate ID No.: L17120MH1897PLC000163

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“Aditya Birla Real Estate Limited Q1 FY '26 Earnings
Conference Call”

July 24, 2025

MANAGEMENT : MR. R. K. DALMIA – MANAGING DIRECTOR, ADITYA
BIRLA REAL ESTATE

MR. K.T. JITHENDRAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER, BIRLA ESTATES

MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER,
ADITYA BIRLA REAL ESTATE

MR. KEYUR SHAH – CHIEF FINANCIAL OFFICER,
BIRLA ESTATES
MODERATOR : MR. BIPLAB DEBBARMA - ANTIQUE STOCK BROKING
LIMITED

C H O R
Aditya Birla Real Estate Limited
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Moderator: Ladies and gentlemen, good morning and welcome to the Aditya Birla Real Estate Limited Q1 FY '26 Post Results Conference Call, hosted by Antique Stock Broking Limited.

As a reminder, all participant lines will remain in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*”, then “0” on your touch-tone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Biplob Debbarma from Antique Stock Broking Limited for opening remarks. Thank you and over to you.

Biplab Debbarma: Thank you, Ryan. Good morning, everyone, and welcome to the Q1 FY '26 Earnings Call of Aditya Birla Real Estate, hosted by Antique Stock Broking.

Please note certain statements made during this call may be forward-looking in nature and are subject to risks and uncertainties. Actual results may vary materially.

Today, we have with us the Management of the Company represented by Mr. R. K. Dalmia – Managing Director, Aditya Birla Real Estate; Mr. K.T. Jithendran – Managing Director and CEO, Birla Estates, Mr. Snehal Shah – CFO, Aditya Birla Real Estate, and Mr. Keyur Shah – CFO, Birla Estates.

Without further ado, let me hand over the call to Mr. Dalmia. Over to you, sir.

R. K. Dalmia: Thank you. Good morning, everyone, and welcome to the Earnings Conference Call for the 1st Quarter of the Financial Year 2026.

As many of you know, at Aditya Birla Real Estate, we are in the midst of a strategic transformation, shaping the Company into one of India's most focused and future-ready real estate platforms. Financial '25 was a landmark year in this journey. And we have entered Financial '26 with the sa

me level of discipline and long-term ambitions.

During the 1st Quarter of Financial Year 2026, our primary focus was on execution, consolidation, and preparing for a robust launch pipeline in the quarters ahead. We began this year with the backdrop of a resilient Indian economy.

With strong microeconomics fundamentals and stable GDP growth projections, the long-term structural demand for quality real estate remained unequivocally strong. It is within this promising context that we are executing our refined strategy with a focus towards the real estate business. And therefore, we are in the process of divesting our paper business.

India's residential real estate sector is in the phase of steady growth, driven by execution excellence, product differentiation, and brand trust. The market has seen good traction, with absorption of exceeding new supply by 8.3% in Financial '25. The luxury segment continued to

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outperform, fueled by a descending domestic audience and growing interest from NRIs. Mumbai Metropolitan Region, MMR, Pune, Bengaluru, and NCR continue to remain the key market, contributing to 50% of units sold in Financial Year 2025.

As this was a quarter without any new project launches for the Company, our efforts were concentrated on driving sales momentum in our existing portfolio and ensuring strong construction progress across all sides. Consequently, our booking value for the quarter stood at Rs. 423 crores, which grew by 61% year-on-year. The area sold for the quarter grew by 327% year-on-year to 0.3 million square feet. Our collection for the quarter grew by 12% year-on-year at Rs 545 crores. This performance reflects the sustained interest in our marquee projects and underlying strength of Birla Estate's brand, even in a period of planned consolidation ahead of our next growth Phase.

One of the most notable developments during the quarter for our Company was that Birla Estate concluded a \$50 million or around Rs. 420 crores investment from International Finance Corporation, IFC, a member of World Bank Group. The investment has been made in Manjri project in Pune, having approximately 3.13 million square feet saleable area, and in the Thane project with approximately 6.43 million square feet saleable area. This partnership shows a strong vote of confidence from one of the largest and highly respected global investors. The partnership also boosts our ESG credentials and supports sustainable, inclusive development.

Additionally, on the ESG front, we achieved the Bureau of Energy Efficiency certification for both Birla Aurora and Birla Centurion, recognizing our efforts to create energy-efficient, environmentally conscious development, and set a new benchmark in sustainable real estate.

On the marketing front, we increased our investment, strengthening our brand and forging a deeper connection with our customers. We raised our IPL association by becoming the principal sponsor of the Royal Challenger Bangalore, which significantly boosted brand visibility and making Birla Estate one of the most recalled real estate brands during the season.

Looking ahead, our growth trajectory is clear and well-defined. Our total portfolio now has a gross development value potential of around Rs. 70,000 crores, providing us a multi-year growth visibility. For the remainder of Financial '26, we have a robust launch pipeline with an estimated gross development value of over Rs 13,900 crores. This included much-anticipated projects such as the next Phase of our marketing Birla Niyaara Project Worli new Phases at Birla Navya in Gurgaon, and our new developments in high-growth corridors like Thane and Boisar in MMR. With that, we can now open the floor for questions-and-answer sessions. Thank you.

Moderator: Ladies and gentlemen, we will begin with the question-and-answer session. The first question comes from the line of Ka

ran Khanna from Ambit Capital. Please go ahead.

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Karan Khanna: Thanks for the opportunity and good morning to the entire team. My first question to you, KT, if you can talk a bit about the luxury housing market in Mumbai, particularly because we have seen some signs of slowdown in the MMR luxury market. If you can also talk a bit about the Niyaara project, where we have seen Rs 360 crores of sales in the 4th Quarter and this quarter that is down to about Rs 60 crores? How are you thinking about sales velocity for the balance Rs. 2,300 crores of inventory that you have in Phase-1 and 2? And more importantly, how should one think about the launch of Niyaara Phase-3 later this year?

K.T. Jithendran: Yes, hi, good morning. Yes, so, Worli as a luxury market continues to be very strong, we are very bullish on this market. It's true that there have been more launches, more projects have got launched here. But I think it will be too premature to judge the demand of the market unless there is a clear launch which has happened.

As far as we are concerned, we had a strong quarter last year. And this quarter, we had a few cancellations. Otherwise, I think still there was not more than five or six units which were sold over the quarter. Actually, Q1 is a little early for the momentum to pick up. But we are very confident the number of walk-ins, the number of demands, the number of strong leads that we still have, the price which is holding, the demand for the product, etc. I think we are very confident that we will have a strong response over the year. And we are very excited and looking forward to the new phase launch, which will most probably happen in the last phase of Q3 or early Q4.

Karan Khanna: Sure, this is helpful, KT. My second question, if we look at the launch pipeline for FY '26 and beyond, the Slide 17 of the investor presentation, for the nine launches that are slated for later this year, can you give some timelines in terms of what could be the launch distribution across the three quarters for rest of FY '26?

K.T. Jithendran: Yes. So, most of the launches are, in fact, almost all launches are kind of pitched in Q3 and Q4, since we had a very strong launch quarter in Q4. We will be planning all these launches as per our planned calendar, it was stated to be in Q3, Q4. The good news is that for Manjri, we have already got the RERA. Our launch preparations have started. But unless we are completely ready in terms of going into the market, we will take our time. We have enough time. So, either it will be in the last quarter of Q2, but most probably in the first Phase of Q3. All the others, I can assure you, we are going well as per the track and we are pretty confident of launching all this in various months of Q3 and Q4.

Karan Khanna: Thirdly, in Slide #27 of the investor presentation where you have spoken about the estimated surplus potential from the launch projects which stands at about Rs. 7,300 crores, and you previously mentioned that the surplus potential from launch and pipeline projects would be closer to Rs. 22,000 crores. Two questions here. One, do you still expect to realize about Rs. 15,000 crores in surplus from the pipeline projects? And two, what would be the total surplus cash flow that would accrue to Birla Estates?

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K.T. Jithendran: Yes, I will ask Keyur to answer this question.

Keyur Shah: So, Karan, basically we have estimated the collections from already the inventory, which is sold, that is over Rs. 11,000 crores, which is the sold inventory. From the unsold inventory, we will collect around Rs. 6,000 crores. So, that is how we have estimated the collections. And after

reducing all the costs pertaining to the completion of the entire project, we estimate Rs. 7,300 crores of surplus. So, that's how we have considered it.

Karan Khanna: So, so this is Birla's share in the --

Keyur Shah: Yes.

Karan Khanna: And lastly in terms of BD, what's the progress here? Are you on track to achieve the Rs. 15,000 crores BD target that you had mentioned earlier?

K.T. Jithendran: Yes, so BD we have guided, I mean, last year, as you know, we did about Rs. 25,000 crores. We have very strong pipeline in all our regions, our targeted regions. But this whole process, as you know, it takes its own time. We have to make sure that we do the right deals and the right returns and the right market, right location, right pricing. So, we are pretty confident of doing somewhere around that, I cannot assure you it will be whether Rs. 15,000 crores or Rs. 10,000 crores or Rs. 20,000 crores, but that's what we are targeting. And we are well on course of achieving that.

Karan Khanna: Sure. That's it from my side. I will come back in the queue for any follow-ups. Thank you and all the best.

K.T. Jithendran: Thank you, Karan.

Moderator: Thank you. We take the next question from the line of Akash Gupta from Nomura. Please go ahead.

Akash Gupta: Hi, sir.

K.T. Jithendran: Hi, Akash. How are you?

Akash Gupta: Yes, I am great, sir. Thank you for the opportunity. Sir, my first question is with respect to the Sector 150 Noida project and the IHP JDA project. What is the status of those two projects? As well as the Thane approvals, where are we for these three projects?

K.T. Jithendran: So, as far as Noida 150 is concerned, we have not made much progress, and I am not very hopeful. We are not really counting on that. What was your second question?

Akash Gupta: The status of the IHP JDA project, Mantra Road, and as well as the Thane approvals with respect to the Thane project.

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K.T. Jithendran: The IHP is also going slow, unfortunately. We are hoping that there will be some progress. It's really not happened, but pretty hopeful that this will come around. So, we have not taken it in our target for launch this year. And Thane is going okay. Thane, we are gearing up for the launch.

Akash Gupta: Okay. So, even Thane, we should expect it in the third quarter?

K.T. Jithendran: Yes. Q3.

Akash Gupta: And my second question, sir, if you can give us some visibility with respect to the third tower, Niyaara, any visibility on what type of configurations are we looking at and what type of price points we are looking at?

K.T. Jithendran: Akash, we are planning to do this launch in Q4 or late Q3. So, we are still in the process of firming up the pricing and the configuration. So, at the right time, we will let you know.

Akash Gupta: Okay. Thank you. That's all from my side. I will join back in the queue.

K.T. Jithendran: Thank you.

Moderator: Thank you. The next question comes from the line of Dixit Doshi from Whitestone Financial Advisors Privates Limited. Please go ahead.

Dixit Doshi: Yes, thanks for the opportunity. My first question is regarding the Niyaara only. So, I think net, net you said that we had some cancellation, but so net, net we are maybe around 99 or 100 flat. So, obviously, the market looks slightly slow, but you are much more confident. So, do you have any number in mind that let's say 120, 125, 130, this much X number of flat will be sold and then only we will plan for the third phase?

Moderator: Ladies and gentlemen, we have lost the line of the Management. Please stay connected while I rejoin the management. Mr. Doshi, we have the Management reconnected. If you can please repeat your question for the Management. Thank you.

Dixit Doshi: Yes. So, my question was that the market looks slow in the Worli, but you are quite confident of launch. So, my question is that, do you have any number in mind where let's say 120, 130, X number of units will be sold in Tower-2, then only we will plan for Tower-3?

K.T. Jithendran: We have already achieved that n

umber, Dixit. I mean, we were planning about two-thirds and then we shall move ahead, so we are around that. So, we are now fully gearing up for launching the new phase.

Dixit Doshi: And my second question is, in earlier calls you have mentioned that the cost is around Rs. 25,000 in Worli. So, is it also for Tower-1 also?

K.T. Jithendran: All inclusive, it's an average cost for the entire over the next five, seven years. That's what it is. It includes all towers.

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Dixit Doshi: It's an average cost including all towers. Okay fine, that's it.

K.T. Jithendran: Thank you.

Moderator: Thank you. We take the next question from the line of Amit Srivastava from B&K Securities. Please go ahead.

Amit Srivastava: Yes. Hi. Thank you for the opportunity. Sir, my question is on a launch pipeline, basically. So, if you look at for the FY '26, we have a very strong pipeline of Rs. 14,000 crores, which is going to be launched over the next six quarters. But if you look at for the future, we have a strong GDP of Rs. 44,000 crores going ahead. But a larger part of this is concentrated in Worli and Thane around Rs. 25,000 crores, which will be launched over the phased manner in multiple years. And considering that the new projects which we will sign in the next couple of quarters, that will take around one more year time to launch. So, are we getting sort of a launch pipeline in FY '27 to maintain the Rs. 14,000 crores, Rs. 15,000 crores of launch for that year?

K.T. Jithendran: Yes. So, to keep the momentum of growth going, we will of course keep looking for addition of new projects, but not the cost of financial discipline and returns and the brand equity, etc. So, we realize that to keep the momentum growing we need to add new projects in all locations. And we are mindful of that and we are working towards that.

Amit Srivastava: So, basically, we are confident that we can launch similar kind of numbers in FY '27? That's all.

K.T. Jithendran: Yes, we need to add projects. We are working towards that. Only that we are being careful that we add the right projects and we take the right risk and maintain financial discipline.

Amit Srivastava: Sure, sir. And in terms of the project specifics, in Bangalore we have a GDP of Rs. 3,000 crores, we sold around Rs. 800 crores plus. This quarter we have not seen much traction in that. So, have we not launched any new tower or what was the project specific update if you can give? And any progress on our Century Bhavan development plan?

K.T. Jithendran: So, as far as Birla Evara is concerned, we had launched an inventory of Rs. 1,594 crores or thereabouts and we have sold about Rs. 900 crores. So, I think we can still have enough room to move ahead. As you know, there was a slowed down in the 1st Quarter in terms of picking up and all the noises around the IT industry, etc. But I think the real momentum will pick up when the festival season starts and the product is very good as the product comes up. So, we will take stock of that whether we want to launch the next few buildings that are there depending on demand consumption of the current phase. But happy to note that we have sold more than 50% of the inventory. And yes, so the rest of the inventory, we will time it accordingly.

Amit Srivastava: And Century Bhavan, sir?

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K.T. Jithendran: Century Bhavan, yes, that's planning in progress, still several options we are considering. So, the key thing is to time it with the overall market supply and also do not want to clash it with Birla Niyaara. So, that work is going on. We are in no hurry to launch that.

Amit Srivastava: So, next question is basically on a very good strategic alliance which we have done with Mitsubishi. So, sir, wanted your thoughts on the long-term perspective on how he is going to play in development

scale of our Company? We see it as a scalable partnership, how is it across project specific? And how are we going to prioritize the future projects because we have Mitsubishi which itself is a large partner and the way we have got IFC so have we shown these projects to Mitsubishi also, actually how it is working out?

K.T. Jithendran: Yes, so we have been pretty fortunate to have such good partners. Both are very, very high-profile partners. Mitsubishi globally, not only in terms of financial strength, but also in terms of real estate know-how. And IFC, of course, equally strong, financially strong, sustainability, huge focus on that. And very high in terms of feasibility of projects, checking in all the right risk requirements, etc. So, our projects have stood very high in their profile. And I think they were also, of course, IFC, we just signed it last quarter, but Mitsubishi and we are going great. They are looking forward to many more such profitable ventures.

And I think it's a very good strategy that where we are not doing JDAs, and you think there is too much concentration of capital, and we could perhaps divest it and do a proper risk management strategy for Birla Estate going forward, maintain stronger financial discipline, learn a lot from how to do large-scale business and focus on execution, etc., safety, faster construction technologies. So, it's a very win-win, good partnership that we have evolved and we are looking forward to building it further.

Amit Srivastava: Okay, great, sir. And last, sir, just a clarification on our paper business sir, when can we expect the completion of the deal?

R. K. Dalmia: Paper deal is on track. We expect to complete this process by end of Calendar Year 2025.

Amit Srivastava: Okay, sir. Thank you very much for the update.

Moderator: Thank you. The next question comes from the line of Puneet from HSBC. Please go ahead.

Puneet Gulati: Yes, thank you so much, sir. My first question is, if you can elaborate a bit more on what value is Mitsubishi bringing to the JV? And also, if there is a plan to do similar sort of setup in Worli as well because you guys will have land bank which is adjacent to each other. Any thoughts there?

K.T. Jithendran: Yes. So, Mitsubishi, of course, as I mentioned, the value is immense. We told you, when they came into the project after we have worked on this Sarjapur land quite a bit, we have worked on the risks, and they have given us an adequate and quite profitable premium there. And also, we are getting a 6% DM fee. And over and above that promote, which is also very lucrative.

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More important than just the financial part, we are more interested in the strategic partnership that we are looking at them and the kind of the knowledge and experience and know-how they bring into real estate. They were almost 70, 80 years global real estate Company, \$70 billion or thereabouts globally. So, very sophisticated ways of working processes, etc. What really worked with us is our transparency, processes, fair play, the legacy of the brand, etc. So, the value systems matched and therefore they were also very happy. Among several developers in India, they chose us to go ahead with.

As regards to Worli's concerned, we are not really looking at, you know, a partnership for the residential portfolio. We really do not need it. We are well established in Worli and the capital investment is not much. So, I think we are not really looking forward to partner with them in the residential part of the Worli portfolio. While we are thinking also about developing the commercial portfolio, there it could be a worthwhile exploration process or whether they would be interested and we are exploring amongst several other large institutions. Mitsubishi is also a candidate for that.

Puneet Gulati: Understood. That's very helpful. And secondly, on the IFC JV, will that

limit you to do projects

on the affordable nature or are you free to do upper mid-income, mid-income, etc.?

K.T. Jithendran: As you know, none of our projects are affordable in that sense. Projects are all very aspirational, higher mid-income or premium. So, really, I think there is absolutely no such limitations.

Puneet Gulati: Understood. And thirdly, if you can also talk a bit about, any new cities that you are planning to enter at this point of time?

K.T. Jithendran: Right now, as we see, given our management bandwidth, focus required, complexities of approvals in various cities, real estate essentially being a very regional play, RERA also differs from region to region. I think we are very happy to establish ourselves, consolidate, expand ourselves in the four cities we have chosen. They continue to be the most sought after four top cities. I think there is a lot of work for us to do here and establish ourselves. So, that call of moving into a few or expanding into more cities is a little further away. We always be looking and we are watching out, we are looking out any cities which are showing strong long-term potential. And I am sure there will be some cities which will come up and we are keeping a close watch on all of that. But at the moment, we are focused on growing ourselves and expanding ourselves in the four cities that we have chosen.

Puneet Gulati: Okay, that's helpful. And lastly for Keyur, there is this rental income of Rs. 275 million which declined both Y-on-Y and Q-on-Q, so how should one think about it?

Keyur Shah: So, both our properties are fully occupied. There is one of the things for renewal was underway, so that will get normalized at the full year end.

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K.T. Jithendran: No worries, Puneet, our rental income is increasing, and we are at a 100% occupancy. So, absolutely no worries there, Puneet.

Puneet Gulati: Yes, which is why I was surprised to see a decline here, I thought it should have been a pretty stable number.

K.T. Jithendran: Momentary, transitional stage where once we are in process of renewing a rent, so there will be maybe a month or two of rent-free period, etc., But in the long term, it's only growing, yes.

Puneet Gulati: Okay. And on the cancellation for Worli which you talked about, what kind of amount do you end up forfeiting?

K.T. Jithendran: Forfeiting?

Puneet Gulati: Yes, if somebody cancels.

K.T. Jithendran: We abide by the RERA laws, whatever, 10%. Whatever the laws that is there as per RERA, we follow the RERA rules clearly. And also, as a long-term customer, this thing, we take a look at it, what kind of reasons are there for cancelling, is it very serious. So, we take a view from our long-term customer-centricity point of view.

Puneet Gulati: Understood. Thank you so much and all the best.

K.T. Jithendran: Thank you.

Moderator: Thank you. We take the next question from the line of Dhananjay Mishra from Sunidhi Securities. Please go ahead.

Dhananjay Mishra: Yes, thanks for the opportunity. So, most of our launches will be coming in Q3 or later part of Q4, we have unsold inventory of close to Rs. 6,000 crores, so what kind of sales booking we are looking at in Q2 or overall FY '26?

K.T. Jithendran: So, I hesitate to kind of give any forward-looking guidance on this part. We will do our best and all markets are looking stable. But as you know, Dhananjay, the bulk of the real spikes come from during launches, that's where the whole excitement is. The bulk of the growth prospects will come in Q3 and Q4 when the launches happen. So, we will be really looking for our numbers to be, I mean, bulk of it will come from the launches. So, it should be similar, I mean, what we are doing currently or steady or maybe better than this, we expect Q2 should be if there is a pickup, momentum, etc., depending on overall market sentiments. But the real punch will com

e
from the launches.

Dhananjay Mishra: Okay. But Q2 should be much better than Q1 and overall FY '26 will be some growth on number of FY '25, right, that is the right side of the answer?

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K.T. Jithendran: I have in the past told you that we are not really giving you guidance where it's too short-term, too much impacted by short-term events, uncertainties, interest rates fluctuations, international news, etc. And of course, the entire approval system is subject to severe shock and uncertainties. So, really, I would not like to do the injustice of guiding the team into something which is not very certain. So, that's why we have taken a long-term view of giving you a long-term three-year horizon where we are more sure of giving more certain guidance. So, I really do not want to kind of take you into any other direction. So, we are focused on giving a long-term growth and long-term guidance to you.

Dhananjay Mishra: Thank you.

K.T. Jithendran: Thank you, Dhananjay.

Moderator: Thank you. We take the next question from the line of Mr. Biplab Debbarma from Antique Stock Broking Limited. Please go ahead.

Biplab Debbarma: Good morning, everyone. Sir my first question is on the IFC deal. So, on the recently announced private equity deal involving IFC, sir, it appears that the transaction has been done close to our acquisition cost. I mean, Thane is around Rs. 600 crores and Manjri is around Rs. 300 crores. And if you see, 44% to IFC for Rs. 420 crores translated into some Rs. 950-odd crores. So, it looks like we are doing the deal close to acquisition cost. So, I mean, given that we are on the verge of receiving proceeds from the paper business divestment, what was the urgency or liquidity need to close this pay deal? And what is the strategic rationale? I mean, why did you actually do this deal? And have you received the funds from IFC already or is it still in the process? So, this is my first question, sir.

K.T. Jithendran: So, Biplab, before I hand over to Keyur to give you all the details of the deal, on a strategic level I just want to express to you that if you carefully look at these two deals, both the Thane deal and the Manjri deal, you would very clearly appreciate that we are not paid the full value of the land. These are both deferred land acquisitions. So, we have not really paid the value of the land. In fact, we have paid only a part of it and that is true for both these particular projects. Having said that, there is also a premium that we have taken in terms of warehousing interest in both these projects. So, it is not at the acquisition cost, it is a higher cost than that. But the larger and broader game is that whenever there is a kind of acquisition where concentration of capital is because of the outright, it is more than that we would look at. So, I think it is a very effective financial risk management strategy that we get a strategic partner thorough sharing the risk. And you must understand that all of these are equity in nature. They are not any structured debt or equity in the form of a debt or something like that, it is pure equity. And the upside and downside, both are very shared proportionately. And these are not requirements for capital and capital will keep coming and going, we may have a paper discounting, a paper may go, we may get some capital, we may go to raise capital from many other sources, etc. But I think it is a good
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long-term strategy to have global partners who will also help us give a second opinion on the kind of acquisitions we are making, capital always available, and that too people who understand and willing to take the risk.

And to make these partnerships, I think, forge these partnerships really when we actually do not

need them. When we actually need and we go to people to get the right thing,

to get the right

valuation. So, I think it's not that I looked at my 12 months or 6 months requirement and said, oh, there is a shortage of capital so let's run to somebody. These are all long-term calls taken over the next 5, 10 years, how should we grow the business, good times, bad times, etc. So, that's how we sort this out at the strategic level.

Keyur Shah: Just to add, Biplab, these transactions with both Mitsubishi and IFC take 12 to 18 months or more to conclude. So, at that time when we were initiating the discussion, there was no divestment of paper on the table. And now we have demonstrated that we have global partners who are putting their balance sheet money for 15, 20 years and we also kind of get access to their way of working. And IFC has categorized this under the green category for this particular investment. And we want to be cutting-edge in ESG, that's one of our mandates and charters because that's going to be the future. Also, we earn DM fees and promote on all the transactions. So, in a way, it's a win-win for us. So, that's the reason why we decided to go ahead with this. And going forward, whenever we need to access capital, these partners are readily available to put capital with us because all the heavy lifting has already been done. And now we have a platform in place which can be quickly replicated.

K.T. Jithendran: So, Biplab, it's a double-engine strategy. Also, it just opens up another capital avenue. Capital is never adequate. There are always opportunities where we need capital, and also, it's risk management. So, it works to us both ways very well.

Biplab Debbarma: So, basically, this is not just a short-term divestment for liquidity needs, it's basically a long-term strategy.

K.T. Jithendran: You got it.

Biplab Debbarma: Understood. And my second question is on the upcoming launch of Tower-3, Niyaara. So, just trying to understand what would be your target customer segment? I mean, obviously, HNIs. But I mean, are you focusing on NRIs? How much do you think like 10%, 20% would be sold to NRIs? I know you will pay by the year, but HNIs from other Indian cities or specific offshore geographies like Gulf, UK, North America.

I am asking this question given that significant competing supply are there in the Worli market, all by leading developers. And you may be aware of them, many of them are listed also. So, just trying to understand how do you intend to position Niyaara and how do you intend to differentiate? And what would be the target audience? Because it's very important for us, for Aditya Birla Real Estate Limited
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Birla Estate and that Niyaara third tower to do as well as Tower-1 and Tower-2 did. Yes, sir. That's my second question.

K.T. Jithendran: Yes. So, Biplab, if you may allow me, I know Niyaara has already created a very strong position in the market. Irrespective of time, over the last few years, it has firmly established itself as one of the most premium developments based on the design, based on the brand equity, based on the investment we have done in understanding our consumers and positioning it accordingly. And more importantly, on the size of the project, the plot size itself. I do not think, however, marquee developers are around, with all due respect to all of them, they have the advantage of such a fantastic location and the size of the location. So, that plays very heavily as a heavy advantage to us. So, we are not really concerned about positioning or repositioning Niyaara. Niyaara is very firmly positioned primarily by these qualities which I mentioned, which I think is hard for anybody else to replicate, because they do not have what we have. Having said that, from tower to tower, of course, there will be tweaking and amendments, etc., depending on the short term or the current market ups and downs, demand supply gap, etc. So, that we are carefully tuning it so that not prim

arily, in the long term I think everything will get sold. I mean, the product is so good and so premium positioned, but largely from maximizing the off take at the launch time. So, with that, we are working in progress. Of course, it will be slightly different from Tower-B, different from Tower-A. We are trying to bring out some things. Too early for us to disclose it today.

And the market, of course, like what happened in the past, will be heavily from the South Mumbai, coupled by the large Indian cities, the mofussil cities of Maharashtra, and like it has happened in the past from the Middle East, Singapore, UK, US, we have had a pretty strong 20-plus-percent demand from all these sectors. So, I think that demand will continue.

Biplab Debbarma: Great. And, sir, that question, have we received the funds from IFC already, that Rs. 420-odd crores?

K.T. Jithendran: Yes, we have received everything.

Biplab Debbarma: Thank you, sir.

Keyur Shah: The funds were received in July.

Biplab Debbarma: Okay. In July. Okay. Fine. Thank you, sir. Thank you. All the best.

K.T. Jithendran: Thank you.

Moderator: Thank you. We take the next question from the line of Himanshu Javel, an investor. Please go ahead.

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Himanshu Javel: Yes. Hi. So, I wanted to ask, there is a lot of redevelopments happening around the Mumbai, as you are aware. So, what are your views three to five years down the line? Do you think the excessive supply of redevelopment will be affecting our long term plans for the Company? In terms of supply, I am talking.

K.T. Jithendran: Yes, very valid. I think the way forward for the development of Mumbai will be substantially skewed towards redevelopment. Redevelopment has its pros and cons. But as you know, Mumbai, there is hardly any industrial land available. Most of that got consumed. The last few are up for taking. And buildings have got old if you look at South Bombay and other major parts of the island city and even now the suburbs.

So, I think redevelopment is a very strong phenomenon and it has to be addressed. And we also believe that we should have presence there and we should create a niche there. We are working towards it. We have a dedicated team looking at the opportunities. And I think the biggest advantage we have as a brand is the trust, because redevelopment largely works on trust. Families move out of their societies, out of their plots, trusting and giving to the developer, hoping that the developer will get them back to their plot within a reasonable amount of time.

So, I think, we have a huge advantage there and we are working towards creating a strong presence in that market, taking a strong market share. Of course, the ticket sizes would be small, but I think it can quickly scale up by the number of projects. So, we consider that as an essential part of our future bidding strategy for Mumbai.

Himanshu Javel: Sir, are we looking at some big redevelopment projects for the Company?

K.T. Jithendran: We are. We are. We are very aggressively looking at adding some projects through that channel.

Himanshu Javel: Okay. That's it from my side.

K.T. Jithendran: Thank you, Himanshu.

Moderator: We take the next question from the line of Akash Gupta from Nomura. Please go ahead.

Akash Gupta: Thank you for the opportunity again. So, sir, my question was regarding to build up Punya. I think this year we are planning to launch roughly Rs. 20 billion of GDV here. I think we already have RERA approval for this one, so what is the reason for holding this project?

K.T. Jithendran: Akash, we had the RERA for the first phase. And after that, remember, last year we could launch only a small part of the inventory because of some changes in rules. We need another fire service floor above the 17th floor, etc. So, we could launch only till 16 floors. Now we are gearing up.

We need a new RERA, some free

NOCs, etc., which all we have covered. We have got environmental clearance also. We are awaiting the RERA. And then we will launch a big tranche this year.

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Akash Gupta: Got it. Got it. And, sir, I just wanted to understand on the cash flow situation. So, how should we look at the year-end net debt for the Company?

Keyur Shah: So, Akash, from the way the cash flows are, we are expecting very strong cash flows from our booking collections. As we have always been saying, our outflows are lesser than our collections.

So, from an overall operating level, we will be cash surplus, including after the debt servicing, which is planned to be done. So, we will be cash surplus from that perspective. Further, the proceeds from the sale of business also will kind of help us from our overall cash flow position.

So, we are very, very comfortably placed from our cash flow position.

Akash Gupta: Okay. And, sir, just wanted to understand, like, are we waiting for this proceeds from this ITC deal to come in and then we go for a lot of BDs? Is that how we should think about it?

Snehal Shah: Akash, Snehal here, that is not the case. We are not waiting. We have sufficient scope to borrow additional money without affecting our debt-equity ratio significantly. So, that capability we have. As Keyur mentioned, first of all, there will be some cash surplus coming from the real estate business, which will be first used for the BD. And if there is any additional capital required, we are quite in a good position to borrow extra to meet that requirement. So, it is not that we are seriously waiting for the paper deal. Paper deal, when it happens, it will only help us reduce our debt. That's all.

Akash Gupta: Got it, sir. That's it from my side. Thank you.

Moderator: Thank you. We do have follow-up questions from the line of Himanshu Javel, an investor. Please go ahead.

Himanshu Javel: Yes, KT. So, I was essentially looking for the Prabhadevi project, the Century Bhavan I think. So, I wanted your views on that, what are your long-term plans? Because as you know the Oberoi 360 has done extremely well in terms of premium project housing, so what are our plans for the project?

Moderator: I do apologize to interrupt you, Himanshu. We have lost the line of the Management. Please reconnected while I rejoin the Management. Thank you for your patience. Himanshu, we have the line of the Management reconnected. Please proceed with your question.

Himanshu Javel: Yes. Hi, KT. So, I wanted your views on the Prabhadevi Century Bhavan project. As you know, the Oberoi 360 project has done extremely well, so what is our long-term plan for that particular project? Are we looking at the same kind of premium project? Because it's an extremely prime location for the Company.

K.T. Jithendran: Yes. So, we do not have any plans right now for that project. It's not in our short-term plans. We will look at it at the right time.

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Himanshu Javel: Okay. And the investor presentation is showing the Worli, new plot is the one which we bought recently, right?

K.T. Jithendran: Right.

Himanshu Javel: And there's a small plot showing the Worli West project, that's a small one?

K.T. Jithendran: Yes, that's about 3.5 acres.

Keyur Shah: That's not part of the diagram.

Himanshu Javel: That's not part of the Niyaara, right?

K.T. Jithendran: Yes, that's not part of the Niyaara.

Keyur Shah: That is not part of the map that is there. It is not in the map that we have presented.

Himanshu Javel: Okay. And what are the particular places where we are looking for the BDs in this financial year, particularly Mumbai, etc.?

K.T. Jithendran: Mumbai is very strong focus. NCR, both Noida, Bangalore and Pune.

Himanshu Javel: And KT, your views on the NCR region? Because I was reading some articles, a lot of supply

is

coming in for NCR, and the pricing also is looking very, very, you know, the prices have gone up very sharply in the last three, four years. So, your views on that?

K.T. Jithendran: So, see, what I see is that, the right location pricing, the right pricing is very important. If you overprice in a location, then there's a good chance a project may not really take off, which has happened enough, I think, for a few projects recently. So, I think right pricing, right location, strong brand, absolutely the right design, I think understanding your consumer, all those factors, if you get it all right, I think there have been extremely successful launches, as you would have noticed in the last quarter, with strong brands. So, I think if you read the market right, I think there is enough and more opportunities. And we are pretty bullish on that market.

Himanshu Javel: Thank you, KT. And good luck for the future. Thank you.

K.T. Jithendran: Thank you.

Moderator: Thank you. We take the next question from the line of Rahil from Crown Capital. Please go ahead.

Rahil Shah: Hello. Good morning. Sir, have you given any presales and collections guidance for this year, FY '26?

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K.T. Jithendran: No, I think I already mentioned, we are not giving any guidance. We are more focused on the long term. Can you hear us? We are not giving any annual guidance for this year, because it really doesn't make sense, given so many uncertainties and approvals, etc. We are rather happy giving you our long term three year guidance, which we have guided you for an annual sales of Rs. 15,000 crores, in no particular order. So, it will be more back-ended. So, that's the best I can sort of give a direction today.

Rahil Shah: This Rs. 15,000 crores by when? Sorry, your voice was dropping.

K.T. Jithendran: In three years' time. For the next three years, yes, annual sales.

Rahil Shah: Got it, got it. And this collection, which you have mentioned, the surplus in your presentation by when, like, what timeline will they come in for the Company?

K.T. Jithendran: Yes. So, we have already started getting enough and more collect surpluses. It started from last year. We have amped it up this year. And it will continue to have more and more surplus as we go on. We already had a surplus, a pretty reasonably healthy surplus this year, by the time we end this year. And we expect that to keep growing, the gap year on year.

Rahil Shah: Okay, fine. Got it. Thank you and all the best.

K.T. Jithendran: Thank you.

Moderator: Thank you. We take the next question from the line of Isha Shah from Nirzar Enterprises. Please go ahead.

Isha Shah: Hello, sir. Sir, my question is, how are we moving in terms of execution across all the projects? Like, is it going as per our timeline?

K.T. Jithendran: Yes. So, I think the most key focus as a Company we do is on getting projects on time with primary focus in safety, quality, timelines, and within the budget. So, far, I am very happy and proud to say that all our projects are as per our timelines.

Isha Shah: Okay. Thank you, sir. That was from my side.

Moderator: Thank you. We take the next question from the line of Sujit Jain from Bajaj Life Insurance. Please go ahead.

Sujit Jain: Yes. Thank you. I hope I am audible. My question is, I think sales has been an issue, at least for this quarter for us. Others have also reported people like Oberoi etc. And luxury segment, it looks like in terms of pre-sales is under pressure. And when we hear commentary from housing finance companies also, yesterday one of the largest has also spoken about soft real estate market. So, in this scenario, how do you ensure that rather than reacting to a potential slowdown in sales, proactively you kind of get your pre-sales going?

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K.T. Jithendran: So, Sujit, if you would hav

e noticed the trend, likely the real surge in sales happens during the launches and bulk of the inventory gets absorbed during the launches. So, it's really hard to judge any kind of trends when there are no launches. Again, I know the markets, and speaking for ourselves, most of the markets that we are representing, there is hardly any offtake of housing finance. It's not much. It's less than 50% or much lower than that. Having said that, I would not say our pre-sales has been far below expectations, it's been more or less as we had expected. Because of the huge absorption in Q4, bulk of our inventory had got absorbed. So, there was a lack of good inventory because there were no launches. And because of the very strong absorption of Q4, we are left with very poor relative inventory in Q1. So, I would not say that there is a reflection of the market at all. I think market is still going good for the right brand, as I mentioned in the past, for the right location, right pricing.

If you get carried away and do overpricing, yes, then there is a risk of poor response. So, I think we are very prepared, and we are very positive of the market, the segments in which we are in. We look forward to a very resilient future real estate in the next nine months. I think the festival season is also going to really pump-up demand. There is a lot of new launches coming at the right locations. And if you design the product right, price it right, I think there is no cause for worry. The overall macroeconomic demand supply positions are very strong, and we expect that to continue for a few more years.

Sujit Jain: I get that. But when I look at, and you can correct me on these numbers, Niyaara, you have Phase-2 and Phase-1 put together roughly Rs. 2,400 crores of inventory to be sold.

K.T. Jithendran: So, if I look at, I am looking at selling this inventory as per our strategy closer to possession. If you look at Tower-1, out of 414, we have already sold more than 400 apartments. So, I am not really pushing, as you can imagine. So, if you sold more than 90% and these are very leftover inventory, we are not really looking at pushing or selling these things. So, you have to contextualize it in the right thing.

As far as Niyaara-2 is concerned, we almost sold about 99 out of 148. And we are not really pushing it because the bulk of the inventory is gone and there has been a huge uptake in Q4. We still sold a sizable one in Q1. We had a few cancellations because of some long-term pending issues for some of the customers. And there is so much demand coming in, so much inquiry coming, strong leads, so I am not really Sujit, worried about lack of demand. Demand is very much there.

Sujit Jain: Sure. Just on pre-sales, while you are not guiding, as you said, is it safe to assume that you will exceed what you did in FY '25, and by a decent margin? It has to be strong, like you said.

K.T. Jithendran: Exactly. So, you are basically trying to put words in my mouth. I cannot say that. So, I will refrain from giving you any sort of guidance of that sort. I maintain my position that we are

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looking at a larger long-term view. Rs. 15,000 crores per annum is what we are looking at. And it's not going to be a straight line.

Sujit Jain: Directionally, would the pre-sales be strong this year as well, that is what we are trying to figure.

K.T. Jithendran: Yes. Once the launches come up, I think it's going to be very strong. We have got Rs. 13,000 crores plus of launches coming. So, very, very excited and looking towards that.

Sujit Jain: Okay, perfect. All the best.

Moderator: Thank you. We do have follow-up questions from the line of Mr. Biplab Debbarma from Antique Stock Broking Limited. Please go ahead.

Biplab Debbarma: Sir, two quick questions. One is on the paper business divestment. I was under the impression that the deal would be closed in

this quarter, I mean July-August. But now it looks the deal would be closed towards the end of the Calendar Year 2025. So, could you clarify if there is any risk or uncertainty around the deal not closing as planned?

R. K. Dalmia: No, there are no uncertainties. And the deal is on track. And we expect to complete by the end of this Calendar Year 2025.

Biplab Debbarma: Okay, sir. And second question is on the payment; land-related payment is still pending for Manjri and Thane projects. How much we have paid or how much are still pending in Manjri and Thane both, how much do we have to pay?

Keyur Shah: In Thane, the payment has already been made. And with the IFC funding coming in, there is no further payment which we have to contribute to.

K.T. Jithendran: I mean, land payment is pending but that will come from that part of it.

Keyur Shah: Yes, but we do not need to contribute as in Birla Estates point of view. Our commitment is already fully made.

Biplab Debbarma: Okay, that's all. Thank you. All the best.

K.T. Jithendran: Thank you.

Moderator: Thank you. Ladies and gentlemen, there are no further questions from the participants. I now hand the conference over to the management for their closing comments.

R. K. Dalmia: Thank you all for participating in this Earnings ConCall. If you have any further questions or would like to know more about the Company, please reach out to our IR managers at Valorem

Advisor. Thank you for your interest in our Company. Thank you.

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Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2025

SH/XII/101/2025

Corporate Relationship Department

BSE Limited

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Scrip Code: 500040

Dear Sir/ Madam, REAL ESTATE

04th November, 2025

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Sub: Transcript of Q2FY26 Earnings Conference Call of Aditya Birla Real Estate Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations')

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the Q2FY26 Earnings Conference Call conducted on 29th October, 2025 at 10:30 A.M. 1ST after the meeting of the Board of Directors of the Company held on 28th October, 2025

This is for your information and record.

The above information is also available on the website of the Company viz.

www.adityabirlarealestate.com

Thanking you,

Yours truly,

For Aditya Birla Real Estate Limited

(Formerly Century Textiles and Industries Limited)

Atul K. Kedia

Jt. President (Legal) & Company Secretary

Encl: as above

Aditya Birla Real Estate Limited

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Corporate ID No.: L17120MH1897PLC000163

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"Aditya Birla Real Estate Limited
2QFY26 Results Conference Call "
October 29, 2025

MANAGEMENT : MR. R.K. DALMIA – MANAGING DIRECTOR – ADITYA
BIRLA REAL ESTATE LIMITED
MR. K.T. JITHENDRAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA ESTATE S
PRIVATE LIMITED
MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA REAL ESTATE LIMITED
MR. KEYUR SHAH – CHIEF FINANCIAL OFFICER –
BIRLA ESTATE S PRIVATE LIMITED

MODERATOR : MR. KARAN KHANNA – AMBIT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Aditya Birla Real Estate 2QFY26 Results Conference Call hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Khanna from Ambit Capital. Thank you, and over to you, sir.

Karan Khanna: Thank you, moderator, and very good morning, everyone. And on behalf of Ambit Capital, I welcome you all to the 2Q and 1H FY26 earnings call of Aditya Birla Real Estate. In today's call, we have with us the management of the company represented by Mr. R.K. Dalmia, Managing Director, Aditya Birla Real Estate; Mr. K.T. Jithendran, Managing Director and CEO, Birla Estates; Mr. Snehal Shah, CFO, Aditya Birla Real Estate; and Mr. Keyur Shah, CFO, Birla Estates.

Without further ado, let me hand over the call to Mr. Dalmia, post which, we can set the floor open for Q&A. Thank you, and over to you, sir.

R. K. Dalmia: Thank you, Karan. Good morning, everyone, and welcome to the earnings conference call for the second quarter and half year of the financial year 2026. As many of you know, at Aditya Birla Real Estate, we are in a strategic transformation shaping the company into one of India's most focused and future-ready real estate platforms.

The broader macroeconomic environment in India has remained supportive during the quarter under review. India's GDP grew by 7.8% in the second quarter of calendar year 2025, exceeding expectations, prompting the Reserve Bank of India to revise its full-year growth outlook upward from 6.5% to 6.8%. Inflation eased to 7.21% in August 2025, supported by lower commodity prices and monetary easing.

The stability of the Indian economy, underpinned by resilient domestic consumption and continued public capital expenditure, has reinforced positive sentiments across both the residential and commercial real estate segments. Under this backdrop, the Indian real estate market continues to demonstrate resilience and steady growth with sales outpacing launches in Q2 and for the first half of this financial year.

The luxury and premium housing categories continue to outperform with sales in units priced above INR10 million growing by 13% year-on-year and now constituting over half of all transactions. Price appreciation has been particularly strong in NCR and Bengaluru, with recorded increases of 19% and 15%.

Projects with the right product, the right location, and a trusted brand name are continuing to witness healthy traction. There is a growing emphasis on sustainability and innovation. Green
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building practices, energy-efficient design, and smart infrastructures are increasingly influencing both buyers' preferences and the regulatory framework. It is important to note that this is an area where Birla Estates excels.

During the second quarter of financial year 2026, our primary efforts were directed toward driving sales momentum in the existing portfolio, ensuring a strong construction execution across all sites, and preparing for a robust launch pipeline in the quarters ahead. Consequently, our performance reflects the sustained interest in our projects and the underlying strength of the Birla Estates brand.

I'm happy to report that we had a very strong quarter with bookings of INR890 crores, up by 111% against the previous quarter. Despite the absence of launches, operational traction remained healthy in our flagship projects. Birla Niyaara in Mumbai and Birla Evar

a in Bengaluru

recorded robust sales of INR320 crores and INR326 crores, respectively, reflecting continued customer preference for our brand and product quality.

As on 30th September 2025, 80% of our launched area across India has been sold, underscoring the depth of demand across our portfolio. We have strengthened our launch pipeline with RERA approval received for our two projects in Pune, Birla Evam at Manjri and Birla Punya at Wellesley Road.

Our launch pipeline for the remainder of financial year '26 remains robust with an estimated gross development value, GDV, of INR13,900 crores. We continue to remain confident of

achieving this launch pipeline as guided for the year. This also includes the next phase of our marquee Birla Niyaara in Worli, the new phase of Birla Navya in Gurugram, and fresh development in Thane and Boisar. Overall, our total GDV stands at INR70,000 crores, providing multiyear growth visibility.

On the sustainability front, I'm delighted to share that Birla Niyaara and Birla Tisya have won the prestigious Sword of Honour from the British Safety Council, demonstrating excellence in the management of health and safety risk at work. It is important to note that these are the only real estate projects across India to receive this prestigious honor.

Additionally, Birla Estates has been recognized as a global and regional sector leader in the 2025GRESB real estate assessment, including a number one ranking in Asia under the residential category. These recognitions underscore our unwavering commitment to responsible, sustainable development and industry-leading ESG.

Overall, our performance in Q2 reflects resilience amidst consolidation and strong fundamentals supporting our long-term growth. With a healthy balance sheet, strong brand equity, and an exciting launch pipeline, we remain well-positioned to deliver our strategic priority in the coming quarters.

With that, we can now open the floor for the question-and-answer session. Thank you.

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Moderator: Thank you very much. The first question is from the line of Akash Gupta from Nomura. Please go ahead.

Akash Gupta: Congratulations on good performance in the second quarter. Sir, my first question is with respect to your project in Thane. I think we have been waiting for approval for this project for quite some time. My question is what is the current status of approvals for your project in Thane, and how confident are we that we will be able to launch it in the second half? That's my first question.

K. T. Jithendran: Yes. So that we all know, Akash, the NGT ruling, which prevented state authorities from issuing the environmental clearances. But that is gone now. And we have already had our hearing at the MoEF committee. We are expecting the minutes of the meeting any day, and we are expecting the RERA to be achieved this quarter itself. So we are all set for the launch in Q4.

Akash Gupta: Got it. And sir, my second question is with respect to your operating cash flow. In the first half, our operating cash flow was negative, minus INR4 billion. And our collections -- our project development cost was INR10 billion while collections were INR9 billion. So, my question is, how are we looking at the collections trajectory and operating cash flow trajectory in the second half?

K. T. Jithendran: So our cash flows are very, very healthy. I can assure you that. There has been a minor shift in our billing. We had a billing schedule after reaching Niyaara Tower A, 65th floor, for 10%. So that got shifted to October, but we did the billing on the 5th of October. It's a bill of about INR265 crores.

That money has already started coming in. Similarly, there was another billing for Tower B based on reaching podium 5, which is about INR350 crores. So that billing will happen in November.

And with that, all those

funding gaps, about INR600 crores of healthy cash flows are coming in, and we expect a solid cash flow collection of about INR2,000 crores in this quarter. So that should -- not this quarter, up to December cumulative. So that should set us right for all our cash flow problems.

Keyur Shah: And Akash, just to add further. The amount of collection shown in the cash flow excludes the collection that is done in the joint venture with Mitsubishi. So that's almost INR150 crores, which is not -- because that does not get consolidated. That's number one. And number two, the project development cost, which is shown in the cash flow, also includes the land purchase prices paid.

Akash Gupta: Got it. Got it, sir. And sir, my final question is with respect to Niyaara. Two questions. How are we looking at the competitive intensity? And number two, if you can give us some visibility on what kind of format we are bringing here? And are we confident of getting this done in 4Q itself, considering the competition?

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K. T. Jithendran: Yes. I can only tell you, Akash, that we had an exceptional sales performance in Tower B in the last quarter adding up till yesterday, we have sold almost 113 units out of 148 units, and in Tower A, 400 out of 413. It's been very strong and the demand continues to be strong. So that's the least

of our worries.

We are all set to launch the Tower C as quickly as possible. There has been a minor delay because of the issues with that -- we losing that land to BMC. So we had to extricate that out of our integrated development scheme. But that has happened now. It is -- we have already got that approval.

We are going after the environment clearance and others and the fire NOC, et cetera. So it's just part of the process. So hopefully, in March, we should be able to launch this project, Tower C. So a little too early for us to disclose the layouts, but we are well in tune with the market.

Akash Gupta: Okay. So is there any risk of getting it pushed next year because March is like, it's like a touch and go, right?

K. T. Jithendran: Yes. So I mean, we are trying our level best. And as of now, we are confident that we'll be handling it in Q4, unless something really happens, and it may get pushed to April, but I'm hoping that that shouldn't happen.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking.

Biplab Debbarma: Sir, I have three questions. First is on the net debt. We saw, I think, a quarter-on-quarter minus increase in net debt by INR2.8 billion. And there have been no new land deals. And even if you -- even if the PE funds have been classified as debt, they should be offset against corresponding PE cash inflow. So I'm just wondering what led to this increase in net debt by INR2.8 billion.

Keyur Shah: So, Biplab, as K.T. mentioned, we've got some of our collections that were done in October. We further have another tranche of collections coming up in November for Niyaara Tower 2. So almost INR500 crores of cash flow would be coming in, in October and November. So that's one aspect.

Otherwise, from the overall debt perspective, we are very comfortable. We had to incur payments for FSI premiums and all of that. So it's part of the ordinary cost. And because the payment milestones are linked to the -- collections are linked to payment milestones, there can be a small mismatch. If you see from an H1 perspective, there's a very minor increase in the cash flow, a minor decrease, but that's going to be covered up by the billings which we have already done.

Biplab Debbarma: Okay. That's fair enough.

K. T. Jithendran: Yes, Biplab, it so happens, we are in that kind of position where we are -- we have got RERA for some of the projects. Some of the projects, the RERAs are just on the anvil. So all the spending for approvals and land costs

has been done, but the launch has not happened. So it is that juncture we are.

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So as soon as the launch happens, all these collections will come and the debt will be covered, all of this. So we happen to be somehow in that position where we have two RERAs, other RERAs are expected. So -- and we are in the midst of that particular point. So if you look at this after maybe 3 months or so, the situation will be entirely different.

Biplab Debbarma: Okay. That's good. Sir, the second question is, are you offering any relaxed payment terms in any of the projects, especially in Niyaara or in Gurugram, to expedite or to improve our sales? I'm just -- and if yes, which projects currently have relaxed payment plans?

K. T. Jithendran: Yes. So see, we continue with our payment plan. We keep adjusting the NPVs of the payment plan. If there are -- and there's no change in our prices. We have uniform pricing for everybody. But if there is some kind of situation where somebody has some issues where they want to make some adjustments to the payment plan, we are open to that, we are happy to do that, but not very drastically and with no change in the NPV.

Biplab Debbarma: No. But are we doing it, sir, in some of these projects?

K. T. Jithendran: I mean, case-to-case basis, we may have done it or maybe doing it. But largely, most of the sales which has happened is on normal payment plans.

Biplab Debbarma: Okay, okay, okay. And the third question is, sir, how many projects in business development are currently in the due diligence stage, and what would be the GDV of those projects on the due diligence stage?

K. T. Jithendran: So we have about INR30,000 crores of projects which are in the advanced stages of Due Diligence. Some of them are in Noida, some of them are in Gurugram and some of them are in Mumbai and a couple of them in Bengaluru and Pune. Now we are hoping that some of these will bear fruit very soon. So roughly the GDV is in the range of INR30,000 crores.

Biplab Debbarma: Okay, okay. And final question is on the Thane project. Have we paid all the land-related payments, around INR600 crores, if I'm not mistaken, to be made...

K. T. Jithendran: No, no, no. No, we haven't. It's a milestone payment. So we haven't paid that. And also we have...

Biplab Debbarma: How much have you paid till date?

Keyur Shah: We have paid INR450 crores till date. And now the IFC funding has come. So now there is no

further outflow from our side. That the SPV will pay. So our -- in fact, we got cash out after the IFC funding because we had already funded and we took out 44% of our share, which IFC contributed as its economic interest in the project. So now there is no further payment which we have to make as Birla Estates. The SPV will make the payment.

Moderator: The next question comes from the line of Pritesh Sheth from Axis Capital.

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Pritesh Sheth: First question is on launches, INR14,000 crores worth of launches planned for second half. I can see in few of the projects we are probably not launching the full potential of that project, especially Sector 71 in Gurugram, Manjri project in Pune.

Just wanted to know it's just some strategic decision of launching it in phases to have a better price appreciation in the second phase. Or are we okay -- if we see a better demand we are okay to open up a little more inventory than we are planning to launch actually in these phases? Yes. So that's my first question.

K. T. Jithendran: Yes, Pritesh. Thanks for that question. So Sector 71, we are -- we may -- I mean, depending on the EOIs we get, we may perhaps think of launching the entire phase, I mean, the entire project, because it's not very large, about INR1,400 crores top line. So, depending on the situation. So we have given

guided guidance. I think we may -- current situation looks like we may go after the full phase, I mean, the full project at one go.

Birla Evam at Manjri, that's a pretty large project, which is about 2 million -- how much is that?

K. T. Jithendran: 3 million. So that essentially, we'll have to do it in phases, and we will also ask for a price increase phase-wise. So I think that we will go as per the phases only. And our current phase itself is quite a big one. We are looking at about INR765 crores for the launch. And for the Pune market, I think that's a sizable one. So I think we'll go with that phased launch.

Pritesh Sheth: Sure. Any thoughts on Thane and plotted development? In the same context, plotted also, we are launching like half of it.

K. T. Jithendran: Yes. Plotted again, based on the demand at that point in time, how it is, we can take a call whether we want to finish off the whole thing or not. Yes, it's quite probable that we may actually think of launching the whole thing. Hindalco essentially, Thane, that, of course, you have -- we have to launch in phases. It's a very large project. So that will essentially come in phases.

Pritesh Sheth: Got it. That's helpful. And on the cash flow, for the project development cost, we club land and approvals, as well as construction cost. If you can break up the first half number that we have spent on project development, that's roughly INR1,000 -odd crores, how would that split between land, approvals, and pure construction cost?

Keyur Shah: So say, broadly, the construction cost is INR350 crores. Then we also have expenses on design, liaison and brokerage, that comes to almost INR150 crores -- another INR200 crores, that. Land purchase is around INR150 crores, and there are other operational costs of around INR130 crores. So that's how broadly INR1,030 crores is broken up, and also interest cost because interest which is capitalized to the relevant -- inventoried to the various projects. So that's how the breakup comes.

Pritesh Sheth: Sure. And that interest would be part of the other operation cost, is it?

Keyur Shah: No. Other operational costs are around INR130 crores, and interest is around INR140 crores.

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Moderator: The next question comes from the line of Amit Srivastava from B&K Securities.

Amit Srivastava: Yes. So thank you very much for the opportunity, and congratulations, sir, on an impressive performance in sustaining sales. My first question is regarding the Pune project itself, for which you have already given some clarification. But basically, this project, we got the RERA approval in June and July, yet it has not been launched so far.

Typically, we launched within a month of approval. So is there any specific reason for the project getting postponed? And second, how we are positioning the pricing versus neighboring projects and if any indicative ticket size for the projects, it will be helpful.

K. T. Jithendran: So there was a -- the RERA which came, that came in the name of the previous owner. So there were some challenges there. Now we've got that rectified. The EOI collection is in full -- going on. The channel partner meet happened. It's been very successful. The UI buildup is happening very strongly and aggressively, and very soon we'll start booking the -- the bookings will be done. So -- I mean, very clearly, this quarter itself.

Yes. So we are pretty confident of having very strong bookings here. So INR700 crores and largely ranging from about INR50 lakhs to INR1.5 crores, and roughly about INR7,000 per

square foot would be the -- INR7,000, INR7,500, that's the range you're looking at.

Amit Srivastava: Sure. And sir, in terms of the Birla Niyaara Phase 3, if we look at our GDV value based on that, the average square feet is coming around INR63,000. For Phase 2, we have an INR57,000 average

realization. So basically, the 10% premium is based on the current prices we have factored into the GDV, and we have considered the premium. And additionally, have we taken any price hike during the quarter in Phase 2?

K. T. Jithendran: We've taken a price hike now for Tower B. And Tower C, of course, we haven't decided. That we'll decide closer to the launch. In this thing, we will be -- I think it will be roughly about INR4,500 crores, Tower C.

Amit Srivastava: Yes. So this is based on the current prices, which we are selling, right? INR4,500 crores GDV, which we have calculated. ...

Moderator: Ladies and gentlemen, the line for the management has been connected. Over to you, sir.

K. T. Jithendran: Yes. So Amit, are you there?

Amit Srivastava: Yes, sir. Yes, sir.

K. T. Jithendran: Yes. So, have I answered your question or any part of the balance?

Amit Srivastava: So I was asking, sir, that INR4,500 crores GDV you have calculated based on the current prevailing price of Birla Niyaara Phase 2.

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K. T. Jithendran: Yes. I mean, we've broadly said. Now that we have fine-tuned the pricing, we will do it closer to the launch, depending on the demand, supply, and the buildup.

Amit Srivastava: Sure. And sir, next is in terms of -- other than Pune projects, two projects which are expected to launch, any other project possible to launch in Q3?

K. T. Jithendran: Q3, we are looking at Pune, which is at Pune. Then, of course, Manjri Evam, which is again this quarter, and also we're looking at Gurugram Sector 71. These three launches, we are hoping to clearly do this. We are also expecting the RERA for the Thane project this quarter.

Amit Srivastava: Okay. And one last question. In terms of the first half, we have already shared the construction cost. Any ballpark figure for the second half construction has been planned?

Keyur Shah: It will be on similar tracks. It will be around INR750-odd crores, pure construction cost.

Moderator: The next question comes from the line of Harsh Pathak from Emkay Global.

Harsh Pathak: So first of all, it's good to see the sales momentum back at Worli. So my question is, have we started running some interest checks for the third tower? I mean, and I know you have commented that it's early to talk about the project configuration, but any broad range of the ticket size that we are thinking for this particular phase?

K. T. Jithendran: Too early to comment, Harsh. We'll disclose it closer...

Harsh Pathak: Okay, okay. And sir, in terms of realization, for most of the projects, we have seen realizations are up on a sequential basis. So -- and particularly for the Worli project, I mean, have you taken some particular price increase? Or it's just a function of higher floor sales, something like that?

K. T. Jithendran: No, we have taken a price increase now. From now on, we've taken a price increase. It will be more like on average about INR1,10,000.

Harsh Pathak: Sure. And sir, lastly, in terms of the ITC deal, is it on track? And by when do we expect that to conclude?

R. K. Dalmia: ITC deal is on track. ITC has already applied to CCI. Meetings are going on. And hopefully, it is on track, and we will be able to close by -- in this financial year.

Harsh Pathak: Sure. So, the cash flows for the same will be received this year? Or shall we incorporate in FY'27?

R. K. Dalmia: Hopefully, it'll be in this year, in this financial year.

Moderator: The next question comes from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited.

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Dixit Doshi: So firstly, you did mention that Niyaara Tower C, we are planning around March and Thane in Q4, and Sector 71 and Pune projects in Q3. Regarding the other projects, do you -- they are also on track for Q4? Or is there

a possibility of some of them going into Q1 next year?

K. T. Jithendran: So, in addition to whatever I mentioned, Mr. Doshi, we are going to launch Boisar plotted in Q4, we're going to launch Birla Arika in Gurgaon, Phase 2 in Q4. We're also planning to launch new phases of Birla Pune in Q4. And in addition to that, we are also launching Trimaya in Bengaluru

Phase 4 in -- again, in Q4. So all of these launches are planned.

Dixit Doshi: Okay, okay. And one more question is on Page 17, where we have given the full pipeline. So there, let's say -- just let's say, Thane project, the GDV for FY '26 is INR1,630 crores. So this is the entire GDV, right, and not the 56%.

Keyur Shah : This is the entire GDV. Yes, you're right.

Dixit Doshi: Okay. For all the projects where our share is less, sir, the entire GDV we are mentioning.

Keyur Shah : Correct.

Dixit Doshi: Okay. And one more question is regarding the commercial projects. So are we thinking of anything in the near term in Worli for a commercial building? Also asking this question because, next to us, the Mitsubishi is also going to come only with the commercial projects. So , are you thinking that we should be ahead of them, or how are you thinking?

K. T. Jithendran: I think it's high time that we start the commercial office space of roughly about 1 million square feet. We are in the process of designing and planning for that.

Dixit Doshi: Okay, okay. And just last question on the Niyaara Tower C. So I think we are still having Tower 1 and 2 inventory of almost INR1,800 crores. So , do you see any impact on Tower C because of this inventory?

K. T. Jithendran: Absolutely none. We have done very well in Tower 1 and 2 , and now I think it's very important for us to bring fresh inventory into the market. The market is craving for it. They're all waiting for it , as all of us are, and we are just working towards launching it.

There's a huge demand built up for Tower C , and the market is just waiting for it. I think we have done more than what we have -- far beyond our expectations in Tower A and B. Tower A, as you know, is 95% sold. Tower B is also about 75% sold. So I think we really need to launch Tower C now .

Dixit Doshi: Okay. And just last question on the Tower C. So our -- almost all the inventory is above INR30 crore plus , and a lot of competition in that price point in that locality also. So are we thinking of Tower C with, let's say, INR15 crores , INR20 crores inventory as well? Or will it be more similar to what we are doing currently?

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K. T. Jithendran: Our experience, considering the location, the size, the amenities, the brand, the way we are progressing on construction, the uniqueness of our layout, et cetera, has definitely price -- positioned us in a very unique way in that whole market. And the proof of the pudding is how we have performed in the last quarter.

So we are not really worried about who the competition and how much the competition is. And of course, the competition , which is coming up today, is also 5 to 6 years beyond delivery. So we are not really worried about it.

So we will independently decide what kind of layout we want to do and what size ticket we will plan, depending on our current demand for Birla Niyaara. There is a big queue for Birla Niyaara's new project. So with that -- keeping that in our background, in our mind, we will -- we are in the process of designing the ticket size for Tower C, but it's a little too premature for us to disclose now.

Moderator: The next question comes from the line of Hardik Jain from Whitestone PMS.

Hardik Jain: All my questions are answered.

Moderator: The next question comes from the line of Hitendra Pradhan from Maximal Capital.

Hitendra Pradhan: I hope I'm audible. It's regarding the clarification you made on the collections, like there wa

s

some kind of spillover that happened during this quarter. So what was that amount? Was that INR500 crores or INR900 crores?

K. T. Jithendran : So as I mentioned, it's INR260 crores plus INR350 crores -- INR250 crores, INR350 crores, about INR600 crores, INR600-odd crores.

Hitendra Pradhan: Got it, sir. And sir, my second question is related to Slide number 27, where you have articulated the cash flow potential. So if I understand it correctly, then it is relating to like your FY'26 kind of already launched projects and to be launched in the pipeline projects, right, like the GDV, and what is the...

Keyur Shah : We have only considered the projects that we have launched so far. The projects that are not yet launched, like, for example, Thane, are not included. Pune, where we have started the market warming, is not included.

K. T. Jithendran: These are all projects which are launched till last year. No new launches have happened so far. So it's all till last year, whatever has been launched -- whatever has already been launched.

Hitendra Pradhan: Our launch projection of INR46,000 crores basically is like your INR13,000 crores that you're going to launch this year and INR33,000 crores that you have planned in the future.

K. T. Jithendran: In the future, yes, that's right.

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Hitendra Pradhan: Any color you can give on the cost and the timeline for the launch projects? What are your internal estimates or any ballpark figures on this?

Keyur Shah : So we've already given you the -- we've already mentioned the launch pipeline, which is around INR900 crores. And broadly, K.T. also mentioned earlier what's going to happen in Q3 and what's going to happen in Q4. So that's broadly what we have here.

Hitendra Pradhan: I was asking regarding the launched, like the INR46,000 crores that you've mentioned, any kind of internal -- I know that this in future and...

Snehal Shah : Roughly, we consider about 25% EBITDA. So you can make your calculation accordingly.

Moderator: The next question comes from the line of Ronald from ICICI Securities.

Ronald: Congratulations on good sales run rate. On the collections front, as you mentioned that INR2,000 crores would be the cumulative till December. So from Q4 onwards, should we see the collection run rate quarterly run rate to range in about INR700 crores to INR1,000 crores? Or it would still revert back to around INR500-odd crores quarterly run rate?

Keyur shah : No, we would be having a strong cash flow because there are two aspects to the collections. One is the launches, where there is a chunky collection, which comes in when we launch a project. And second is the milestone -based collection, which will be coming in. So we expect to grow as compared to the collections that we did last year.

Ronald: And secondly, on this INR30,000 crores BD, which you're eyeing. So , can you shed some light on what share would be the own projects? Or are you looking purely on a JV basis? So in terms of capital allocation going ahead, so are we eyeing for more own projects? What kind of split is there in this INR30,000 crores BD?

K. T. Jithendran: So what I mentioned is that this is a sort of current pipeline that we are having with term sheets signed in advanced stages of negotiations. As I said in the past, we're pretty confident that -- and we look forward to doing about INR10,000 crores to INR15,000 crores of GDV finalizing before the end of this financial year. And as I said, it will be a judicious mix of joint ventures and outright in all parts of the country.

So yes, so among the new projects coming, these are all going to be acquired. None of these is going to be our own land. That is only what we had in Worli, and that's it, nothing more than that. Yes. Does that answer your question, Ronald?

Ronald: Yes, sir. Yes, sir. And just one last question,

sir. On the launches front, whatever you are launching, so would you go to sell more than 80%, 90% or you will hold back, say you would...

K. T. Jithendran: No, we won't hold back. Whatever we launch, we'll go after it. There's no question of holding back. And I also wanted to let you know that depending on how we are positioned as our sales for the current quarter, for the first half, we are now pretty confident that we will exceed what we've sold, what bookings we did last year, we'll be exceeding that target.

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Moderator: The next question comes from the line of Himanshu Jhaveri, an individual investor.

Himanshu Jhaveri: Hi, K.T., I just wanted a broad vision for our company in the next 3 to 5 years? Where do you see yourselves going in terms of the sales in the next 3 to 5 years? Can we foresee that we can be like a INR20,000 crores top line company in the next 3 to 5 years?

K. T. Jithendran: Of course, no doubt about it, but we will be among the -- one of the largest real estate companies in the 5 years to come. But not only just size, size is one very critical aspect, but also in terms of reputation and customer centricity, we want to be the most reputed and the most customer -centric company with a deep focus on design, customer -centric design.

So that's the vision we are having as a company in 5 years' time, it should be at the forefront of sustainability, at the forefront of operational excellence, no delays in execution, timely delays, best in quality, so those go hand -in-hand with growth. Our total focus is on the operational excellence that we believe totally in while growing in size. It has to grow hand in hand.

Himanshu Jhaveri: Okay. That's great. And one more thing, K.T. So if you see in Mumbai, there's a lot of redevelopments going on. Every second, a third building is getting -- so I wanted your thing in terms of the -- what is your thinking that the supply is going to be very, very large in the next 3 to 5 years. So is it going to affect the prices, your views, and your appreciation of it?

K. T. Jithendran: Yes. So I think the redevelopment is very encouraging. The next phase of Mumbai's growth will be redevelopment. But I think it will come in fits and starts and packages. It will not come all at the same time.

There are lots of challenges in redevelopment because these sizes are small, they are in such locations where you need to have proper access, titles, disputes between society members, there

are boundary disputes , so many challenges like that. So to get it all together, it takes time, patience, innovative ideas, et cetera, government support, all of that.

We are also pretty excited because the brand plays a very strong equity here. So -- and we are in advanced talks with several projects, redevelopment opportunities in South Mumbai, Bandra, Juhu, Khar, and we're quite excited about it because it gives us a very good platform to express ourselves and do a great job in giving some fantastic products. So -- and we are working towards it.

It takes time and patience, and we are there to solve all issues of the current members. So I think it will not flood the market, and there's a huge deluge of supply. It will come in phases and in spurts. So I don't think that's going to really have a big impact on the pricing. I really don't think so.

Himanshu Jhaveri: Okay. And going forward, K.T., do we see like around INR20,000 crores GDV steady over the next 3 to 5 years, every year? So if you want the company to grow.

K. T. Jithendran: You are talking in terms of booking? Sales booking?

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Himanshu Jhaveri: No, I'm talking on the BD deal, sorry, BD.

K. T. Jithendran: Yes, yes, yes, of course, yes. With a lot of funds coming in and all that, strategic partnerships and the paper sale happening, I

think we'll be going very, very aggressive in all our chosen markets.

Himanshu Jhaveri: Because this year has been a little quiet. That's why I was just asking.

K. T. Jithendran: Yes. I agree with that because it sometimes takes time to find the right projects, but we have a very healthy pipeline, and we are confident that we will be doing at least INR10,000 crores to INR15,000 crores of BD before the end of this year.

Moderator: The next question comes from the line of Akash Gupta from Nomura.

Akash Gupta: My question was regarding the INR10 billion debt that we are raising . Is it mostly for BD, or is it related to this cash flow mismatch?

Keyur Shah : It's mainly for business development, Akash.

Akash Gupta: Okay, okay. And sir, my second question is about our execution capability. Now we are launching like four projects simultaneously in three to four cities. Could you give us some understanding, like how we are building our execution strength in these four cities?

K. T. Jithendran: So Akash, we did about 6 million square feet of construction last year. We are building 11 million this year, 35 million next year and then scaling up to 50 million. So the idea is, of course, we have, of course, expanded our team. We were about 300, 400 people. Now we're almost 700 plus, and it will keep expanding. We keep looking for the best talent within our company, and especially for the operations team.

Apart from that, we also embarked on a very ambitious operational excellence program with BCG to learn how to deliver high -quality products at scale. So the global BCG team is working with us with global standards and practices, how to really optimize cost and standardize designs, digitize, bringing technology, strategic partnerships, all of that together, and combine in a very special and unique way of the Birla way of execution.

So we are well into that program. It's doing very well. It's already yielding great results. And I think that's the way to move from hardcore labour -oriented programs to technology -oriented programs. So that's how we are trying to transition into this high-scale delivery.

Moderator: The next question comes from the line of Biplob Debbarma from Antique Stock Broking.

Biplob Debbarma: Sir, my first question is on the -- some of these developers are delivering fairly large projects in 3 to 4 years. And if I check our RERA delivery dates for some of our ongoing projects, I notice the delivery timeline is so stretched, like 5 years, 6 years.

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So, just wondering why this significant difference? Or is it the normal? Because it's not that we are seeing any challenges in sales. We are selling very fast and selling well. So why is it taking so much time to deliver a project, which is fairly sold out?

K. T. Jithendran: So, Biplob, I'll be very excited and eager to understand who these people are who are delivering 3 to 4 years. My data says very different. The kind of delivery that we are doing, we would like to believe , we are the fastest and among the best in the industry. Look at Worli, the time taken for all the deliveries which has happened for various projects. And I mean, look at ours. So I see a very different picture ; we're ahead of most of the other competition here.

But I'll be very keen to understand and also learn from the people who are delivering in 3 to 4

years, large projects , because I'm sure there will be something great to learn from it, and I'm eager. As of now, I don't have any such data. So we'll sit with you and understand how others are doing, and we'll be very keen to learn those ways of doing that.

Biplab Debbarma: The Second question is on Slide 17, sir. Just a clarification. The estimated surplus cash flow potential, you have shown around INR74 billion. Is it Birla's share , or does this include the partner share?

Keyur Shah

: No, we have excluded the partner's share, Biplab.

Biplab Debbarma: This is only Birla's share.

Keyur Shah : You're referring to slide 27, right?

Biplab Debbarma: No. I am referring to slide 17, sir, you gave one table which -- yes, yes, the estimated surplus, estimated cash flow, yes, slide 27. Yes, you're right.

Keyur Shah : That's after excluding the payout to the partners, land owners, partners, etcetera.

Biplab Debbarma: But this includes your PE partner's shares?

Keyur Shah : Those projects, we've already launched -- not yet launched. Thane and Pune, we have not yet launched. But for the Bengaluru one, yes, it includes that. We will clarify that. I'll clarify that separately.

Biplab Debbarma: So you have PE investors in a few of these projects. So I'm just wanting to know if this cash flow includes the PE partners cash flow also.

Keyur Shah : No. So just to clarify, this does not include the PE partners cash flow, and the unlaunched projects where we have PE investors are not included in the 23,000 launched portfolio. That's what I would like to clarify.

Biplab Debbarma: Yes, yes. And what would be the ticket size of the Thane project?

K. T. Jithendran: Yes. So , Biplab, it should be anywhere between INR75 lakhs to INR2 crores.

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Keyur Shah : Biplab, just one more clarification. I'd just like to clarify, we have made payments of INR385 crores for Thane till date. So I correct my previous...

Moderator: The next question comes from the line of Ronald Siyoni from ICICI Securities.

Ronald Siyoni : Just one query regarding the new Worli land parcel of 2.6 million square feet. So are we -- because for FY '25 to achieve precise growth, we should -- this project to be launched would be very much important. So , will this project be launched in '27? And if yes, then will it be in phases or the entire project? Just a view on that.

K. T. Jithendran: Yes. Good question, Ronald. So yes, so after the launch of Tower C, we are already in the planning for that phase. So we will then work on that, and hopefully, maybe that year or the year after that, we'll launch this. So we are now focusing on Tower C. De pending on how Tower C...

Ronald Siyoni : It will go to '28.

K. T. Jithendran: Yes. We would rather do it next year itself , but we will take that call once we see the performance of Tower C.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference back over to the management for closing comments.

R. K. Dalmia: Thank you all for participating in this earnings con call. If you have any further questions or would like to know more about the company, please reach out to our IR managers at Valorem Advisors. Thank you so much, and good day.

Moderator: On behalf of Aditya Birla Real Estate, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

Call: Feb 2026

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Corporate Relationship Department
BSE Limited
1st Floor, Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai-400 001
Scrip Code: 500040
Dear Sir/ Madam, 04th February, 2026
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th floor,
Bandra-Kurla Complex
Bandra (East), Mumbai-400 051.
Scrip Code: ABREL

Sub: Transcript of Q3FY26 Earnings Conference Call of Aditya Birla
Real Estate Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015
(('Listing Regulations'))

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the
Q3FY26 Earnings Conference Call conducted on 29th January, 2026 at 11:00 a.m. IST
after the meeting of the Board of Directors of the Company held on 28th January, 2026.
The above information is also available on the Company's website
www.adityabirlaestate.com.

This is for your information and record.

Thanking you,

Yours truly,

For ADITYA BIRLA REAL ESTATE LIMITED
(formerly Century Textiles and Industries Limited)
ATUL K. KEDIA

Jt. President (Legal) & Company Secretary

Encl: as above

Aditya Birla Real Estate Limited

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Corporate ID No.: LI7120MH1897PLC000163

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Q3 FY '26 Earnings Conference Call"
January 29, 2026

MANAGEMENT : MR. R.K. DALMIA – MANAGING DIRECTOR – ADITYA
BIRLA REAL ESTATE LIMITED
MR. K.T. JITHENDRAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA ESTATES
PRIVATE LIMITED
MR. SNEHAL SHAH – CHIEF FINANCIAL OFFICER –
ADITYA BIRLA REAL ESTATE LIMITED
MR. KEYUR SHAH – CHIEF FINANCIAL OFFICER –
BIRLA ESTATES PRIVATE LIMITED

MODERATOR : MR. AMIT SRIVASTAVA – B&K SECURITIES INDIA
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Aditya Birla Real Estate Limited Q3 FY '26 Earnings Conference Call, hosted by B&K Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Srivastava. Thank you, and over to you, sir.

Amit Srivastava: Good morning, everyone. On behalf of B&K Securities, I would like to welcome you all to the 3Q FY '26 earnings conference call of Aditya Birla Real Estate. Joining us today from the management are Mr. R.K. Dalmia, MD, Aditya Birla Real Estate; Mr. K.T. Jithendran, MD and CEO, Birla Estates; Mr. Snehal Shah, CFO, Aditya Birla Real Estate; and Mr. Keyur Shah, CFO, Birla Estates.

We will begin the call with opening remarks from the management, following which we will open the floor for a question-and-answer session. I would like to hand over the call to management for the opening remarks. Thank you, and over to you, sir.

R.K. Dalmia: Thank you. Good morning, everyone, and thank you for joining us for Q3 FY '26 earnings call. India's growth momentum remained strong during the quarter, with real GDP at 8.2%, the fastest in 5 quarters, supported by resilient domestic demand, steady services activity and continued public capital expenditure.

The RBI revised its FY '26 growth forecast to 7.3%. This b

ackdrop continued to be constructive

for housing demand. In residential real estate, Q3 FY '26 saw unit sales moderate across major cities, even an overall sales volume increased.

Driven by continued appetite of premium, luxury and ultra-luxury house, the MMR market remained a key anchor for high-end demand with NCR, Bengaluru and Pune also showing healthy traction. Prices continued to appreciate across key micro markets, reflecting a clear shift toward higher-value quality housing.

Against this context, we are delighted to share robust momentum across our launches and ongoing portfolio. We successfully launched Birla Pravaah in Sector 71, Gurugram, achieved a complete sellout within 24 hours and delivered over INR1,850 crores in presales, an outcome that strongly validates customer confidence in our execution capabilities.

We also launched Birla Evam in Manjri, Pune, expanding into new market, micro market and reinforcing our strategy to build more diversified future-ready portfolio. Equally encouraging is our strength, our sustenance presales, which continue to provide a solid dependable base throughout the quarter. Demand across our advancing inventory remained healthy, supported by consistent consumer inquiry, strong site visits and steady convergence.

Birla Niyaara and Birla Evara continue to lead this momentum, reflecting the enduring appeal of our design-led offering, quality of execution and brand trust. Our operative performance was exceptional this quarter. In Q3 FY '26, we delivered presales of INR2,536 crores, a sharp 276% ADITYA BIRLA ~ REAL ESTATE BIRLA

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year-on-year increase and collection INR1,290 crores, up 157% year-on-year. For 9 months FY '26, presale is INR3,848 crores, up 64% year-on-year, and collection rose to INR2,347 crores, up 44% year-on-year, underscored by strength of our execution and continued momentum in our business.

We are excited about the quarter ahead. With multiple launches planned across key regions is

strengthening our presence in core markets and keeping our growth momentum formally on track. Operationally, construction progress remains on track across projects, safety and sustainability continue to be core to how we build. Our sites have achieved approximately 58 million safe man hours.

Birla Niyaara was recognized for National Safety Council, Safety Shield Award reinforcing our stringent on-site safety standards. It has also received BREEAM Certification, a U.K.-based Sustainability Standard and is the only project in India to receive this recognition.

On this development, we are in advanced stage discussion with few societies, and we are optimistic about concluding these engagements soon. To further strengthen brand visibility and considering our key markets, we have also elevated marketing projects, by becoming a principal sponsor of Gujarat Titans in the IPL.

We remain focused on design excellence, customer centricity while upholding the highest standards of safety and quality, delivering superior living experiences and gaining long-term value for all our stakeholders. Thank you.

Moderator: The first question is from the line of Karan Khanna from Ambit Capital.

Karan Khanna: Just a couple of questions from my end. K.T. in the last call, you spoke about maintaining the FY '26 sales guidance of INR8,000 crores. Given that Niyaara Phase 3 is now pushed to FY '27, do you still maintain that outlook?

Also in Niyaara, you were expecting Tower C launch in March, but now given that it's delayed, can you talk about the market outlook overall, especially Worli given the plethora of luxury and ultra-luxury launches that were introduced recently?

K.T. Jithendran: Karan, good morning. Yes. So we continue with our optimism for the current year, and we are confident about exceeding our last year's presales target. We are on track for that. We are queuing up f

or several launches this quarter, primarily the Thane Birla, the Hindalco land, which is going to be a major launch for us.

That will be followed by new phase of Arika, the one project in Boisar, a new phase at Pune, Pune. So there are lots of launches. We are also planning to launch the balance space of Evora in Bangalore because we have had a very strong run on sustenance in Evora. So we don't have enough inventories, we are going to launch the new phase in Evora too. So I think we have plenty of inventory, and we are confident that we should be able to go by the target that we have planned despite the delay in Niyaara, Tower C. ADITYA BIRLA ~

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Tower C, because obvious reasons of delay in approvals because of that legal Supreme Court case, we have to extricate that part of the land outside of the full layout, it took a little more time than what we had anticipated. We got the layout approvals now.

We are awaiting the MoEF and the other balance approvals, including RERA. So therefore, it has got pushed into the New Year. But we remain very optimistic about the Worli market given our product pricing, location, size, brand, etcetera, I think we are pretty confident that we should be able to do very well in our Birla Niyaara Tower C launch.

Karan Khanna: Sure. Sir, just a follow-up, K.T., on the launches that are slated for fourth quarter, is it possible to share the exact timeline or are there any chances of, let's say, spillover in launches of these projects as well?

K.T. Jithendran: See, as far as Pune's Pune is concerned, we already have the RERA. For Evora, we already have the RERA. We are awaiting the RERA for Thane and Arika new phase, as well as for Boisar, which we are pretty confident that all these RERAs should come to us in the first week of February. So there is a little chance of not -- these launches not happening.

Karan Khanna: And then secondly, we were hopeful of new BD announcements in third quarter. So can you update us on status of the same? And you still maintain the INR10,000 crores to INR15,000 crores BD guidance for the year?

K.T. Jithendran: Yes. As we have always maintained to this group that we are very careful about what we do. We are not taking any risk other than the market risk. If you see our performance for the last several years and quarters, each of us have BD launches, each of project launch has been very successful because we have chosen the markets very carefully and we have paid a very prudent price for the land. So that is -- and touch wood, we have not had any issues with any of the past projects in terms of legal zoning or approvals, etcetera.

So we continue with that principle of ours. We are very confident that we will have several term sheets done and proposals at a very advanced stage. But it had to happen that sometimes, some of the things which you are on the verge of signing, we find out something fails in due diligence, therefore, we couldn't launch anything this year, but we're still hoping and pretty confident that

we should be able to conclude on the lines that I have previously confirmed in the region of INR10,000 crores to INR15,000 crores this year before March, we are trying for that. But we also wanted to remind you that we had a wonderful BD success rate last year. We finalized INR25,000 crores of projects. So this year, I know the process remains the same, but I always maintain that we can't assure that every quarter, we'll sign something. It depends on the quality of the deal and the depth of due diligence that we do for each project. So I would like to maintain that. We are very close to signing some deals both the open lands and redevelopment. And we are hoping that before March 31, we should be able to conclude deals worth at least about INR10,000 crores.

Moderator: The next question is from the line of Akash Gupta

from Nomura. ADITYA BIRLA ~
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Akash Gupta: Congratulations on good Q3 performance. So I just wanted to follow up on the BD side. It's like -- how are we thinking on this FY '27 growth, I think the way we are directing the market is like we'll take our previous from 80 billion to 150 billion in 3 years. And then we have not done any BD. So even if we do this BD right now, how confident are we that we will be able to launch that in FY '27? And then we do not have any projects, so what kind of growth should we think in FY '27?

K.T. Jithendran: Akash, yes, as I mentioned, we have a very strong BD pipeline. And of course, you're very right. It's very challenging for us to launch, I mean, finalize these projects and launch in the same financial year or within 12 months, unless we have a project which is ready for launch. So we are on the lookout for all sorts of projects, provided the title, the legal issues, the location, the size, everything is okay.

But however, having said that, we also have a strong series of projects lined up for next year, projects where new phases of these projects, for example, Niyaara itself, which will come up next year, that should give us a good sell. Then we have projects of Trimaya, new phase coming up. We will have Punya, a new phase coming up. This year, we are doing Phase 2, maybe a Phase 3. Navya will also in NCR will come up.

Even in Thane, I think the new phase we can launch. Similarly, in Evam in Pune, we can launch a new phase. We may attempt to put all of our efforts to launch the India Hume Pipe project in NCR -- in Delhi. So we have enough of projects, and we haven't firmed up what kind of growth or what is that. But I think we have enough projects for us to launch in the next year to keep us busy, and we also focus a lot on business development.

Akash Gupta: And sir, any development in the India Hume's project, is there any like progress there?

K.T. Jithendran: Yes. So I'm -- we are hoping that we'll be able to resolve the approval issue now. We've got some hold on it, and we are in the process of doing that, and we are trying to launch it in the next financial year.

Akash Gupta: And sir, my final question is on the leasing income, that leasing income is down 11% on a year-over-year basis. What's the reason behind that?

K.T. Jithendran: That's just some mathematics.

Keyur Shah: Yes. Akash, the property is 100% occupied. If you see 9 months, there's a small reduction because some of the space, which has been occupied by our own company gets eliminated in the consolidation. We have expanded some of our office space. So that's why the leasing income is slightly lower.

Moderator: The next question is from the line of Harsh Pathak from Emkay Global.

Harsh Pathak: First of all, congratulations for the strong operational performance. So K.T., my first question was on the commercial portfolio. So how are we thinking of the ramp-up there? I understand we have planned the 1 million square feet of commercial development at the Niyaara site. ADITYA BIRLA ~
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What are the other developments that we are thinking of? And if you can touch on some geographic view and the kind of development, maybe whether it's an office or a retail or a mix of both, please?

K.T. Jithendran: Hi, Harsh. So yes, we are -- as I mentioned, we were -- because of the intensive capital required commercial, I have mentioned, that we are on the lookout for a partner. So that is still work in

progress. However, we are progressing with the design for our project in Niyaara, the commercial of approximate 1 million square feet.

We have started progressing on that. They're also on the lookout for similar parcels of land in prime commercial areas, districts of Mumbai and NCR. Once we have a s

trong partner, we'll

further move ahead with it, but on other areas like progressing on the design and planning, etcetera, we are already moving ahead.

Harsh Pathak: Sure. So do we have any -- yes, rental target in mind that some rental income we are looking to achieve maybe in the next 5 years or so?

K.T. Jithendran: So as I mentioned, we are looking at least about INR1,000 crores. Right now, we have about INR144 crores of gross rentals coming up from a current project annually, would like to expand into at least INR1,000 crores in the next 4 years, 4 to 5 years. So -- and that thing should very much easily be possible.

Harsh Pathak: Great. And any plans of expanding the team or onboarding management personnel to grow this commercial business?

K.T. Jithendran: Yes. So already, we have a very team, where our core team which is focused on managing the commercial portfolio design, etcetera. At the appropriate time, we will expand that team.

Harsh Pathak: Okay. And my last question is on the ITC deal. What is the progress there? When can we expect conclusion and reset of the cash flows?

Snehal Shah: Yes. So we would probably -- we have already got the CCI approval Harsh earlier. And we are now awaiting the transfer of the lease of the land on which the plant is. So part of the requirement of the lease transfer is our MoEF approval, await MoEF approval.

So we are pursuing both the MoEF approval and thereafter, the lease will be transferred. We are very hopeful that in the next 2 months, we should be able to close both these issues. So we are very hopeful of receiving the money before the end of this year.

Moderator: The next question is from the line of Rishith Shah from Axis Capital.

Rishith Shah: Congrats on good set of numbers, sir. So 2 questions. So firstly, on the Thane, if we see the project launch, so we have increased the GDV from about INR1,700 crores to INR2,700 crores.

So is it more related to maybe RERA or are you seeing a better demand expectation over there?

K.T. Jithendran: Sorry, what is that Rishith, I didn't understand, about Thane? ADITYA BIRLA ~ REAL ESTATE BIRLA

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Rishith Shah: Sir, Thane, we had initially kind of -- we are looking at the launch of about INR1,700 crores. But now this time's presentation, we have increased the GDV to about INR2,700 crores, the launch GDV.

K.T. Jithendran: So we are seeing good prospects for Thane. And therefore, we feel we can consider a higher launch area considering the prospects, which we are expecting for Thane.

Snehal Shah: I think it's a very strong market, Rishabh. It's a very strong demand market, and we're pretty excited about this launch and the product has also come out fine. We're waiting for the RERA clearance. And I think the feedback is that we need to launch much more because there's so much demand. So that's why as per the planning, we have decided to go ahead with a larger inventory.

Rishith Shah: Makes sense. And just a follow-up on the previous launches that you said, as for the next phase of Evora, which we are looking to launch, what kind of GDV are we looking at?

K.T. Jithendran: That's about INR1,600 crores. INR1,600 crores, the new balance phase, which we already have the RERA. So I mean we have almost run out of inventory because we sold more than INR1,400 crores from the first phase. So I think it's the right time for us to open up this new phase.

Rishith Shah: And just if you can place any time lines for the Niyaara next tower, maybe you can give a quarter wise.

K.T. Jithendran: Yes. Just to be prudent, I think considering all the approvals and the preparation required, I think H1 is a reasonable assumption for us for the launch of Tower C.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited.

Dixit Doshi: Some of my questions have been answered. One thing, so you

mentioned that why we have

increased the GDV of Thane. But there are a couple of projects, the Birla Arika and Birla Punya, where we have scaled down the GDV, which was mentioned in Q2. So why we have reduced the size of those 2 projects? That's my first question.

K.T. Jithendran: See, Birla Arika, as you know, in the first phase, we had a complete sellout. We have -- this is the last phase, I mean, the second phase. So we thought we'll divide it into 2 parts because the project is so well placed, so well located.

I think there's a huge opportunity for us to redesign and create a huge margin on this project for the balanced inventory. So we wanted to actually keep one tower for redesigning and get an exceptional return on that because in that market, that location and that size of a project, there is nothing nearby anywhere, no land availability.

So I think there's a huge opportunity for us to create huge value, tremendous upside value. So that's why we kept one project aside, one tower aside, which we can launch at a much later stage because financially, we have done very well. The returns are very healthy. Cash flow is very strong. I thought we can do with these 2 towers and wait for exceptional value creation for the last tower. Which is other one you mentioned? ADITYA BIRLA ~

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Keyur Shah: Second one is Punya. Punya, Dixit, what we have done is that we want to kind of launch the particular phase. And thereafter, we want to launch the subsequent phase. We want to break it into phases. Our earlier plan was to do it both together, but we want to phase it out.

Dixit Doshi: Is it because you are seeing demand pressure in Pune?

Keyur Shah: No. Our launch at Birla Evam, in 1 month, we've sold over 35% of the inventory. So we are not seeing that. We just want to -- not to kind of have 2 multiple launches going on at the same time.

So we want to complete one and thereafter launch the second phase.

Dixit Doshi: My second question is regarding the progress on Tower 1 and 2 in Niyaara. So by when we are targeting delivery and revenue recognition in which year?

K.T. Jithendran: Yes, that is as per our plans. FY '28, is when we'll recognize revenue for Tower 1 and a year later in Tower 2.

Dixit Doshi: And my last question is, last year, if we see we have done -- whatever launches we have done most of the launches were done in Q4. Even this year, most of the launches are skewed towards Q4. So will this be the kind of trend or from next year onwards, we can divide the launches more in every quarter?

K.T. Jithendran: Ideally, Dixit, we would like to do launches in every quarter evenly spread nicely sliced out, but the reality is much different. We were planning to launch the Thane project in Q3. However, because of the NGT ban and all other situation, it got pushed to Q4. Similarly, we had designs to launch Tower C of Niyaara so much earlier, but it didn't happen.

It so happened that all of them got clubbed in Q4. And the pattern looks like it will take some time for us to break out of it. As we do more BDs and spread this thing out, we hopefully will have equated launches in all quarters. Our attempt is to reach there, but I think it will take a few more quarters to achieve that balance.

Dixit Doshi: And have you finalized the specifications for Tower C?

K.T. Jithendran: Specifications?

Dixit Doshi: So in terms of size per flat or...

K.T. Jithendran: We have a fair idea on what we are going to do. It's not -- I think we would like to talk about it more closer to the launch.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge.

Tarang Agrawal: Three questions from me. If I look at your GDV of INR70,000 crores, for your ongoing projects, what is the margin that you're working with? And for your upcoming projects, how would the margin profile work? And how much cash

has already been invested between land approvals, designs and all the other activities around them? ADITYA BIRLA ~

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K.T. Jithendran: Hi Tarang, so as the margins, we have mentioned is always in the range of 25% to 30%. Some of our projects, which are our own projects are clocking more than 40%. Some of these projects which we had signed earlier, which are JV projects, again, we have very healthy margins north of 30%- 35%.

As far as cash is concerned, most of our projects are working in negative working capital because of very strong sales and very strong collections. So hardly, we have taken any construction loans.

So from that point of view, we're in a very, very healthy position, cash-wise.

Tarang Agrawal: But given that you have some projects which are yet to be launched, while I understand that the overall business is working with a negative working capital, it's really specifically for those

INR44,000 crores worth of launches between the entire background work, how much would have been invested till date?

Keyur Shah: So, broadly, some of the land is the historic land which we have. And overall, we would have invested approximately INR4,500 crores to INR5,000 crores in the land acquisitions.

Tarang Agrawal: And approvals?

Keyur Shah: Yes, all put together.

Tarang Agrawal: For INR5,000 crores?

Keyur Shah: And as we stand, all the land payments have been made. We have some small amount of land payments due for two of our projects, which is the Thane project and the Pune project, but both are in SPVs and the SPVs are fully funded because that is a joint venture with IFC. So both the SPVs are fully funded. So the balance land payments which are to be made are already provided for. So as we stand, there's no further commitment required for land payments.

Tarang Agrawal: Got it. The second question is how are you seeing the health of the South Mumbai real estate market, particularly in the areas you're focusing because it's almost 55% of your overall GDV and more importantly, almost two-third of your upcoming GDV?

K.T. Jithendran: So Tarang, so far, we had a wonderful run for our project Niyaara. We have a wonderful run for a project Anayu in Walkeshwar. Depending on the sort of locations that we are pursuing, the kind of sizing and pricing and backed by a very strong brand, I think we have no cause to worry. If the product is right, pricing is right and we understand the consumers, I think we'll have a healthy sales velocity. We have experienced that, and we -- and I think the market continues to be robust and in good demand. So we're not too much worried about that.

Tarang Agrawal: And the last question, slightly basic. But typically, how does the developable is to saleable to carpet area split work for your projects?

K.T. Jithendran: It varies from region to region, project to project. So largely to the consumer, we go by carpet areas. And this developable area what you are talking about, we mentioned here, these are all saleable areas. But typically, for example, in Mumbai, it is about 60% on carpet. ADITYA BIRLA ~

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Tarang Agrawal: 60% of saleable is carpet, is it?

K.T. Jithendran: No. 1.6x carpet is saleable, roughly.

Moderator: The next question is from the line of Akash Gupta from Nomura.

Akash Gupta: Sir, I just wanted to just revisit the 25% growth guidance, I mean, the guidance of 150 billion by FY '28. My question is that balancing between risk and growth, and we are being too conservative on the BD, we are trying to minimize the risk itself. So should we still hold the guidance that you have of 150 billion by FY '28? That's my first question.

K.T. Jithendran: Yes, Akash, I think given our current pipeline, current GDV what we have balanced to launch and also that confiden

ce on continuing to do strong BD for the rest of the period of this year and next year and the year following that, I think we are reasonably confident that we'll be able to achieve that target.

Akash Gupta: And my second question is, I think in this quarter's presentation, we did not put in the cash flow, the cash flow slide. So what was the operating cash flow generation this quarter? And how are we thinking about operating cash flow in FY '27?

Keyur Shah: We've got around INR2,347 Crores of collections, as we mentioned. And our overall project development-related costs around INR1,300 Crores. So we have a very strong cash -- positive cash flow in the 9 months ended December '25.

Moderator: The next question is from the line of Prithvi Raj from Unifi Capital.

Prithvi Raj: Sir, this is more on macro, how are you looking at the demand cycle, which are the markets where the demand is resilient and which are the markets where there is stress? And also the price points where you are seeing pressure in the demand? It's more from a market, not just for your company?

K.T. Jithendran: Just for our company?

Prithvi Raj: Not just for your company, it's more from a macro.

K.T. Jithendran: Yes, Prithvi. So I think in these four markets that we are currently operating in, we are reasonably confident of -- very, very confident of the resilience in all these markets. They're all doing well, be it Mumbai, be it Thane, suburb of Mumbai, a very reliable market in Pune.

Bangalore is doing very well. All our projects have shown good traction. NCR has done exceptionally well. One market, Gurgaon has done very well for us, and we continue to have very positive feelings about this market.

Delhi, of course, there is no supply. So I think we're looking eagerly at launching our Delhi project. I'm sure we'll do very well. Noida is one market we would love to have. There is so

much demand. There's lack of supply there. It's a great market, growth market. We are trying very hard to get into that market. So all of these markets where we are there today, these 4 markets, we are very bullish about it in general, not just for us, but as a feature. ADITYA BIRLA ~ REAL ESTATE BIRLA ESTATES
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If we -- as I mentioned, if you do your product well, design well, understand the consumer requirements and design according to that, I think -- and price it accordingly, I think we have very good opportunities in all these markets. I think the India story is very strong. As mentioned in our speech by Mr. Dalmia, the economy is growing well. Infrastructure is growing very well. Airports are coming up in very strong locations.

Connectivity is improving in all cities. So on the back of which real estate, I am very, very confident that it will grow very strongly. And also now even with the mortgage rates coming down, I think the story which was largely concentrated in the luxury segment now will also expand to the mid segment. So I think we are very positive about the whole real estate market expanding, not only in the luxury segment, but also in the mid-premium and the mid segment.

Prithvi Raj: Just a booking question. Will there be any revenue recognition next year or bulk of the revenue recognition will start only from '28?

K.T. Jithendran: There will be some kind of revenue recognition. Our project in Bangalore, Birla Tisya, will definitely be handed over next year. We're expecting a top line of about INR650 crores from there. We also will be handing over in Navya, new phase in Navya. So I think that much will be there next year. And after that, it will be when the Niyara gets completed.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge.

Tarang Agrawal: Just wanted to check for your upcoming launches, how would you segment, I mean, what percentage would you segment as luxury projects? And what percent

age would you segment as

so to say, slightly mid-market-ish? And second, as you replenish your pipeline, is there a conscious effort to sort of move away from luxury going forward?

K.T. Jithendran: Hi, Karan. Yes. So we have always maintained a certain price threshold below which we are not willing to look at because we also want to make sure that whatever we deliver, we deliver the best of quality within the requisite time. So we need to work with the best of contractors and consultants.

So we have said that below INR9,000 per square foot, we'll be reluctant to look at in markets, any market. Maybe Bombay could be slightly higher. But I think when we choose luxury also, we'll be very careful about which micro markets, which product, which location and what's the kind of supply and demand in those markets.

But I think given right locations, real estate is all about micro markets, being location in that region. The competition is very localized. So in every location, even in the higher luxury segment, there will be enough and more locations where the right circumstances are there, the right characteristics are there, we can really do good projects and can have very super demand.

So we will not consciously kind of decouple from that area. I think we'll continue to look at micro markets with high potential. It could be in the high luxury segment, it could be in the mass premium segment. But I think we'll continue to look at the right micro markets. ADITYA BIRLA ~ REAL ESTATE BIRLA

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Tarang Agrawal: Got it. And typically, when you look at micro markets, how do you define micro markets? I mean, is there a certain fixed rate, certain fixed time that it takes to navigate? How does it work?

K.T. Jithendran: Yes. So that -- so some micro markets are large. For example, Thane itself, there are several micro markets in the district of Thane. Within Thane West, there are several micro markets. So each -- it changes from each region to region, mostly about addresses, locations is largely the address.

So between Worli, Prabhadevi, Lower Parel, I mean it's not one single micro market. These markets change. Worli Sea-face could be another micro market. I'm just trying to see a nuance of how micro market works. So there is no very clear definition. It's largely the address and where people likes to belong, right?

Moderator: The next question is from the line of Jahnvi Shah from Share India Securities.

Jahnvi Shah: Hello, hi. I just had like one question on the debt side. If you can give us some look on how the

debt situation is going to look moving forward? And also, second question is for the next year's launches, we have a lot of pipeline, but all of them is -- and post that we don't have much, I think someone else also asked the same question. For FY '27, how are you looking at the cash flow and everything? If you can just give some guidance on this?

Keyur Shah: So our net debt has come down substantially, Q-on-Q. So our net debt currently is INR3,500 crores. And it's around 0.8 is broadly the net debt and debt to equity. And we have significant capacity to take on more, but our cash flows are strong, so our net debt will remain very, very comfortable.

And also out of the net debt, which I mentioned, this includes some of the construction finance and the LRD, which we have taken for the rental assets, which are 100% leased out. So the debt position is very comfortable, and we have additional dry powder to kind of take on more debt.

K.T. Jithendran: And Jahnvi, we are also not considering right now the money to be coming from the sale of paper business. When it comes, it will be extremely confident.

Jahnvi Shah: Okay. So that will help our cash flows. Thank you so much. Also, I know you answered the question, but in -- when I was looking at other people's calls in this quarter, there was some slowdown in the sa

les. We had a very good sales velocity obviously. Moving forward, what do we think is going to happen?

It is a very mixed opinion in the industry. On our end, what do you think is going to happen?

Second, any more approval delays, which are unseen or that we think is going to happen?

K.T. Jithendran: So Jahnvi, we don't -- we're not expecting any more. We are awaiting some RERA clearances. I think the rest is on track. Tower C, anyway, there is a few approvals to come, but that's therefore we have kind of pushed into the next year. And as I mentioned earlier also, we are extremely confident about the market in the micro markets we are launching. ADITYA BIRLA ~

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We have to be very prudent about the product, designing of the product, sizing, etcetera, pricing, all of that. So we have done a lot of work on that, and we are hoping that we should be hoping to deliver a very good performance in Q4.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited.

Dixit Doshi: Sir, many projects were stalled because of this EC clearance issue, which is now behind us. So because there were many projects which were stuck. So do you think there will be a lot of supply coming in Bombay going forward because all of these projects will get EC clearance and they can come simultaneously? So how do you see that supply pressure in Bombay?

K.T. Jithendran: Hi, Dixit. As I mentioned, largely these launches and the success of launches remains on the concentration of supply in that micro market. So I think largely these projects which you are mentioning must be spread all over. I don't know of any project launches in our micro market in Thane or in our micro market in Gurgaon. So we are not really too much bothered about that. I think we have a good product. We have good demand and with the right pricing, we should be able to perform very well.

Dixit Doshi: Okay. And any specific reason for this delay because we did not anticipate it earlier because you were guiding for Q4 launch of Niyaara 3 and now we are...

K.T. Jithendran: I just mentioned, Dixit, -- Yes, I just mentioned, you know, this was because of the Supreme Court order, which is not anticipated. It was -- we thought it will be -- the case will be in our favour. However, when it went the other way, there was sometimes, some standoff between us and BMC.

We had to extricate that land out of our approval system. It was all combined, and there were some challenges around that. And it took some time for us to resolve it. So as always, it takes. So that was unanticipated.

Moderator: The next question is from the line of Biplab from Antique Stock Broking.

Biplab: Sir, my first question, I saw some news article on BMC land, that BMC land that they floated tender to auction that land parcel, 30-year lease. So they also put a base price. Any comment on that? Are we going for that land parcel, bidding for that land parcel? Or what is the view on that?

K.T. Jithendran: Yes. I mean, yes, so that's the same parcel that the Supreme Court had decided to go in favour of the BMC. BMC has come out of the tender. Now they extended the tender date. We are also exploring participating in that either directly or through partner because currently, as we stand, we are not qualifying as per the tender conditions to participate in that.

They've asked for very, very high level of completed projects, which we, as a young company are not qualifying. So we are looking at it constructively whether we can participate in that. As of now, we are not qualifying technically for that. ADITYA BIRLA ~

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BiPlab: Okay, okay. And my second question is you mentioned, sir, that you expect to close, you're hopeful to close some deals before M

arch amounting to GDV of INR10,000 crores or INR15,000 crores. Just wondering how many deals and in which markets -- if this gets closed, how many deals do you think would amount to this INR10,000 crores, INR15,000 crores GDV and in which market?

K.T. Jithendran: Yes. So I've been kind of guiding the whole of this year. So to tell you any specific number, I wouldn't be doing justice. It could be -- I'm sure it's not just one deal, it could be more than a deal, and it would be largely in NCR, Mumbai, Pune, Bangalore, these four markets within these markets only.

I don't want to guide you beyond that because we are chasing quite a few number of deals. It could be a combination of any of this. So just keep our fingers crossed and hope that we kind of conclude it. I'll be very happy. And if not before March, it will be before March 31. That's what I think.

BiPlab: Yes. No, sir, we are hopeful that you will be able to close. Thank you, sir. Thank you.

Moderator: The next question is from the line of Amit Srivastava from B&K Securities.

Amit Srivastava: Congratulation on a good operational performance, sir. Sir, my question is more toward numbers. One is, sir, what would be the construction expense during the FY '26? And if we look at...

K.T. Jithendran: Construction what? Construction expenditure? Hello?

Moderator: Sir, the line for the Amit sir is disconnected. Sir, give me a moment. The next question is from the line of Tarang Agrawal from Old Bridge.

Tarang Agrawal: Hi. Just wanted to understand for the sale of paper business, what's the post-tax cash that you'll receive?

Snehal Shah: So basically, we have a lot of MAT credit available to us. So technically, there won't be a significant impact of cash flow due to the tax element. So we expect the entire amount to be a cash flow event.

Tarang Agrawal: And when I look at your leverage, you call out the INR420 crores of IFC funding separately. Is the structure slightly different from your other sources of debt?

Keyur Shah: So just to clarify, this includes the IFC funding. That's why we've just put it in the note. That's why we called it out.

Moderator: The next question is from the line of Akash Gupta from Nomura.

Akash Gupta: Actually just on the BMC land, I mean, the land which BMC has floated, tender do you think that any other developer who likely bid for that one because you already have a lot of other projects coming in. So don't you think we already have some competitive advantage there? And ADITYA BIRLA ~

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like would it be like a disadvantage for any other competitors because it's just a small land parcel?

K.T. Jithendran: Yes, its 6 acres of land. So, Yes -- so, I mean there is -- there are about 500 tenants on that land. We need to re-accommodate them and the balance land is available for exploitation. Yes. So I mean, if we have, we definitely -- we get it a great competitive advantage for us. That's why we would like to explore all legal means of -- some tying up for a land like that.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments.

R.K. Dalmia: Thank you, everyone, for taking out time to attend today's call. We are very excited for the times to come and hope to come to you with a lot of news in the next call. Thank you very much for an interest in our company. Thank you.

Moderator: Thank you, sir. On behalf of B&K Securities India Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. ADITYA BIRLA ~
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Call: May 2026

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SH/XII/031/2026-27 13th May, 2026

Listing Department Corporate Relationship Department
BSE Limited

1st Floor, Phiroze Jeejeebhoy Towers

Dalal Street, Fort, National Stock Exchange of India Limited

Exchange Plaza, 5th floor,

Bandra-Kurla Complex

Mumbai-400 001

Scrip Code: 500040 Bandra (East), Mumbai-400 051.

Scrip Code: ABREL

Dear Sir/ Madam,

Sub: Transcript of Q4FY26 Earnings Conference Call of Aditya Birla

Real Estate Limited ('the Company')

Ref: Regulation 30 of Securities and Exchange Board of India (Listing

Obligations and Disclosure Requirements) Regulations, 2015

('Listing Regulations')

Pursuant to Regulation 30 of Listing Regulations, please find attached transcript of the Q4FY26 Earnings Conference Call conducted on 07th May, 2026 at 11:00 a.m. 1ST after the meeting of the Board of Directors of the Company held on 06th May, 2026.

The above information is also available on the Company's website

www.adityabirlarealestate.com.

This is for your information and record.

Thanking you,

Yours truly,

For ADITYA BIRLA REAL ESTATE LIMITED

(formerly Century Textiles and Industries Limited)

ATUL K. KEDIA

Jt. President (Legal) & Company Secretary

Encl: as above

Aditya Birla Real Estate Limited

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Corporate ID No.: L17120MH1897PLC000163

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"Aditya Birla Real Estate Limited
Q4 FY '26 Earnings Conference Call"
May 07, 2026

MANAGEMENT : MR. R.K. DALMIA – MANAGING DIRECTOR – ADITYA
BIRLA REAL ESTATE LIMITED

MR. K.T. JITHENDRAN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – BIRLA ESTATES
PRIVATE LIMITED

MR. KEYUR SHAH – CHIEF FINANCIAL OFFICER –
BIRLA ESTATES PRIVATE LIMITED

MODERATOR : MR. JAY SHAH – HDFC SECURITIES

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Powering India's Investments

Aditya Birla Real Estate Limited

May 07, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Aditya Birla Real Estate Q4 FY '26 Earnings Conference Call, hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jay Shah from HDFC Securities. Thank you, and over to you, Mr. Shah.

Jay Shah: Good morning, everyone. On behalf of HDFC Securities, I would like to welcome you all to the 4Q FY '26 and Full Year FY '26 Earnings Conference Call for Aditya Birla Real Estate. Joining us today from the management are Mr. R.K. Dalmia, MD, Aditya Birla Real Estate; Mr. K.T. Jithendran, MD and CEO, Birla Estates; and Mr. Keyur Shah, CFO, Birla Estates. We will begin the call with opening remarks from the management, following which we will open the floor for question-and-answer session.

I would like to hand over the call to the management for opening remarks. Thank you, and over to you, sir.

R.K. Dalmia: Thank you, Jay. I'm R.K. Dalmia. Good morning, everyone, and thank you for joining us for our Q4 FY '26 Earnings Call. India's economy remained resilient in the quarter ended March 2026, Q4 FY '26. With FY '26 GDP growth estimated at 7.6% and FY '27 projections of 6.9%.

It reinforces its position among the fastest-growing major economies globally, supported by strong domestic demand, a stable policy environment and continued investment activity despite of some global factors, including geopolitical tensions in West Asia and potential energy price pressures.

Inflation has remained under control at around 3.2% to 3.4% in early 2026 and projections of 4.6% for FY '27. The real estate sector continues to benefit from this largely supportive condition, strengthening sector's long-term growth trajectory. In terms of industry performance, the residential demand remained stable in Q4 FY '26.

However, premium and luxury segments continue to outperform while affordable and mid-income demand softened. Tier 1 cities supply showed a moderate dip with a growth absorption over the FY '26. MMR remained resilient with a moderate growth in both absorption and supply over the year.

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Market dynamics in Bengaluru remained strong and favourable as it witnessed growth in both absorption and supply while delivering a healthy increase in price growth Y-o-Y. NCR has witnessed decrease in supply Y-o-Y, but growth in absorption coupled with increase in price growth. Pune has seen relatively sharper moderation in activity, in terms of both supply and absorption.

Further, pricing has shown a healthy growth across all the four regions, Y-o-Y growth, MMR 7.4%, Bengaluru 13.9%, NCR 8.5% and Pune 6%. Overall, regional trends continue to reflect premiumization and more selective buying behavior. Industry players are responding to this evolving demand environment through calibrated launches, disciplined pricing strategy and flexible payment plan to support absorption.

On commercial front, the market continues to witness strong leasing activity supported by GCC and demand for Grade A assets, resulting in tightening vacancy level and a continued rental up cycle across key markets. Overall, the Indian real sector is stable with increasing emphasis on execution, brand strength and product differentiation.

Now our performance for the quarter. I'm pleased to share that we have delivered exceptional close to FY '26. Q4 FY '26 has been one of our strongest quarters to date. We achieved presales of INR 4,288 crores, reflecting a robust 69% Q-o-Q increase. Collection for Q4 FY '26 remained healthy at INR 994 crores, and we recorded area sales of 3 million square feet, making an impressive 75% Q-o-Q growth.

This momentum was fueled by the outstanding response to our new launches across regions. Birla Arika Phase 2 in NCR continued its strong trajectory with 97% of launch inventory sold in the last quarter itself contributing INR 1,600 crores. In MMR, Birla Taranya witnessed increasing demand, delivering INR 952 crores in sales.

Our Bengaluru launch, Birla Trimaya Phase 4 continued to build on the success of earlier phases of INR 649 crores and in Pune, Birla Punya Phase 2 added INR 250 crores to the quarter, reinforcing our presence in Pune Micro Market. For the full year FY '26, we closed with a pre-sales of INR 8,136 crores, collections of INR 3,341 crores and area sold of 5.5 million square feet reflecting the depth, resilience and stability of our business.

On redevelopment front, we announced our maiden redevelopment project in Khar with a GDV potential of INR 1,700 crores. Discussions with several more societies are progressing well, and we remain optimistic about concluding additional partnerships in the months ahead. This segment will further contribute to our growth going forward.

Operationally, our construction progress remains firmly on track across projects. Safety and sustainability continue to be at the heart of our execution approach. Our rigorous safety practices were recognized by the British Safety Council, which conferred upon us the prestigious "Sword of Honour" along with a 5 Golden Star rating.

Our commitment to forging an inclusive, diverse and equitable workplace is stronger than ever. We are proud to share that Birla Estates was recognized as one of the Best Organization for Women 2026 at the 6th Edition of ET Now. Our ESG leadership was further acknowledged by Aditya Birla

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Business World, which ranked ABREL among India's top 60 most sustainable companies and number 2 in the real estate and REIT's category.

As we look ahead, our commitment remains unwavering. We continue to prioritize design excellence, customer-centricity and the highest standards of safety and quality. We are building not just homes for superior experience, creating long-term sustainable value for our shareholders. Thank you so much.

Moderator: Thank you, sir. Sir, should we open the floor for the Q&A.

R.K. Dalmia: Please go ahead.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Karan Khanna from Ambit Capital.

Karan Khanna: Just a couple of questions from my side. Firstly, K.T., sustenance sales seem quite healthy for the fourth quarter, almost at 20%. For the INR 7,300 crores of inventory that you have remaining, what kind of sustenance sales do you foresee going into FY '27?

K.T. Jithendran: Yes. So as a sustenance, so we had a very good traction in our Bangalore project, which is largely sustenance led and also Niyaara. Otherwise, the bulk of it was from new launches. So we're not giving a clear guidance for the next year. All I want to tell you that -- I mean, for the current year, -- we have got about INR 9,000-plus crores of new launches and INR 7,000 crores of sustenance sales coming up. But we are refraining from giving any guidance because it's very difficult to actually predict what kind of sales we can estimate. So that's why I'm not giving any clear guidance.

Karan Khanna: That's fine. Just following up on the Mumbai market, if you could just talk a bit about the overall market, given that you've seen 1% growth in absorption and 2% growth in supply. And yet your existing inventory in Mumbai is at about INR 4,000 crores and the pipeline inventory for FY '27 is also very much concentrated in Mumbai, especially Worli.

So how are you looking at the luxury market in MMR overall? And how do you plan to manage launch time lines to allow for ample response to the launches? And also on the launch pipeline, if you can talk a bit about at what stages of approval are all these projects currently at? I'm just trying to understand the downside risk in terms of launch delays that one can build in these projects?

K.T. Jithendran: Yes. So I think we had a fairly good last year with respect to Mumbai. Yes, the launches came at the very fag end of Q4. Thane, Birla Taranya did extremely well. We did about INR 960 crores or so of bookings in the few days that was left for us in Q4 and the momentum continues. Niyaara also with whatever left of the inventory was there, I think they are on a healthy strike rate of at least 2 to 3 flats per month last year.

And with the new launch, I think it will really pick up. It's a different product, and we expect a very strong response from the market. Already, we have a reasonably strong queue lined up for this project. And we have also signed a new project in Khar, which we are really working over

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time to make it launch ready. I'm quite hopeful that we'll be able to make it. And it's a very exciting market, very strong demand coming up with a unique product.

So pretty excited about that. Our launch in Boisar also, again, it was a very far end, but we did clock about INR 80 crores, INR 90 crores there. We are expecting to sell it out completely this year. So I think from the Micro Markets, where we are in, especially the Thane, Navi Mumbai Junction market, Worli, especially with our brand Niyaara, which has been created very strongly and the new Micro Market in Western suburbs, we are pretty excited. I expect a very strong response for us in this coming year.

As far as the launch for Birla Niyaara Tower C is concern

ed, it's really touch and go. We are

pursuing very hard to get the approvals. It could be touch and go. We're expecting first half of FY27, but it's quite possible that by the time we take the launch, it may spill over to Q3 also. So fingers crossed about that. But overall, I think we have enough time for us to do very strong numbers in Bombay this year.

Karan Khanna: Sure. And just lastly, on Bangalore, given that this has been the strongest market for you and also the strongest response. And yet you don't have any major launches slated for FY '27. So how should we think about the BD that you're targeting in this market going into FY '27?

K.T. Jithendran: Yes. Good question. I think we have had a wonderful response in all our 5 projects. We have handed over one, and we are in the process of having another one this year. So we'll be left with Trimaya, Ojasvi and Evara. We're expecting very strong sustenance sales from both Trimaya and Evara. And we are also very aggressively looking at BDs. We have quite a good sort of medium-sized proposals, which we are working very hard. Largely, our total focus this year will be concentrated on building our BD portfolio, and we are quite optimistic about that.

Moderator: We'll take the next question from the line of Jay Shah from HDFC Securities.

Jay Shah: So can you quantify the launch timing like in terms of H1 and H2, FY '27, which approvals remain key dependencies? And also like we are seeing that -- like in Worli, there is quite a good supply now. So how are you -- like do you see any slowdown in luxury absorption or pricing resistance given the increase in South Mumbai supply like amongst the peers?

K.T. Jithendran: Thank you, Jay, for your question. So first, in terms of time lines, as I mentioned about Tower C Birla Niyaara, I mean the brand has come very strongly in that micro market, and we are still commanding a good premium and demand, and we expect Tower C to really accelerate that demand, considering the initial response that sort of we are building up. Of course, we haven't launched it, but discussions with channel partners are going on, etc.

The only challenge is that we are working very hard to get the approval. So it may be -- we may just get RERA at the end of Q2, and we may launch it either in Q2 or maybe early Q3. But we want to make sure that we are completely ready in all terms when we launch it. So that is Q2/Q3. Birla Taranya, new phase that will happen in Q3, which is the Thane second phase once we sort of exhaust our current phase substantially.

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Then we have got a new project, a redevelopment project in Khar, which we are working over time to make it launch-ready in this year itself. So definitely, that will be Q4. Then Birla Navya, the last phase in our Golf Course extension location, that we're planning it in about Q3. Birla Punya in Pune, a new phase launch we're expecting that should be in again Q3. And then Birla Evam in Manjiri, it's in Q4, Pune again. So this is largely the time lines.

Jay Shah: Okay. And also one more question on BD. So like can you share the current active BD discussions like by geographies, which is MMR, NCR, Bangalore and Pune and the preferred asset-light versus outright acquisition?

K.T. Jithendran: Yes. I mean I can't share this with you in great details, but I can generally give you the trend that we're looking aggressively at Noida, sort of an outright Gurgaon JDA, Mumbai JDA and outright both, but lots on redevelopment, at least 4 or 5 projects, Pune outright and Bangalore JDA and outright.

Jay Shah: But can you quantify like the amount of GDV...

K.T. Jithendran: Overall, I could say roughly about INR 60,000 crores of projects we are at this point, kind of pursuing. We are trying our best to maximize what we can do.

Jay Shah: And what would be the mix for MMR in terms of like in the INR 60,000 crores?

K

.T. Jithendran: MMR will be about 35,000 crores.

Jay Shah: And lastly, on -- so I just wanted to know like what are we seeing in terms of target steady state, operating cash flows, conversion from presales over the next couple of years?

K.T. Jithendran: Sorry, what are you exactly asking? In terms of our customer collections? Are we talking about that.

Jay Shah: Correct, retail, kind of...

K.T. Jithendran: Customer collections, Jay, we are largely -- most of it is linked to construction progress, barring a few of them. But mostly, we attempt to collect at least 65% to 70% by the time we finish the structure of the building. So there is a little bit of flexibility here and there, but largely, that's how we're looking at.

So far, we have been doing very strong in customer collections. We grew by more than 23% from last year -- last to last year's collection until last year. We are looking at a very healthy growth this year also from that number.

Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth: So just first one, again, to be very specific on Bangalore launches, which Karan earlier asked for. I don't see our last phase of Trimaya coming this year. Any specific reason why? Because we don't have any -- too much of inventory there, almost INR150-odd crores only?

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K.T. Jithendran: Yes, I think we are now focusing on execution. We have lot of sold inventory. We are building it, and I think we can get a healthy margin. I think we'll wait and really maximize the last phase. Prices have really gone up there and every launch has been at a higher price. I think we really would like to now maximize the revenue from our final phase.

As you mentioned, it's not much, but it's worth waiting for also. This is a project which has taken about 5, 6 years, I mean, just because it has been a 52-acre project. So it's going to help us to really plan the launch of the last one in a big way in terms of there are any kind of price -- cost escalations or anything.

We want to just keep that inventory as a hedge because there is enough of done, enough of positive cash flow is there. So we're really focusing on now really maximizing on the last phase.

So that there's no hurry to launch that now.

Pritesh Sheth: Pretty clear. And in terms of, let's say, any business development we sign off from here on, right, we saw Khar is getting added to the FY '27 launch pipeline and we signed that project just in March or April. So any of the potential business development opportunities you think can be launched this year by Q3, Q4? Or for this year, roughly INR10,000 crores kind of launch guidance should be the number to look at?

K.T. Jithendran: I would really refrain from giving any -- I mean, any kind of guidance, you know better than that how indeterminate it is, whatever guidance we may give. I'm only happy to say that we did give finally in the Q3 last year guidance that we'll exceed and we did manage to exceed that. We're pretty happy about it. But it is like that also happened without the launch of Tower C. We couldn't launch it.

So any guidance that I give will be -- could be misplaced because of the very sheer uncertainty of when these launches can take place, largely dependent on the approval schedule. Approvals are largely based on two things. One is the environmental and the NGT. So those are pretty indeterminate things. So we do our best in estimating them. So I don't really want to give any sort of clear estimates.

Having said that, our whole attempt would be to launch as quickly as possible all of our projects because that's where we try to put all our efforts in, since we pay full price for the land. I would love to be in a situation where I can grab a project which has all the approvals and launch it immediately. But it's quite unlikely. It was very, very difficult to get that

sort of project and also

to our standards. So that seems a little too farfetched, but I won't lose hope on that.

Moderator: The next question is from the line of Akshay Thakur from Helios Capital.

Akshay Thakur: Sir, my question is pertaining to your land in Talegaon and Kalyan. So we have a huge chunk of land in Talegaon. From what I got a sense from a previous meet that you plan to do a senior living project there and that area is also getting more projects in similar manner. So can you give any guidance on the GDV potential or what is the plan in terms of numbers for Talegaon and for Kalyan as well?

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K.T. Jithendran: Yes. So as regards these 2 parcels of land, this belongs to our historical land parcel that the Century had in its kitty. Also, you must remember that Talegaon land is an agricultural land, it needs to be converted, etc. So it's in a very preliminary stage. It's not part of the Pune development scheme as of yet.

So the entire process of conversion, etc., is expected. It has not happened because the region has not come still under PMRDA, etc. So it's about 45 acres of land. So we have plans, we have aspirations for that. Nothing is really clearly laid out as of now. Why we thought senior living is because, of course, the climate, The proximity to the Aditya Birla Hospital.

And also, the government is coming up with some friendly schemes for senior living even if it is not a converted zone. So we are exploring from those point of view, but too early to give any kind of clear details and numbers on this. Similarly, in Kalyan, we don't have as of now any land, which is ready for development for the next few years.

Whatever we had is all exhausted now. The large plant Century Rayon and all is too farfetched and it will take a lot of time because the full rayon production is going on with more than 7,000 workers, etc. So that's not in the offering right now. So that's the update on Talegaon and Kalyan.

Akshay Thakur: One more question. On Thane front, you had previously guided that there would be some sort of commercial projects also coming up. Could you share an update on that?

K.T. Jithendran: Yes. So we have this Birla Taranya, which is a land bought from Hindalco and we have a 50% investment from IFC. We launched a very successful residential first phase launch. We also have an aspiration to build a commercial portfolio there of about 5 lakhs sqft. So we are in the process of designing that.

But it would be either fully leased out or maybe partly, maybe one tower, we may look at the Strata sales for faster cash flow and more demand and more frontal sales. So we are in the process of finalizing that. Once we get a clear picture on that ourselves as a team, then we'll be happy to disclose that. But definitely, there are plans to create at least about 5 lakh square feet of commercial.

Akshay Thakur: In Thane?

K.T. Jithendran: Yes, in Birla Taranya.

Moderator: The next question is from the line of Varun Julasaria from 360 ONE Capital.

Varun Julasaria: Sir, first of all, could you just update us on the cash from the ITC deal? When is it expected? And what is the current status on that?

Keyur Shah: Sure. The ITC transaction -- the discussions with ITC are progressing well. As you are aware, we received a key regulatory approval, which is from the Competition Commission of India.

That application was made by ITC and government granted that approval. Now certain state-level approvals are pending, and we expect to conclude the transaction in this quarter. It's moving Aditya Birla Real Estate Limited

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-- progressing well, and our estimation and expectation is that it should get completed in this quarter.

Varun Julasaria: And sir, on the construction spend, sir, how is it looking like for the FY '27? And how much capex do we plan to spend on the BD this year,

sir?

Keyur Shah: So from a capex point of view, construction spend this year in '27 should be close to INR 1,000 crores -- the construction spend this year, Pure construction spend would be around INR 1,000 crores. As regards to capex for land acquisition, we have a very strong cash flow and cash balance. Our operating cash flow is positive. We have almost INR 1,000 crores of mutual fund balances at a consol level.

And we also have almost INR 1,300 crores of cash and RERA balances. So from a capex point of view, we have the adequate cash to make acquisitions. Further, we also have demonstrated partnerships with leading global players. So in case of any large acquisition, we have the ability to bring on partners as and when required for making capex land acquisition.

Varun Julasaria: So for the construction spend, you mentioned INR 1,000 crores, right?

Keyur Shah: So see, INR 3,100 crores includes all expenses. It's the pure -- I'm mentioning to you the pure construction spend because the project development outflow, which we've shown INR 3,131 crores includes operations expenses, that's around INR 920 crores for the current year. I stand corrected for the FY '27, it should be INR 1,200 crores. This also includes other items like approval costs, design costs, any deposit paid for the deal which we announced recently. So it's a combination of all of that. So INR 3,131 crores, which is there in the cash flow, that also includes Ind AS or accounting adjustment, whereby for revenue share. So that's what we have put in the cash flow. So in that sense, last year, we spent INR 924 crores on construction. This year, we should be spending INR 1,200-odd crores for construction.

Varun Julasaria: And sir, on the BD front, since this year, we have not done any significant BD, so is it the IRR or the expectation that is not allowing us to approve the BD or is it the land title or there is some other issue which is being holding up?

K.T. Jithendran: Yes, it's a combination of IRRs, of course, we look for healthy IRRs because this is a multiyear project, multi-situations come up, cost escalations and all. So we provide for all of that in our business plans. And we also look for a reasonable strong hurdle rate in terms of IRRs. For

outright, we look at least 16% and it is a JDA upwards of 18%, 19%, so -- but that's not really the hurdle because there are enough and more proposals coming. The only thing is that in due diligence, we are very particular about what kind of risk we take. So some of them have happened, some of them doesn't happen. But I think it's always safe to be careful and prudent because, as I mentioned, the business goes through cycles, the business goes through different economic cycles also and real estate sentiment cycle.

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So we don't want to be caught hanging in any part -- this risk we didn't consider, and therefore, it will come and kind of bite us back and put us back by a few years. It has happened. It happens in real estate all the time. We have to be careful to the extent possible while doing BD. But that's not the reality, see what BD is not something which we can keep on saying every quarter, we can do so much because it's an exploratory thing with so many risks up there. It's -- as I mentioned, if the right combination of risk and return comes at any particular point, it's possible that we may do multiple projects in a single quarter or we may not do anything for a few quarters. So I think that -- we have also demonstrated that this happened in the last 2 years for us. So we are pretty confident given our pipeline and the kind of projects we're pursuing that we'll be very soon announcing of them. The timing we can't, of course, predict very accurately. It's all estimated. But it's very probable that now that we have swung from the other side of the pendulum, suddenly, we may announce quit

e a few deals together. So it's not lack of resources or lack of taking calculated risk. It is just the timing and all of these things should come together. So we are not really worried about that.

Varun Julasaria: Sir, just last question...

Moderator: Mr. Varun. I'm sorry to interrupt you, sir. I would request you to kindly rejoin for follow up. We'll take the next question from the line of Biplab Debbarma from Emkay Global.

Biplab Debbarma: Sir, I don't see -- Trimaya, I don't see, you have explained. I also don't see Arika or Mathura Road. So Arika, I think there is one tower left and you have sold everything, excellent response and congratulations on that. So just wondering what happened to Arika and what is the status of Mathura?

K.T. Jithendran: Yes. Arika, I think of the towers -- 7 towers, we have sold now 6 towers with almost 100% performance. I would really like to do something extraordinary on the last tower, and I would like to wait and time it better in a much more market because in that market, and I've explained to you in the past also, there's absolutely no supply, and this project has come out so well, in terms of design that we can really do something extraordinary on this.

And I think we can improve our pricing considerably from what we have done today because of the very unique positioning that project has attained in that micro market on the back of the Aditya Birla brand name. So I just want to kind of maximize the returns for that.

Biplab Debbarma: Mathura Road?

K.T. Jithendran: Mathura Road, as I mentioned, in Delhi, we have been struggling with the approval thing. I think now we have found a way -- we are making progress there in getting approvals. But I don't want to take a chance and declare that will happen this year, but I'm quite confident that it will happen early next year.

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Biplab Debbarma: And my second question is -- beginning of last year, you gave some guidance of doing INR 15,000 crores of -- around that number in FY '28. And so for that, we need to have enough GDV in our portfolio. So do you think this -- I mean, I know you will be doing a lot of business development this year, I'm very optimistic. So do you stick to that number? And would you be able to do enough BD to reach that number?

K.T. Jithendran: I think, yes, you are very absolutely correct in saying that it's not just doing BD, but also the timing of BD is very critical in finding out which year how much sales booking will be done. Looking at this kind of trajectory that we're having today, it's quite possible that INR 15,000 crores instead of FY '28 may kind of slip over to FY '29.

There is definite possibility of that. So we'll be trying our best to do this, but I think it's quite likely that it can move up from FY '28 to '29, precisely for the reasons that you mentioned. But our attempt will be to continuously stack up our BD pipeline and to deliver on those.

Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth: So a couple of follow-ups. First, if you can highlight the status of the commercial projects that we are planning in Worli, Centurion Phase 2 and redevelopment of Century Bhavan?

K.T. Jithendran: So Pritesh, our attempts are on to start these projects as quickly as possible. We are in the design stage, planning the layout, etc. It has to integrate with the rest of the planning location, so we have already started doing that. We'll try our level best to actually start the construction from this year onwards. That's our attempt again,

Pritesh Sheth: For both of them or just one, one each?

K.T. Jithendran: I would start with one of them at least, whichever goes up this thing, and we'll have to kind of plan our investments and who our partner is, etc., whether we should take both of them together or we should plan one after the other. How should we stag

ger it that is still under consideration.

It also depends on how we get a partner for our projects. But whether we get a partner or not, we'll definitely start -- commence the construction this year.

Pritesh Sheth: And second question on the cash flows. So we club the land spends, construction overheads in one line called project development cost. Maybe, Keyur, if you can help me with the split of this INR 3,100 crores that we have spent on project development cost, how much of it was for the land acquisition, how much was for pure construction and how much for overheads? That would be helpful?

Keyur Shah: So maybe we can take that because there are a lot of -- I think, we will take that offline, Pritesh.

Pritesh Sheth: Okay. No worries.

Moderator: The next question is from the line of Fenil Brahmbhatt from Choice Institutional Equity.

Fenil Brahmbhatt: My first question is on this other expenditure, which you have reported for Q4 FY '26, that is around INR 152 crores. So I just want to know what is the components of those other expenditure and this is like one-off or we can expect this in coming period?

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Keyur Shah : So we have an exceptional item in Q4 and overall for the full financial year. So there is a share of loss which we have from joint venture because the sales, marketing expenses, etc., are not to be inventorized. And the other exceptional item is due to the Labour Code and also a provision we have made for one of the joint ventures in the textile business, which we've had. So that is the exceptional item. So both combined put together is around INR 39 crores -- INR38 crores.

Fenil Brahmbhatt: Okay. So okay. And so out of this INR152 crores, you are saying INR 39 crores is the one-off related to Labour Code and the other paper and pulp business. Amounts are?

Keyur Shah: They are in millions.

Fenil Brahmbhatt: And -- Yes, and also checking on this Khar development project. So have you signed DA for this project or it's just under process?

K.T. Jithendran: No, Mr. Brahmbhatt, we have signed the DA. We have started the demolition process and all that.

Fenil Brahmbhatt: And the last question related to collections. So our collection dips in this quarter, Y-o-Y, Q-o-Q. So any specific reasons like because of the delay in construction or getting approvals or like we haven't have any delivery during this quarter. So can you highlight any specific reason behind this?

Keyur Shah: No. So our collections have been very strong for the financial year. In fact, we did almost INR1,000 crores of collections in the Q4. They are slightly lower than last year because we had major launches in March. So our collections for the bookings which we have announced in March would come in Q1 of the coming year.

And as you are aware, we almost have a 97%, 98% collection efficiency. So whatever bookings we have done, those collections would come in the Q1 of this year. And April collections also have been very strong. So to that extent, that is the reason why there is the way the collections pan out.

Moderator: The next question is from the line of Muralikrishnan from Sundaram Mutual Fund.

Muralikrishnan: Sir, just wanted to understand -- so you are indicating that we are holding few towers, Arika and other towers, so -- but whenever we launch a project, those are almost like getting sold out. So what is our strategy -- sales strategy for a particular -- for large projects. So -- and we are seeing that we are launching in phases also. So just wanted to understand the sales strategy?

K.T. Jithendran: The sales strategy, of course, is we try to launch a certain number of towers, apartments, units, etc., creating a market assessment of that particular micro market, how much is the demand that can be absorbed, what kind of strong velocity can we command and what kind of ticket sizes we can deliver or we can launch

in that market, which will get absorbed.

So if you launch too much then and you're not selling, then of course, there will be a cash flow

to the extent of best of our estimate how much demand is the market having, and we should at least try to get about more than 50% of the product launched as sales.

Also -- and we try to hedge and manage the entire business plan cash flow by dividing the entire project into reasonable sizes of phases, if it is a large enough project. If it's not a large enough project, then we may do it in a single phase, also depending on which micro market it is.

Now our aim constantly in sales is to get as quickly cash positive or cash neutral as possible.

Once we have achieved that and we see that the project is now completely in cash positive area, we'll try to maximize the margin, the EBITDA margins. But IRRs return and return on capital, return on capital employed is the first goal. So till that extent, we go after velocity. And once we achieve that, then we look at also maximizing the EBITDA margins. So that largely which dictates our sales strategy.

Moderator: The next question is from the line of Chetan Sharma from Systematix Shares & Stocks Limited.

Chetan Sharma: And my question is regarding the land bank. What's the land bank we are having now? And what's the expected GDV we can expect from that?

K.T. Jithendran: I think we have sort of delineated it in our presentation, the kind of land bank, we have about INR 70,000 crores, INR 72,000 crores of GDV today, of which about -- how much is launched about close to 30,000. I think it's all laid out in our presentation -- ~31,700 we have launched. The balance is our land bank. And of this, we have sold about 70%, 75% of what we launched. But all the details are there in our presentation -- investor presentation. You should check on to Slide number 20.

Chetan Sharma: Okay, sir. Thank you. That's all.

Moderator: Thank you.

Darshika: So I see that you have a BD potential pipeline of INR 60,000 crores. Could you just throw some more light on this as to what part of this could get converted in this year? What projects are we looking at? Some more details on this?

K.T. Jithendran: See, at this juncture, this is confidential and not able to give more color on this. I wish that we can convert all of them. That would be our attempt. But depending on how the due diligence progresses. If the due diligence goes well, then perhaps we can grab all of that. But quite likely that we may do about a percentage of it. Now how much percentage, I'm not in a position to disclose.

Darshika: Like no indicated number of what project out of this...

K.T. Jithendran: You really can't. Yes, it's very difficult to predict.

K.T. Jithendran: It's very difficult to predict, Darshika.

Darshika: And also, I had a question. We were almost on the verge of closing a INR 10,000 crores worth of BD project. Any update on that? We don't seem to have converted that as well.

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K.T. Jithendran: We are progressing on that..

Darshika: I believe that is a part of the INR 60,000 crores pipeline that we have...

Keyur Shah: Yes, it is. Of course, it is, yes.

Moderator: The next question is from the line of Dixit Doshi from Whitestone Financial Advisors Private Limited.

Dixit Doshi: Sir, we have been invested in this company since last 3, 4 years. And the one big reason is that our vision of becoming top 3 or top 5 real estate player in the country. But when we see our business development pipeline, so all the projects that we launch, we get a very good response. We have created a very good product. Our sales team is fine. We are getting good response. But when we see business development pipeline and we see

our competitors' business

development, what they do, did you still think we can become a number 3 or number 5 player in the country? Because our competitors are doing a BD of say INR 20,000 crores, INR 30,000 crores, INR 40,000 crores. And we have done just INR 1,600 crores last year. So in terms of -- because until we do that, our sales pipeline will always remain lumpy?

K.T. Jithendran: I think it's a very good question, Dixit. One of the reasons I would strongly attribute to the outstanding success we had in our sales and launches is because of the way we choose our BD.

If we had been casual about our BD selections, then I don't think you would have got such incredible success in our launches and the way we priced it and the kind of margins we are commanding.

Having said that, of course, there's no question that we have to improve our BD. We are working on it. Again, as I mentioned in the past, that's not absolutely possible to do BD in a systematic quarterly basis, depending on the risk and the kind of proposals we get, the kind of trigger, due diligence we conduct, some of them fail, some of them fall through, some of them move ahead, so several factors which have come together. So our attempt is there on that.

And I wouldn't really hesitate to compare ourselves with anybody else. Each one has their own risk profiles, approach, strategy, geographic market, market segments. So many variables are there. We are in a very particular clear segmented market, very clear positioning with very clear strategy.

And in that segment, we are very clear how we are doing our BD and our approach is very clear. And we'll go in that path, not get distracted by what competition is doing. However, we are well aware that if there are any chink in our armor, we would like to obviously buck up and not be defensive about it.

And we are very sure that we would like to be among the top real estate companies in India, but not just by size, but also by reputation. It has to go both together, reputation and size. Just by size is not something that we are going after. I hope I've been able to explain myself a little bit, Dixit.

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Dixit Doshi: Yes, sure, sir. And just a couple of small questions, sir, how many units we would have sold totally in Niyaara 2?

K.T. Jithendran: Niyaara, Tower B, I think they've sold about net-net about 119 units out of 148 units.

Dixit Doshi: And so regarding commercial projects, you mentioned something about the Worli and any other commercial...

K.T. Jithendran: We are looking outside of Worli also. We are having a strategy to really do premium commercial spaces across regions.

Moderator: The next question is from the line of Vedant Rane from Unifi Capital IMA.

Vedant Rane: I would just like to ask one question on MMR that we have launched 2 projects here. And as a percentage of booking -- as a percentage of GDV, we can see that we are less than 50%. In other regions, that is NCR and Bengaluru, we are able to achieve greater than 95% of the GDV. So is there any specific reason for that like demand or supply? Are the launches -- were the launches were in the late of March -- at the end of March and we can see into Q1 FY '27?

K.T. Jithendran: I think you have asked the question and answered it yourself. So I see that because we just launched the fag end of March, I'm hoping that the whole big thing will skew this year. This year, I think, because of the Tower C launch and also a renewed focus on Taranya in Thane, and Boisar, Birla Mrida, I think we'll see a very strong skew in favor of Mumbai region, MMR region this year.

Vedant Rane: And regarding the Pune market, what is the situation there? Like there also, I can see that it's around 35-odd percent of our GDV?

K.T. Jithendran: Yes. Pune is a steady market. It has its limitations also and the strengths also. I think it's a good market to be the

re. There's steady demand, not too much of a price rise, but because of very nature of the commercial and the demand in that market, and of course, from spillover from Mumbai and NRI demand, etc., I think it's a very good, strong market to be there. And we can't expect a Gurgaon happening there, but I think steady strong velocity is what we expect there.

Moderator: The next question is from the line of Varun Julasaria from 360 ONE Capital.

Varun Julasaria: Sir, just wanted to know like this quarter, we offered quite a few payment plans. So I just wanted to know how much of the proportion like from INR 4,300 crores, how much was through these payment plans and how much was construction-linked plan?

K.T. Jithendran: See, largely almost bulk of our proposals are all on construction-linked plan. And even if there is a payment-linked plan, largely, we try to ensure that by the time we finish the structure of the building, we try to get at least 60%, 65% of the money.

So just barring here and there, depending on what that market trend is, very strong trend depending on what others are doing in that market and strong demand from the market forces there. We may have to, at some point of time, give some sort of flexibility in payment. But again, Aditya Birla Real Estate Limited

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with the overall arching premise of policy that we would like to collect at least 65% by the time we finish the structure of the building.

Varun Julasaria: Sir, does this imply a bit of a slowdown in the velocity across the market or is it more to do with

competitors offering it and...

K.T. Jithendran: More to do with, because if you look at our launches, we did about 8 launches last year. A bulk of them came in the last quarter because of the regulatory approval process. But if you look at our response, it has been outstanding. We have done 97%, 100% of launch sales. So I really can't blame that there is a slowdown, not in any of our projects.

We have been exceptionally well, take it Bangalore sustenance, take it Gurgaon launches, take it Thane, any of these markets you look at. So I really can't point a finger to any of our launches, there has been a slowdown. That is not yet reflected in any of our launches.

Varun Julasaria: Yes, that's what we were thinking why this payment plans are offered when we were already clocking very high conversion...

K.T. Jithendran: Payment plans are more due to market forces and there has been this geopolitical development, which happened in the last quarter. People are not able to really take money -- get money quickly into the market it was forced, all these things happened in the last quarter. So that's one reason where people found it really difficult to -- they're desperate to making bookings, but the cash flow liquidity was a huge problem because the developments in the war scenario in Middle East and all that.

So that generally impacted. So that's why we had to do some extensions in that market.

Otherwise -- and all of them have come back very strongly this quarter with their payment plans.

So yes, this is largely because of the recent developments.

Varun Julasaria: Lastly, sir, on the construction material, are we seeing any issue in sourcing and how much cost escalation we factor for this year like given that almost everything has gone up?

K.T. Jithendran: Yes. So because of oil prices and disruption in supply chains, there has been an impact on cost.

But being a very prudent planners, we have already taken it in our contingency measures, etc.

So as of now, we don't see any of them, but quite likely that if these situations continue, there could be an impact. But we have been prudent enough to take reasonable contingencies and escalations in our business plans. But if the current situation continues or deteriorates further, then of course, there will be an impact.

Varun Julasaria: But availability is not an issue, right? I mean i

t's not stopping.

K.T. Jithendran: Availability is not an issue, but transportation is a bit of delay and that has impacted slightly.

Moderator: The next question is from the line of Syn Tlair from Lalkar Securities.

Syn Tlair: I just wanted to know what is the potential for the senior living for you all basically?

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K.T. Jithendran: Yes. I think senior living by itself is a huge explosive market potential in India, huge demand.

As we all know, in India, the aspirational population is growing. They have become wealthy and comparatively much more wealthier than what they were in the past decade. They can afford a lot of things. They're looking for good convenience and luxury.

And there's a lot of people in India who can afford it. And a huge part of it is people who have done well in life and many of them want independent living, luxury living and a big part of it is in senior living, and they're all looking for the same amount of comfort which they can afford.

And they always also want to be independent. I think there's a massive market for it. We have to find out the right sizing and location for that. We see a huge opportunity in exploiting that.

And we are looking very, very aggressively in that market, exploring.

Syn Tlair: Sir, any idea what would be the revenue potential?

K.T. Jithendran: It's too early to predict at this point of time. But I'm sure it will be very healthy and very strong.

Moderator: The next question is from the line of Muralikrishnan from Sundaram Mutual Fund. Sir, the participant has left the queue.

We will move on to the next question from the line of Biplab Debbarma from Emkay Global.

Biplab Debbarma: Sir, just two small clarification. One is the commercial development in Worli. How many towers in total area, is it 1.3 million square feet? And what would be the estimated cost for -- capex cost to be incurred for these projects?

K.T. Jithendran: Yes. I mean I think we are looking at least about one single tower, roughly about 1.3 million, 1 million to 1.3 million in the process of designing that. Cost is too early at this point to estimate

Biplab. We'll have to come back to you on that, depending we are in the process of design and then we do all the MEP and structures and all that, it is early stages at this point of time.

Biplab Debbarma: Entire 1.3 million at...

K.T. Jithendran: Yes, I said it's one tower that we are looking at. It could -- it's in the range. It could be approximately about 1.3 million. It can vary a little bit here and there, yes.

Biplab Debbarma: And second question is on the -- your launch pipeline. In terms of GDV, it appears broadly similar to what you had in FY '26 in terms of launches GDV. And in FY '27 pipeline also includes Niyaara, where the expected absorption may be relatively lower compared to, say, Arika, Trimaya or even Taranya.

So considering these factors, I'm assuming these factors are correct. Considering these factors, it appears challenging to expect -- I mean, the presales in FY '27 could be similar in the similar INR8,000 crores or maybe slightly lower than FY '26 levels. How do you see this assessment?

K.T. Jithendran: I don't want to comment on that because as I said, it's very difficult to give you -- in other words, you're asking for guidance, which I can't at this point of time give you. I only know that we have so much of inventory here, and we have to do the best utilization of that.

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Moderator: Ladies and gentlemen, we will take that as the last question for today. I would now hand the conference over to the management for closing comments. Thank you, and over to you, sir.

R.K. Dalmia: Thank you, everyone, for taking out time to attend today's call. We are very excited for the times to come and hope to come to you with a lot of more -- lot of news in the next call. Thank you very much for the interest in our company. Thank you. See you soon.

Moderator: Thank you, members of the management. On behalf of HDFC Securities, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

(Edited for factual accuracy)